



Powering INDIA towards Viksit Bharat

**ANNUAL
REPORT
2024-25**

POWERING INDIA towards VIKSIT BHARAT



Power Sector dominance, with installed capacity of 54% thermal, 56% nuclear power and 46% hydro power from BHEL sets



Sole indigenous supplier for nuclear steam turbines and generators for nuclear power plants



Over 3 decades of experience in HVDC projects, commissioned 6 HVDC projects since 1989



More than 89% of hydro power in Bhutan from BHEL Turbine-Generator sets



More than 70% of Indian Refineries with BHEL supplied captive power plants



Export footprint spans 91 countries with over 13 GW installed capacity and 3.5 GW under execution

Accomplishments in FY 2024-25

Developed highest rating Francis Turbine Model of 240 MW for Dibang, HEP

Supplied 45th Steam Generator (SG) for GHAVP Nuclear Power Plant—the highest number by any manufacturer in India

Strategic JV 'Bharat Coal Gasification and Chemicals Ltd' formed with CIL to drive coal-to-chemicals initiative by production of Ammonium Nitrate from Coal

Supplied and commissioned first upgraded Super Rapid Gun Mount (SRGM) onboard INS Nilgiri

Supplied the Main Fractionator Column (MFC) of HRRL Barmer Refinery, having three types of metallurgy of construction in single column

Passenger trial of the first BHEL-electrics supplied EMU rake successfully completed; prestigious Vande Bharat order is under progress





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Letter to Shareholders



Dear Shareholders,

On behalf of the Board of Directors, I have the privilege of presenting the 61st Annual Report of the Company for the financial year 2024–25. During the year, your Company strengthened its performance across business segments, supported by renewed activity in the thermal power sector, consistent execution, and stable macroeconomic conditions.

Your Company maintained its leadership in the power sector by securing 14.6 GW of thermal orders from public and private utilities. Major transmission packages and a strong showing in the industry segment complemented this performance. Revenue increased by 19%, supported by a record order inflow and tighter project execution.

Performance Highlights

Let me share with you the key performance highlights:

- We achieved our highest-ever order inflow of ₹92,535 Crores in FY 2024-25, and closed the year with a record order book of ₹1,96,328 Crores, ensuring strong revenue visibility
- In the power sector, orders worth ₹81,349 Crores were secured, including ₹76,930 Crores from thermal power plant business.
- The industry sector contributed ₹11,001 Crores of orders, including a major ± 800 kV, 6000 MW HVDC order for the Khavda–Nagpur link

- Revenue from Operations grew by 19% to ₹28,339 Crores, with Profit After Tax of ₹513 Crores and EBITDA of ₹1,745 Crores
- Over 3 percentage points reduction in direct material costs was achieved through procurement consolidation, vendor expansion and design rationalization
- Project execution covered about 8.1 GW of capacity addition, commissioning, and synchronisation across India and overseas
- Cash collection rose by 20% over billing, resulting in a net cash surplus of ₹1,977 Crores
- Delivered the 45th Steam Generator for the GHAVP Nuclear Power Plant, the highest by any manufacturer in India
- Developed and tested India's highest-rated 240 MW Francis Turbine model for NHPC's 12x240 MW Dibang hydroelectric project
- Commissioned three units of the 6x170 MW Punatsangchhu-II hydro project in Bhutan
- Supplied a tri-metallic main fractionator column for HPCL's Rajasthan Refinery, demonstrating fabrication capability for critical process equipment
- Delivered and commissioned the first upgraded Super Rapid Gun Mount onboard INS Nilgiri, supporting India's naval readiness

Strategic Initiatives and Future Outlook

The government's continued emphasis on energy security was reflected in sustained thermal power tendering. Your Company responded by strengthening EPC readiness, standardising design templates, and enhancing vendor capabilities to meet the demand pipeline.

In nuclear energy, BHEL is positioned to contribute meaningfully to India's long-term goals, with the national target of 100 GW by 2047 and development of Small Modular Reactors by 2033. The Company's track record in nuclear steam generators and turbine systems supports this strategic direction.

During the year, BHEL and Coal India Ltd established a joint venture, Bharat Coal Gasification and Chemicals Ltd, to develop domestic coal-to-chemical capacity and reduce import dependency in fertilisers and industrial feedstocks.

In the transmission sector, BHEL secured major order for HVDC terminal stations on the Khavda–Nagpur corridor, marking continued growth in its advanced grid portfolio. In parallel, the Company signed strategic partnership agreements in rail transportation, renewables, and defence systems to support diversification goals and long-cycle businesses development.

Business Excellence and Sustainability

One manufacturing unit received the CII EXIM Bank Business Excellence Award 2024, while five others were recognised with Platinum rating. The Company achieved a 7% reduction in emission intensity and expanded captive solar capacity to 42 MWp. Over 85,800 saplings were planted during the year. Two additional manufacturing units were assessed for GreenCo certification by CII, bringing the total to seven units with formal environmental ratings.

We are committed to ensuring effective compliance with corporate governance norms and uphold strong governance practice with a view to protect the interest of all stakeholders.

Acknowledgements

I extend my sincere thanks to our customers, partners, employees, the Board of Directors, and the Ministry of Heavy Industries for their continued support and guidance. I also thank you, our shareholders, for your trust and support. With a solid order book, sharper execution, and strategic clarity, your Company is well positioned to address national priorities and deliver long-term value.

Warm regards,



K. Sadashiv Murthy
Chairman & Managing Director
Bharat Heavy Electricals Limited (BHEL)

New Delhi
July 25, 2025

LEADERSHIP AT BHEL

Board of Directors as on 25th July 2025

FUNCTIONAL DIRECTORS



Shri K. Sadashiv Murthy
Chairman & Managing Director



Shri Krishna Kumar Thakur
Director (Human Resources)



Shri Tajinder Gupta
Director (Power)



Ms. Bani Varma
Director (Industrial Systems & Products)



Shri Rajesh Kumar Dwivedi
Director (Finance)



Shri S M Ramanathan
Director (Engineering, R&D)

GOVERNMENT DIRECTORS/PART-TIME OFFICIAL DIRECTORS



Ms. Arti Bhatnagar
Special Secretary & Financial Adviser,
Ministry of Commerce & Industry



Shri Vijay Mittal
Joint Secretary,
Ministry of Heavy Industries

INDEPENDENT DIRECTORS



Shri Ramesh Patlya Mawaskar
Independent Director



Shri Ashok Aseri
Independent Director



Shri Aashish Chaturvedi
Independent Director

LEADERSHIP AT BHEL

Management Team as on 25th July 2025

MANAGEMENT TEAM



K. Sadashiv Murthy
Chairman & Managing
Director



**Krishna Kumar
Thakur**
Director (Human
Resources)



Tajinder Gupta
Director (Power)



Bani Varma
Director (Industrial
Systems & Products)



**Rajesh Kumar
Dwivedi**
Director (Finance)



S M Ramanathan
Director (Engineering,
R&D)



Praveen Kishore
ED (CPC, Addl. charge-
PEM), Noida



K B Raja
ED (HPEP), Hyderabad



Jitendra Das
ED (Industry Sector &
International Operations),
New Delhi



M Arunmozhi Devan
ED (BAP), Ranipet



Vinay Kumar Bassi
ED (Regional Operations
Division), New Delhi



Pankaj Rastogi
ED (Hydro Business
Group), Noida



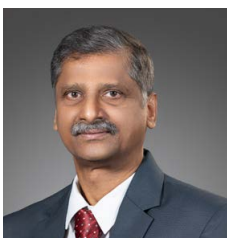
K Ashok
ED (ISG), Bengaluru



S Prabhakar
ED (HPBP), Trichy



Sanjeev Kumar Roy
ED (PS-HQ), New Delhi



Y Srinivasa Rao
ED (PE&SD), Hyderabad



B Shyam Babu
ED (EDN), Bengaluru



C Venkat Rao
ED (Capex, SS&P & CDT),
New Delhi
Addl. Charge - CFP & FSIP



R P S Sisodia
ED (NREB), New Delhi



G. Subrahmanyam
ED (HPVP), Vizag



Rakesh Singh
ED (TBG), Noida



A K Verma
ED (COM), New Delhi



M Sridhar
ED (Human Resources),
New Delhi



Vinod Jacob Sam
ED (PS-SR), Chennai

MANAGEMENT TEAM



Shyamala Venkataraman

GM & Head (CTM),
New Delhi



Rizwan Faisal Siddiqui

GM & Head (TP), Jhansi



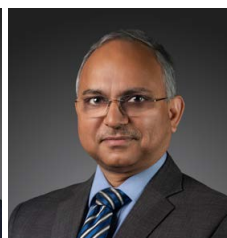
Ranjan Kumar

GM & Head (HEEP &
CFFP), Haridwar



Parthasarathi Das

GM & Head (Mktg. & CC/
PSBG I), New Delhi



Sunil Diwakar

GM & Head (CPPP, PMG
& IPM), New Delhi



Uday Shankar

GM & Head (PS-ER),
Kolkata



N Ramesh Kumar

GM & Head (SBD),
Bengaluru



P K Upadhyay

GM & Head (HEP),
Bhopal



Sumeet Salhotra

GM & Head (Cost
Optimisation Cell), Noida



H Malathi

GM & Head (Corp.
Finance), New Delhi



V V Subrahmanyam

GM & Head (Corp. R&D),
Hyderabad



Aruna Gulati

GM & Head (CSM & CC),
New Delhi



Yatindra Mohan

GM & Head (PS-WR),
Nagpur



Dipesh Palit

GM & Head (PS-TS),
Noida



Dr Nishit Babyloni

GM & Head (TBGS),
New Delhi



Sanjay Guha

GM & Head (PMG/PSBG I),
Noida



V K Singh

GM & Head (PS-NR),
Noida



Ravinder H Teckchandani

GM & Head (SSBG), Noida
Addl. Charge - NBG



Dr Durgesh Chandra Gupta

GM (CQ & BE), Noida



Abhishek Srivastava

GM (HERP), Varanasi



Swapan Kumar Bhattacharya

GM (Treasury & Fund
Management), New Delhi



Heera Lal Bharani

GM (Corp. HSE), Noida



Sanjiv Srivastava

GM (Corporate Internal
Audit), New Delhi

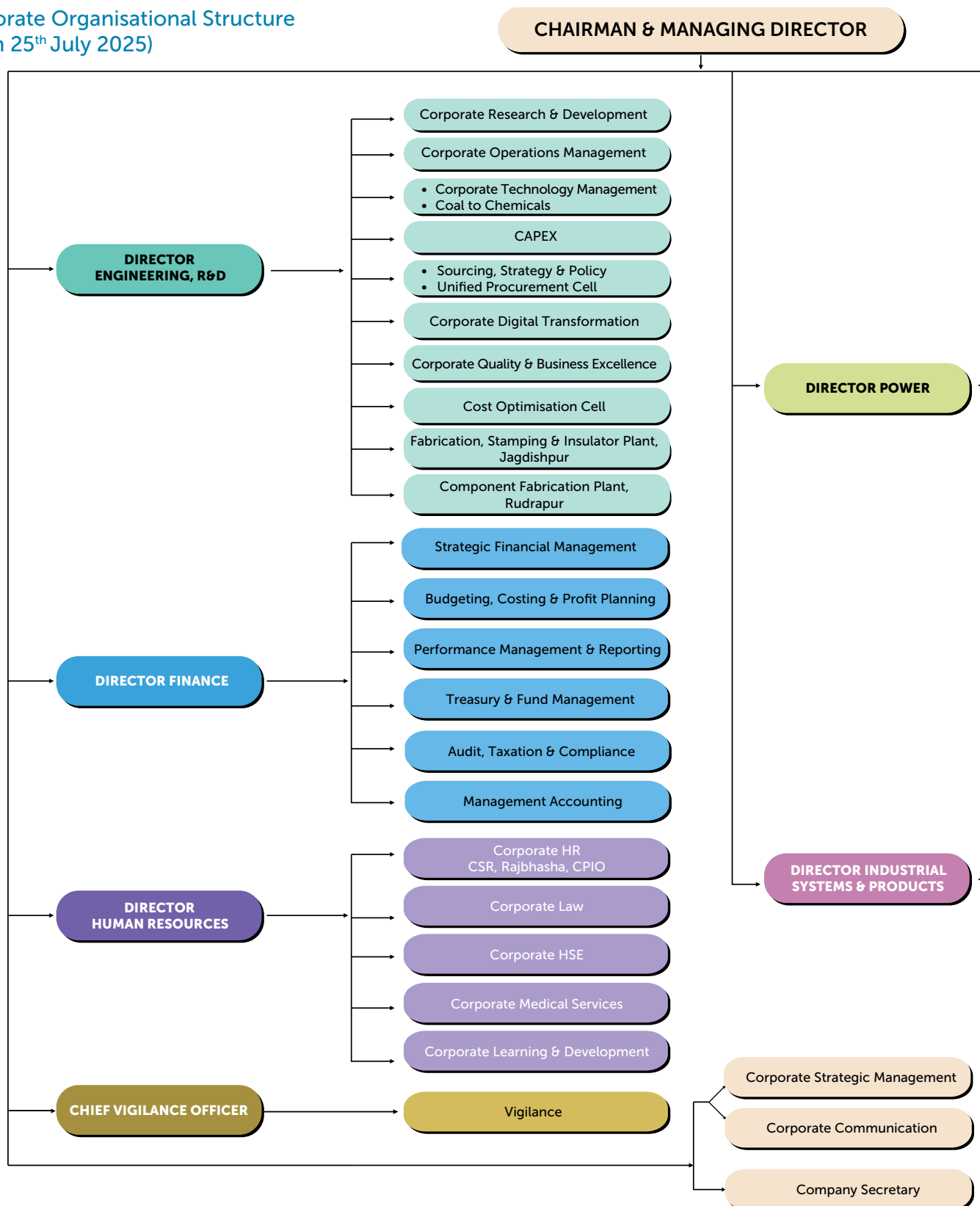


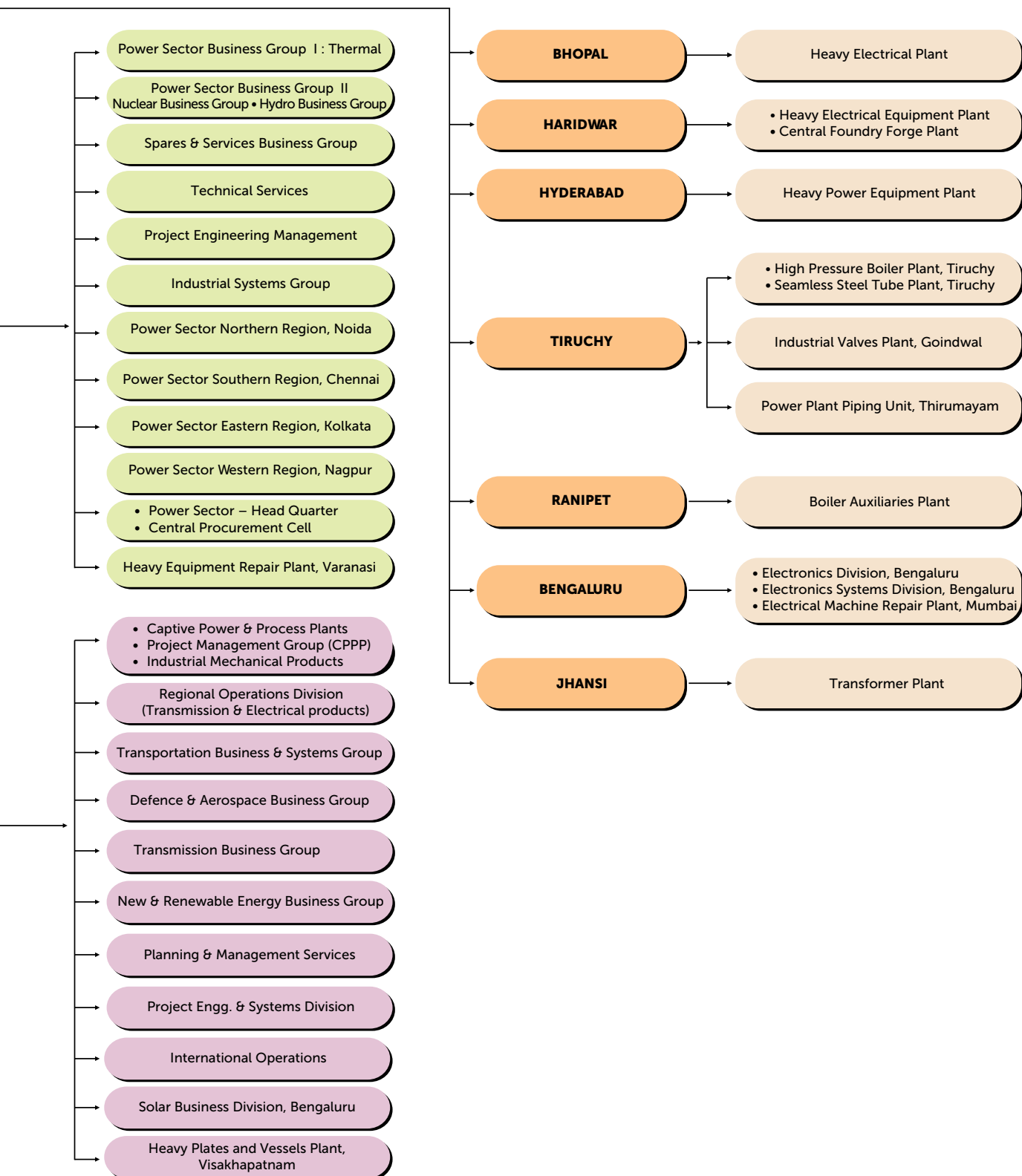
Dr Yogesh R Chhabra

Company Secretary

CORPORATE ORGANISATIONAL STRUCTURE

Corporate Organisational Structure
(As on 25th July 2025)

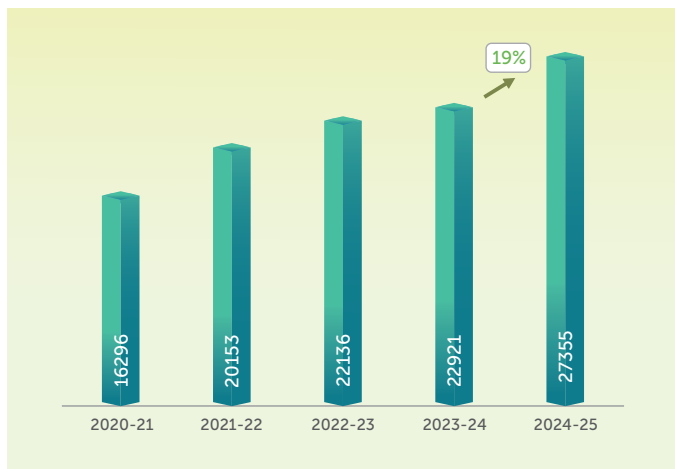




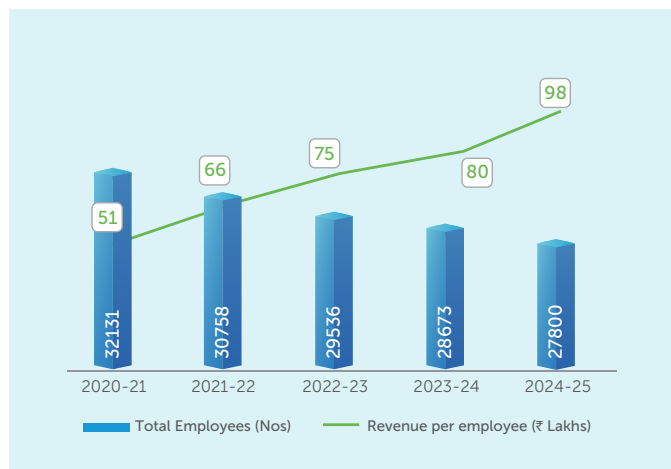
YEAR AT A GLANCE 2024-25

(Figures are in ₹ Crore unless otherwise stated)

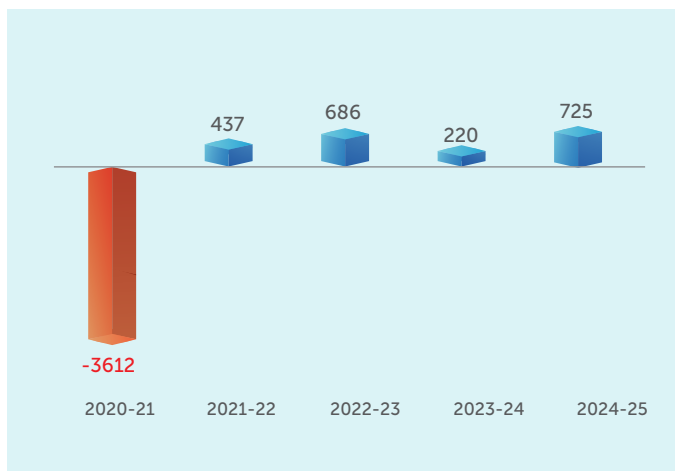
REVENUE



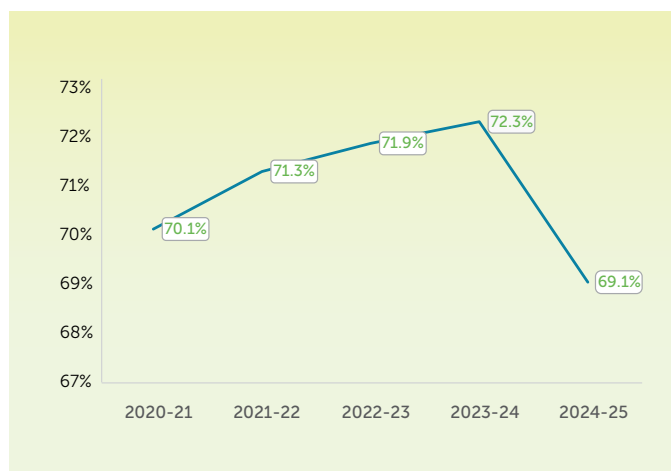
MANPOWER (Nos.) AND REVENUE PER EMPLOYEE



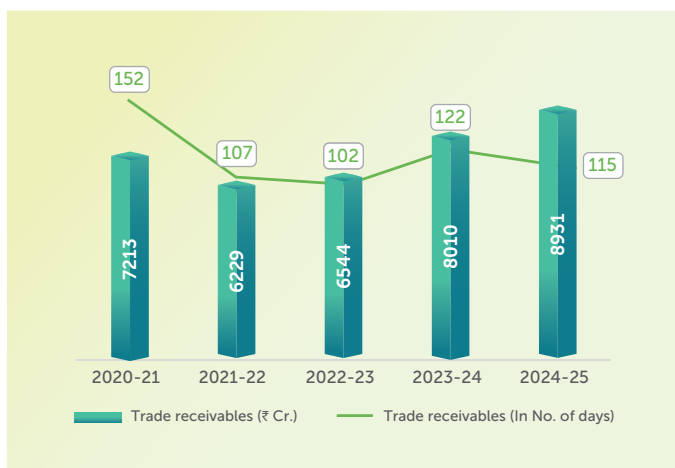
PBT



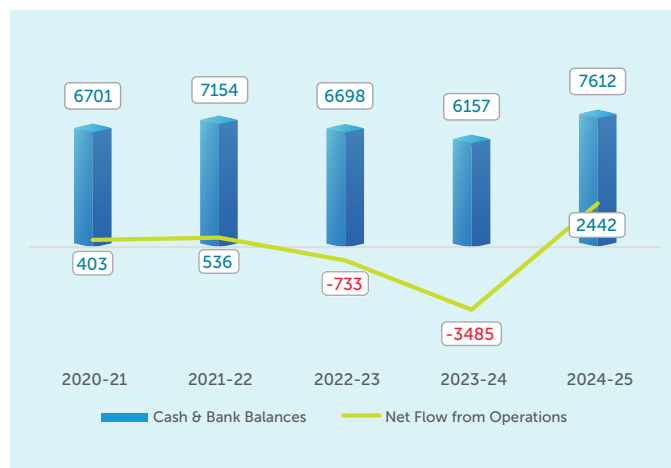
MATERIAL COST AS A % OF GTO



TRADE RECEIVABLES



CASH FLOW AND BALANCES



Note: Revenue means 'Revenue from Contracts with Customers'



YEAR AT A GLANCE

Revenue

Registered Revenue of ₹27,355 Crores with around 19% growth over previous year



Execution

8.1 GW power capacity added/ commissioned/ synchronized



Order-Booking

- Highest Ever yearly Order Booking
- Highest Ever outstanding OB



KEY HIGHLIGHTS

Diversification

- Supplied and commissioned first Upgraded SRGM onboard INS Nilgiri
- Secured major HVDC order



Innovation

- ~2.4% of Revenue as R&D expenditure
- 500+ Patents and Copyrights filed



Going Green

Two manufacturing units received GreenCo rating from CII for green practices



Note: Revenue means 'Revenue from Contracts with Customers'

About the company

– what we are and what we do

Bharat Heavy Electricals Limited (BHEL) is a leading company in the Capital Goods sector, proudly contributing to the **Make in India** initiative since 1964. Serving both domestic and international markets, BHEL operates across the power and industrial sectors, offering comprehensive solutions, including supply of equipment, systems, and services. The company supports power generation infrastructure—thermal, hydro, gas, nuclear, and solar PV—by supplying and installing power plant equipment. BHEL also plays a critical role in power transmission, rail transportation, defence, aerospace, oil & gas, and other core industrial sectors.

BHEL was incorporated in 1964 as a Public Sector Undertaking (PSU), with Government of India currently holding a 63.17% equity stake. The company has a strong manufacturing footprint, with 16 plants located across India, producing capital goods for both domestic and international markets.

BHEL has a robust in-house product development infrastructure, delivering future-ready products and technologies. Its diverse product portfolio is further strengthened through strategic partnerships with global Original Equipment Manufacturers (OEMs). The company's emphasis on innovation and R&D is supported by a consistent annual investment of approximately 2.4% of its revenue.

At **BHEL**, we firmly believe that customer service, environmental stewardship, and social responsibility are intrinsically interconnected, and form the core of our corporate ethos. The company actively supports communities through initiatives focused on skill development, health and hygiene promotion, education, and environment protection. Several dedicated programs are run to enhance sustainability and improve the quality of life in the areas where we operate.



VISION

A global engineering enterprise providing solutions for a better tomorrow



MISSION

Providing sustainable business solutions in the fields of Energy, Industry and Infrastructure



BUSINESS CREDENTIALS

ENERGIZING LIVES

- 205+ GW power generating equipment installed in India & abroad
- 6 Major HVDC projects executed
- ~20 GW Captive Power Plants commissioned
- Supplied 469 coal based utility sets, 23 diesel sets, 430 hydro utility sets, 105 gas based utility sets and 14 nuclear based utility sets in India since inception

UNPARALLELED CONTRIBUTION IN CORE SECTORS

- 7,95,000+ MVA Transmission Equipment supplied
- 35,300+ AC Machines supplied
- 850+ Locos supplied to Indian Railways and Industry
- 430+ Compressors and 90 Oil drilling Rigs supplied
- 15,000+ Well Heads & Christmas Tree valves supplied
- 48 Super Rapid Gun Mount supplied for Indian Navy ships

GLOBAL FOOTPRINTS

- Footprints in 91 countries- Maiden entry into Botswana and Costa Rica in FY 2024-25
- 13 GW Power generation capacity delivered outside India
- In FY 2024-25, commissioned 3 units of 6x170 MW Punatsangchhu-II hydro project in Bhutan



VALUING PEOPLE

- Committed workforce-27,800 employees
- 1,600+ Female employees
- 9,000+ Engineers
- Participative management culture since 1973



GROWING WITH SOCIETY

- Signatory to Integrity Pact of Transparency International
- Part of World Economic Forum's (WEF) One Trillion Trees initiative with a pledge on '1t.org'
- 85,819 saplings planted across BHEL units during FY 2024-25 to enhance green cover



INNOVATION

- Consistent R&D Expenditure-~2.4% of Revenue for FY 2024-25, 5900+ total IPR capital
- Collaborative R&D with leading academic institutions and research organizations
- 5 Research Institutes; 15 Centres of Excellence
- In-house R&D Centres of 11 Manufacturing Units and Divisions recognized by DSIR

PAN INDIA PRESENCE



Manufacturing Plants/ Unit Locations

BHEL Manufacturing Units

Bengaluru	1. Electronics Division (EDN)
	2. Electronics Systems Division (ESD)
	3. Solar Business Division (SBD)
Bhopal	4. Heavy Electrical Plant (HEP)
Goindwal	5. Industrial Valves Plant (IVP)
Haridwar	6. Heavy Electrical Equipment Plant (HEEP)
	7. Central Foundry Forge Plant (CFFP)
Hyderabad	8. Heavy Power Equipment Plant (HPEP)
Jagdishpur	9. Fabrication Stamping & Insulator Plant (FSIP)
Jhansi	10. Transformer Plant (TP)
Rudrapur	11. Component Fabrication Plant (CFP)
Ranipet	12. Boiler Auxiliaries Plant (BAP)
Tiruchirappalli	13. High Pressure Boiler Plant (HPBP)
	14. Seamless Steel Tube Plant (SSTP)
Thirumayam	15. Power Plant Piping Unit (PPPU)
Visakhapatnam	16. Heavy Plates & Vessels Plant (HPVP)

BHEL Repair Units

Mumbai	1. Electrical Machine Repair Plant (EMRP)
Varanasi	2. Heavy Equipment Repair Plant (HERP)



*Map of India is indicative, and may not be to scale

Recognition of Excellence



1. Received the 'Third' prize under the highest national Rajbhasha award- 'Rajbhasha Kirti Puraskar' at Hindi Diwas ceremony organized by the Department of Official Language, Ministry of Home Affairs.
2. Received eight Gold Awards at the International Convention on Quality Control Circles 2024 (ICQCC - 2024) held at Colombo, Sri Lanka.



3. Received the Gold Award in the category of 'Adoption of Indigenous Technology' for Clean Coal Technology using Pressurized Fluidized Bed Gasifier (PFBG), and the Silver Award for 'Innovation in Supply Chain Management' for BHEL SAMVAAD—an interactive workshop initiative that strengthens collaboration between BHEL and domestic suppliers—at the ET Government PSU Leadership & Excellence Awards 2024 ceremony.

4. Received the Gold Award by EEPIC India Quality Awards 2024 under the PSU category in recognition of business excellence and dedication to stringent quality standards.
5. Received Rail Analysis India Award in the category of 'Excellence in Rolling Stock Manufacturing' at Rail Analysis Innovation and Excellence Summit 2025.



6. Bagged three PSE Excellence Awards from the Indian Chamber of Commerce (ICC) in the categories of Corporate Governance, Inclusion of Women and Differently-abled Individuals in PSEs, and Operational Performance Excellence.
7. Received ICAI Award for 'Excellence in Financial Reporting', in recognition of its high standards of quality, transparency, and integrity in the preparation and presentation of financial and non-financial disclosures in its Annual Report.
8. Won the prestigious ICAI National Award for Excellence in Cost Management – 2024. This recognition is a testament to the Company's strategic cost control, operational efficiency and strong financial discipline.



9. Won prestigious CII-EXIM Bank Award for Business Excellence 2024 for the second consecutive year.
10. Received prestigious Gold Awards in the categories of 'Leadership in Digital Transformation' and 'Empowering Indigenous Production & Technology' at the ET Government PSU Leadership and Excellence Awards 2025.
11. Recognized in the category of 'Excellence in Software Development' at the 9th PSU IT Forum Governance Now awards.

12. "MyBHEL App" won the award under the 'Enterprise Mobility' category of PSE Awards 2024, for access to employee facilities.
13. Won three Governance Now PSU awards under the category of Maharatna PSUs for 'Best R&D Initiative', 'Excellence in Learning & Development' and 'HR Excellence (Overall)'.
14. Sixty Quality Circle teams from various BHEL Units won Par Excellence/ Excellence Awards at the 38th National Convention on Quality Concepts (NCQC)-2024, organized by Quality Circle Forum of India.
15. Honoured by POWERGRID at the CEO Meet 2024 for its remarkable achievement in commissioning three critical substations under the Neemuch REZ TBCB project, ahead of the contractual schedule.
16. Honoured under the category of "Excellence in Cybersecurity" for its outstanding "Cybersecurity & Resilience" initiative at the 3rd edition of the PSU Transformation Conclave and Awards 2024, which recognizes exemplary efforts by PSUs in driving IT advancements.



17. Shri Rajesh Kumar Dwivedi, Director (Finance) and CFO, was honoured with the "CFO – Outstanding Performer Award 2024" by the Institute of Cost Accountants of India (ICMAI) for

his visionary leadership and transformational approach in driving value creation, operational excellence, and improved business performance.

18. Dr. G. Raghavender Rao won the 'Engineer of the Year Award 2024' from the Telangana Govt. and Institution of Engineers (India) for his exceptional contributions to engineering in the Public Sector.



Testimonies of Trust and Excellence (Appreciation from valued customers)

From Central Govt., CPSUs and their subsidiaries



From State power companies



From Private sectors



International accolade



We would like to thank your team at International Operations Division along with qualified team of engineers from BHEL Hyderabad for their unwavering and proactive support during the entire overhauling operations and it was successfully completed.

We also appreciate the continued after sales support of BHEL for efficient and uninterrupted operation of our Power Plant.

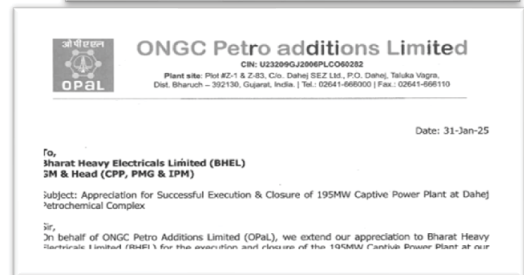
Yours faithfully,

Malick Seck

General Director

Compagnie d'Electricite de Senegal
2022-01-20

Compagnie d'Electricite de Senegal (CES) - Société Anonyme sous Administration Directeur Général, au capital de 6.116.000.000 Fcs
RCCM: SN CRK 2022 11 23637 - NINEA: 28402302A3



Rear Admiral Sujit Baxi
Add: Director General Warship Design Bureau
Jawahar/Mob - 9711995643, 9052141116
E-mail - mail.wdbdelhi@navy.gov.in

Warship Design Bureau
Jawahar/Mob - 9711995643, 9052141116
E-mail - mail.wdbdelhi@navy.gov.in

CD/1135/SB

15 Jan 25

Mr KS Murthy,
Chairman and Managing Director (CMD)
M/s Bharat Heavy Electricals Limited,
BHEL House, August Kranti Marg,
Siri Fort Institutional Area, Siri Fort,
New Delhi - 110049

Dear Sir,

PROGRESS ON IPMS ISSUES - INS VIKRANT (P-71)

1. At the outset, may I convey my heartfelt wishes to you and your entire team A



Rungta Mines Limited
(DHENKANAL STEEL PLANT)

Site Office : Korian By-Pass, Korian, Dist : Dhenkanal - 756013, ODISHA, INDIA
Works : At - Jharabandha, P.O - Nimabahal, Via - Meramandali, Dhenkanal - 759 121, ODISHA
Telefax : +91 6762228361, Email : dsp@rungtamines.co.in, Website : www.rungtamines.com

Ref: RML/DSP/2024-25/

Dated: 30.01.2025

On behalf of Rungta Mines Limited, we extend our heartfelt gratitude to the BHEL team for the exemplary dedication and expertise demonstrated in successfully identifying & rectifying the problem, completing the turbine re-assembly, rolling and synchronization in the shortest possible span of 12





BOARD'S REPORT

Report of the Board of Directors

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Report of the Board of Directors

Dear Members,

Your Directors are pleased to present the 61st Annual Report on the business and operations of your Company, and the Audited Financial Statements for the year ended March 31, 2025.

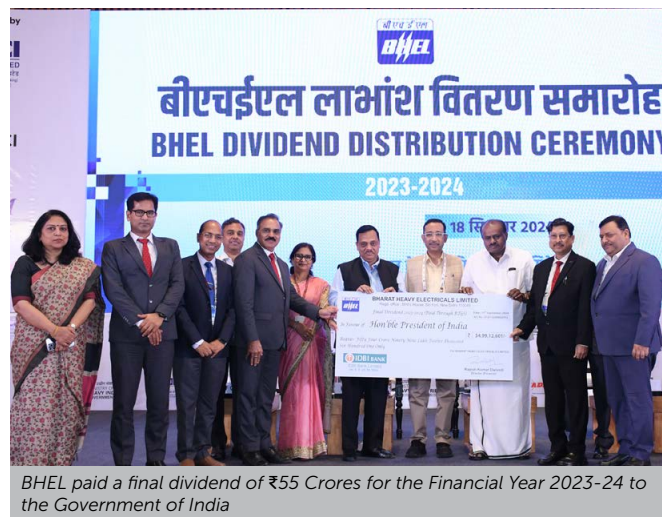
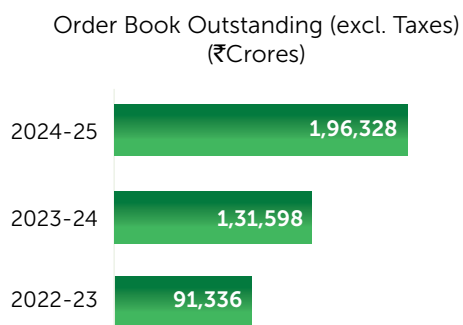
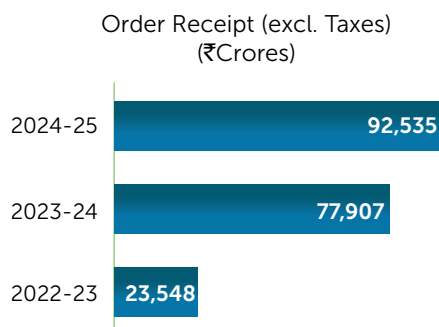
Performance Highlights

(₹ Crores)

Description	For the year ended	
	March 31, 2025	March 31, 2024
Order Receipt (excl. Taxes)	92,535	77,907
Order Book outstanding (excl. Taxes)	1,96,328	1,31,598
Revenue	27,355	22,921
EBITDA	1,745	1,201

State of Company's Affairs

The year 2024-25 experienced rising order inflow trend with all time high order booking at ₹92,535 Crores. The company has been successful in receiving several prestigious orders in core thermal power business and also stepping up its diversification initiatives by gaining orders in segments of Transmission, Transportation, Defence etc. The total outstanding Order Book as on March 31, 2025 stands at its highest ever marking of ₹1,96,328 Crores (net of taxes) reflecting the company's robust business outlook.



In alignment with vision of Atmanirbhar Bharat, Bharat Coal Gasification and Chemicals Limited (BCGCL), a joint venture between Bharat Heavy Electricals Limited (BHEL) and Coal India Limited (CIL), was established in May 2024. The JV plans to establish India's first commercial-scale coal-to-2000 TPD ammonium nitrate plant using BHEL's indigenously developed technology. The plant will convert high-ash coal to produce technical-grade ammonium nitrate. The project not only enhances domestic value addition to coal resources but also reduces dependency on imports, reinforcing India's commitment to technological innovation and self-sufficiency.

The company achieved a robust 19% growth in revenue, with a focus on enhancing capacity utilisation backed by a strong order book. With a revenue of ₹27,355 Crores in FY 2024-25, an increase of ~₹4,500 Crores over previous year, coupled with reduction in material cost by 3.3%, the company achieved a marked 38% rise in gross margins as compared to previous year, and resulting in a Profit After Tax of ₹513 Crores with EBITDA of ₹1,745 Crores (45% increase over PY).



The multipronged measures undertaken include bulking of requirements through centralized procurement and sub-contracting, design standardisation and optimization, enhancing vendor base, Advance Manufacturing Actions etc., thereby resulting in cost reduction, in addition to enhancing capacity utilisation.

The company prioritized cash collection, increasing overall collections by 40.5% (~₹10,500 Crores), from customers, including advances. After factoring significant enhancement of ₹3,400 Crores (~16% increase over PY) towards material-related payments to enable fast paced execution of projects, the net cash surplus generated during FY 2024-25 was ₹1,977 Crores.

The increase in collection from net billing is ~₹4,500 Crores (20% increase over PY) due to project centric focus towards timely execution and improved payment terms in the projects under execution. Consequently, the Trade Receivables collection period reduced to 115 days in FY 2024-25 from 122 days in the previous year.

Transfer to Reserves

The company has not transferred any amount to the Reserves during FY 2024-25.

Dividend

The Board of Directors, in its meeting held on May 16, 2025 has recommended a final dividend @25% on the paid-up equity share capital (₹0.50 per share of ₹2 each), amounting to ₹174.10 Crores, out of profit for FY 2024-25, subject to your approval.

The Company has a dividend distribution policy in place in pursuance of the requirements of Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR"). Dividend distribution policy is available on the Company's website at <https://www.bhel.com/dividend-distribution-policy-bhel-0>.

Deposits

The Company has not accepted deposits from the public within the ambit of Section 73 of the Companies Act, 2013 during FY 2024-25.

Capital and Finance

During FY 2024-25, the company met its capital expenditure and operating fund requirements primarily through internal accruals. However, due to increased cash outflows mainly on materials and sub-contracting expenses to accelerate project execution, and intermittent cash flow mismatches, the company resorted to short-term borrowings of ₹8,795 Crores and maintained a Cash and Bank Balance of ₹7,612 Crores as on March 31, 2025.

To optimize cash management and maintain operational liquidity, the company also places intermittently available surplus funds in fixed deposits. For meeting short-term operational requirements, the company continues to utilize borrowing instruments such as WCDLs, loans against FDs, and listed Commercial Papers.

Loans, Guarantees and Investments

There is no transaction relating to loans or advances covered under section 186 of the Companies Act 2013 in FY 2024-25. Further, it is clarified that investment is as per Note 5 on 'Investment', of Audited Annual Accounts 2024-25 of the company.

During the FY 2024-25, the Company has provided a Corporate Guarantee on behalf of its newly established joint venture, Bharat Coal Gasification and Chemicals Limited, without charging any fee/consideration. In line with the requirements of Ind AS 109, the fair value of providing the corporate guarantee has been initially recognised as a deemed investment of ₹5.29 Crores in the joint venture, with a corresponding recognition of a financial liability.

Credit Rating

The credit ratings of your Company are as follows:

Rating Agency	Date of Rating	Long Term Rating	Outlook	Short Term Rating
CRISIL	27-12-2024	CRISIL AA-	Negative	CRISIL A1+
	18-10-2023	CRISIL AA-	Negative	CRISIL A1+
INDIA RATINGS	27-06-2024	IND AA-	Stable	IND A1+
	28-06-2023	IND AA-	Negative	IND A1+
CARE	17-06-2025	CARE AA-	Stable	CARE A1+
	18-06-2024	CARE AA-	Stable	CARE A1+

Material Changes and Commitments affecting the Financial Position

There are no material changes and commitments affecting the financial position of the Company between the end of FY 2024-25 and the date of this report. There are no significant and material orders passed by the regulators or courts or tribunals impacting the going concern status and company's operations in the future. There is no change in the nature of the business of the Company during FY 2024-25.

Suspension of Trading

The Equity Shares of the Company are listed on NSE and BSE. The shares of the Company were not suspended from trading during FY 2024-25.

Directors' Responsibility Statement

Pursuant to section 134(5) of the Companies Act, 2013, the Board of Directors confirms that:

- In the preparation of the Annual Accounts, the applicable Accounting Standards (Ind AS) have been followed along with proper explanations relating to material departures;
- The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of financial year and of the profit of the Company for that period;

- c) The Directors have taken proper and sufficient care for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) The Directors have prepared the Annual Accounts on a going concern basis;
- e) The Directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and operating effectively;
- f) The Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Management Discussion and Analysis

Your company has continued to focus on growth momentum, strengthening the core business, expediting execution and taking concrete steps towards diversification including enhancing business in non-coal areas. For further details, please refer **Annexure-I to the Board's Report**.

Corporate Governance

Pursuant to Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a report on Corporate Governance (including Board and Committee Meetings details) is given at **Annexure-II to the Board's Report** together with the following,

- i. Certificate of Non-Disqualification of Directors under Schedule V of the SEBI Listing Regulations.
- ii. Auditors certificate on Corporate Governance under SEBI Listing Regulations and Department of Public Enterprises (DPE) guidelines on Corporate Governance.
- iii. Secretarial Audit Report under Section 204 (1) of the Companies Act, 2013.

Declaration of Independence

Declaration under Section 149(6) of the Companies Act, 2013 pertaining to criteria of independence has been given by the Independent Directors to the Board of Directors. All the Independent Directors have registered themselves on the online database of the Indian Institute of Corporate Affairs (IICA), notified under Section 150 of the Companies Act, 2013. In the opinion of the Board, the Independent Directors possess integrity, necessary expertise and experience.

Compliances

Your company continuously reviews and strengthens its compliance of systems and processes.

- To attain the highest standard of Corporate Governance, integrity in operations is maintained alongside ethical and transparent functioning.
- To ensure compliances, a quarterly legal compliance report on the Applicable Laws/ Acts is reviewed by the Board of Directors.
- Being a listed company, compliance with the SEBI (Listing

Obligations and Disclosure Requirements) Regulations, 2015 is ensured. There is no adverse comment from SEBI for the FY 2024-25 on any financial matter.

- The Company has complied with all the applicable secretarial standards.
- For preparation of financial statements, the company ensures compliance to the Indian Accounting Standards (Ind AS), Guidance Notes and other authoritative literature issued by the ICAI, Companies Act, 2013 and other applicable statutes.

The continuous endeavour of your Company to constantly enhance transparency in presentation and disclosures in its Financial Statements reflects a strong commitment to compliances and good corporate governance.

Contribution to the Exchequer

The Company, over the years, has been consistently making significant contribution to the Exchequer, and maintaining high standards of integrity with respect to tax compliances. For FY 2024-25, the company's contribution to exchequer was over ₹5,000 Crores (inclusive of ITC utilised).

Audit Committee

As on March 31, 2025, the Company had in place a Board Level Audit Committee in terms of the requirements of the Companies Act, 2013 read with rules made thereunder and Regulation 18 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the details in respect of which are given in the Corporate Governance Report. All the issues are fairly and transparently deliberated in the meetings which are held at regular intervals. The views and suggestions of the Board Level Audit Committee members are taken into account and imbibed into the Company's processes. Further, there has been no instance where the Board of Directors have not accepted the recommendation of the Board Level Audit Committee. From November 2, 2024 till March 28, 2025, since there was only one Independent Director on the Board of BHEL, the compliances pertaining to quorum and number of meetings of the Audit Committee as per the SEBI Listing Regulations could not be met. Accordingly, during this period, the proposals for recommendation/ review/ approval of the Audit Committee were being directly submitted to the Board for its review/ approval.

Details of changes in Directors and Key Managerial Personnel

Appointment

Shri Ashok Aseri and Shri Aashish Chaturvedi have been appointed as Part-time Non-Official (Independent) Directors w.e.f. March 29, 2025.

Shri S M Ramanathan has been appointed as Whole Time (Functional) Director w.e.f. April 30, 2025 and has taken charge as Director (Engineering, Research & Development).

In accordance with applicable statutory provisions and Article 67(iv) of the Articles of Association of the Company, S/ Shri Ashok Aseri, Aashish Chaturvedi and S M Ramanathan, having been appointed as additional directors, shall hold

directorship upto the 61st Annual General Meeting of the Company and are eligible for appointment as Directors at the Meeting.

Further, pursuant to Section 152 of the Companies Act, 2013 and Article 67(i) of the Articles of Association of the Company, Shri Tajinder Gupta and Ms. Bani Varma will retire by rotation at the Annual General Meeting and being eligible, offer themselves for re-appointment.

Cessation

Dr. K. Sivaprasad, who was appointed as Part-time Non-official (Independent) Director on November 9, 2021, ceased to be Director of the Company on completion of his tenure on November 1, 2024.

Shri Jai Prakash Srivastava, who was appointed as Director (E, R&D) on August 12, 2022, ceased to be a Director of the Company on attaining the age of superannuation on December 31, 2024.

The Board of Directors places on record its deep appreciation for the valuable services rendered as well as advice and guidance provided by Dr. K. Sivaprasad and Shri Jai Prakash Srivastava during their respective tenures on the BHEL Board.

In compliance with Regulation 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, brief resume of the Directors proposed for appointment and re-appointment along with the nature of their expertise in specific functional areas and names of companies in which the person holds directorship along with the membership of the Committees of the Board are given in the explanatory statement/ annexure to the Notice.

CEO/ CFO Certificate

CEO/CFO certificate as per Regulation 17(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 is placed at **Annexure- III to the Board's Report**.

Consolidated Financial Statements

The brief on consolidated financial statements prepared pursuant to section 129 (3) of the Companies Act, 2013 and Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015, is given in section 1.4.3 under Management Discussion and Analysis (**Annexure – I**).

Sustainable Development

In rapidly evolving industrial landscape, sustainability is not just an ethical responsibility but has emerged as a strategic imperative. BHEL is committed to environmental protection and long-term sustainability. Through rigorous compliance with environmental standards and environmental improvement initiatives, the company aims to reduce carbon footprint and contribute to a greener future. As part of broader Environmental, Social, and Governance (ESG) strategy, a major initiative called हरित बीएचईएल (HARIT BHEL) is underway, which aims to transform BHEL into a Green Company with the target of achieving Net Zero by the year 2047 and making the company a model "Green PSU".

The brief of some of these activities that help us move towards a sustainable future are given in **Annexure-IV to the Board's Report, Section 4.1, 4.2, 4.4, 4.5**.

Health, Safety and Environment (HSE)

BHEL is committed to upholding the highest standards in Health, Safety, and Environmental (HSE) stewardship. The Company's HSE philosophy is built on the belief that all incidents are preventable and that a safe, healthy, and environmentally responsible workplace is essential to long-term success.

The well-being of employees, contractors, and communities remain top priority. The Company is striving to create a workplace culture where safety is a shared responsibility and is integrated into everyday tasks. Further, the company is maintaining a zero-incident safety culture, complying with all the relevant health and safety laws, regulations, and industry best practices, encouraging active participation in safety programs and open communication on safety matters.

Recognizing responsibility to minimize the environmental impact of its operations, the company is dedicated to sustainable practices that reduce emissions, conserve resources, and prevent pollution.

Further details are provided in **Annexure-IV to the Board's Report, Section 4.3**.

Business Responsibility and Sustainability Report (BRSR)

In line with the requirement of the listing regulations, Business Responsibility and Sustainability Report providing disclosures in environmental, social and governance perspectives is enclosed at **Annexure-V to the Board's Report**. A guide for understanding the ESG disclosure and BRSR mapping with five Global Reporting Framework (GRI, SDG, TCFD, CDP and SASB) is available at [NSE website](#).

Achievements of R&D and Technological Development

BHEL has consistently been at the forefront of technological innovation and national development. The Company's contribution span across various sectors such as coal to chemicals, high efficiency thermal power plants, rail transportation, transmission, nuclear power, defence & aerospace, downstream oil and gas, green hydrogen, e-mobility etc. These efforts align with 'Atmanirbhar Bharat' and 'Viksit Bharat' missions of Government of India, fostering self-reliance and supporting India's net-zero goals.

In the year 2024-25, BHEL has incurred an expenditure of around ₹662 Crores towards R&D activities, which is ~2.4% of the revenue. This includes expenditure incurred on R&D projects taken up for development of new products, processes and systems, as well as efforts made for modifications/ improvements in products and designs. BHEL has filed 506 Intellectual Property Right (IPR) applications during the year, enhancing the company's intellectual capital to more than 5,940 numbers. Around 13.5% of the company's revenue, amounting to ~₹3,700 Crores, has been achieved from its in-house developed products, systems and services. Further details of major developments have been provided in **Annexure-VI to the Board's Report**.



Data and Cyber Security

In today's interconnected world, prioritizing data and cyber security is critical, especially for leading engineering organizations like BHEL. The Company has implemented advanced security measures to safeguard IT assets and data from cyber threats. These measures include a multi-layered defence system incorporating cutting-edge technologies for data centres, networks, applications, and end-user devices. Additionally, proactive steps are taken to continually enhance security based on feedbacks and inputs. Further details have been included in Annexure-I, Section 1.12 of the Board's Report.

Other disclosures

Information in accordance with the provisions of Section 134(3)(m) of the Companies Act, 2013 read with Companies (Accounts) Rules, 2014 regarding conservation of energy, technology absorption and Research & Development, foreign exchange earnings and outgoing is given at **Annexure-VII to the Board's Report**.

As per provisions of section 197 of the Companies Act, 2013 read with the Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, every listed company is required to disclose the details of the remuneration of the Directors etc. in the Board's report. However, as per Notification No. GSR 463(E) dated June 5, 2015 issued by the Ministry of Corporate Affairs, Government Companies are exempted from complying with provisions of section 197 of the Companies Act, 2013. BHEL being a Government Company, such particulars are not included as part of the Board's Report.

Statement pursuant to Section 129 of the Companies Act, 2013 (Form AOC-I) relating to subsidiary companies and joint ventures and Form AOC-II pursuant to section 134(3)(h) of the Companies Act read with Rule 8(2) of the Companies (Accounts) Rules, 2014 is given at **Annexure-IX to the Board's Report**.

Implementation of Official Language

BHEL is dedicated to promote the use of 'Hindi' as the Official Language in compliance with the Government of India's Rajbhasha Policy. The Company has ensured the implementation of Rajbhasha Policy and has taken various initiatives. Further details have been provided in **Annexure-VIII to the Board's Report**.

Vigil Mechanism

BHEL upholds the principles of Good Governance, Transparency, Probity, and Ethics to ensure integrity in operations. The company has put in place a robust Vigil Mechanism to ensure probity and integrity in operations. The Company encourages reporting of unfair and unethical practices and in terms of Regulation 22 of SEBI (LODR) Regulations, 2015 and Section 177 of the Companies Act, 2013. The Company has put in place a Whistle Blower Policy which provides adequate safeguard to the complainant against victimization.

The "Board Level Audit Committee" (BLAC) reviews the functioning of the Whistle Blower / Vigil Mechanism, and annual review of the Vigilance function is also done by

CMD / Board of Directors. Further, details are provided in **Annexure-VIII to the Board's Report**.

Proceedings under Insolvency and Bankruptcy Code

No applications against BHEL under Insolvency and Bankruptcy Code, 2016 (IBC) have been admitted during the year and no proceedings against BHEL under IBC are pending as on March 31, 2025.

Auditors

The Statutory Auditors of your Company are appointed by the Comptroller and Auditor General of India. Two firms of statutory auditors were appointed as joint statutory auditors and five firms were appointed as branch auditors. The names of audit firms appointed for FY 2024-25 are given separately in the Annual Report.

Auditors' Report on the Accounts

The Auditors' Report on Standalone and Consolidated Financial Statements for FY 2024-25 of the Company are given at **Annexure-X** to the Board's Report. There is no qualification in the Auditors report on the Financial Statements of the Company. The Supplementary Audit report under section 143(6) read with section 129(4) of the Companies Act, 2013 issued by the Comptroller & Auditor General of India also forms part of Annexure-X.

Secretarial Audit

In terms of section 204(1) of the Companies Act, 2013, the Company engaged M/s Akhil Rohatgi & Co., Company Secretaries in whole-time practice, as Secretarial Auditors for conducting Secretarial Audit for FY 2024-25 and their report forms part of Corporate Governance section.

Secretarial Auditor in his Audit Report has observed that:

(i) During the period under review, the number of independent directors on the Board of the Company was less than half of the total strength of the Board as required under Regulation 17(1) of the SEBI Listing Regulations, Para 3.1.4 of the DPE Guidelines on Corporate Governance and Section 149 (4) of the Companies Act, 2013. Further, the Company did not have an independent woman director during the time period 13.04.2024 to 31.03.2025 as required under Regulation 17 (1) of the SEBI Listing Regulations and Section 149(1) of the Companies Act, 2013; and

(ii) During the time period from 02.11.2024 to 28.03.2025, composition of the Audit Committee and the Nomination & Remuneration Committee were not in accordance with Regulations 18 (1) & (2) and 19 respectively of the SEBI Listing Regulations, Paras 4.1.1 & 4.4 and 5.1 respectively of the DPE Guidelines on Corporate Governance and Sections 177(2) and 178 (1) respectively of the Companies Act, 2013, due to only one independent director remaining on the Board of the Company during the said period.

The Secretarial Auditor has also noted in his report the explanation given by the Company that BHEL, being a Government Company, all the directors are appointed by the President of India, acting through administrative



Hon'ble Union Minister of Heavy Industries and Steel, along with senior officials of MHI and BHEL's Functional Directors - on the occasion of Utkrishthta Utsav and BHEL Day

ministry and as such appointment of requisite number of independent directors is beyond the control of the Company. Further, the Company has been in constant communication with its administrative ministry requesting for appointment of independent directors on its Board so as to ensure compliance with corporate governance norms enunciated under the SEBI Listing Regulations, DPE Guidelines on Corporate Governance and Companies Act, 2013. With effect from 29.03.2025, two independent directors were appointed on the Board and the Audit Committee and Nomination & Remuneration Committee were also reconstituted in compliance with the legal provisions.

The Management noted the observation regarding vacancies of Independent Director and explained that the matter of filling up of the same is under process at the end of Government of India.

Cost Auditors

In terms of provisions of Section 148 of the Companies Act, 2013 and as per the Companies (Cost Records and Audit) Rules, 2014 and amendments thereof, the Board, on the recommendation of the Audit Committee, approved the appointment of seven firms of Cost Accountants as Cost Auditors for auditing the cost accounts of your Company for FY 2024-25. Cost accounts and records as specified by the Central Government under sub-section (1) of section 148 of the Companies Act, 2013 have been properly maintained and complied with.

The detail of cost auditors appointed for FY 2024-25 are given separately in the Annual Report. The Cost Audit Report for FY 2023-24 with Nil qualification has been filed under XBRL mode, within due date.

Appreciation and Acknowledgements

We, the Directors of your company, gratefully acknowledge and deeply appreciate the cooperation and guidance we have received from the Government of India, particularly

the Ministry of Heavy Industries, in various aspects of our company's operations and strategic initiatives.

We are also sincerely thankful to the various ministries, statutory authorities, and departments of the Government of India for their valuable support and continuous cooperation.

We place on record our heartfelt appreciation to our valued customers, both in India and abroad, for placing their unwavering faith in us.

We also express our gratitude to the Comptroller and Auditor General of India, professional bodies, Statutory Auditors, Branch Auditors, Secretarial Auditor, and Cost Auditors for their constructive suggestions and ongoing cooperation.

We are truly grateful to our esteemed shareholders for the trust and confidence they have placed in our management, and we look forward to their continued support in the future.

We would also like to acknowledge with appreciation the continued cooperation from all our technology collaborators, suppliers, and contractors. The support extended by financial institutions, bankers, and stock exchanges is likewise highly appreciated.

Last but not least, we place on record our sincere appreciation for the diligent efforts, hard work, and commitment shown by all BHEL employees, who have worked tirelessly to meet our company's commitments.

**For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.**

K. Sadashiv Murthy

Chairman & Managing Director

Place: New Delhi

Date: July 25, 2025

A large-scale photograph of an HVDC converter station. It shows multiple rows of converter bridges, each with several thyristor valves, supported by a complex metal framework. Large, dark, flexible cables are connected to the top of the structures. The scene is illuminated by bright overhead lights.

Powering India's HVDC Revolution – Efficient, Reliable, Future-Ready

As per the National Electricity Plan (NEP), the transmission system has been planned to accommodate over 600 GW of installed renewable generation capacity by 2031–32. HVDC technology is well-suited for efficiently transmitting this renewable power to urban and industrial centres. NEP envisages doubling in HVDC capacity from ~33 GW in 2022 to ~67 GW by 2032

Capabilities

- With over 40 years of experience in HVDC technology, BHEL offers a wide range of products & solutions in power transmission
- Proven capabilities of Engineering and Manufacturing of HVDC terminal equipment including converter transformers, shunt reactors, switchgears, capacitors, instrument transformers, insulators and thyristor valves

Achievements

- Executed six landmark HVDC projects with partners over the past 30+ years, including India's first HVDC project (Lower Sileru-Barsoor) commissioned in 1989
- In FY 2024-25, secured prestigious ± 800 kV, 6000 MW Khavda–Nagpur LCC HVDC order

Annexure-I to the Board's Report Management Discussion and Analysis

1.1 Economic and Business Overview

Indian economy has demonstrated remarkable resilience amid global geopolitical challenges, with a robust growth of around 6.5% for FY 2024-25. The government's continued emphasis on capital expenditure, coupled with increased consumer spending stimulated by tax reductions, is expected to sustain this positive momentum in the coming years. Financial institutions and corporations maintain healthy balance sheets, creating a strong foundation to support capital expenditure.

After facing headwind for a prolonged period, Thermal Power business environment has turned around. Subsequent to peak demand and energy deficit scenario in FY 2022-23, Government of India (GoI) proposed to set up an additional minimum 80 GW coal-based capacity by 2031-32. The current policy environment has resulted into a robust tendering of coal based power projects, from both central and state power utilities and leading private power utilities. BHEL being the leading player in coal based power projects, has received orders for 14.6 GW during FY 2024-25.

Power Utilities in hydro and nuclear based power projects are active with capacity expansion plans, driven by country's net-zero goal by 2070 and Nuclear Energy Mission of achieving 100 GW of nuclear power capacity by 2047. In the hydro power business, the company received order for the Renovation and Modernization (R&M) works of one unit of Pumped Hydro Power Plant for Pump Mode Operation.

In Industry Sector, substantial business opportunities are available on account of capex drive by GoI and capacity expansion by companies operating in core sectors of the economy. On one hand, there exists stiff competition and pricing pressure in markets, on the other hand customers are demanding products based on latest technologies.

Transmission business is seeing renewed interest as demand for power transformation capacity is expected to nearly double during 2024-2032 period in accordance with National Electricity Plan (NEP) projections. The rapid growth in installed renewable energy (RE) capacity has generated significant opportunities in the Power Transmission segment. BHEL has received a major order for Khavda-Nagpur HVDC Project during the year.

In defence business, GoI's focus on modernization and indigenization has resulted into sizable opportunities, including those from new defence programs by all the three armed forces. The company has been supplying Super Rapid Gun Mounts to the Indian Navy for three decades, and have upgraded manufacturing facilities to address further opportunities in this segment. BHEL is one of the few select firms in the world with the capability to design and manufacture compact heat exchanger and pump modules for military aircrafts/ helicopters, and is currently developing the same for various airborne platforms.

In areas of Coal Gasification and Advanced Ultra Supercritical (AUSC) coal based power plants, BHEL is well positioned with its indigenous technologies. In Coal Gasification, BHEL has already established Joint Venture company with Coal India Ltd (CIL) for which Letter of Award for Government's financial incentive has been received by the JV company Bharat Coal Gasification and Chemicals Ltd (BCGCL). While in AUSC, efforts to establish the world's first 800 MW Technology Demonstration Plant based on AUSC technology are underway after the Union Budget 2025-26 announcement on AUSC program.

1.2 Opportunities and Threats

A renewed thrust on energy security has brought coal-based electric power back to the forefront of energy planning. The ordering of more than 25 GW thermal power projects in the last two years stands as a testament to this trend. This momentum is expected to continue, and the company is well positioned to leverage its expertise and scale in power plant equipment manufacturing and EPC execution to capitalize on this substantial opportunity.

Hydro-electric capacity, both conventional (large and small hydro plants) as well as pumped storage generating stations, needs expansion for grid balancing and stabilizing requirements, necessitated by the inherent variability of Renewable Energy Sources (RES) based power systems. Furthermore, as over 30% of India's hydropower plants have exceeded 30 years of life, a potential demand for Renovation and Modernization (R&M) for life extension, performance and efficiency upgrades is emerging. The company is geared up to address these upcoming opportunities.

The world is increasingly acknowledging the importance of nuclear power as a viable alternative to fossil based thermal power plants, as well as to captive usage like data centers. Recent Union Budget announcements for operationalizing 5 indigenously developed Small Modular Reactor by 2033 and 100 GW of nuclear power capacity by 2047, represent significant opportunities for indigenous manufacturing and technology development in this domain. Having supplied numerous nuclear power equipment for both primary and secondary sides, the company is strategically positioned to address these emerging opportunities. Further, amendments to the Atomic Energy Act and the Civil Liability for Nuclear Damage Act are on the cards, which would lead to private sector participation and foreign investments, thereby increasing business prospects in the nuclear segment.

In view of rapid growth in renewable energy (RE) and consequent increase in transformation capacity, significant opportunities in the Power Transmission segment are expected. Leading transmission utilities, both central and private, are pursuing for more AIS, GIS and HVDC projects as demand for transmitting renewable power from large capacity solar parks to distant consumption centres is growing. As a result, a number of HVDC projects are in the pipeline for which BHEL is well prepared.

The upgradation and indigenization of equipment for Indian Armed Forces is expected to continue, offering BHEL opportunities in various segments including Guns, Marine Gas Turbines, and other defence systems. The Company has upgraded manufacturing facilities to address Indian Navy's growing demand for Super Rapid Gun Mounts.

Indian Railways' ongoing modernization and infrastructure upgradation presents significant opportunities in High-Horsepower Locomotives, Trainsets, Signalling Systems, and other rail technologies. These opportunities complement BHEL's strength in propulsion systems and electric locomotives, allowing to further expand footprint in the railway sector.

The expansion and technological upgradation in core industries—including steel, fertilizers, refineries, and cement—continues to offer good opportunities for industrial products, allowing BHEL to leverage manufacturing capabilities and technological expertise.

The company relies on a complex supply chains for raw materials, components, and specialized manpower. Any disruptions in the supply chains, whether stemming from geopolitical tensions, trade barriers, or natural disasters, could lead to delays in project execution and increase in operational costs.

The company is actively reaching out to various domestic and global suppliers to increase the supplier pool for addressing supply chain issues. Empowering and facilitating vendors by several means like liquidity infusion, installing efficient payment systems, unifying procurement and subcontracting processes etc., are other key initiatives for strengthening the company's vendor ecosystem.

1.3 Profile and Performance of Businesses

The company has two business segments i.e. Power and Industry. These segments are driven by the three business divisions i.e. Power Sector, Industry Sector and International Operations.

The Power Segment comprises equipment supplies and EPC works for coal and lignite, gas, hydro and nuclear power plant businesses and spares & services business, apart from new business of coal to chemicals.

The Industry Segment caters to major equipment supplies and EPC works for a number of industries including transportation, transmission, defence & aerospace, captive power plants, process industries, renewables, upstream and downstream oil & gas, e-mobility and energy storage, among others.



R1 production bay at BHEL's Ranipet unit, where Air-Preheater elements are produced through roll forming line production

Profile and Performance
of Businesses

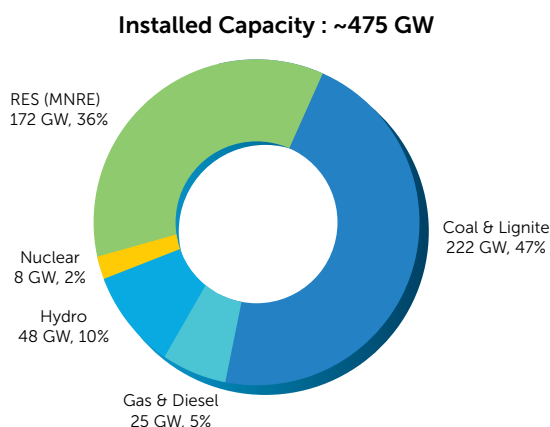
**POWER
SECTOR**



1.3.1 Power Sector

As the economic growth of the country remains strongly correlated with the growth of Power sector, availability of reliable and quality power at affordable rates becomes imperative for sustaining the pace of economic growth.

As on March 31, 2025, India has installed power capacity of ~475 GW and an annual electricity generation of around 1,829 Billion Units (BUs). Notably, the electricity generation has witnessed a growth rate of 5% year-on-year basis, a trend which is expected to continue in near-to-medium term.



As on March 31, 2025

Source: Central Electricity Authority (CEA), Ministry of Power

Business Environment

Power demand continues to surge, with India registering an all-time high peak electricity demand of **250 GW** in FY 2024-25. Looking ahead, Government projects that the nation's annual peak demand to grow by **~16 - 18 GW** until FY2029-30. In line with this, Government has renewed its focus on thermal capacity addition of around 80 GW by 2032 to ensure nation's energy security.

In response to the nation's growing power appetite, the central and state governments are pushing fresh thermal ordering to **ensure power adequacy, grid stability, and long-term reliability**. As a result, FY 2024-25 witnessed a robust ordering of thermal power projects, and the company expects this momentum to continue in FY 2025-26 also, sustaining strong demand for thermal equipment.

To meet the demand for power, highly efficient coal based supercritical power plants are expected to play a crucial role, especially till other alternative reliable technology options become commercially viable.

Hydro power will play a key role for management of peak power requirements due to the variability of renewable energy generation.

Nuclear power will form an essential part of country's overall power mix as it is globally accepted as a clean fuel technology. India has about 8 GWe of installed Nuclear power capacity and has huge potential to provide the long-term energy security in a sustainable manner.



BHEL has successfully commissioned 3x660 MW North Karanpura Super Thermal Power Station in Jharkhand



BHEL's CMD and Director (Power) with other senior officials during an on-site review of operations at the Ennore SEZ 2x660 MW Supercritical Thermal Power Plant

Achievements during the Year

Order Booking

In FY 2024-25, BHEL has secured orders aggregating to ₹81,349 Crores (excl. taxes) in Power Sector which includes BHEL's highest ever order booking in Thermal Power Segment. Order bookings in standalone Thermal segment rose to ₹76,930 Crores (excl. taxes) in FY 2024-25, with a 58% y-o-y growth. This unprecedented growth was driven by orders, totalling 14,640 MW from both public and private utilities.

BHEL retained its market leadership in the Indian thermal power sector by securing EPC orders from key utilities like NTPC, GSECL, SCCL, DVC and CSPGCL. Private sector utilities also contributed around 25% of thermal orders, awarding around 8,000 MW orders to BHEL for supply of Boiler, Turbine and Generator (BTG) equipment, along with associated auxiliaries and supervision of erection and commissioning.

With these orders, BHEL has secured contracts for 90 numbers Supercritical Steam Generators (SGs) and 83 numbers Supercritical Turbine Generators (TGs) in the country as on March 31, 2025, of which, 37 SGs and 29 TGs have been commissioned as of FY 2024-25.

In the hydro power business, the company received order for the Renovation and Modernization (R&M) works of one Unit of GSECL Kadana Pumped Hydro Power Plant (4x60 MW) for Pump Mode Operation. This adds to BHEL's extensive hydro portfolio, which includes over 550 hydroelectric generating sets with a cumulative capacity exceeding 35,000 MW across the world.

In addition, some of the significant orders in Spares, Services and R&M business segment booked in FY 2024-25 includes Boiler modification with flexibilization for GSECL Wanakbori (2x210 MW), GSECL Ukai (1x210, 1x200 MW), ESP Retrofit of APPDCL Krishnapatnam (800 MW), R&M of existing C&I

system of APGENCO Vijaywada (210 MW) and Re-heater replacement for PSPCL Ropar (210 MW).

BHEL has received the first ever order to demonstrate methanol firing in a Gas Turbine at the 350 MW NTPC Kayamkulam Combined Cycle Power Plant (CCPP) at Alappuzha district in Kerala. This will be the first such demonstration project of its kind in India. This project is aligned with the Make in India initiative and aims to revive idle gas-based power assets nationwide.

Project Execution

Since its inception in 1964, BHEL has supplied 469 coal-based utility sets, 23 diesel sets, 430 hydro utility sets, 105 gas-based utility sets and 14 nuclear based utility sets in India up to FY 2024-25. Through its concerted efforts, BHEL achieved a capacity addition of 3,850 MW in FY 2024-25 in utility power projects, including 3,150 MW of thermal projects and 700 MW of hydro projects. Further to capacity addition, synchronization of 1,500 MW and full load in 2,260 MW has been achieved during FY 2024-25 in utility power projects. Additionally, the commissioning of three units at the Punatsangchhu-II Hydroelectric Project in Bhutan has added 510 MW to overseas Hydro capacity in BHEL's portfolio.

Further, BHEL is supplying large size Francis type Pump-motors sets for Lift Irrigation Schemes, and is currently executing the Pump-Motor Sets for the world's largest lift irrigation project at Kaleswaram, Telangana.

Flexibilization study of non-BHEL machine (Chinese make) was carried out for GMR Warora (300 MW) and GMR Kamalanga (350 MW). This was the first of its kind study for Non-BHEL set. BHEL's recommendations in the feasibility study reports are under consideration of customer.

BHEL maintained its lion's share of 54% in the country's total installed thermal capacity of utility scale power projects, along

The background of the page features a large-scale photograph of a hydroelectric dam and power plant. The upper portion shows a massive concrete dam structure with multiple spillways, set against a backdrop of rugged, snow-capped mountains under a clear blue sky. Water is seen cascading over the spillways. The lower portion of the image shows a different view of a hydroelectric plant, with a large concrete dam structure spanning a river. The river flows through a lush green valley, and the plant's infrastructure, including buildings and access roads, is visible. The overall scene conveys a sense of natural beauty and industrial engineering.

Five Decades of Hydro Turbine and Generator manufacturing- A legacy of Engineering Excellence

Hydro Power, including Pumped Storage, offers a dependable source of renewable energy with low emissions and quick ramp-up capability, making it ideal for balancing intermittent solar and wind power in the grid. India has over 133 GW of large hydro potential, and 200+ GW of pumped storage potential, against current installations of only ~43 GW and ~5 GW respectively, offering substantial long-term growth opportunities.

Capabilities

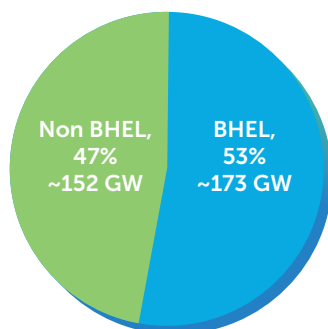
- Pioneer in India's Hydro Power segment, with an annual manufacturing capacity of 2,500 MW for Electro-Mechanical equipment.
- Only hydro turbine manufacturer in India with an NABL-accredited Hydro Turbine Model Testing & Development Laboratory.
- Design and manufacture of conventional hydro turbines and synchronous generators (up to 400 MW), reversible pump-turbines and fixed-speed generator-motors (up to 350 MW) and high-capacity pumps & motors (up to 200 MW) for lift irrigation schemes.

Achievements

- 46% of hydro power installed capacity in India is equipped with BHEL made equipment like turbine, generator etc., under Electro-Mechanical package.
- An Indian OEM in global markets, 550 hydroelectric generating sets installed worldwide—totalling 35,000+ MW.
- More than 89% of hydro power in Bhutan is equipped with BHEL made Turbine and Generator sets.
- Developed India's highest-rated Francis Turbine Model (240 MW) for Dibang HEP and manufactured largest Kaplan runner (80 MW) for Polavaram HEP.

with 56% of nuclear power installed capacity (secondary side) and 46% of hydro power installed capacity in the country, by end of FY 2024-25. Overall at utility scale, including thermal, nuclear and hydro segment, BHEL enjoys 53% share in total installed conventional capacity of the country.

Installed Conventional Capacity - Utility*
3,25,491 MW (March 31, 2025)

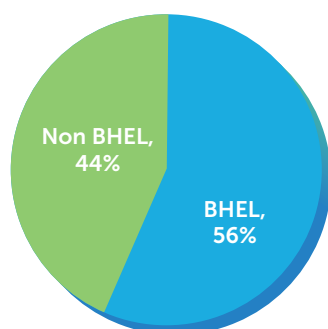


**Includes Thermal, Nuclear and Hydro; Excludes Solar, Wind and Bio-Power;
Based on capacity at the time of installation*

Performance of Equipment

During FY 2024-25, 56.44% (751.71 BUs) of the country's total power generation of 1,331.86 BUs from Coal and Lignite based sets has been contributed by BHEL supplied sets.

Generation - Utility (Coal and Lignite)
1,331.86 BUs (FY 2024-25)



In FY 2024-25, BHEL-supplied thermal power sets delivered strong operational performance with an average Plant Load Factor (PLF) of 70.2%, surpassing the all-India thermal PLF of 69.45%. The overall Operational Availability (OA) of BHEL thermal sets stood at 86.9%. A total of 104 thermal sets recorded PLF of 80% and above, including 32 sets with PLF over 90%, while 188 sets achieved OA of 90% and above. Notably, Bakreshwar Unit-2 (210 MW) recorded PLF of 99.3%, along with 100% OA.

BHEL-supplied nuclear power equipment demonstrated robust performance with an overall Operational Availability (OA) of 82.7% in FY 2024-25. Six nuclear sets achieved OA of 90% and above, while five sets recorded a Plant Load Factor

(PLF) exceeding 90%. Kaiga Unit-2 achieved uninterrupted run of 607 days.

The consistently high PLF, Operational Availability, and low outage rates across both thermal and nuclear plants reaffirm the robustness of BHEL's engineering, design excellence, and manufacturing quality. These achievements are a strong testimonial to BHEL's pivotal role in powering India's energy infrastructure.

Digital offerings and solutions

BHEL is progressing ahead with Industry 4.0 Initiatives; like Remote Monitoring and Diagnostic Services (RMDS), Remote Vibration and Diagnostic System (RVDS) and Plant Automation and Live Monitoring (PALM). During FY 2024-25, BHEL successfully executed RMDS for BPCL Mumbai Refinery. RVDS (KAMPAN 1.0) was successfully executed for TVNL and PALM for NHPC.

Coal Gasification Business

The Joint Venture company of BHEL and CIL, "Bharat Coal Gasification and Chemicals Limited" (BCGCL), was incorporated in May 2024. CIL holds 51% and BHEL holds 49% equity in this JV company. BCGCL has been set up to harness business of coal gasification to produce Syn-Gas, Ammonia and Nitric acid as intermediate products and Ammonium Nitrate as end product, utilizing the inhouse coal gasification technology developed by BHEL.

Future perspective

Rising domestic consumption, along with the Government's push for manufacturing and infrastructure development is expected to drive the energy demand in the near future. This, coupled with thrust on energy security and affordability, is expected to propel the addition of thermal based power which offers reliable base-load generation. The company is working towards catering to this upcoming demand by strengthening EPC capabilities, facilitating vendors, standardizing drawings etc. The company is also committed to offer equipment and solutions that reduces environmental footprint, such as emission control solutions, air-cooled condensers, which significantly reduce water consumption.

BHEL has taken proactive steps for business expansion of spares and services through long term spares supply and service agreements with customers, faster supply of spares, and offering flexiblisation solutions for BHEL and non-BHEL sets for dealing with grid stability issues due to fluctuations in renewable power generation.

Given India's reserves of around 375+ billion tonnes of coal and the fact that international technologies are not available for high ash coals, the development of indigenous technology by BHEL for gasification of Indian high ash coal is a major step forward in reducing nation's dependence on imports and is expected to open up major business potential for conversion of coal to chemicals. The gasification technology can also



BHEL has received the first ever order to demonstrate methanol firing in a Gas Turbine at the 350 MW NTPC Kayamkulam Combined Cycle Power Plant (CCPP) at Alappuzha district in Kerala

be used for electricity production through “Integrated Gasification Combined Cycle” technology, which has lower environment footprint.

Nuclear power is likely to play an important role in catering to base loads in the coming decades. The company holds a strong position as the only Indian supplier for nuclear steam turbines and generators, giving it a unique strategic advantage in the domestic market. BHEL is closely associated with the country’s three-stage nuclear programme and has been a partner for five decades in the development of the indigenous Nuclear Power Programme. The company is further working with various stakeholders to indigenize and increase its offerings in the sector.

BHEL is the market leader in E&M packages for new hydro projects and is a lead player for R&M of old hydro sets. With its own NABL accredited hydro lab for in-house hydro profiles development, the company aims to provide turbine profile upgrade solutions — for both BHEL and non-BHEL make equipment — and help hydropower producers enhance the reliability, efficiency, and lifespan of their assets. Further, BHEL aims to maintain its leadership in large size pump-motors required in Lift Irrigation Scheme (LIS) projects.



Capacity addition of Unit# 2 achieved for 5x800 MW Yadadri Thermal Power Station in Telangana



Nuclear Energy - Powering India's Sustainable Future

Nuclear power is reinforcing its role as a clean, reliable baseload for future energy needs. India is targeting 100 GWe of nuclear capacity by 2047, with 5 indigenous SMRs by 2033. A strong push for indigenous manufacturing and innovation is driving growth in this space.

Capabilities

- Serving India's Nuclear segment since five decades. Associated with all 3 stages of India's Nuclear Power Program
- Sole domestic manufacturer of Nuclear Turbine Generator Sets, contributing 56% of India's total installed nuclear capacity
- Supplied critical equipment for nuclear plants of various ratings (220 MWe, 540 MWe & 700 MWe), covering both Primary and Secondary islands
- Currently executing EPC of Turbine Island Package for 6 units at Gorakhpur Haryana Anu Vidyut Pariyojana and Kaiga nuclear power plants

Achievements

- Supplied 45 Nuclear Steam Generators- the highest by any manufacturer in India
- Successfully commissioned 3 units of India's highest rated 700 MWe based on PHWR technology at Kakrapar and Rawatbhata – major supply included Turbine – Generator, Nuclear Steam Generators, Reactor Headers, PCP Motors, C&I Package and Generator Transformers
- Developed the Secondary side Steam Cycle for Advanced Heavy Water Reactors (AHWR)

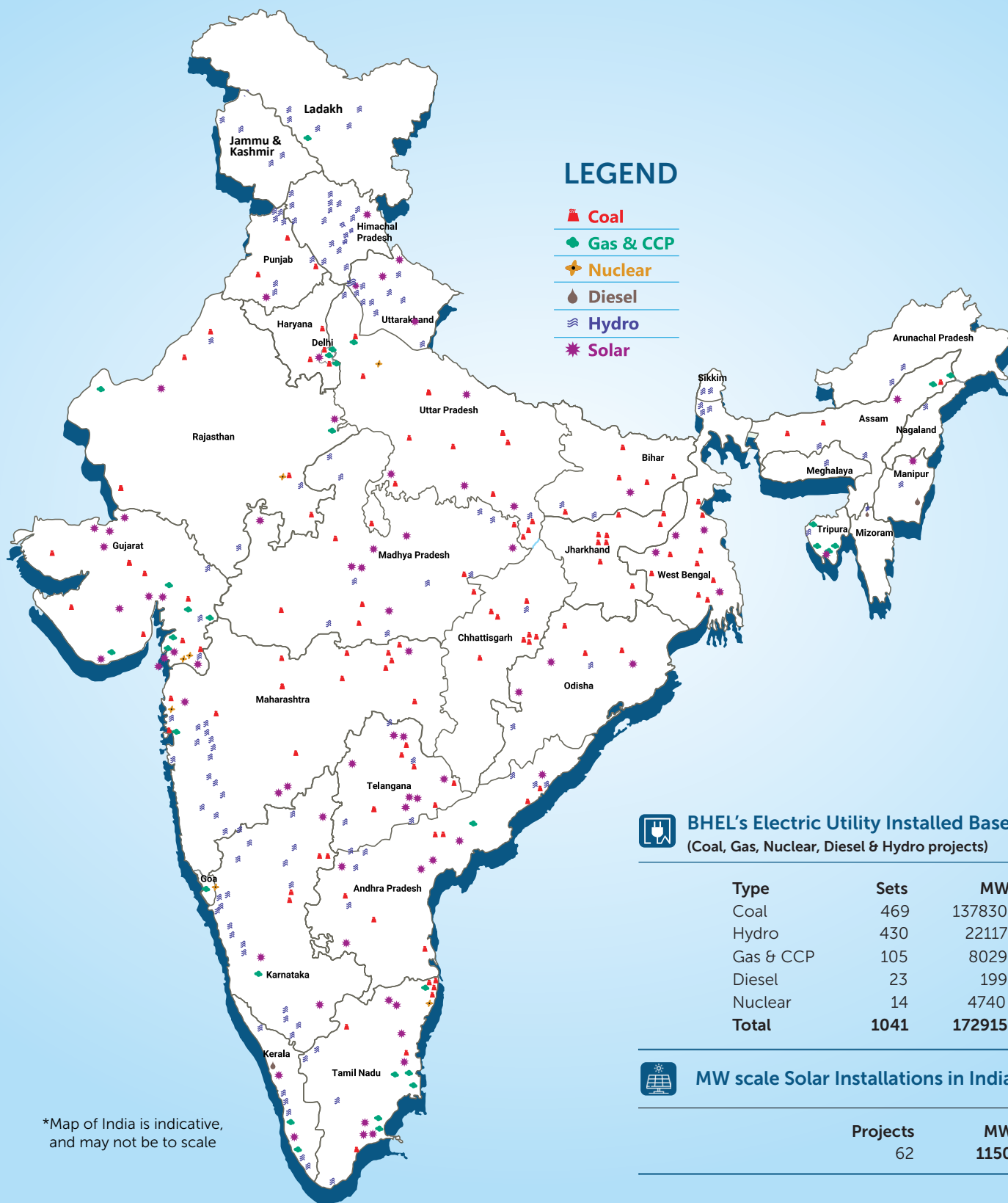
BHEL

Make Electric Utility Installations

Commissioned as on 31.03.2025

LEGEND

-  Coal
-  Gas & CCP
-  Nuclear
-  Diesel
-  Hydro
-  Solar



*Map of India is indicative, and may not be to scale

BHEL's Electric Utility Installed Base (Coal, Gas, Nuclear, Diesel & Hydro projects)

Type	Sets	MW
Coal	469	137830
Hydro	430	22117
Gas & CCP	105	8029
Diesel	23	199
Nuclear	14	4740
Total	1041	172915

MW scale Solar Installations in India

Projects	MW
62	1150

Profile and Performance
of Businesses

**INDUSTRY
SECTOR**





Hon'ble Prime Minister of India inaugurated MEMU Rake, equipped with BHEL's supplied Electrics, for Abhanpur-Raipur-Abhanpur route of South East Central Railways

1.3.2 Industry Sector

Industry Sector, comprising of market-focused business groups, offers comprehensive and customised solutions for Rail Transportation, Defence & Aerospace, Transmission, Oil & Gas, Captive Power Plant, Industrial Products, and Renewables businesses like Solar, Green Hydrogen, Battery Energy Storage, and e-Mobility. Complete business offerings are available at 'Product Profile' section of the Annual Report.

In FY 2024-25, Industry Sector secured orders worth ₹11,001 Crores (excluding taxes) from various business segments, including the largest ever order in Power Transmission business.

1.3.2.1 Transportation

BHEL has been playing a pivotal role in supporting the journey of Indian Railways (IR) towards modernization and indigenization. The company has consistently met the rolling stock requirements of Indian Railways by manufacturing "Made in India" systems and equipment, ensuring self-reliance in the sector. The company has been at the forefront of delivering world-class solutions in electric propulsion technology, helping Indian Railways transition to more energy-efficient, reliable, and eco-friendly rail transportation options. The company, in consortium with M/s Titagarh Rail Systems Limited (TRSL), is currently executing the prestigious order for manufacturing and supply of 80 numbers Vande Bharat trains, along with 35 years of maintenance.

Indian Railways is transforming and modernizing its infrastructure, with a strong focus on improving safety standards, enhancing productivity, and increasing operational efficiency. BHEL is actively working towards development of technology and solutions needed for advanced signaling systems, train control systems, and maintenance solutions that will enable the railway network to operate at optimal performance levels.

Achievements during the year

- Hon'ble Prime Minister of India inaugurated MEMU Rake for Abhanpur-Raipur-Abhanpur route of South East Central Railways. This MEMU rake is equipped with BHEL's supplied Electrics.
- Secured largest quantity order from Chittaranjan Locomotive Works (CLW) for supply of 177 sets of Main Transformer 6531 kVA for WAG-9 Locomotives.
- Secured the largest quantity order from Banaras Locomotives Works (BLW), Varanasi, for supply of 160 sets of IGBT based Complete Propulsion System.
- Largest ever order secured in Diesel Electric Shunting Locomotive Segment (DESL) from M/s Arcelor Mittal and Nippon Steel (AMNS), Hazira for supply of 9 numbers 700 HP DESL and spares.
- Entered into Technology Partnership agreement with M/s HIMA Middle East FZE for development of SIL4 certified Train Collision Avoidance System for Indian Railways (also known as KAVACH). This will enable BHEL

to address the huge business opportunity arising out of Indian Railways' plans for modernization of its signaling and safety infrastructure.

- Successfully completed Passenger Trial of first EMU Rake, equipped with BHEL's Electrics, at Barasat-Hasnabad-Barasat route.

Future perspective

National Rail Plan (NRP) of Indian Railways plans to enhance rail infrastructure, aiming to increase capacity and boost the railways' share in freight traffic. In the current fiscal year, Indian Railways has allocated over ₹2.65 lakh crores for modernization projects, emphasizing capacity expansion and improved safety measures. New generation rolling stock viz. High Horse Power Electric locomotives for freight movement and semi high speed "Vande Bharat" trains for passenger traffic have been introduced by IR, with further plans to introduce variants like Vande metro within the next three years.

The company aims to strengthen its in-house capabilities for designing and manufacturing advanced mechanical and electrical systems for all types of rolling stock, aligning with the IR's modernization objectives. To capitalize on the aggressive deployment of KAVACH system by Indian Railways, the company has undertaken its development through both in-house measures and strategic partnership.

The company is also working with OEMs/ collaborators to address upcoming businesses, especially of High HP Locomotives, Battery/ Hydrogen Powered Locomotives, High Speed Rail, and Push-Pull Locomotives.

1.3.2.2 Transmission

Indian landscape of energy is undergoing a profound change with unprecedented demand and shift towards cleaner and more sustainable sources of energy. As India's power capacity makes transition to cleaner energy, which is expected to

constitute 50% of the power mix by 2030, the country is witnessing massive investments towards creation of new High Voltage Transmission corridors, including augmentation of the existing ones, as per the National Electricity Plan (NEP).

Accordingly, Air Insulated Substation (AIS) and Gas Insulated Substation (GIS) projects shall continue to see robust demand in the future. Apart from this, multiple HVDC projects are in various stages of planning and implementation for power evacuation from far-flung generation centres.

BHEL has its presence across all the major segments, and offers a wide spectrum of products and systems to cater to the varied needs of Transmission Utilities. BHEL is well poised to further enhance its presence in the emerging areas like EHV GIS Substation, Digital Substation, HVDC projects, Ultra HVAC (1200 kV) etc. Also, the company is catering to the growing demand for transmission products like Transformers, reactors etc.

BHEL has established state-of-the-art manufacturing facilities for wide range of transmission equipment both for EHV and UHV (AC/DC) applications, including Converter Transformers, Thyristor Valves, Filter Capacitors, Instrument Transformers, Composite Insulators, Control and Protection Systems etc.

Achievements during the year

- Secured order from POWERGRID for ± 800 kV, 6,000 MW HVDC Link between Khavda KPS2 (Gujarat) and Nagpur (Maharashtra).
- LoI received from Rajasthan Part-I Power Transmission Ltd (SPV under Adani Energy Solutions Ltd) for establishment of ± 800 kV, 6,000 MW HVDC terminal Stations at Bhadla (Rajasthan) and Fatehpur (UP) along with associated 765/ 400 kV AC substations.
- Received orders through competitive bidding for following TBCB projects of POWERGRID:
 - o 765kV/400kV/220kV Mandsaur New Substation



400/ 110 kV TANTRANSCO Thappagundu air insulated substation executed by BHEL in Tamil Nadu

and Extension of 765kV Indore Substation in the state of Madhya Pradesh.

- o 765kV/400kV/220kV/132kV Kurawar New Substation and Extension of Mandsaur, Astha and Sujalpur Substations in the state of Madhya Pradesh.
- o 765kV/400kV/220kV Barmer New Substation and Extension of Sirohi and Fatehgarh-III Substations in the state of Rajasthan.
- Orders for 60+ numbers 400kV and 765kV voltage class Transformers and Reactors.
- Orders for 50 numbers 220kV voltage class Transformers from State Transmission Utilities.

Future perspective

India is witnessing a rise in Power demand, driven by economic development, urbanization, and rising consumption. The country has planned a cumulative power generation capacity of more than 990 GW by 2032. In order to evacuate and transmit power from generating centres to load centres, Government has planned to add 12.7 Lakh MVA of Transformation capacity and 32 GW of HVDC system by the year 2032 which will comprise of creation and expansion of High capacity AC transmission corridors and multiple High Voltage DC (HVDC) systems.

BHEL has a strong footprint in India's Transmission landscape with capabilities in both projects as well as products segments, and is well placed to capitalize on the emerging business opportunities.

1.3.2.3 Defence and Aerospace

BHEL has over five-decade long track record of supporting the country's defence forces. BHEL has designed and developed wide range of specialized equipment and weapon systems.

The company is currently supplying state-of-the-art upgraded SRGMs – frontline weapon system on-board Indian Naval vessels and is actively augmenting its production capacity to meet the future requirements. BHEL has proven expertise in permanent magnet motor technology and is fully geared up for the indigenous design and development of electric propulsion systems for naval application. Further, BHEL also offers Overhauling and Product Life Extension services of various equipment to the Indian Navy.

BHEL is one of the few select firms in the world with the capability to design and manufacture Compact Heat Exchangers and Pump Modules for military aircraft/helicopters, and is currently developing the same for various airborne platforms.

BHEL is also working in close coordination with defence development establishments such as CASDIC, HAL, ADA,



BHEL has supplied and commissioned the first Upgraded SRGM onboard INS Nilgiri

NAL etc., for developing a diverse range of equipment and services. BHEL has a long-standing association with ISRO and its various centres for various space related requirements.

Achievements during the year

- Orders for supply and services of Integrated Platform Management System (IPMS) for Next-Generation Offshore Patrol Vessels (NGOPVs).
- Order for Strategic equipment.
- Order for supply of Heat Exchangers and Environment Control System (ECS) Water Injectors for Aerospace applications.
- Development order for Cooling System for Electronic Warfare application.
- Supplied and commissioned first Upgraded SRGM on board INS Nilgiri.

Future perspective

Ministry of Defence (MoD) is focusing to achieve self-reliance in Defence sector, and is promoting domestic manufacturing to meet Gol vision of 'Viksit Bharat @ 2047'.

For FY 2025-26, MoD has earmarked ~₹1,12,000 Crores, i.e. 75% of modernisation budget, for procurement through domestic sources. Increased defence spending on modernization and procurement may boost indigenous technology development and create opportunities for domestic players. BHEL with its proven design, engineering and manufacturing capabilities is well placed to play a much wider role in supporting Gol's initiative of Atmanirbhar Bharat in defence business.

1.3.2.4 Captive Power and Process Plant

BHEL has been successfully catering to the Captive Power and Process requirements in the country for more than four decades encompassing all major industries viz. Metal and Mining, Process, Refinery and Petro-chemicals. With Sulphur Recovery Unit (SRU) package at IOCL Paradip

Refinery, Odisha, presently under final stages of execution, the company is geared up for addressing more business opportunities for Process EPC solutions in the Downstream Oil and Gas Sector (DSOG).

Achievements during the year

- Received orders for 8 numbers STG Packages.
- Extension of Technical Collaboration Agreement (TCA) signed with M/s Vogt Power International Inc., USA (VPI), for Heat Recovery Steam Generators (HRSG)

Future perspective

Industries are poised for capacity expansions, thereby driving demand for Captive Power and Process Plants.

The Steel Industry, in line with the National Steel Policy (NSP), is on track to achieve a steel production capacity of 300 MTPA by 2030, a substantial increase from the current capacity of ~179 MTPA. Major players such as SAIL, JSW, JSL, AMNS etc. are expected to be key contributors.

In the Oil & Gas Sector, Refinery expansion of ~60 MTPA (by 2030) is underway. Additionally, domestic Aluminium and Zinc Industries are also poised for significant growth, with major players including HINDALCO, NALCO, Vedanta and Hindustan Zinc announcing expansion plans.

BHEL, leveraging its established expertise and continued relationship with the customers, is well positioned to address the prospective business arising from the growth across the Industry.

1.3.2.5 Industrial Products (including Oil and Gas and Electrical Machines)

BHEL has been serving both upstream as well as downstream Oil and Gas sector for more than five decades. The company is a major supplier of static and rotating equipment to most of the refineries and petro-chemical plants in India.

BHEL has supplied 430+ Centrifugal Compressors, 90 Oil Drilling Rigs, 15,000+ Wellheads and Christmas Trees and contributed immensely to the sector and strengthened the energy security of the country.

In view of the expansion in Refineries and petrochemical businesses, opportunities for Industrial Products such as Centrifugal Compressors, Fired Heaters, Valves, high tonnage Columns and Vessels etc. are expected to remain steady in the coming years.

Achievements during the year

- Order from Haldia Petrochemicals Ltd. for Propylene Refrigerant Compressor against stiff competition from foreign players.
- Secured order for 40 numbers Vertical Squirrel Cage Induction Motors for Badnawar Lift Irrigation Project.
- Entered into three-year Rate Contract (2024-27) with ONGC for Supply of Well Heads and X-mas Trees Valves.



BHEL successfully handed over the Main Fractionator Column (MFC) of HRRL Barmer Refinery

- Successfully handed over the Main Fractionator Column (MFC) of HRRL Barmer Refinery, weighing ~750 tonnes. The MFC column is unique, having three types of metallurgy of construction in single column. This is the highest tonnage column supplied by BHEL.
- Successfully completed Performance Guarantee Test of additional Lean Gas Compressor package for ONGC Uran, which is the first ever Compressor project on EPC basis by BHEL in Oil & Gas Sector. With this, BHEL has acquired PQR to participate in future tenders of compressor on EPC basis in Oil & Gas Sector.
- Successfully developed and supplied Triple Module Redundancy (TMR) Governor for the Compressor Package of GAIL Usar Propane Dehydrogenation (PDH) Propylene Project. This achievement has reduced reliance on foreign make components.
- Successfully tested 1600 kW/6.6 kV/ 2 Pole Flameproof Motor, manufactured as per IS/IEC standards. This development aligns with the '**Make in India**' initiative, enabling BHEL to manufacture upto 2,000 kW/6.6 kV/2P high-rating flameproof motors for hazardous applications in refineries, petrochemical and related industries.

Future perspective

In the Oil & Gas Sector, refinery expansion is underway. Several petrochemical projects have been launched in line with Gol's vision of becoming net exporter of petrochemicals. Leading companies like IOCL, BPCL, GAIL and Nayara Energy have already announced projects in this segment. Further, various industry players have proposed investments in Green Hydrogen and Ammonia Plants, thus increasing market potential.

BHEL has established footprint through product and system offerings in various sectors viz. Oil & Gas (Downstream and Upstream), Steel, Fertilizers, Petrochemicals and other Process Industries, and is well placed to capitalize on the upcoming opportunities.



BHEL signed MoU with ONGC for exploring Joint Projects and Collaboration in the area of New and Renewable Energy Business

1.3.2.6 New and Renewable Energy Business Areas

Gol is planning to reach 500GW of RE capacity by 2030. This ambitious plan of renewable power adoption is giving impetus to the Solar Energy and Energy Storage market, alongside giving a boost to business areas like EV chargers, green hydrogen etc., where BHEL is targeting to diversify. National Green Hydrogen Mission is also providing impetus towards robust infrastructure creation in hydrogen value chain.

BHEL is working to capitalize on its experience, along with engineering and execution strength in Solar Power Projects. The company has entered into a MoU with M/s REC Power Development Corporation Limited (RECPDCL – a subsidiary of REC) for exploring business in this domain.

Under the National Green Hydrogen Mission, Gol is targeting to make India a global hub of Green Hydrogen production and Electrolyser manufacturing. In line with the national commitments, BHEL is targeting Electrolyser manufacturing

and EPC of Green Hydrogen Generation Projects. BHEL has entered into technology licensing agreement with Bhabha Atomic Research Centre (BARC) for 50kW Alkaline Electrolyser system and is further exploring opportunities for collaboration in the area of Electrolysers, Fuel cells, and Biomass Gasification. BHEL has developed 5kW PEM Fuel Cell (PEMFC), and has successfully completed capacity test of the 25kW PEMFC suitable for stationary power backup applications.

Under the National Electric Mobility Mission Plan (NEMMP), Ministry of Heavy Industries (MHI) launched PM e-drive scheme (PM Electric Drive Revolution in Innovative Vehicle Enhancement), ACC PLI, Auto-PLI etc. to develop the supply chain ecosystem for EVs as well as demand creation, enabling faster adoption of EVs in India, thereby providing business opportunities in this sector.

BHEL has successfully developed and received certification of 122kW EV charger and 60kW EV charger. First in-house manufactured 60kW EV charger is commissioned at BPCL retail outlet BKC Complex, Mumbai, and further EV chargers at various BPCL retail outlets across India have been supplied against commercial order. Initiatives for in-house development and manufacturing of higher ratings EV chargers (240kW and above) are at advance stages.

As per the National Electricity Plan – 2032 released by Ministry of Power (MoP), installed BESS capacity in India is likely to reach 8.6GW/ 34GWh by 2027 and further to 47GW/ 236GWh by 2032. Further, Government has also issued advisory on co-locating energy storage systems equivalent to 10% of the installed solar project capacities. This is expected to spurt the BESS demand through enhanced allocation for VGF-linked BESS projects.

BHEL is planning to address the rise in BESS demand by offering integrated solutions and capitalizing on its vast experience in system engineering and project execution.



Signing of Contract Agreement between BHEL and POWERGRID for the establishment of $\pm 800\text{kV}$, 6000 MW Khavda-Nagpur LCC HVDC Terminal Stations

Spare & Services Business – A Growth Engine

- **Large Installed Base:** Spare & Services business is backed by a substantial installed base in thermal, nuclear, hydro, and captive power area - providing consistent stream of business.
- **Robust Ecosystem:** Spearheaded by dedicated Spares & Services Business Group (SSBG) with PAN India office's at 12 locations, supported by 9 service centres and manufacturing units.
- **Delivering customer commitment:** Delivering commitments and earning goodwill from customers - with SSBG's business growing at double-digit rate.
- **Expansion into new service areas:** Leader in flexibilization with 87% market share (27 of 31 units), deployed digital solutions like RMDS, RVDS (KAMPAN 1.0), and PALM across various utilities.



Profile and Performance
of Business

**INTERNATIONAL
OPERATIONS**



1.3.3 International Operations

Overview

BHEL has been in export business for over four decades, and is continually expanding its global footprint. Our references encompass 91 countries, with over 13 GW installed capacity and around 3.5 GW capacity under execution overseas.

Presently, major projects under execution in the overseas markets include Punatsangchhu-I (6x200MW) and Punatsangchhu-II (6x170 MW) hydro projects in Bhutan; Arun-3 (4x225 MW) hydro project and Rahughat (2x20 MW) hydro project in Nepal; and 1.3 MW Kaduna Solar Mini grid project in Nigeria, and a host of orders for products, spares and services for various countries.

The company's efforts in the overseas business for products, after-sales and services are reaping positive results.

Achievements during the year

- **Entry into new countries:** Secured prestigious order for supply of 4 numbers of 175 MW Synchronous Generators for Mmamabula Thermal Power Project, Botswana (90th country) from Doosan Skoda Power, Czech Republic. Further, secured an order for supply of valves for Costa Rica (91st country).

- **First-ever order for generator for Russian Federation:** Secured an order for Supply and Supervision of 95 MW Generator.
- **Commissioning of 3 no. Hydro sets:** 3 units of 6x170MW Punatsangchhu-II hydro project in Bhutan have been commissioned in FY 2024-25.
- BHEL team has successfully carried out the technical supervision of overhauling works of Steam Turbine and Boiler Valves at 125 MW Sendou Thermal Power Project, Senegal. CES Senegal (Customer) has appreciated the technical expertise and efforts of BHEL in completing the works within the tight outage (shutdown) schedule.

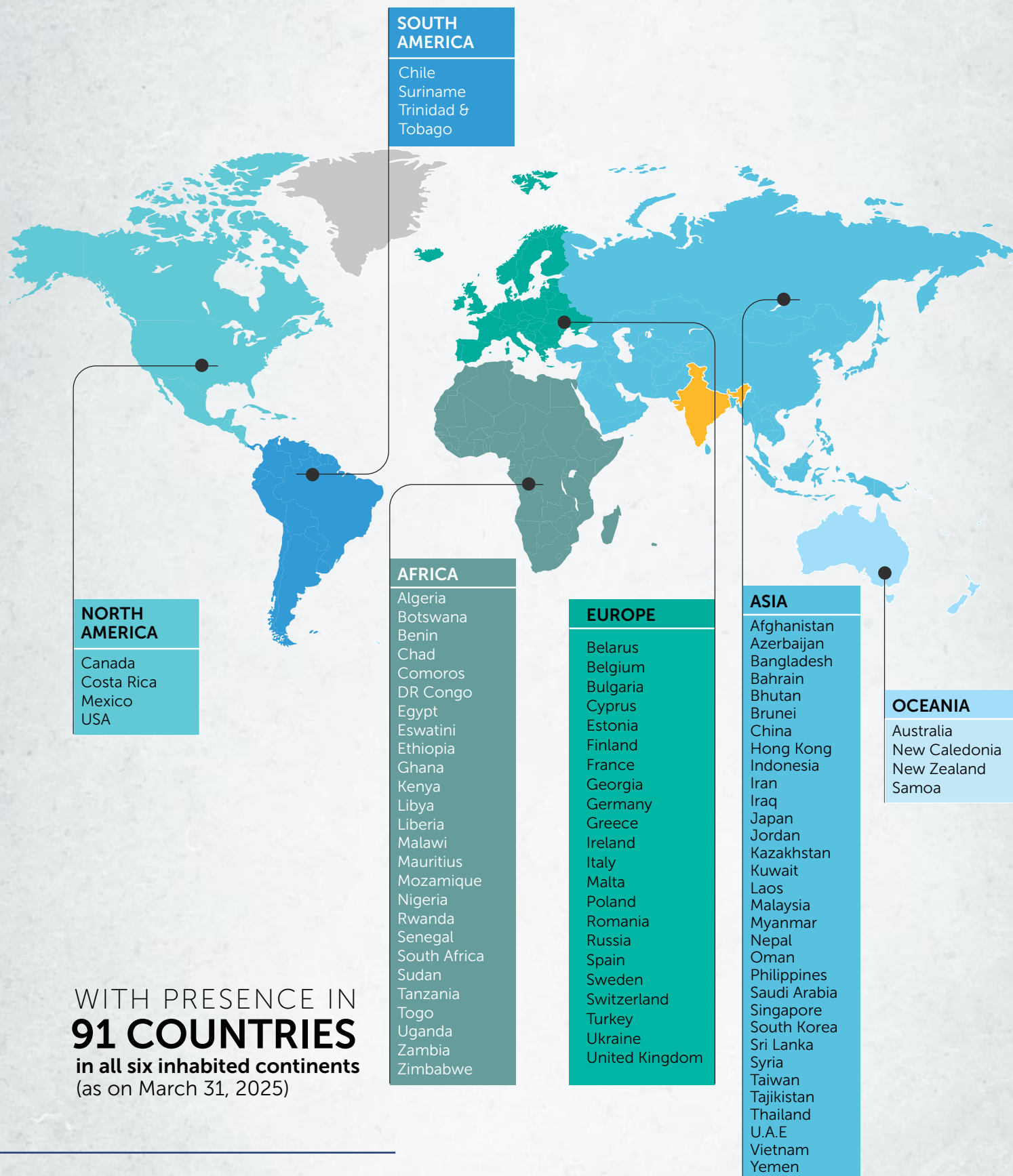
Future perspective

Exports continues to be an avenue for value creation and diversification in BHEL. The company is innovating existing offerings to meet the market requirements and is striving for increased business. Few major opportunities in hydro segment are expected to be finalized in coming years and the company is well-positioned to address such opportunities.



Machine Hall of 6x170 MW Punatsangchhu-II Hydroelectric Project in Bhutan

BHEL Global Footprints



1.4 Comprehensive Analysis of Financial Performance

1.4.1 BHEL Standalone

A. Financial Results

1. Total Income

(₹ Crores)

Particulars	2024-25	2023-24
Revenue from contract with customers	27,355	22,921
Other operational Income	984	972
Other Income	504	588
Total Income	28,843	24,481

The resurgence of the thermal business, combined with enhanced project execution, strategic re-orientation of business processes, and extended liquidity support to vendors, have significantly strengthened the company's operations. These initiatives have collectively driven an ~18% increase in total income compared to the previous financial year.

2. Expenses

2.1 Material consumption, erection and engineering expenses

(₹ Crores)

Particulars	2024-25	2023-24
Direct Material (incl. Subcontracting Cost)	19,955	16,894
Revenue	27,355	22,921
Accretion/(Decretion) in inventories of finished goods, work in progress and scrap	1,542	437
Gross Revenue (Value of Production)	28,897	23,358
Direct Material cost as % of Gross Revenue	69.1%	72.3%

The Company achieved a 3.27% reduction in direct material costs by redefining systems and processes to optimize procurement efficiencies and implement cost-saving initiatives. Key measures included bulking and consolidation of procurements, streamlining product specifications, standardization efforts, developing and expanding vendor base and engineering optimization. In addition, the timely release of payments to suppliers will further contribute to material cost efficiency.

2.2 Employee benefits expenses

(₹ Crores)

Particulars	2024-25	2023-24
Employee benefits expenses	5,923	5,629
No. of Employees	27,800	28,673
Revenue per Employee	0.98	0.80

Although overall costs increased during the year, **revenue per employee improved**, reflecting better workforce productivity and operational efficiency.

2.3 Other expenses

(₹ Crores)

Particulars	2024-25	2023-24
a) Other expenses of Mfg., Admn., Selling & Distribution	1,815	1,534
b) Power & Fuel	491	452
Sub-total	2,306	1,986
As % of Revenue	8.4%	8.7%
c) Provisions (net)	158	(1,037)
d) Exchange Rate Variations	(135)	(105)
Total	2,329	844

Cost optimisation, process efficiencies and budgetary control contributed to reduction in other expenses to 8.4% of revenue, despite an increase of 19% in operational volume/revenue.

Details of Provisions (net) and Write-offs:

(₹ Crores)

Particulars	2024-25	2023-24
Doubtful debts (incl. ECL), liquidated damages, loans, advances & deposits and others	(2,796)	1,481
Bad debts, LD, Investment & losses written off	3,151	66
Contractual obligations	(197)	(2,584)
Total	158	(1,037)

The company has changed its practice to vacate provision against contractual obligations wherever Performance Guarantee (PG) test is not a pre-requisite condition as per contract. Accordingly, provisions to the tune of ₹118.47 Crores have been vacated during the year 2024-25.

In addition to the above, the company placed strong emphasis on enhancing debtor realization and timely settlements. It also undertook a prudent clean-up of the books by writing off non-recoverable dues. The strategic focus remained on driving provision withdrawals through customer settlements and improved cash collections.

3. Finance costs

(₹ Crores)

Particulars	2024-25	2023-24
Discount & exp. on commercial papers	5	9
Interest expense	709	601
Un- winding of provisions	34	121
Total	748	731

Finance cost has increased marginally compared to the previous year due to higher interest rates on borrowings and an overall increase in borrowing levels.

4. Depreciation & amortization expenses

(₹ Crores)

Particulars	2024-25	2023-24
Depreciation & amortisation	272	249

Depreciation costs vary based on the timing of asset capitalization and the mix of asset classes. During the year, there was an overall increase in depreciation expense compared to the previous financial year, primarily due to higher capitalization.

5. Tax expenses

(₹ Crores)

Particulars	2024-25	2023-24
Current tax - Current year	8	31
- Earlier years	15	(143)
Deferred tax -Current year	196	59
- Earlier years	(7)	13
Total	212	(40)

The Current tax expense for the Last year was lower, mainly due to reversal of tax expense on account of adjustment of Income Tax refunds pertaining to earlier assessment years.

6. Profitability

The company posted Profit Before Tax of ₹725 Crores and post-tax profit at ₹513 Crores for FY 2024-25, with EBITDA of ₹1,745 Crores (~6%).

7. Other comprehensive income

(₹ Crores)

Particulars	2024-25	2023-24
Re-measurement of defined employee benefits gain/(loss)	(219)	(110)
Less: Income tax related to above item	(55)	(28)
Total	(164)	(82)

Other Comprehensive Income represents re-measurement gain/ (loss) on defined benefit plans such as Gratuity, PF, Post-Retirement Medical Benefit etc.

B. Financial position

8. Property, plant and equipment (PPE), intangible assets and capital WIP

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Gross carrying value	7,748	7,236
Less: Accumulated depreciation / amortisation	4,801	4,662
Net carrying value (net block)	2,947	2,574
CWIP & intangible assets under development	195	308
Total	3,142	2,882

9. Investment Property

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Gross carrying value	1.2	-
Less: Accumulated depreciation / amortisation	0.7	-
Net carrying value (net block)	0.5	-

During the year, the Company has entered into operating lease on its investment property portfolio consisting of certain Land and Building. The Fair value of the investment property has been assessed at ₹112 Crores by registered valuer as at March 31, 2025 for various properties located at Bhopal and Mumbai.

10. Equity investments

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Investment	Impairment / FV adj.	Net	Investment	Impairment / FV adj.	Net
Investment in joint ventures	722	(50)	672	718	(52)	667
Investment in other equity instruments	1	(1)	-	1	0	1
Total	723	(51)	672	719	(51)	668

Investment in joint ventures (JVs) were accounted at cost after considering impairment loss, if any, in line with Ind AS. Investment in other equity are accounted at fair value through profit & loss account and changes in carrying value have been made based on fair value on the reporting date. Investment includes deemed investment (BCGCL) of ₹5.29 Crores which denotes the fair value of Corporate guarantees fee towards financial guarantee given without any consideration.

11. Trade receivables (Net)

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Gross Receivables	11,826	7,260	19,086	15,284	5,889	21,173
Less: Allowances for Bad & doubtful debts	8,779	1,375	10,155	12,059	1,104	13,163
Trade receivables (net)	3,047	5,884	8,931	3,225	4,785	8,010

Trade Receivables stood at ₹8,931 Crores as of March 31, 2025, compared to ₹8,010 Crores as of March 31, 2024. The increase is primarily attributable to increase in level of operations.

12. Cash & cash equivalents and bank balances

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Cash & cash equivalents	439	1,835
Deposits having maturity more than 3 months but not more than 12 months	6,618	3,740
Earmarked bank balances & FD against margin money	555	582
Total	7,612	6,157

The company's renewed focus on cash collections, following the restructuring of its receivable management, led to a nearly 40.5% increase in cash collection over the previous year, including customer advances. The intermittent Cash surplus was placed as short-term deposit for operational liquidity management.

13. Deferred tax assets (Net)

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Deferred tax assets (net)	4,068	4,201

The reduction in Deferred Tax Assets during the year is mainly attributable to the utilization of brought forward losses.

14. Other assets

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Contract assets (Net)	13,666	15,779	29,444	13,296	13,452	26,748
Input tax credit receivable	-	1,652	1,652	-	1,301	1,301
Claim recoverable	695	1,232	1,927	570	951	1,521
Deposit with tax authorities & others	89	481	569	105	409	515
Advances & others	193	99	293	142	65	207
Less: Provision	567	288	855	423	269	692
Total	14,075	18,955	33,030	13,690	15,910	29,599

The major component is pertaining to Contract Assets, which represent unbilled revenue not yet due for payment as per contract terms. The increase of contract assets is mainly due to double-digit (19%) revenue growth over previous year.

15. Inventories

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Raw material & components	4,085	3,069
WIP	5,369	3,918
FG	606	503
Stores & spare parts	270	215
Other inventory	305	298
Sub total	10,635	8,003
Less: Provision for non-moving inventory	766	782
Total	9,869	7,221

The inventories are carried at optimised levels keeping in view the future production needs of higher order inflows.

16. Current tax assets /(liabilities) – Net

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Current tax assets/(liabilities)-net of provisions	137	229

The amount mainly represents TDS (net of provision for tax), which is due for refund in near future.

17. Share Capital

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Authorised share capital	2,000	2,000
Issued, subscribed & paid up share capital	696	696

There has been no change in the share capital during the current financial year. The shareholding of promoter [GOI] stands unchanged at 63.17%.

18. Other equity

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Opening balance	24,154	24,116
Reinstatement due to change in policies or prior period errors	-	-
Add: Total Comprehensive income/(loss) for the year	349	177
Less: Dividend (incl. interim dividend) paid during the year	87	139
Closing balance	24,417	24,154

Change in net worth is due to total comprehensive income during the year and dividend for FY 2023-24 paid during the year. Dividend @12.5% for the year 2023-24 was approved by the Shareholders in the AGM held on August 22, 2024 and subsequently paid during the year 2024-25.

After the reporting date final dividend @25% was proposed by the Directors for FY 2024-25, subject to the approval of shareholders, at the Annual General Meeting. The dividend has not been recognized as liability.

19. Borrowings & Lease Liabilities

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Borrowings	-	8,795	8,795	-	8,808	8,808
Lease Liabilities	162	57	220	23	25	48
Total	162	8,852	9,015	23	8,833	8,856

Borrowing levels of the company were maintained at almost same levels despite increase in level of operations by 19% owing to better funds management.

The company has continued to ensure repayment of its borrowings on or before the due date.

20. Financial liabilities

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Trade payables	2,171	9,541	11,712	2,293	8,539	10,832
Other financial liabilities	423	1,246	1,669	408	1,493	1,901
Total	2,594	10,787	13,380	2,701	10,032	12,733

Trade Payables increased as of March 31, 2025, compared to the previous year, primarily driven by increase in level of operations.

21. Provisions

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Provision for contractual obligation	1,349	422	1,772	1,373	449	1,822
Provision for employee benefits	1,028	856	1,884	904	1,228	2,132
Other provisions	206	534	740	212	639	851
Provision for CSR	2	3	5	-	2	2
Total	2,586	1,815	4,401	2,489	2,318	4,807

The provision for employee benefits is based on actuarial valuation of leave, medical and gratuity benefits. For contractual obligations provisions (Refer Sl. No. 2.3). Accordingly, provisions to the tune of ₹118.47 Crores have been vacated during the year 2024-25. Other provisions mainly include provisions for loss making contracts.

22. Other liabilities

(₹ Crores)

Particulars	March 31, 2025			March 31, 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Advances from customers (incl. valuation adjustments)	9,743	5,551	15,294	4,063	3,070	7,133
Statutory dues	-	1,221	1,221	-	990	990
Govt. grants	51	5	56	39	4	43
Total	9,794	6,777	16,571	4,102	4,064	8,166

The company had its highest ever order booking during the year 2024-25, which has also led to increase in Advances progressively adjustable during execution of the projects. Statutory dues are mainly on account of GST liability regularly being discharged on due dates as disclosed under "other assets" (Refer Sl. No. 14).

C. Fund Position

23. Fund flow position and liquidity

(₹ Crores)

Particulars	2024-25	2023-24
Cash generated from Operations before working capital changes	381	(490)
Net cash inflow / (outflow) from working capital changes	1,729	(3,445)
Net cash inflow / (outflow) from operating activities	2,192	(3,713)
Net cash inflow / (outflow) from investing activities	(2,731)	1,331
Net cash inflow / (outflow) from financing activities	(857)	2,656

The liquidity position improved in FY 2024-25, supported by initial milestone advances from new projects and milestone achievements in ongoing ones. These factors positively impacted overall cash flow.

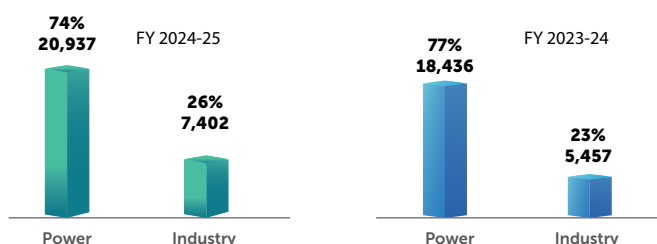
D. Key Financial Ratios

In compliance with the requirement of listing regulations, the key financial ratios along with explanations, wherever required, have been provided in Note [43] of the financial statements.

E. Segment performance

The company has two operating segments, power and industry. Both segments have reported growth in revenue with a positive bottom line. The performance of segments is given below:

REVENUE FROM OPERATIONS (₹ Crores)



(₹ Crores)

Particulars	2024-25		2023-24	
	Power	Industry	Power	Industry
Segment revenue from Operations	20,937	7,402	18,436	5,457
Segment results	1,216	1,262	1,657	137
Segment capital employed	16,379	2,206	18,891	2,337

1.4.2 Financial Review of Joint Venture Companies

a. BHEL-GE Gas Turbine Services Private Limited (BGGTS):

BHEL-GE Gas Turbine Services Private Limited (BGGTS) is a Joint Venture Company of BHEL and GE, USA, formed to take up repair and servicing of GE designed gas turbines. The financials in brief are as below:

(₹ Crores)

Particulars	2024-25*	2023-24
BHEL share (%)	One share less than 50%	One share less than 50%
BHEL's investment in equity	2.38	2.38
Revenue from operations	1,052.58	1,054.74
Profit/(Loss) after tax	118.02	127.95
Net worth	551.15	508.97

* based on provisional unaudited figures

In FY 2024-25, BGGTS paid final dividend of 550% (for FY 2023-24) and interim dividend of 1050% on the equity share capital of ₹4.76 Crores.

b. NTPC BHEL Power Projects Private Limited (NBPPL):

NTPC BHEL Power Projects Private Limited (NBPPL) is a JV Company of BHEL and NTPC Limited, promoted to execute EPC contracts for power plants and manufacture power plant equipment. The JVC has a manufacturing facility for Balance of Plant (BoP) equipment at Mannavaram in Andhra Pradesh. The brief financials are tabulated below:

(₹ Crores)

Particulars	2024-25*	2023-24
BHEL share (%)	50%	50%
BHEL's investment in equity	50.00	50.00
Revenue from operations	3.48	18.19
Profit/(Loss) for the year	(17.01)	(0.80)

* based on provisional unaudited figures

The provision for impairment in value of investment in NTPC-BHEL Power Projects Private Limited has been made to the extent of ₹50.00 Crores (same as last year) based on the net financial position. BHEL Board of Directors in its 566th meeting held on January 28, 2025 approved the annulment of in-principle approval for pursuing the winding up of NBPPL accorded by BHEL Board of Directors in its 494th meeting held on February 08, 2018 and accorded in-principle approval for taking up the implementation of 1x800 MW AUSC Technology based Technology Demonstration Plant (TDP) by NBPPL.

c. Raichur Power Corporation Limited (RPCL):

Raichur Power Corporation Limited (RPCL) is a Joint Venture Company of BHEL and Karnataka Power Corporation Limited (KPCL) promoted for setting up of 800 MW supercritical thermal power plants in Karnataka on build, own and operate basis. The paid-up equity capital as on March 31, 2025 was ₹2,999.76 Crores with contribution of ₹2,335.72 Crores from KPCL and ₹664.04 Crores from BHEL. The financials of the Company are as under:

(₹ Crores)

Particulars	2024-25*	2023-24
BHEL share (%)	22.14%	22.14%
BHEL's investment in equity	664.04	664.04
Revenue from operations	4,296.02	3,910.74
Profit/(Loss) for the year	(1,486.64)	(1,735.48)

* based on provisional unaudited figures

Though at PBT level the company had losses in FY 2024-25, however, the company had positive EBITDA. With improved power demand, the operations of the plant are expected to improve, aiding the bottom-line of the company.

d. Bharat Coal Gasification and Chemicals Limited (BCGCL):

Bharat Coal Gasification and Chemicals Limited (BCGCL) was incorporated as a Joint Venture Company (JVC) of BHEL and CIL on May 21, 2024 to undertake coal to chemicals business by initially setting up a coal to 2000 TPD Ammonium Nitrate Project at Lakhanpur, Odisha by utilizing BHEL's "Pressurized Fluidized Bed Gasification (PFBG)" technology. The paid-up equity capital as on March 31, 2025 was ₹1 Lakh with contribution of ₹0.51 Lakh from M/s Coal India Ltd. and ₹0.49 Lakh from BHEL. Investment includes deemed investment of ₹5.29 Crores which denotes the fair value of Corporate Guarantees fee towards financial guarantee given without any consideration. The financials of the Company are as under:

(₹ Crores)

Particulars	2024-25*	2023-24
BHEL share (%)	49%	NA
Revenue from operations	Nil	
Profit/(Loss) for the year	(2.26)	

* based on Audited figures

The Company is yet to commence its business.

e. Powerplant Performance Improvement Private Limited (PPIL):

Powerplant Performance Improvement Private Limited (PPIL) is a Joint Venture Company of BHEL and Siemens AG, Germany promoted for performance improvement of old fossil fuel power plants. Since sufficient business to ensure viability of the company was not forthcoming, the promoter partners mutually agreed to gradually wind up the Company. All the pending contracts of the JVC were closed and the process of winding up was initiated during FY 2018-19. M/s Powerplant Performance Improvement Private Limited is still under liquidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Crore in FY 2024-25.

1.4.3 Consolidated Financial Statements (CFS)

Consolidated Financial Statements have been prepared in accordance with Ind AS 110 on "Consolidated Financial Statements" and Ind AS 28 "Investments in Associates and Joint Ventures".

In the financial statements, for joint ventures, Equity Method is adopted in line with Ind AS. M/s PPIL was not considered for CFS as it is under liquidation.

A summary of the results on financial performance, in line with the aforementioned Ind AS are as under

Financial performance

(₹ Crores)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Revenue from operations	28,339	23,893
Profit/(loss) before tax	746	243
Profit/(loss) after tax	534	282
Other comprehensive income/(loss)	(163)	(83)
Total comprehensive income/(loss)	371	200

The share of profit in respect of joint venture - BGGTS was ₹59.01 Crores in FY 2024-25 as against profit of ₹63.98 Crores in FY 2023-24. The joint venture companies (NBPL and RPCL) have incurred losses in FY 2024-25. The accumulated losses equal to the cost of investment in these two JVs have already been recognized in the consolidated financial results, in FY 2018-19. BCGCL is yet to commence its business, so incurred losses in FY 2024-25.

Financial position

(₹ Crores)

Particulars	March 31, 2025	March 31, 2024
Assets		
Property, plant and equipment, intangible assets and CWIP (net carrying value) (Including investment property)	3,143	2,882
Investment accounted for using equity method	276	254
Non-current financial assets	3,763	3,432
Deferred tax assets (net)	4,068	4,201
Non-current other assets	14,075	13,690
Current assets	42,760	34,542
Total	68,083	59,002
Equity and Liabilities		
Equity share capital	696	696
Other equity	24,026	23,742
Non-current liabilities	15,135	9,316
Current liabilities	28,226	25,247
Total	68,083	59,002

The share of capex in respect of joint ventures – BGGTS, NBPL, RPCL and BCGCL was ₹25.83 Crores (provisional) in FY 2024-25.

1.5 Capital investment

In the year 2024-25, the Company made a capital expenditure of ₹536 Crores. During the period, the major investment thrust was towards enhancing the facilities in key strategic areas like Defence, Transportation etc., and also toward upgradation of IT infrastructure across the company. BHEL continued to prioritize the modernization and upgradation of the existing facilities in core business areas such as Power Generation, Transmission, Industrial equipment etc., to drive sustainable growth, productivity, improve energy efficiency and power conservation.

1.6 Internal Financial Control System

The Internal Financial Control (IFC) system of BHEL is founded on well documented policies and procedures for ensuring orderly and efficient conduct of its businesses, including adherence to the company's policies, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of the accounting records, and timely preparation of reliable financial information.

The source of implementation and maintenance of IFC are manuals, guidelines, delegation of powers and IT system and controls, and are effected through well-defined organizational structure i.e. people operating in various departments at different levels at each stage of the processes.

BHEL has Internal Audit department, commensurate with its size of operations and nature of its business, spread across its units/divisions to cover internal audit activities at all locations of the company. To assess the adequacy and effectiveness of IFC, regular reviews of risk focused areas and critical appraisal of the functioning of the processes and systems is conducted at respective units/divisions/location by internal audit department. Based on the report of internal audit, process owners undertake corrective action(s) in their respective area(s) to ensure effective internal financial controls.

Audit is conducted as per Annual Audit Plan, approved by Board Level Audit Committee (BLAC). Observations and recommendations of Internal Audit are shared with respective units/divisions and material Internal Audit observations and CAG audit paragraphs are reviewed by BLAC.

Independent auditors report on the IFC of the company in terms of Clause (i) of sub-section 3 of section 143 of the Companies Act, 2013 by the statutory auditors is placed along with the financial statements. Statutory auditors in their report expressed an unmodified opinion on the adequacy and operating effectiveness of the Company's IFC over financial reporting.

1.7 Quality focus

A well-established Quality Management System (QMS) is functioning across the organization. Several initiatives are underway to enhance effectiveness of the QMS and drive continual improvement in the company's products and services.

BHEL's Business Excellence journey is aligned with European Foundation for Quality Management (EFQM) 2020

framework. In this regard, BHEL Quality Maturity Model (BQMM) is deployed to assess maturity of quality systems across BHEL. Additionally, to gauge the effectiveness of quality systems and practices, a comprehensive Quality Health Index (QHI) model is in place. Furthermore, Quality Systems are digitalized, leading to effective data analytics and, improved traceability and product quality. The best practices in quality are shared across the organization through quality conversation platform, known as 'Qonverse'.

These focused efforts have yielded significant results and have been recognized. In the Business Excellence (BE) journey, one BHEL unit received the coveted CII EXIM Bank Award 2024, with five other BHEL units received "Platinum" recognition. In other significant achievements, BHEL was conferred with the Gold Award in the 4th edition of the EEPC India Quality Awards 2024 under the PSU category. Also, eight Quality Circle teams of BHEL bagged Gold Award (highest category) at the 49th International Convention on Quality Control Circles (ICQCC) held at Colombo, Sri Lanka. These recognitions are a testament to the company's unwavering commitment to excellence in the field of Quality.



Quality Month with the theme 'Ownership at every step means Quality is always met', was observed across BHEL in November '24

1.8 Human resource

1.8.1 Learning and Development

BHEL places importance on continuous improvement in technical and behavioural competencies of its entire workforce. The changing business environment is pushing the company to put significant emphasis on fostering a culture of unlearning and relearning. The aim is to build an agile and future-ready workforce, equipped to meet evolving business challenges.

The training programs in Technical, Functional, Behavioural and Managerial, and Safety areas have been conducted across the organisation. The e-learning portal has been enriched with diverse learning opportunities, offering employees access to over 140 online training modules. An average training man-days of 4.23 per employee was achieved during FY 2024-25.

In FY 2024-25, BHEL successfully conducted structured induction programs for newly joined Engineer Trainees (ETs) and Supervisor Trainees (STs) across multiple locations. Additionally, several strategic learning interventions were introduced, including Leadership Coaching for Senior Management,

Behaviour based Safety at sites, and specialized programs like PRISM Workshop for the Vande Bharat Project and "Executive Presence" for the Power Sector employees. The 9th edition of BHEL Learning Week was organised from September 5-11, 2024 with the theme of "Align-Act-Achieve".

Furthermore, BHEL engaged 1,582 apprentices across its various units. Among them, 1,139 were Trade (ITI) Apprentices, while the remaining 443 comprised Graduate, Diploma, Vocational, and non-technical apprentices. The apprentices gained valuable hands-on learning experiences within our state-of-the-art engineering facilities, enabling them to develop essential skills for thriving in the manufacturing sector as they prepare for their future.

Inter-Organisation Meet was conducted on Learning and Development on March 21, 2025, bringing together Learning and Development professionals from both Public and Private Sector companies to share best practices and foster collaboration in capability-building initiatives.

1.8.2 Performance and Career Development

BHEL has Board approved Succession and Leadership Development Plan (SLDP) framework in line with the mandate of Department of Public Enterprise (DPE). The plan framework is hinged around developing BHEL's internal talent pool. It offers a structured approach which outlines the steps to identify, nurture and promote internal talent to build a robust leadership pipeline.

Employee Satisfaction and Engagement Survey in BHEL

Employee Satisfaction and Engagement Survey (ESES) was conducted online for all BHEL employees through a centrally administered online platform. The Employee Engagement Survey (Goonj-The Echo) was facilitated by an experienced third-party agency with the aim to understand employees' motivation, commitment and connection to their work and organization. The identities of survey participants were masked while data processing to maintain the anonymity and confidentiality.

The opportunities identified for development through the survey will be addressed in a structured way after due diligence, either through policy support or improvement in operational framework.

Disclosure under section 134 (3)(p) of the Companies Act

As per Section 134 (3) (p) of the Companies Act 2013, the Board's Report of a Listed Company shall include a statement indicating the manner of formal annual evaluation of Board, individual directors etc. Ministry of Corporate Affairs has, vide its notification dated 5th June, 2015, notified the exemptions to Government Companies from the provisions of the Companies Act, 2013 which inter-alia provides that Sec. 134(3) (p) regarding statement on formal annual evaluation shall not apply to Government Companies in case the directors are evaluated by the Ministry which is administratively in-charge

of the company as per its own evaluation methodology. Further, in line with above exemptions, Sub-Sections (2), (3) & (4) of Sec. 178 regarding appointment, performance evaluation and remuneration shall not apply to Directors of Government Companies.

In a CPSE, the MoU signed between the company and the Government of India (GoI) details out the parameters and initiatives that the company is required to undertake during that financial year. This MoU is evaluated at the end of the year by the GoI and a performance rating is assigned to BHEL based on its performance on the spelt-out parameters. Further, there is a well laid down procedure for performance evaluation of CMD and Functional Directors. Department of Public Enterprises (DPE) has designed a format and laid down a procedure for evaluation of the Functional Directors' performance. The tenure of the Functional Directors as spelt out in their terms and conditions of appointment is five years or the date of their superannuation, whichever is earlier.

The terms of reference of Board Level Committees are approved by the Board. The minutes of the Board Level Committees are placed before the Board for its perusal.

Appointment of Independent Directors and their tenure (normally three years) is decided by the GoI. However, pursuant to Ministry of Heavy Industries (MHI), BHEL's Administrative Ministry, notification dated 28.03.2025, two new Independent Directors on the Board of BHEL have been appointed for a period of one year. DPE, through MHI, has been periodically evaluating/ assessing the performance of the Independent Directors on the board of the company.

1.8.3 Industrial Relations

"Participation of All" is the guiding principle of company's industrial relations journey. The principle is upheld through policy of open and continuous communication with every section of the workforce. By actively engaging with diverse employee groups and fostering a participatory culture, the company has played a key role in cultivating a congenial and harmonious industrial relations environment.

During the year, BHEL's manufacturing units, divisions, and offices reported harmonious and peaceful industrial relations. Zero man-days were lost during the year on account of strike against company policies, bearing testimony to the concerted efforts undertaken by the management, as well as the employee groups to work jointly towards the company's goal.

In line with BHEL's commitment to fostering a participatory culture, two meetings of the apex-level bipartite forum, the 'Joint Committee for BHEL,' were held during the year. Additionally, a special meeting was convened with representatives from all Central Trade Union Organizations, with limited participation from Units. At the manufacturing units, 39 'Plant Council' meetings and 620 'Shop Council' meetings were conducted across BHEL. These forums focused on strategies to enhance the company's overall performance—

emphasizing productivity, quality, safety, timely delivery, and cost reduction measures aimed at strengthening BHEL's financial health. Through these collaborative efforts, BHEL continues to work towards sustainable growth, improved competitiveness, and profitability, thereby delivering value to all stakeholders, including its employees.

1.8.4 Manpower Strength

The Manpower Strength of BHEL as on March 31, 2025 is 27,800 consisting of 10,375 Executives, 4,093 Supervisors and 13,332 Workers.

1.8.5 Status on Presidential Directives

No Presidential Directives have been received w.r.t (A) Reservation policy for reserved category persons (B) Safeguard of women at workplace during the years 2022-23, 2023-24 and 2024-25.

1.8.5.1 Directives on Reservation Policy for Reserved Category Persons

Presidential Directives on reservation policy issued by Central Government from time to time provide for certain percentages of reservation in direct recruitment as well as promotion in specified posts and for specified reserved category of candidates, i.e SCs, STs, OBCs and Persons with Disabilities (PwD). Besides, the Directives also contain provision for certain concessions and relaxations for specified category of employees in direct recruitment and promotion. The Presidential Directives on the subject are being strictly complied with and reservation percentages are ensured through maintenance of Post Based Roster system as prescribed by Government. However, there is no direct impact of these guidelines on the financial position of the company.

Other relevant information on the subject is furnished below:

i. Representation of SC/ST/OBC/EWS employees

The overall representation of SC/ST/OBC employees in total manpower as on December 31, 2024 was 20.74%, 7.57% and 38.46% for SCs, STs and OBCs respectively.

The Annual Statement in the prescribed format showing the representation of SCs, STs, OBCs and EWS as on December 31, 2024 and number of appointments made during the calendar year, is given at **Annexure - 1A**.

ii. Manpower strength of PwD employees as on December 31, 2024

Total number of PwD employees as on December 31, 2024 was 815. During the year 2024, 06 employees were recruited in PwD Category. The group wise manpower strength of PwD employees in the company as on December 31, 2024 is given at **Annexure - 1B**.

1.8.5.2 Safeguard of Women at Workplace

An Act, to provide protection against sexual harassment of women at workplace and for the prevention and redressal of complaints of sexual harassment and for matters connected therewith or incidental thereto, called "The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013", has come into force from December 9, 2013 with notification of rules by Government of India, Ministry of Women and Child Development called "The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Rules, 2013".

The provisions of the Act and the rules thereunder are being strictly complied with. In accordance with the Act, Internal Complaints Committee (ICC) has been constituted in all units of BHEL and their constitution and contact details have been hosted on the unit's website. Posters highlighting the key provisions of the Act, Duties of the Employer, Complaints Redressal Mechanism, Action for Malicious Complaints and various misconceptions about Sexual Harassment have been displayed at conspicuous places in all units in Hindi, English and regional languages. The Act requires companies to conduct orientation sessions or training for the ICC annually. ICC must have knowledge and sensitivity to redress the grievances of women. This is mandatory not just legally but also for the workplace safety. In line with the Act, a workshop for ICC Members was organized on PAN BHEL basis. At unit level, 46 workshops/ awareness programmes were conducted on Sexual Harassment Act and Gender Sensitization.

During the year 2024-25, 5 cases have been reported out of which 4 cases have been disposed. As on April 01, 2025, 1 case is pending.



Women Artisans at Fan Rotor Assembly at BHEL Ranipet

Annexure – 1A

Annual Statement showing the representation of SCs, STs, OBCs and EWS as on December 31, 2024 and appointments made during the calendar year 2024

Groups	Representation of SCs/STs/OBCs/EWS (As on December 31, 2024)					No. of appointments made during the calendar year 2024											
						By Direct Recruitment					By Promotion*			By Deputation/ Absorption			
	Total No. of Employees	EWS	SCs	STs	OBCs	Total	EWS	SCs	STs	OBCs	Total	SCs	STs	Total	SCs	STs	OBCs
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18
Group A	11730	21	2169	992	3446	154	15	24	11	40	---- NA ----			0	0	0	0
Group B	2786	0	547	354	695	0	0	0	0	0				0	0	0	0
Group C	13430	8	3075	773	6599	73	8	9	6	30				0	0	0	0
Group D (Excl. SW)	61	0	9	3	36	0	0	0	0	0				0	0	0	0
Group D (SW)	12	0	12	0	0	0	0	0	0	0				0	0	0	0
Total	28019	29	5812	2122	10776	227	23	33	17	70	0	0	0	0	0	0	0

* In BHEL there are no appointments at induction level by promotion

Annexure – 1B

Annual Statement showing the representation of Persons with Disabilities as on December 31, 2024 and appointments made during the calendar year 2024

Group	Number of Employees				Direct Recruitment							Promotion*						
	Total number of employees	VH	HH	OH	No. of vacancies reserved			Total	No. of appointments made			No. of Vacancies reserved			Total	No. of appointments made		
					VH	HH	OH		VH	HH	OH	VH	HH	OH		VH	HH	OH
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19
Group A	11730	3	16	325	0	0	4	4	0	0	4	-----NA-----						
Group B	2786	2	4	79	0	0	0	0	0	0	0							
Group C	13430	16	26	342	0	0	2	2	0	0	2							
Group D	73	1	0	1	0	0	0	0	0	0	0							
Total	28019	22	46	747	0	0	6	6	0	0	6							

Note:

- (i) VH stands for Visually Handicapped (persons suffering from blindness or low vision)
- (ii) HH stands for Hearing Handicapped (persons suffering from hearing impairment)
- (iii) OH stands for Orthopaedically Handicapped (persons suffering from locomotor disability or cerebral palsy)

* In BHEL there are no appointments at induction level by promotion

1.9 Capacity Building for the Country

BHEL is a major contributor towards engineering and manufacturing capacity building for the Country. The company is carrying out following initiatives with support from Ministry of Heavy industries (MHI) under the Capital Goods Scheme Phase II:

- Company established a "Common Engineering Facility Centre (CEFC)" for skill development in Welding Technology at WRI Trichy along with its extension centers at Varanasi, Ranipet, Bhopal, Jhansi and Haridwar units of BHEL. Till March 31, 2025, the facilities trained more than 7,500 welders across the country.
- Company established a Test Lab for Pumps at its Hyderabad unit. This lab shall be one of its kind in the country and shall allow for High Flow and High Temperature test which were earlier carried out abroad only.
- Company established a testing facility comprising both Hardware in the Loop (HIL) and Software in the Loop (SIL) functionalities in the area of Industrial related processes at its Corporate R&D, Hyderabad. This will help industries to vet the designs at different stages and aid the start-ups / MSME / Process Industries / Defence establishments to develop new designs and test their performance in line with Government's thrust on Make in India.
- Company augmented the test facilities of existing Technical Services Division Lab to develop a state-of-the-art NABL accredited test lab with facilities for testing the chemical, electrical, mechanical properties under a single roof at its Bhopal Unit. This lab is strategically located in Central India and will specifically cater the requirements of capital goods industry.

1.10 Right to Information

In consonance with the provisions of the Right to Information Act, 2005 (the Act), BHEL works towards promoting transparency and accountability. A Central Public Information Officer (CPIO) at Corporate Office, along with one Nodal Officer at Corporate Office and 25 other CPIOs at each of the major administrative units are functioning in the company. 25 First Appellate Authorities also function in the company to dispose-off first appeals filed against the orders of the CPIO(s), as provided under the Act. As a measure to facilitate citizens in filing their RTI applications and first appeals online, BHEL has adopted the online RTI web portal (<https://rtionline.gov.in>) launched by Department of Personnel and Training. Consequently, RTI applications and RTI first appeals filed on the portal are being replied through online mode. Section 4 (1) (b) disclosures have been made available on BHEL's website. In addition, certain guidelines and proforma(s) indicating procedure for obtaining information and for filing RTI first appeals under the Act have been placed on BHEL's website. The CPIOs and other internal stakeholders involved are sensitized about their obligations under the Act through

training and workshops. BHEL being a member of Steering Committee on RTI constituted by Standing Conference of Public Enterprise (SCOPE) actively participates in its meetings and discussions related to RTI matters organized by SCOPE. Quarterly RTI Returns have been timely submitted to the Central Information Commission. During FY 2024-25, 550 applications and 95 appeals were received online, and 480 applications and 86 appeals were disposed-off.

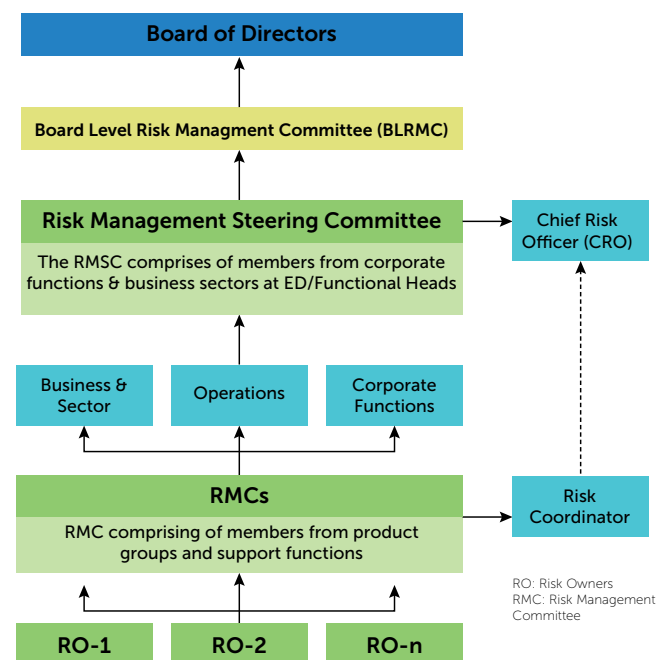
1.11 Risks and Concerns

BHEL's business operations have exposure to various types of internal and external risks related to financial, operational, sectoral, technological obsolescence, ESG specific, cyber security, evolving business dynamics, meeting of project timelines and challenges in providing on-site product/service support in adverse conditions.

BHEL has identified a need for an efficient and effective Risk management process within the company for ensuring the conduct of the business in a risk conscious manner.

The company has in place a Risk Management Charter and Policy to implement a structured and comprehensive Enterprise Risk Management system. The charter is intended to establish a common understanding, language and methodology for identifying, assessing, responding, monitoring and report risks. This ensures that key risks are

Risk Management Organisation



being properly identified, reported in time to management and effectively managed. The process for risk identification is consciously guided by the company's growth objectives, external environment, Industry reports as well as internal and external stakeholders, amongst others.

The key risks faced by the company are:

1. **Delivery:** Delayed delivery of Projects leads to LDs, penalties, customer dissatisfaction and impacts company's image.
2. **Liquidity Risk:** High demand for liquidity due to rising debtors.
3. **Material Cost:** Rising direct material cost affecting profitability.
4. **Cyber Security:** Online data and information security breach leading to loss and critical information infrastructure breakdown.
5. **Availability of technology:** Non-availability of technologies to meet current/ future market requirements.
6. **Order Booking:** Order Booking reduction and increasing competition for non-coal based business.

The mitigation measures against the above mentioned six identified key risks are in place.

1.12 Data and Cyber Security

Company has implemented advanced security measures to safeguard BHEL from cyber threats and protect its IT assets. Some measures like Perimeter security comprising of Next Generation Firewalls, Intrusion Prevention System (IPS), Zero Trust Network Access (ZTNA), Network Private Access (NPA), Secure Email Gateway etc. have been implemented. Access to critical IT services are now through multi-factor authentication, this has helped augment network and data security.

Furthermore, a centralized endpoint protection solution with Endpoint Detection and Response (EDR) capabilities has been deployed organization-wide. This solution incorporates advanced features like Anti-Bot, Threat Hunting, Anti-Ransomware, and Compliance features.

A centralized Cyber Security Operations Centre (SOC) is functional in BHEL, equipped with advanced functionalities such as User and Entity Behaviour Analysis (UEBA), Security Orchestration Automation and Response (SOAR), and Web Application Firewall (WAF). This SOC monitors security logs

from various devices round-the-clock and is integrated with threat intelligence from NCIIPC, CERT-In, and third-party agencies. A 24x7 helpdesk at the SOC addresses cybersecurity and endpoint-related issues promptly.

A Cyber Crisis Management Plan is in place to swiftly act and recover from any cyber-attack. A thorough security review of all internet facing applications, devices and servers are carried out by professional external agencies as part of an exercise to review the security posture of the organization. Recommendations and observations from these reviews are duly addressed.

Quarterly penetration testing of all internet-facing applications and devices is conducted by a CERT-In empanelled agency, ensuring that any vulnerabilities identified are closed immediately. BHEL collaborates closely with CERT-In, NCIIPC, and other government agencies, taking prompt action on any input received from them to enhance the organization's cyber security posture.

BHEL has maintained its certification of Information Security Management System (ISMS) since 2005 as per ISO/IEC 27001 standard. At present, BHEL is in the process of transitioning to the latest version of ISO/IEC 27001 standard, i.e., ISO/IEC 27001:2022. BHEL is committed to maintain and upgrade its cyber security posture in line with the evolving threat landscape.

For and on behalf of the Board of Directors of

BHARAT HEAVY ELECTRICALS LTD.



K. Sadashiv Murthy

Chairman & Managing Director

Place: New Delhi

Date: July 25, 2025

Annexure – II to the Board's Report Corporate Governance

2.1 Our Philosophy on Corporate Governance

BHEL functions within a sound Corporate Governance framework, which underlines its commitment to quality of governance, transparency in disclosures, consistent enhancement of stakeholders' value and corporate social responsibility. BHEL endeavours to transcend beyond the basic and regulatory requirements of corporate governance, focusing consistently on building confidence of its shareholders, customers, employees, suppliers and the society at large. The Company's corporate governance framework rests upon the cornerstones of transparency, disclosure, independent monitoring, and fairness to all, especially minority shareholders.

Further, the Company believes in conducting its business in compliance with Corporate Governance procedures and Codes of Conduct, which positions BHEL to deliver long-term returns to the shareholders, favourable outcomes to the customers, attractive opportunities to the employees, opportunity to the suppliers to partner the Company in progress, and enrichment of society. The Codes of Conduct are available at BHEL Corporate website (www.bhel.com) under 'Investor Relations' section.



2.2 Board of Directors

i. Composition and Category of Directors

Pursuant to Section 2(45) of the Companies Act, 2013, BHEL is a 'Government Company' as 63.17% of the total paid-up share capital of the Company is held by the Central Government through the President of India.

The composition of Board of Directors of BHEL has an appropriate mix of Executive Directors represented by Functional Directors including CMD and Non-Executive Directors represented by Government Nominees & Independent Directors, to maintain independence of the Board and to separate the Board functions of management and control.

The composition of the Board of Directors as on March 31, 2025 is as follows:

Category of Directors	Board Structure	Actual Strength as on March 31, 2025
Chairman & Managing Director	1	1
Whole-time Executive (Functional) Directors	5	4
Part-time Official Directors (Government Nominees) representing the Ministry of Heavy Industries, Government of India	2	2
Part-time Non-official (Independent) Directors	8	3
TOTAL	16	10

As on March 31, 2025, there existed five vacancies of Part-time Non-official (Independent) Directors and one vacancy of Whole-time Executive (Functional) Director i.e. Director (E, R&D), on the Board of BHEL. The matter of filling up of vacancies is under consideration/ process at the end of Government of India.

ii. Attendance of each Director at the Board Meetings held during 2024-25 and the last AGM

Director's Name S/ Shri	No. of Board Meetings		Last AGM (held on 22.08.2024)
	Held	Attended	
Executive Directors			
K. Sadashiv Murthy, Chairman & Managing Director #	10	10	Yes
Jai Prakash Srivastava, Director (E, R&D) \$ (upto December 31, 2024)	8	8	Yes
Krishna Kumar Thakur, Director (HR)	10	10	Yes
Tajinder Gupta, Director (Power)	10	10	Yes
Ms. Bani Varma, Director (IS&P) @	10	10	Yes
Rajesh Kumar Dwivedi, Director (Finance) (w.e.f. June 19, 2024)	7	7	Yes

Part-Time Official Directors – Govt. Nominees			
Ms. Arti Bhatnagar, Special Secretary & Financial Advisor, Ministry of Commerce & Industry	10	9	Yes
Vijay Mittal, Joint Secretary, Ministry of Heavy Industries	10	9	Yes
Part-Time Non-Official (Independent) Directors			
Dr. K. Sivaprasad (upto November 1, 2024)	8	8	Yes
Dr. Lekhasri Samantsinghar (upto April 12, 2024)	-	-	*
Ramesh Patlya Mawaskar	10	10	Yes
Ashok Aseri (w.e.f. March 29, 2025)	-	-	*
Aashish Chaturvedi (w.e.f. March 29, 2025)	-	-	*

#Held additional charge of the post of Director (Finance) w.e.f. April 18, 2024 upto June 18, 2024.
 \$ Held additional charge of the post of Director (Finance) upto April 17, 2024.
 @ Held additional charge of the post of Director (E, R&D) w.e.f. January 1, 2025.
 * denotes the respective person was not a Director of BHEL as on last AGM date

A. Details of Directorships, Committee Memberships and Committee Chairmanship in other companies as on March 31, 2025#

Director's name S/Shri	No. of Directorships in other Companies	No. of Committee Memberships and Committee Chairmanship in other Companies*
K. Sadashiv Murthy, Chairman & Managing Director	2	-NIL-
Krishna Kumar Thakur, Director (HR)	-NIL-	-NIL-
Tajinder Gupta, Director (Power)	1	-NIL-
Ms. Bani Varma, Director (IS&P)	-NIL-	-NIL-
Rajesh Kumar Dwivedi, Director (Finance)	2	Audit Committee: • Chairperson: 1
Ms. Arti Bhatnagar, Part-time Official Director	6	Audit Committee: • Member: 1 • Chairperson: 3
Vijay Mittal, Part-time Official Director	5	-NIL-
Ramesh Patlya Mawaskar, Independent Director	-NIL-	-NIL-
Ashok Aseri, Independent Director	-NIL-	-NIL-
Aashish Chaturvedi, Independent Director	3	-NIL-

*Only Chairmanship/ Membership of the Audit Committee and Stakeholders Relationship Committee has been considered.

#The Directorships/ Committee Memberships in other companies are based on the latest disclosure received from respective Directors on the Board.

No Director of the Company holds office at the same time as Director in more than twenty (20) companies. No Director of the Company is a member in more than ten (10) Committees or acts as Chairperson of more than five (5) Committees across all listed companies in which he/ she is a Director.

Disclosure of relationship between Directors inter-se: NIL

B. Details of Directorships in Listed Entities & Category of Directorship

As on March 31, 2025, the following Directors held Directorship in other listed entities, as under:

Director's name	Name of Listed Entity	Category of Directorship
Ms. Arti Bhatnagar, Part-time Official Director	1. H.M.T. Ltd. 2. MMTC Ltd. 3. The State Trading Corporation of India Ltd.	Government Nominee Director
Shri Vijay Mittal, Part-time Official Director	1. Andrew Yule & Co Ltd. 2. Veedol Corporation Ltd. (formerly Tide Water Oil Co India Ltd.)	Government Nominee Director

iii. No. of Board Meetings held, dates on which held

The meetings of the Board are normally held at the Company's Registered Office in New Delhi and are scheduled well in advance. The Company Secretary, in consultation with the Chairman & Managing Director, sends a written notice of each Board meeting to every Director.

The members of the Board have access to all information of the Company and are free to recommend inclusion of any matter for discussion in agenda, which is usually sent in advance. The senior management is invited to attend the Board Meetings to provide additional inputs relating to the items being discussed and/ or to give presentation to the Board, as per requirement. The Board meets at least once in every quarter to review the quarterly results and other items on the agenda. Additional meetings are held, whenever necessary.

During the year under review, the Board had ten meetings on the following dates:

(i) April 25, 2024	(ii) May 21, 2024	(iii) June 19, 2024
(iv) July 9, 2024	(v) July 19, 2024	(vi) July 31, 2024
(vii) September 5, 2024	(viii) October 28, 2024	(ix) January 28, 2025
(x) March 10, 2025		

The Board minutes are prepared promptly after every Board meeting and circulated to all Directors for their comments, if any, and approved by the Chairman & Managing Director thereafter. The approved minutes are then circulated to the departments/ groups concerned for initiating appropriate action and implementation.

iv. List of core skills/ expertise/ competence

As BHEL is a Government Company, all the Directors on its Board viz., Functional Directors, Government Nominee Directors and Independent Directors are selected and appointed by the Government as per a well laid down process for each category of directors. The requirements of core skills, expertise and competence for the Board to function effectively, in context of business segment BHEL operates in, forms an integral part of the government's process of selection of these Directors. Therefore, the Board of BHEL by itself does not identify any such core skills or competence required for the job as well as identification of the Directors for particular skill/ expertise/ competence.

v. Board's Responsibilities

The Board's mandate is to oversee the Company's strategic direction, review and monitor corporate performance, ensure regulatory compliance and safeguard the interests of the stakeholders.

vi. Independent Directors

The Independent Directors play an important role in deliberations at the Board and Committee meetings and bring to the Company their expertise in the fields of engineering, finance, management, law, public policy etc.

The Independent Directors are part of important Committees constituted by the Board such as the Audit Committee, Nomination & Remuneration Committee, Stakeholders Relationship Committee and CSR Committee etc. In terms of Companies Act, 2013 and Listing Regulations, the Audit Committee and the Nomination & Remuneration Committee are chaired by an Independent Director and function within their respective defined terms of references.

Further, in line with DPE OM dated December 28, 2012 on Model Role & Responsibilities of Non-Official Directors for CPSEs, the Board had constituted a Committee of Independent Directors. The said Committee is in compliance with the requirements of Listing Regulations and the Code of Independent Directors under Companies Act, 2013.

Details regarding familiarization programme of Independent Directors are available on the website of the Company [www.bhel.com](https://www.bhel.com/familiarization-programme-directors) at web link <https://www.bhel.com/familiarization-programme-directors> under the heading 'Familiarization Programme for Directors'.

In the opinion of the Board, the Independent Directors fulfil the conditions specified in the Listing Regulations and are independent of the Management.

Dr. Lekhasri Samantsinghar, Independent Director, tendered her resignation from BHEL's Board of Directors w.e.f. April 12, 2024 as she was contesting the Lok Sabha Elections from Odisha. Further, she also confirmed that there were no other material reasons other than those provided by her for resignation.

vii. Information placed before the Board of Directors

The agenda placed before the Board interalia includes the following:

- Annual operating plans and budgets and any updates.
- Capital budgets and any updates.
- Significant Capital Investment proposals.
- Short term investment of surplus funds.
- Sale of investments, subsidiaries and assets which are material in nature and not in normal course of business.
- Changes in significant accounting policies & practices and reasons for the same.
- Quarterly results for the Company and its operating divisions or business segments.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the issues of adverse exchange rate movement, if material.
- Quarterly report on compliance of various laws.
- Status of arbitration cases and major legal disputes.
- Minutes of meetings of Audit Committee and other Committees of the Board.
- The information on recruitment of senior officers just below the Board level.
- Details of any Joint Venture or R&D project or technical collaboration agreement requiring approval of Board of Directors.
- Significant labour problems and their proposed solutions.
- Any significant development in Human Resources/ Industrial Relations front like signing of wage agreement, implementation of Voluntary Retirement Scheme etc.
- Action Taken Report on matters desired by the Board.
- Any contract(s) in which Director(s) are deemed to be interested.

- Disclosure of Interest by Directors about directorships and Committee positions occupied by them in other companies.
- Any other matters required to be presented to the Board either for information or approval under Listing Regulations, DPE guidelines and Secretarial Standard-1 on Meetings of the Board of Directors etc.

The Board has constituted various Committees to facilitate the smooth and efficient flow of decision making process. The minutes of all Board level committees are noted in the Board meetings. There was no instance where the Board had not accepted any recommendation of any Committee of the Board which is mandatorily required, during the year under review.

viii. Selection of New Directors

As per Articles of Association of BHEL, the President of India through the Ministry of Heavy Industries, appoints the Chairman & Managing Director and Functional Directors on the Board of BHEL. Two Part-time Official Directors are nominated by the Administrative Ministry on the Board of BHEL. The President of India also appoints Part-time Non-official (Independent) Directors on the Board of BHEL.

The Independent Directors are selected by the Ministry of Heavy Industries in consultation with the Search Committee of the Department of Public Enterprises which maintains a panel of eminent personalities having wide experience in the field of Management, Finance, Engineering, Administration, Industry etc.

ix. Membership Term & Retirement Policy

The appointment of Chairman & Managing Director and Functional Directors is made for a period of five years from the date of their assumption of charge of the post, or till the date of their superannuation or until further orders, whichever is the earliest. The Part-time Official Directors continue to be on the Board of BHEL at the discretion of the Government of India. The tenure of Part-time Non-official (Independent) Directors is decided by the Administrative Ministry. Normally, an Independent Director is appointed for a period of three years, however, MHI vide its notification dated 28.03.2025 appointed two Independent Directors on the Board of BHEL for a period of one year.

x. Code of Conduct

BHEL has in place a Board approved 'Code of Business Conduct & Ethics for Board Members & Senior Management Personnel' in line with erstwhile Listing Agreement, since 2005. The Code is revised from time to time in line with changes in the regulatory framework & business dynamics and to incorporate

other relevant provisions to strengthen the Code. The extant Code is also in compliance with the Listing Regulations.

The Code encompasses:

- General Moral Imperatives;
- Specific Professional Responsibilities; and
- Specific Additional Provisions for Board Members and Senior Management Personnel.

A copy of the Code has been placed on the Company's website www.bhel.com.

xi. Charter of the Board of Directors and Training of Directors

For the purpose of clearly defining the roles and responsibilities of the Board and the individual Directors, the Board has laid down a Charter of the Board of Directors. The Charter also articulates BHEL corporate governance objectives and approach.

In accordance with DPE guidelines and the Listing Agreement, and with the aim of equipping Directors with the necessary tools for effective performance of their statutory responsibilities, BHEL's Board has approved a comprehensive Training Policy for Directors. This policy is designed to: (a) provide insights into relevant guidelines and procedures, (b) enhance understanding of the business environment to help envisage the future & shape strategic direction, and (c) offer need-based training tailored to the specific requirements of the Board members. The policy encompasses both general training and specialized programs focused on company-specific areas. The details of training of Directors is given in Annexure-V (Business Responsibility and Sustainability Reporting).

xii. Certificate by Company Secretary in Practice

As per Regulation 34 (3) and Schedule V Para C clause 10 (i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a Company Secretary in Practice has issued a certificate to the Company (copy enclosed) that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as Director of the Company by SEBI/ Ministry of Corporate Affairs or any such statutory authority.

xiii. CEO/ CFO Certification

In terms of Regulation 17(8) of the Listing Regulations, the Compliance Certificate issued by the CEO and CFO on the financial statements and internal controls relating to financial reporting was placed before the Board Level Audit Committee and the Board.

2.3 Board Level Audit Committee

i. Terms of reference

The terms of reference of the Board Level Audit Committee (BLAC) specified by the Board are in conformity with the requirements of Section 177 of the Companies Act, 2013 as well as Listing Regulations and are as under:

1. Oversight of the company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
2. Recommendation for appointment, remuneration and terms of appointment of auditors of the company;
3. Approval of payment to statutory auditors for any other services rendered by the statutory auditors;
4. Reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
 - i. Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause (c) of sub-section 3 of section 134 of the Companies Act, 2013;
 - ii. Changes, if any, in accounting policies and practices and reasons for the same;
 - iii. Major accounting entries involving estimates based on the exercise of judgment by management;
 - iv. Significant adjustments made in the financial statements arising out of audit findings;
 - v. Compliance with listing and other legal requirements relating to financial statements;
 - vi. Disclosure of any related party transactions;
 - vii. Qualifications in the draft audit report;
5. Reviewing, with the management, the quarterly financial statements and auditor's report thereon before submission to the board for approval;
6. Reviewing, with the management, the statement of uses/ application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document/ prospectus/ notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue and making appropriate recommendations to the Board to take up steps in this matter;
7. Review and monitor the auditor's independence and performance, and effectiveness of audit process;
8. Approval or any subsequent modification of transactions of the company with related parties;
9. Scrutiny of inter-corporate loans and investments;
10. Reviewing the utilization of loans and/ or advances from/ investment by the holding company in the subsidiary exceeding ₹100 Crores or 10% of the asset size of the subsidiary, whichever is lower including existing loans/ advances/ investments existing as on the date of coming into force of this provision;
11. Valuation of undertakings or assets of the company, wherever it is necessary;
12. Evaluation of internal financial controls and risk management systems;
13. Reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
14. Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
15. Discussion with internal auditors of any significant findings and follow up there on;
16. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;
17. Discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
18. To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
19. To review the functioning of the Whistle Blower/ Vigil mechanism;
20. To review the Audit paras referred to BLAC by the Internal Audit/ Board and/ or Govt. of India and to provide its suggestions/ guidance/ comments on the issues referred to it;
21. Discussion with Statutory Auditors/ Internal Auditors periodically about internal control systems;
22. To consider and comment on rationale, cost-benefits and impact of schemes involving merger, demerger, amalgamation etc., on the listed entity and its shareholders;

23. To seek professional advice from external sources in appropriate cases, wherever required;
24. The Audit Committee shall also review the following information:
 - i. Management discussion and analysis of financial condition and results of operations;
 - ii. Statement of significant related party transactions;
 - iii. Management letters/ letters of internal control weaknesses issued by the statutory auditors; and
 - iv. Internal audit reports relating to internal control weaknesses;
25. Carrying out any other function related to the terms of reference of the Audit Committee as prescribed under the Companies Act, SEBI Regulations and other statutory regulations.

ii. Composition of Committee, name of Members & Chairperson

The composition of the Audit Committee is in compliance with the Listing Regulations and the Companies Act, 2013. The Audit Committee is chaired by an Independent Director. The members of the Committee comprise professionals of repute and standing with background in commerce, finance, administration and governance.

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. K. Sivaprasad, Independent Director (upto November 1, 2024)	Chairperson	4	4
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. November 2, 2024)	-	-
	Member (upto November 1, 2024)	4	4
Ms. Arti Bhatnagar, SS & FA, M/o Commerce & Industry, Part-time Official Director	Member	4	4
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Member	-	-
Ashok Aseri, Independent Director	Member (w.e.f. March 29, 2025)	-	-

Director (Finance), Director (IS&P) and Director (Power) will be permanent invitees. Company Secretary acts as Secretary to the Committee.

Head of Internal Audit and representative of the Statutory Auditor may be present as invitees for the meetings of the Audit Committee. The Auditors of the Company and the Key Managerial Personnel shall have a right to be heard in the meetings of the Audit Committee when it considers the Auditor's Report but shall not have the right to vote.

iii. Meetings and Attendance

The Audit Committee had four meetings on May 21, 2024, July 19, 2024, July 31, 2024 and October 28, 2024 during the year under review. The details of attendance of each member is given in the above table.

2.4 Nomination and Remuneration Committee

i. Remuneration Policy

BHEL being a Public Sector Undertaking, the appointment and remuneration of Chairman & Managing Director/ Functional Directors are decided by the Government of India. The terms of appointment of Chairman & Managing Director/ Functional Directors, as approved by the President of India, provide for fixation of certain perks and benefits, as per rules of BHEL.

ii. Terms of Reference

In line with the requirements of Section 178 of the Companies Act, 2013 and the erstwhile Listing Agreement (now Listing Regulations), the Board constituted the Nomination & Remuneration Committee (NRC) w.e.f. March 30, 2015. The terms of reference of the Committee are inline with the requirements of Section 178 of the Companies Act, 2013 as well as the Listing Regulations. The Board in its meeting held on September 5, 2024 approved (i) merging the HR Committee's terms of reference with the terms of reference of the Nomination & Remuneration Committee and (ii) dissolution of the HR Committee. Accordingly, w.e.f. September 5, 2024, the revised terms of reference of the Nomination & Remuneration Committee are as under:

1. To identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board for their appointment and removal and shall specify the manner for effective evaluation of performance of Board, its committees and individual directors to be carried out either by the Board, by the Nomination and Remuneration Committee or by an independent external agency and review its implementation and compliance;
2. To formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration of the directors, key managerial personnel

and other employees in compliance with the provisions of Act/ Listing Regulations/ DPE guidelines;

3. Formulation of criteria for evaluation of Independent Directors and the Board;
4. Devising a policy on Board diversity;
5. To recommend to the Board, nomination of BHEL officials in the Boards of its subsidiaries and other government organizations which are required to be approved by the Board of BHEL before further submission to MHI;
6. Oversight of the company's policy on specific remuneration packages, perquisites for Whole-time Directors including pension rights and any compensation payment, which are not fixed by the President of India;
7. Approve certain perquisites for Whole-time Directors which are within the powers of Board. Review of the elements of remuneration package of individual directors summarized under major groups, such as incentives/ benefits, bonus, stock options, pension etc.;
8. Finalization of policies on perks and benefits and other related matters which are not fixed by the President of India but within the powers of Board;
9. Approval of fixed component and performance linked incentives based on the performance criteria;
10. Finalization of the criteria of making payments to Non-Executive Directors;
11. Recommendation of fees/ compensation/ stock options, if any, to be paid/ granted, to non-executive directors, including independent directors, to the Board of Directors/ Shareholders;
12. Recommendation to the board, all remuneration, in whatever form, payable to senior management;
13. To decide the bonus/ variable pay pool and policy for its distribution across the executives and non-unionised supervisors;
14. Review of present policies with respect to promotion and reward/ incentive to the Executives;
15. Suggest both short-term and long-term changes in the policies to prepare BHEL for the changed/ emerging business environment;
16. Carrying out any other function related to the terms of reference of the NRC as prescribed under the Companies Act, SEBI Regulations and other statutory regulations.

Being a Government Company, as per the Articles of Association, all Directors including the Chairman & Managing Director are appointed by the Government of India. Their tenure and remuneration (excluding sitting fee for the Independent Directors) are also fixed by the Government of India. Accordingly, evaluation of Directors including

Independent Directors is done by the Government of India. It may also be noted that Ministry of Corporate Affairs (MCA) vide notification dated June 5, 2015, has exempted Government Companies from the provisions of section 178(2), (3) and (4) which requires formulation of criteria for determining qualifications, positive attributes, independence and annual evaluation of Directors & policy relating to remuneration of Directors.

iii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Chairperson	-	-
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. April 13, 2024)	2	2
Vijay Mittal, JS, MHI, Part-time Official Director	Member	2	1
Dr. K. Sivaprasad, Independent Director (upto November 1, 2024)	Member	2	2
Ashok Aseri, Independent Director	Member (w.e.f. March 29, 2025)	-	-

Director (HR) is permanent invitee. Company Secretary acts as Secretary to the Committee.

iv. Meetings and Attendance

The Committee had two meetings on July 9, 2024 and October 29, 2024 during the year under review. The details of attendance of each member is given in the above table.

v. Details of remuneration of Functional Directors during the year 2024-25 are given below:

(in ₹)

Sl. No.	Name of the Director S/ Shri	Salary	Benefits	Other Benefits	Performance Linked Incentives	Total	Service Contract/ Notice Period Severance Fee
1.	K. Sadashiv Murthy, Chairman & Managing Director	47,29,169	13,00,574	4,48,086	91,951	65,69,779	----
2.	Jai Prakash Srivastava, Director (E, R&D) (upto December 31, 2024)	65,35,948	9,70,754	4,53,306	1,39,570	80,99,578	----
3.	Krishna Kumar Thakur, Director (HR)	40,19,295	10,47,577	3,59,232	19,715	54,45,820	Liable to retire by rotation
4.	Tajinder Gupta, Director (Power)	53,97,573	12,49,584	32,400	17,779	66,97,336	Liable to retire by rotation
5.	Ms. Bani Varma, Director (IS&P)	56,27,959	13,02,922	32,400	92,974	70,56,255	Liable to retire by rotation
6.	Rajesh Kumar Dwivedi, Director (Finance) (w.e.f. June 19, 2024)	34,58,593	9,50,766	3,79,616	72,445	48,61,420	Liable to retire by rotation

vi. Details of payments made to Independent Directors during the year 2024-25 are given below:

(in ₹)

Name of the Independent Director S/Shri	Sitting Fees		Total
	Board Meeting	Committee Meeting	
Dr. K. Sivaprasad	2,40,000	2,60,000	5,00,000
Dr. Lekhasri Samantsinghar	-	-	-
Ramesh Patlya Mawaskar	3,00,000	3,80,000	6,80,000
Ashok Aseri	-	-	-
Aashish Chaturvedi	-	-	-

Criteria for remuneration of Non-Executive (Part-time) Directors:

During FY 2024-25, Independent Directors were entitled for sitting fee @ ₹30,000/- per Board Meeting and ₹20,000/- per Board Level Committee Meeting attended by them. Independent Directors are not entitled to Stock Option.

Further, Government Nominee Directors are not paid any remuneration from BHEL.

There were no other pecuniary transactions of the Non-Executive (Part-Time) directors vis-à-vis the Company.

vii. Equity Shares held by Directors

None of the Directors held any equity shares in BHEL as on March 31, 2025.

The Company has not issued any stock options during the year 2024-25.

2.5 Shareholders Committees

2.5.1 Stakeholders Relationship Committee

i. Terms of Reference

The Board of Directors on May 12, 2014 reconstituted the Shareholders'/ Investors' Grievance Committee as the Stakeholders Relationship Committee (SRC), in line with the requirements of Companies Act, 2013 and the erstwhile Listing Agreement (now Listing Regulations). The terms of reference of the Committee are in line with the requirements of Section 178 of the Companies Act, 2013 as well as the Listing Regulations and are as under:

1. Resolution of the grievances of the security holders of the Company, including complaints related to transfer/ transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/ duplicate certificates, general meetings etc.;
2. Reviewing measures taken for effective exercise of voting rights by shareholders;
3. Reviewing adherence to the service standards adopted by the Company in respect of various services being rendered by the Registrar & Share Transfer Agent;
4. Reviewing the various measures and initiatives taken by the Company for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/ annual reports/ statutory notices by the shareholders of the Company;

5. To look into various aspects of interest of shareholders, debenture holders and other security holders;
6. Carrying out any other function related to the terms of reference of the Committee as prescribed under the Companies Act, SEBI Regulations and other statutory regulations.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. K. Sivaprasad, Independent Director (upto November 1, 2024)	Chairperson	3	3
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. November 2, 2024 & upto March 28, 2025)	1	1
	Member (upto November 1, 2024) (w.e.f. March 29, 2025)	3	3
Ashok Aseri, Independent Director	Chairperson (w.e.f. March 29, 2025)	-	-
Director (HR)	Member (w.e.f. November 2, 2024)	1	1
Director (IS&P)	Member	4	4

Chief Investor Relations Officer (CIRO) is permanent invitee. Company Secretary acts as Secretary to the Committee.

Company Secretary is the Compliance Officer in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

iii. Meetings and Attendance

The Committee had four meetings on May 21, 2024, July 31, 2024, October 28, 2024 and January 27, 2025 during the year under review. The details of attendance of each member is given in the above table.

iv. Detail of shareholders' complaints

As reported by M/s Alankit Assignments Limited (RTA), 2 complaints were received from the shareholders during the year under review and all complaints were redressed up to March 31, 2025. No complaint was pending at the end of the period under report.

2.5.2 Share Transfer Committee

The Share Transfer Committee was constituted by the Board of Directors on March 25, 1992. Subsequently, the Board of Directors revised the terms of reference of the Committee w.e.f. August 1, 2014. The Share Transfer Committee considers and approves share related matters pertaining to transposition, sub-division, consolidation, issue of duplicate share certificate etc., in physical mode. The Share Transfer Committee comprises of Director (HR) as Chairperson along with Director (IS&P) and Director (E, R&D) as Members.

Meetings during 2024-25

The Share Transfer Committee had six meetings on 31.07.2024, 18.10.2024, 05.11.2024, 08.01.2025, 12.03.2025 and 27.03.2025 during the year under review. The minutes of the Share Transfer Committee meetings are periodically placed before the Board of Directors.

2.6 Board Level Committee for Corporate Social Responsibility

i. Terms of Reference

Pursuant to the DPE Guidelines on Corporate Social Responsibility for CPSEs, the Board constituted the Board Level Apex Committee for CSR on November 25, 2010 for proper & periodic monitoring of CSR activities. The Committee is presently christened as the Board Level Committee for Corporate Social Responsibility. In line with Section 135 of the Companies Act, 2013, the terms of reference of the Committee are as under:

1. Formulation and recommendation to the Board the Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the Company in areas or subject, specified in Schedule VII to the Companies Act, 2013;
2. Recommendation of the Projects, Programs and amount of expenditure to be incurred on the activities referred to in clause (1);
3. Monitoring the Corporate Social Responsibility activities of the Company from time to time;
4. Ensuring compliance with guidelines on Corporate Social Responsibility and Sustainable Development issued by the Government of India from time to time.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. November 2, 2024. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. K. Sivaprasad, Independent Director (upto November 1, 2024)	Chairperson	2	2
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. November 2, 2024)	1	1
Director (HR)	Member	3	3
Director (Finance)#	Member	3	2

#During the meeting held on May 21, 2024, CMD was holding additional charge of the post of Director (Finance).

Head (CSR), Corporate Office is permanent invitee. Company Secretary acts as Secretary to the Committee.

iii. Meetings and Attendance

The Committee had three meetings on May 21, 2024, October 28, 2024 and March 10, 2025 during the year under review. The details of attendance of each member is given in the above table.

2.7 HR Committee

i. Terms of Reference

The Board constituted the HR Committee on May 31, 2006 specifically to look into the following matters:

- Review of present policies with respect to promotion and reward/ incentive to the Executives.
- Suggest both short term and long term changes in the policies to prepare BHEL for the changed/ emerging business environment.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. April 13, 2024. The Board in its meeting held on September 5, 2024 approved (i) merging the HR Committee's terms of reference with the terms of reference of the Nomination & Remuneration Committee and (ii) dissolution of the HR Committee. The composition of the Committee during the year (upto its dissolution) comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Chairperson	-	-
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. April 13, 2024)	1	1
	Member (upto April 12, 2024)	-	-
Director (IS&P)	Member	1	1
Director (E, R&D)	Member	1	1
Director (HR)	Member	1	1

Head (HR), Corporate Office is permanent invitee. Company Secretary acts as Secretary to the Committee.

iii. Meetings and Attendance

The Committee had one meeting on September 4, 2024 during the year under review. The details of attendance of each member is given in the above table.

2.8 Committee of Independent Directors

i. Terms of Reference

The Board, in line with DPE OM dated December 28, 2012 on Model Role & Responsibilities of Non-Official Directors for CPSEs, constituted a Committee of Independent Directors, which is also in compliance with the requirements of Schedule IV of the Companies Act, 2013 and Listing Regulations.

ii. Composition of Committee, name of Members & Chairperson

The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. K. Sivaprasad (upto November 1, 2024)	Chairperson & Lead Independent Director	1	1
Ramesh Patlya Mawaskar	Lead Independent Director (w.e.f. November 2, 2024)	-	-
	Member (upto November 1, 2024)	1	1
Dr. Lekhasri Samantsinghar (upto April 12, 2024)	Member	-	-
Ashok Aseri (w.e.f. March 29, 2025)	Member	-	-
Aashish Chaturvedi (w.e.f. March 29, 2025)	Member	-	-

iii. Meetings and Attendance

The Committee had one meeting on September 5, 2024 during the year under review. The details of attendance of each member is given in the above table.

2.9 Board Level Risk Management Committee

i. Terms of Reference

In line with the erstwhile Listing Agreement (now SEBI Listing Regulations), the Board of Directors on November 14, 2014 constituted the Board Level Risk Management Committee. The terms of reference of the Board Level Risk Management Committee is in line with the requirements of the Listing Regulations, and are as under:

- To formulate a detailed risk management policy which shall include (a) A framework for identification of internal and external risks specifically faced by the listed entity, in particular including financial, operational, sectoral, sustainability (particularly, ESG related risks), information, cyber security risks or any other risk as may be determined by the Committee, (b) Measures for risk mitigation, including systems and processes for internal control of identified risks, (c) Business continuity plan;
- To ensure that appropriate methodology, processes and systems are in place to monitor and evaluate risks associated with the business of the Company;

- To monitor and oversee implementation of the risk management policy, including evaluating the adequacy of risk management systems;
- To periodically review the risk management policy, at least once in two years, including by considering the changing industry dynamics and evolving complexity;
- To keep the board of directors informed about the nature and content of its discussions, recommendations and actions to be taken;
- The appointment, removal and terms of remuneration of the Chief Risk Officer (if any) shall be subject to review by the Risk Management Committee;
- To seek information from any employee, obtain outside legal or other professional advice and secure attendance of outsiders with relevant expertise, if it considers necessary;
- To coordinate its activities with other committees, in instances where there is any overlap with activities of such committees, as per the framework laid down by the Board of Directors;
- Carrying out any other function related to the terms of reference of the Committee as prescribed under the Companies Act, SEBI Regulations and other statutory regulations.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following members:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Ms. Arti Bhatnagar, SS & FA, M/o Commerce & Industry, Part-time Official Director	Chairperson	2	1#
Dr. K. Sivaprasad, Independent Director (upto November 1, 2024)	Member	1	1
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Member	-	-
Ramesh Patlya Mawaskar, Independent Director	Member (w.e.f. November 2, 2024 & upto March 28, 2025)	1	1#

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Aashish Chaturvedi, Independent Director	Member (w.e.f. March 29, 2025)	-	-
Director (E, R&D) #	Member	2	1
Director (HR)	Member	2	2
Director (Power)	Member	2	2
Director (IS&P) #	Member	2	2
Director (Finance)	Member	2	2
Chairman, Risk Management Steering Committee	Member	2	2
Chief Risk Officer	Member & Convener	2	2

#During the meeting held on January 27, 2025, Shri Ramesh Patlya Mawaskar was elected as Chairperson of the meeting in place of Ms. Arti Bhatnagar who was granted leave of absence. Further, Director (IS&P) was holding additional charge of the post of Director (E, R&D).

iii. Meetings and Attendance

The Committee had two meetings on July 23, 2024 and January 27, 2025 during the year under review. The details of attendance of each member is given in the above table.

2.10 Board Level Project Review Committee

i. Terms of Reference

The terms of reference of the Board Level Project Review Committee is as under:

- The Committee shall review the status of all projects with contract value of ₹500 Crores and above;
- The Committee shall review the periodical status of the debtors.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Vijay Mittal, JS, MHI, Part-time Official Director	Chairperson	1	1
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Member	-	-
Ramesh Patlya Mawaskar, Independent Director	Member	1	1
Aashish Chaturvedi, Independent Director	Member (w.e.f. March 29, 2025)	-	-
Director (Power)	Member	1	1
Director (IS&P)	Member	1	1

Head (PS-Project Management) & Head (Receivable Management) are Convener of the Committee for the respective agenda. Director (Finance) is invitee to the meetings of the Committee. Heads of respective Business Sectors are invited as and when required. Company Secretary acts as Secretary to the Committee.

iii. Meetings and Attendance

The Committee had one meeting on November 14, 2024 during the year under review. The details of attendance of each member is given in the above table.

2.11 Committee on Arbitration & Major Legal Disputes and Alternative Dispute Resolution

i. Terms of Reference

The terms of reference of the Committee is to review the arbitration cases as well as major legal disputes, and thereafter apprise the Board accordingly and to act as the Competent Authority for accepting/ rejecting the draft settlement agreement under the BHEL Conciliation Scheme, 2018.

ii. Composition of Committee, name of Members & Chairperson

The Committee was last reconstituted w.e.f. March 29, 2025. The composition of the Committee during the year comprised of the following Directors:

Name of the Director S/ Shri	Position	No. of Meetings	
		Held during their tenure	Attended
Dr. Lekhasri Samantsinghar, Independent Director (upto April 12, 2024)	Chairperson	-	-
Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. April 13, 2024 & upto March 28, 2025)	4	4
	Member (upto April 12, 2024)	-	-
Aashish Chaturvedi, Independent Director	Chairperson (w.e.f. March 29, 2025)	-	-
Vijay Mittal, JS, MHI, Part-time Official Director	Member	4	3
Director (IS&P)	Member	4	3
Director (Power)	Member	4	4
Director (HR)	Member	4	4

Head-Law, Corporate Office is convener of the Committee and furnishes the required information for review by the Committee.

iii. Meetings and Attendance

The Committee had four meetings on May 21, 2024, September 5, 2024, November 29, 2024 and January 28, 2025 during the year under review. The details of attendance of each member is given in the above table.

2.12 Particulars of senior management personnel including the changes therein since closure of the previous financial year

Senior Management Personnel in BHEL as on March 31, 2025 for the purpose Regulation 16 (1) (d) of the SEBI Listing Regulations, 2015 comprise of the following employees:

Name (S/Shri)	Name (S/Shri)
Rajesh Kohli	Arumoy Mukherjee*
Pankaj Rastogi	Jagat Singh*
Rajesh Pratap Singh Sisodia	Vinod Jacob Sam*
K Bharaneedhar Raja	Ajay Kumar Verma*
Chavali Venkat Rao	Rakesh Kumar Chokhani
S Prabhakar	Aruna Gulati
S M Ramanathan	Ravinder H Teckchandani
M Arunmozhi Devan	Rajesh Sharma

Name (S/Shri)	Name (S/Shri)
Y Srinivasa Rao	Yatindra Mohan
Praveen Kishore	Sanjiv Srivastava
Sanjeev Kumar Roy	Rizwan Faisal Siddiqui
Sanjay Dayaram Goswami	Abhishek Srivastava
Jitendra Das	Parthasarathi Das
Alok Kumar Singhal	Sunil Diwakar
Vinay Kumar Bassi	N Ramesh Kumar
Bethapudi Shyam Babu	Kul Bhushan Aggarwal
K Ashok	Swapan Kumar Bhattacharya
Sanjay Goel	Sandeep Kataria
Rajeev Singh	Rajiv Jain
Rakesh Singh*	V K Singh
Gummalla Subrahmanyam*	Ranjan Kumar
M Sridhar*	Dr. Yogesh R Chhabra
Sibaprasad Gangopadhyay*	

*Promoted as Executive Director of the company on January 6, 2025

2.13 Senior Management Personnel of the Company who superannuated during FY 2024-25 as under:

Sl. No	Name (S/ Shri)	Date of Superannuation
1	Akhil Mehrotra	April 24, 2024
2	Isadore Mariapron	May 24, 2024
3	V J Rajasundar	June 24, 2024
4	K Ravishankar	August 24, 2024
5	Anil Jain	September 24, 2024
6	S Jithender Reddy	November 24, 2024
7	Rahul Bansal	January 24, 2025
8	Vinay Nigam	January 24, 2025
9	T S Murali	February 24, 2025
10	Navin Saxena	February 24, 2025

Case of cessation

Sl. No	Name (S/ Shri)	Date of Cessation
11	Rajeev Kumar Gupta*	October 10, 2024

*Joined Board level position in BEML

Shri Rajesh Kumar Dwivedi, Director (Finance) has been designated as Chief Financial Officer (CFO) of the Company w.e.f. June 19, 2024 in place of Shri K. Sadashiv Murthy, CMD who had been earlier designated as CFO w.e.f. April 25, 2024.

2.14 General Meetings

i. Location and time of last three AGMs:

Year	Location	Date	Time
FY 2021-22 (58 th AGM)	Meeting was held through video-conferencing. Deemed venue was Registered Office of the Company	September 29, 2022	10.00 a.m.
FY 2022-23 (59 th AGM)		August 24, 2023	10.00 a.m.
FY 2023-24 (60 th AGM)		August 22, 2024	10.00 a.m.

ii. Details of Special Resolutions passed in previous three AGMs

In line with the provisions of Regulation 25(2A) of the SEBI Listing Regulations, Special Resolutions were passed in the 58th Annual General Meeting held on September 29, 2022 for appointment of Dr. Raj K. Agarwal, Dr. K. Sivaprasad and Dr. Lekhasri Samantsinghar as Independent Directors and thereafter in the 59th Annual General Meeting held on August 24, 2023 for appointment of Shri Ramesh Patlya Mawaskar as Independent Director of the Company.

iii. Postal Ballot

No special resolutions were passed through postal ballot in the previous year. Presently there is no proposal for passing any special resolution through postal ballot during FY 2025-26.

2.15 Disclosures

i. Disclosures on materially significant related party transactions that may have potential conflict with the interests of Company at large

The Company has not entered into any materially significant related party transactions (RPTs) that may have potential conflict with the interests of the Company at large. Nonetheless, transactions with related parties have been disclosed in Notes to the financial statements 2024-25 in the Annual Report.

The Company's policy for determining Material Subsidiaries and policy dealing with Related Party Transactions is available at

<https://www.bhel.com/sites/default/files/Policy%20on%20RPTs%2C%20Materiality%20of%20RPTs%20and%20Material%20Subsidiaries.pdf>

ii. Non-compliances, penalties & strictures imposed on the Company related to capital markets during the last three years

There were no cases of non-compliance by the Company on any matter related to capital markets during the last three years and no penalties/ strictures were enforced on the Company by Stock Exchanges/ SEBI or any other statutory authority on any matter related to capital market.

However, the Company has been receiving notices from NSE and BSE, imposing fine, for non-compliance with the provision of Regulation 17 (1) of the SEBI Listing Regulations regarding composition of Board, as the number of Independent Directors is less than the minimum prescribed. Further, since the Board comprised of only one Independent Director w.e.f. 02.11.2024, resulting in non-compliance with the requirements of certain clauses of Regulations 18 & 19 of the SEBI Listing Regulations pertaining to composition of the Audit Committee and the Nomination & Remuneration Committee respectively, the Stock Exchanges' sent notice for the quarter ended 31.12.2024 & 31.03.2025 and imposed

fine for these non-compliances as well. In response to the notices, the Company clarified to the Exchanges that the shortfall in the number of Independent Directors was not due to any negligence/ default of the Company, as the appointment is not within its control. In view thereof, the Company has periodically requested the Exchanges to waive-off the fine, under their carve-out policies, and both the Exchanges have communicated that BHEL's request for waiver of the fines levied for the quarters upto 31.12.2021, has been approved. The matter of appointment of Independent Directors is under process with the Government of India. During FY 2022-23, the Company also received notices from NSE and BSE imposing fine for non-compliance with Regulation 57(1) of the SEBI Listing Regulations regarding delay in filing of intimation about redemption obligation of Commercial Paper during COVID in January, 2021. Based on the representation of the Company seeking waiver of fine considering exceptional COVID times, the Stock Exchanges waived the fine levied.

iii. Vigil Mechanism/Whistle Blower Policy

In pursuance of the DPE Guidelines on Corporate Governance for Central Public Sector Enterprises, the erstwhile Listing Agreement between listed companies & the Stock Exchanges and Section 177 of the Companies Act, 2013, the Whistle Blower Policy was duly approved by the Board of Directors in its 464th meeting held on August 12, 2014. The policy is also in line with the extant Listing Regulations. Subsequent to this, a Circular notifying the Whistle Blower Policy and informing the contact details of the Competent Authority and of the Chairman, Audit Committee was issued for the notice of all employees.

A copy of the Whistle Blower Policy has also been placed on the website of the Company (www.bhel.com) for wide publicity. Changes in address, contact number(s) and email address of the Competent Authority and Chairman, Audit Committee are being notified from time to time.

The complaints received from whistle blowers are being dealt with as per provisions of Whistle Blower Policy of the Company. All employees have access to the mechanism provided under policy for making a complaint.

iv. Compliance with the requirements of DPE Guidelines on Corporate Governance, compliance with mandatory requirements and adoption of the non-mandatory Corporate Governance requirements of Listing Regulations

All mandatory requirements of the DPE Guidelines on Corporate Governance for CPSEs and SEBI (Listing Obligations and Disclosure Requirements), 2015 have been duly complied with by the Company as on March 31, 2025 except appointment of requisite number of Independent Directors. With regard to the discretionary requirements under the Listing Regulations, BHEL is already in the regime of financial statements with unmodified audit opinion. BHEL has also sent a declaration of financial performance for

FY 2024-25, including summary of the significant events to the shareholders.

No expenditure has been debited in books of accounts which is not for the purpose of business and no expenses incurred and accounted which are personal in nature and incurred for the Board of Directors & Top Management. The other expenses (including administrative, and other miscellaneous expenses) as a % age of total expenses is 6.46% for the year 2024-25.

v. Presidential Directives

No Presidential Directive was received during the last three years i.e. FY 2022-23, FY 2023-24 and FY 2024-25.

vi. Risk Management

In compliance of SEBI Regulations, 2015 and amendments thereof, and the DPE guidelines on Corporate Governance for CPSEs, BHEL has in place, a Board approved Risk Management Charter & Policy, laid down procedures to inform Board members about the risk assessment, minimization and mitigation. An important purpose of the Charter is to implement a structured and comprehensive risk management system across the company which ensures that the risks are being properly identified and effectively managed. The risk management process includes risk identification, risk assessment, risk evaluation, risk mitigation and regular review & monitoring. Details are in Section 1.11 of 'Risks and Concerns'.

vii. Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013

The information on disclosure in relation to Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013 is part of Board's Report and is available as Annexure-I to Section 1.8.5.2 'Safeguard of Women at Workplace'.

viii. Utilization of funds raised through preferential allotment or qualified institutions placement as specified under Regulation 32 (7A)

NIL

ix. Total fees for all services paid by the listed entity and its subsidiaries, on a consolidated basis, to the statutory auditors and all entities in the network firm/ network entity of which the statutory auditor is a part

Total fees for all services paid to the statutory auditors and branch auditors are disclosed in Note to the financial statements. The Company does not have any Subsidiary as on 31.03.2025. The auditors of joint venture companies (JVs) are appointed separately by the JVs and are not same auditors who are conducting audit of financial statements of BHEL.

x. Loans and advances to firms/companies in which directors are interested

NIL

xi. Details of material subsidiaries of the listed entity & statutory auditors thereof

Not Applicable

xii. Compliance Certificate on Corporate Governance

Compliance Certificate on Corporate Governance is enclosed.

2.16 Means of Communication

In line with the Listing Regulations, the Company issues a notice in advance, to the Stock Exchanges, of the Board Meetings in which the unaudited/ audited financial results are due for consideration. Further, the said results are intimated to the Stock Exchanges within statutory timeline, after they are taken on record/ approved. These approved financial results are published within 48 hours of conclusion of the Board Meeting in at least one English daily newspaper circulating in the whole or substantially the whole of India and in one daily newspaper published in the language of the region, where the registered office of the Company is situated and also uploaded on the Company's website (www.bhel.com). Other information pertaining to shareholders viz., changes in directorship, details of unpaid dividend, Annual Reports etc., are also displayed on the Company's website.

Official news releases including important events like receipt of major orders, major projects commissioned, important collaborations, other material events etc., are sent to the Stock Exchanges and simultaneously posted on the website of the Company. Detailed result documents & supplementary information/presentations are uploaded post quarterly financial result declaration on the stock exchange websites as well as on company's website. Further, BHEL engages investors via multiple virtual meetings, face to face interactions and investor conferences. Information, latest updates and announcement regarding the company can be accessed at BHEL Corporate website (www.bhel.com) under 'Investor Relations' section.

In compliance with Regulation 46 of the SEBI Listing Regulations, the Company disseminates on its website information which interalia contains, details regarding composition of various committees of the Board of Directors, code of conduct, policy dealing with RPTs, contact information of the designated officials of the Company responsible for assisting and handling investor grievances etc. There was no requirement for disclosure pertaining to any agreement pursuant to Clause 5A of paragraph A of Part A of Schedule III of SEBI Listing Regulations.

In pursuance of the "Green Initiatives" of the Ministry of Corporate Affairs, Government of India, the Company sends the Annual Report and the Notice convening the Annual General Meeting through email to those shareholders who have registered their email ids with the Depository Participants/ RTA and have not opted for a physical copy of the Annual Report. For continued success of this initiative, shareholders are requested to register their email-ids with their Depository Participants/ RTA.

2.17 General Shareholder Information

	AGM Date	Time	Venue
i.	August 19, 2025	10:00 AM	The Company is conducting meeting through VC pursuant to the MCA Circular dated September 19, 2024 read with MCA Circular dated May 5, 2020 and as such deemed venue for the AGM shall be the registered office of the Company. For details please refer to the Notice of this AGM.
ii.	Financial year	April 01, 2024 to March 31, 2025	
iii.	Record Date	Friday, August 1, 2025	
iv.	Dividend payment date	On or before September 17, 2025	

The annual return is available at <https://www.bhel.com/agm-related>

v. Dividend History:

The details of dividend paid by BHEL (and not due for transfer to Investor Education & Protection Fund) are summarized as under:

Year	Rate of Dividend	Total Amount of Dividend (₹ in Crores)	Date on which Dividend was Declared
2017-2018 (Final)	51%	374.48	19.09.2018
2018-2019 (Interim)	40%	278.57	05.02.2019*
2018-2019 (Final)	60%	417.85	19.09.2019
2021-2022 (Final)	20%	139.28	29.09.2022
2022-2023 (Final)	20%	139.28	24.08.2023
2023-2024(Final)	12.5%	87.05	22.08.2024
2024-2025 (Final)	25%	174.10	**

* Date of meeting of Board of Directors in which interim dividend was declared.

** The Board in its meeting held on May 16, 2025 recommended final dividend for FY 2024-25, subject to approval of shareholders in AGM.

Note:

- During FY 2017-18, the Company allotted Bonus equity shares to its Shareholders on 03.10.2017 in the ratio of 1:2 i.e. one fully paid up new Bonus equity share of ₹2 each for every two fully paid up equity shares. Consequently, the total number of shares increased from 244.76 Crores to 367.14 Crores.
- During FY 2018-19, the Company made Buy Back of 18,93,36,645 fully paid up equity shares representing 5.16% of the total issued and paid-up equity share capital of the Company from its shareholders as on the record date (i.e. Tuesday, November 06, 2018), on a proportionate basis, through the "Tender Offer" process at a price of ₹86 per equity share payable in cash for an aggregate consideration of ₹1,628.30 Crores. Consequently, the total number of shares have decreased from 367.14 Crores to 348.21 Crores.
- In case a shareholder has not claimed/received dividend for any of the last seven years and the same has not yet been transferred to the Investor Education & Protection Fund (IEPF), he/ she can claim this unpaid dividend by following the procedure uploaded on the Company's website (www.bhel.com). Unclaimed dividend for the year 2016-17 (Final), 2017-18 (Interim) and unclaimed sale proceeds of fractional shares pertaining to issuance of Bonus shares have already been transferred to IEPF during the year 2024-25. Further, unclaimed dividends for the year 2017-18 (Final) and 2018-19 (Interim) are due for transfer to IEPF on 18.10.2025 and 10.03.2026 respectively.
- In respect of dividend/shares which have been transferred to IEPF, shareholders can claim the same from IEPF authority by following the procedure prescribed under IEPF Authority (Accounting, Audit, Transfer and Refund) Rules, 2016. These Rules are available on the website of IEPF (www.iepf.gov.in) and company's website (www.bhel.com).

vi. a) Listing on Stock Exchanges

BHEL's equity shares are listed on the following Stock Exchanges for which listing fees for FY 2024-25 has been paid:

Name of the Stock Exchange
1. BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400 001
2. National Stock Exchange of India Limited Exchange Plaza, Plot no. C/1, Block - G, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051

In addition, the Commercial Papers issued by the Company are also listed on the BSE & NSE.

b) Payment of Annual Custodian Fee to Depositories

The Annual Custodian fee has been paid to NSDL and CDSL for the financial year 2024-25.

vii. Policy on Insider Trading

BHEL endeavours to preserve the confidentiality of unpublished price sensitive information and to prevent misuse of such information. For this purpose and in line with the SEBI (Prohibition of Insider Trading) Regulations, 1992, the Company had adopted "Code of Conduct for Prevention of Insider Trading" on 26th August, 2002. The Code has been periodically revised in line with SEBI (Prohibition of Insider Trading) Regulations, 2015 and subsequent amendments therein with the latest revised BHEL Code of Conduct for Regulating & Reporting Trading by Designated Persons & their Immediate Relatives and for Fair Disclosure effective from 01.03.2025. The objective of the Code is to regulate, monitor and report trading by Designated Persons and Immediate Relatives of Designated Persons towards achieving compliance with SEBI (Prohibition of Insider Trading) Regulations, 2015. The Code also provides for practices and procedures for fair disclosure of Unpublished Price Sensitive Information. Head-Corporate Strategic Management Department is the Chief Investor Relations Officer of the company under this code.

viii. (A) Registrar and Share Transfer Agent for Equity Shares (RTA)

The Company has appointed M/s Alankit Assignments Limited as its Registrar and Share Transfer Agent (RTA) for handling all matters relating to the equity shares of BHEL (both physical as well as demat mode). All matters relating to the equity shares of the Company such as consolidation, loss of share certificates, transmission, dematerialization, dividend, change of address, etc., and related correspondence and queries may be addressed to :-

M/s Alankit Assignments Limited

Unit: Bharat Heavy Electricals Limited
4E/2, Alankit House, Jhandewalan Extension,
New Delhi-110055
Tel No.: 011-42541234
Email: rta@alankit.com
Website: www.alankit.com

(B) Registrar & Share Transfer Agent for Commercial Papers:

M/s KFIN Technologies Limited

Selenium Building, Tower-B,
Plot No 31 & 32, Financial District,
Nanakramguda, Serilingampally,
Hyderabad, Rangareddy, Telangana - 500 032
Toll Free No.: 1800 309 4001
E-mail: einward.ris@kfintech.com
Website: www.kfintech.com

RTA's performance in servicing shareholders has been satisfactory. All the investor grievances have been promptly attended to.

ix. Share Transfer System

All share transfer activities under physical segment like receipt/dispatch of documents and their verification are being carried out by M/s Alankit Assignments Limited. As per SEBI (Listing Obligations and Disclosure Requirements (Fourth Amendment) Regulations, 2018, w.e.f. 01.04.2019, requests for effecting transfer (except in case of transmission or transposition) of securities shall not be processed unless the securities are held in the dematerialized form. In line with Listing Regulations, share certificates/ letter of confirmations are being issued within the timeline prescribed for transmission, transposition, sub-division and consolidation.

x. Distribution of Shareholding

a. Distribution of shares according to size of holding as on March 31, 2025

No. of equity share(s) held	No. of Shareholders	% of Shareholders	No. of Shares	% of Shareholding
1 - 500	2026247	93.14	158793098	4.56
501 - 1000	82075	3.77	62871445	1.81
1001 - 2000	39048	1.79	57036843	1.64
2001 - 3000	11696	0.54	29763044	0.85
3001 - 4000	4740	0.22	16851657	0.48
4001 - 5000	3366	0.15	15761014	0.45
5001 - 10000	4923	0.23	35595825	1.02
10001 and above	3440	0.16	3105390429	89.19
Total	2175535	100.00	3482063355	100.00

b. Shareholding Pattern as on March 31, 2025

Category	2025		2024	
	Voting strength (%)	No. of Shares held	Voting strength (%)	No. of Shares held
Promoters Holding				
Indian Promoters				
President of India (POI)	63.17	2199650402	63.17	2199650402
Total Promoter holding	63.17	2199650402	63.17	2199650402
Non-promoters Holding				
Banks, Financial Institutions, Insurance Companies, Qualified Institutional Buyers, Alternative Investment Fund	10.30	358867677	10.26	357584062
Foreign Institutional Investors (including Qualified Foreign Investor)	7.19	250444508	8.75	304940320
Mutual Funds and UTI	6.09	211890398	5.75	200053800
Others				
Individuals, HUF, Employees	12.11	421904848	10.70	372317681
Bodies Corporate	0.51	17630063	0.63	21908106
NRIs & Foreign National/ Entity	0.50	17388097	0.50	17368702
Trust	0.03	1106220	0.03	1077273
Clearing Members	0.04	1319860	0.19	6607282
IEPF	0.02	627318	0.02	554027
Directors & Relatives	0	200	0	200
State Govt.	0	1500	0	1500
Central Govt.	0	7235	0	0
Limited Liability Partnership	0.04	1225029	0	0
Total Non-promoter holding	36.83	1282412953	36.83	1282412953
Grand Total	100	3482063355	100	3482063355

c. List of shareholders who are holding more than 1% of the shares of the Company as on March 31, 2025 (PAN Based)

Category & Shareholder's Name	March 31, 2025	
	Voting strength	No. of shares held
Promoters		
President of India	63.17	2199650402
Non-promoters		
Life Insurance Corporation of India	6.72	233921477
Nippon Life India Trustee Ltd.	2.47	85945391
NPS Trust	1.04	36353246

xi. Dematerialisation of shares and liquidity

In accordance with the directions of the Securities & Exchange Board of India (SEBI), trading in BHEL shares by all categories of investors in demat form has been made compulsory w.e.f. 5th April, 1999. BHEL has executed agreement with both the depositories of the country i.e. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) for admission of its securities under demat mode. As on 31st March, 2025, 99.98% (NSDL: 92.71%,

CDSL: 7.27%) of the total equity share capital of BHEL is being held in demat mode by the shareholders. Shares held in physical mode by the shareholders are 0.02%. Shareholding of Hon'ble President of India (being the Promoter of the Company holding 63.17% of the paid-up share capital of the Company) is also held in dematerialized form. The International Securities Identification Number (ISIN) allotted to the Company is INE257A01026. The Company has no demat suspense account / unclaimed suspense account.

xii. Directors & Officers and other Insurance Policies

The Company has taken Directors & Officers Liability Insurance covering legal liability (with regard to management of affairs of the company) to pay for damages or costs awarded against them and related costs & expenses.

Further, BHEL has taken special contingency insurance policies towards the risk arising out of (a) requirements relating to issuance of duplicate securities in order to safeguard and protect the interest of the Company and (b) claims in respect of verification report under Rule 7 of the Investor Education & Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016.

xiii. Outstanding GDRs/ ADRs/ Warrants or any convertible instruments, conversion date and likely impact on equity

NIL

xiv. List of Credit Ratings received during the current FY 2024-25 is disclosed in the main Report of the Board of Directors.

xv. Foreign Exchange risk or Commodity price risk and hedging activities

Hedging activities/ transactions during the financial year 2024-25 are in line with the Board approved Foreign Exchange Risk Management Policy.

Exposure of the listed entity to commodity and commodity risks faced by the entity throughout the year:

- a) Total exposure of the listed entity to commodities in INR: ₹4,163 Crore (approx.)
- b) Exposure of the listed entity to various commodities:

Commodity Name	Exposure in INR towards the particular commodity (in ₹ Crores) (approx.)	Exposure in Quantity terms towards the particular commodity (in MT) (approx.)	% of such exposure hedged through commodity derivatives				
			Domestic market		International market		Total
			OTC	Exchange	OTC	Exchange	
Steel	3201	461808			-		
Copper	787	8443			-		
Aluminium	148	4954			-		
Nickel	18	120			-		
Tin	8	30			-		

- c) Major Industrial commodities like Steel, Copper, Aluminium etc. are being procured centrally by one of the identified Units by bulking the requirements of various BHEL units, to the extent possible, and also by discovering the prices every quarter, so as to derive price advantage and insulate the Company against price fluctuations. Further, Framework Agreements with suitable PVC are finalized periodically. Also, a Unified Procurement Cell (UPC) has been established at Corporate Office for procurement of major commodities centrally starting with steel, which addresses all aspects for bringing down the procurement costs for commodities.

xvi. Plant locations

BHEL Manufacturing Units	
Bengaluru	1. Electronics Division (EDN)
	2. Electronics Systems Division (ESD)
	3. Solar Business Division (SBD)
Bhopal	4. Heavy Electrical Plant (HEP)
Goindwal	5. Industrial Valves Plant (IVP)
Haridwar	6. Heavy Electrical Equipment Plant (HEEP)
	7. Central Foundry Forge Plant (CFFP)
Hyderabad	8. Heavy Power Equipment Plant (HPEP)
Jagdishpur	9. Fabrication, Stamping & Insulator Plant (FSIP)
Jhansi	10. Transformer Plant (TP)
Rudrapur	11. Component Fabrication Plant (CFP)
Ranipet	12. Boiler Auxiliaries Plant (BAP)
Tiruchirappalli	13. High Pressure Boiler Plant (HPBP)
	14. Seamless Steel Tube Plant (SSTP)
Thirumayam	15. Power Plant Piping Unit (PPPU)
Visakhapatnam	16. Heavy Plates & Vessels Plant (HPVP)
BHEL- Repair Units	
Mumbai	1. Electrical Machine Repair Plant (EMRP)
Varanasi	2. Heavy Equipment Repair Plant (HERP)



xvii. Address for correspondence

Shareholders can send their queries and any other correspondence relating to the shares of the Company either to:

M/S Alankit Assignments Limited

UNIT: BHEL

4E/2, Alankit House
Jhandewalan Extension
New Delhi – 110055
Phone: 011-42541234
Email: rta@alankit.com

OR

Dr. Yogesh R Chhabra
Company Secretary
Phone: 011-66337474, 011-26001046
Email: shareholderquery@bhel.in

BHEL Regd. Office:

BHEL House, Siri Fort,
New Delhi – 110 049

Note: Shareholders holding shares in electronic mode should address all correspondence to their respective depository participants.

Declaration: Pursuant to Listing Regulations, it is hereby declared that all the Board members and Senior Management personnel have affirmed compliance with BHEL's "Code of Business Conduct and Ethics" for the financial year 2024-25.

For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.

K. Sadashiv Murthy
Chairman & Managing Director

Place: New Delhi
Date: July 25, 2025



P. P. AGARWAL & CO.
Company Secretaries



Awarded as the
Best Secretarial Audit Report 2021

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(pursuant to Regulation 34(3) and Schedule V Para C clause 10(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members of
Bharat Heavy Electricals Limited
BHEL House, Siri Fort, New Delhi-110049

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **Bharat Heavy Electricals Limited** having CIN: L74899DL1964GOI004281 and having registered office at BHEL House, Siri Fort, New Delhi-110049 (hereinafter referred to as 'the Company'), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para C clause 10(i) of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications {including Directors Identification Number (DIN) status at the portal www.mca.gov.in} as considered necessary and explanations furnished to us by the Company & its Directors/ officers, we hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on **31st March, 2025** have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities & Exchange Board of India, Ministry of Corporate Affairs, or any such other Statutory Authority:

Sr. No.	Name of Director (as per DIN)	DIN	Date of appointment in Company
1.	Koppu Sadashiv Murthy	09184201	01.11.2023
2.	Arti Bhatnagar	10065528	14.02.2023
3.	Vijay Mittal	09548096	25.03.2022
4.	Ramesh Patlya Mawaskar	10194932	08.06.2023
5.	Ashok Kumar Aseri	09405164	29.03.2025
6.	Aashish Chaturvedi	00534621	29.03.2025
7.	Krishna Kumar Thakur	10172666	04.07.2023
8.	Tajinder Gupta	10327530	20.09.2023
9.	Bani Varma	10337787	09.10.2023
10.	Rajesh Kumar Dwivedi	10048893	19.06.2024

Ensuring the eligibility of the appointment/ continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For **P. P. AGARWAL & CO.**
Company Secretaries

Place: New Delhi
Date: 30-04-2025

PRAMOD PRASAD
AGARWAL

Digitally signed by PRAMOD
PRASAD AGARWAL
Date: 2025.04.30 10:10:56 +05'30'

(Pramod Prasad Agarwal)
Proprietor
C.P. No. 10566, FCS: 4955
Peer Review no.1241/2021
UDIN: F004955G000234833

**AKHIL ROHATGI & COMPANY**

Company Secretaries
21, Shamnath Marg, Civil Lines, Delhi – 110054
Phone : 9810690633, 8527087435
Email : rohatgi_co_secy@yahoo.co.in
csdelhi84@gmail.com
GST No: 07ABTFA2714K1Z7

CERTIFICATE ON COMPLIANCE OF CONDITIONS OF CORPORATE GOVERNANCE

To,
The Members,
Bharat Heavy Electricals Limited
BHEL House, Siri Fort, New Delhi-110049

We have examined the compliance of conditions of corporate governance by Bharat Heavy Electricals Limited ("BHEL"/ "the Company") having CIN: L74899DL1964GOI004281, for the year ended March 31, 2025, as stipulated in the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 (SEBI Listing Regulations) and Guidelines on Corporate Governance for Central Public Sector Enterprises, 2010 issued by the Department of Public Enterprises (DPE), Government of India.

The compliance of conditions of corporate governance is the responsibility of the management of the Company. Our examination has been limited to review of procedures and implementations thereof, adopted by the Company for ensuring the compliance of the conditions of corporate governance as stipulated in the said Regulations and Guidelines. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with all the applicable conditions of corporate governance as stipulated in the SEBI Listing Regulations and DPE Guidelines on Corporate Governance during FY 2024-25 except that:

- 1) During the period under review, the number of independent directors on the Board were less than half of the total strength of the Board as required under Regulation 17(1) of the SEBI Listing Regulations and Para 3.1.4 of the DPE Guidelines on Corporate Governance. Further, the Company did not have an independent woman director as also required under Regulation 17 (1) during the time period 13.04.2024 to 31.03.2025; and
- 2) During the time period 02.11.2024 to 28.03.2025, composition of Audit Committee and Nomination & Remuneration Committee were not in accordance with Regulations 18 (1) & (2) and 19 respectively of the SEBI Listing Regulations and Paras 4.1.1 & 4.4 and 5.1 respectively of the DPE Guidelines on Corporate Governance, due to only one independent director on the Board of the Company.

The Company has explained that BHEL, being a Government Company, all the directors are appointed by the President of India, acting through administrative ministry and as such appointment of requisite number of independent directors is beyond the control of the Company. Further, the Company has been in constant communication with its administrative ministry requesting for appointment of independent directors on its Board so as to ensure compliance with corporate governance norms enunciated under the SEBI Listing Regulations and DPE Guidelines on Corporate Governance. With effect from 29.03.2025, two independent directors were appointed on the Board and the Audit

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DEEPAK KUMAR
KUMAR Date: 2025.05.29
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**AKHIL ROHATGI & COMPANY**

Company Secretaries
21, Shamnath Marg, Civil Lines, Delhi – 110054
Phone : 9810690633, 8527087435
Email : rohatgi_co_secy@yahoo.co.in
csdelhi84@gmail.com
GST No: 07ABTFA2714K1Z7

Committee and Nomination & Remuneration Committee were also reconstituted in compliance with the requirements of the SEBI Listing Regulations and DPE Guidelines on Corporate Governance.

We further state that such compliance certificate is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

Place: Delhi
Date: 29.05.2025

For Akhil Rohatgi & Co.
Company Secretaries

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Date: 2025.05.29
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CS Deepak Kumar

FCS: 10189, COP:11372

ICSI Unique Regn Code No: P1995DE072900

Peer Review No.1152/2021

UDIN No: F010189G000481154



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[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

(a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

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GST No: 07ABTF2214K1Z7

- (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
 - (c) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations');
 - (d) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018; [Not applicable on the Company during the audit period];
 - (e) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021; [Not applicable on the Company during the audit period];
 - (f) The Securities and Exchange Board of India (Issue and Listing of Non-convertible Securities) Regulations, 2021;
 - (g) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; [The Company was not engaged in the activities relating to Registrar to an Issue and was also not acting as Share Transfer Agent, Hence the aforesaid Regulations were not applicable to the Company during the audit period];
 - (h) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; [Not applicable on the Company during the audit period];
 - (i) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; [Not applicable on the Company during the audit period];
- (vi) Other labour, environment and specific applicable Acts/ Laws to the Company for which secretarial audit was conducted including as listed below (being verified on the basis of periodic certificate under internal compliance system submitted to the Board of Directors of the Company):
- (a) Factories Act, 1948 and other Labour Laws (to the extent as applicable);
 - (b) Right to Information Act, 2005;
 - (c) Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013;
 - (d) Atomic Energy (Radiation Protection) Rules, 2004;
 - (e) Batteries (Management and Handling) Rules, 2001;
 - (f) Indian Boilers Act, 1923; and
 - (g) Manufacture, Storage and Import of Hazardous Chemical Rules, 1989.

We have also examined compliance with the applicable clauses of the following:

- a. Mandatory Secretarial Standards issued by the Institute of Company Secretaries of India (ICSI); and
- b. Guidelines on Corporate Governance for Central Public Sector Enterprises issued by the Department of Public Enterprises (DPE), Government of India;

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csdelhi84@gmail.com
GST No: 07ABTFA2714K1Z7

We have not examined the applicable financial laws, like direct and indirect tax laws, since the same have been subject to review by statutory financial audit and other designated professionals.

We report that during the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. as mentioned above except that:

- 1) During the period under review, the number of independent directors on the Board of the Company was less than half of the total strength of the Board as required under Regulation 17(1) of the SEBI Listing Regulations, Para 3.1.4 of the DPE Guidelines on Corporate Governance and Section 149 (4) of the Companies Act, 2013. Further, the Company did not have an independent woman director during the time period 13.04.2024 to 31.03.2025 as required under Regulation 17 (1) of the SEBI Listing Regulations and Section 149(1) of the Companies Act, 2013; and
- 2) During the time period from 02.11.2024 to 28.03.2025, composition of the Audit Committee and Nomination & Remuneration Committee were not in accordance with Regulations 18 (1) & (2) and 19 respectively of the SEBI Listing Regulations, Paras 4.1.1 & 4.4 and 5.1 respectively of the DPE Guidelines on Corporate Governance and Sections 177(2) and 178 (1) respectively of the Companies Act, 2013, due to only one independent director remaining on the Board of the Company during the said period.

The Company has explained that BHEL, being a Government Company, all the directors are appointed by the President of India, acting through administrative ministry and as such appointment of requisite number of independent directors is beyond the control of the Company. Further, the Company has been in constant communication with its administrative ministry requesting for appointment of independent directors on its Board so as to ensure compliance with corporate governance norms enunciated under the SEBI Listing Regulations, DPE Guidelines on Corporate Governance and Companies Act, 2013. With effect from 29.03.2025, two independent directors were appointed on the Board and the Audit Committee and Nomination & Remuneration Committee were also reconstituted in compliance with the legal provisions.

We further report that:

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors and Non-Executive Directors. However, as mentioned above, the company did not have requisite number of independent directors on its Board during the period under review. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Generally, adequate notice is given to all directors to schedule the Board & Committee meetings as per the statutory provisions and agenda & detailed notes on agenda were sent atleast seven days in advance, except those which were sent at shorter notice, were taken up after obtaining requisite permission as required under Secretarial Standard-1 of ICSI. Further,

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KUMAR

Digitally signed by DEEPAK KUMAR
DN: cn=Deepak Kumar, o=AKHIL ROHATGI & COMPANY, ou=Company Secretaries, email=rohatgi_co_sec@yahoo.co.in, c=IN
[Signature]

**AKHIL ROHATGI & COMPANY**

Company Secretaries

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csdelhi84@gmail.com

GST No: 07ABTFA2714K1Z7

a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions made at the Board and Committee meetings were carried out unanimously as recorded in the minutes of the meetings of the Board of Directors or respective Committee of the Board, as the case may be.

There was no prosecution initiated during the year under review against/ on the Company, its Directors and Officers. However, during the year under review, BSE Limited and National Stock Exchange of India Limited each have issued notices to the Company for non-compliance of Regulation 17 (1) of the SEBI Listing Regulations during FY 2024-25 in respect of non-appointment of requisite numbers of independent directors and non-compliance of Regulations 18 (1) & (2) and 19 of the SEBI Listing Regulations for the period from 02.11.2024 to 28.03.2025 pertaining to constitution of the Audit Committee and Nomination & Remuneration Committee. In response to the notices, the Company has clarified to the Exchanges that the shortfall in independent directors was not due to any negligence/ default of the Company, as the appointment is not within its control. In view thereof, the Company has requested the Exchanges to waive-off the fine under their carve-out policies.

We further report that based on the information received and records maintained, there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with other applicable laws, rules, regulations and guidelines.

We further report that during the audit period, no specific events/ actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. has occurred in the Company.

For Akhil Rohatgi & Co.
Company Secretaries

**DEEPAK
KUMAR**

CS Deepak Kumar

FCS: 10189, COP:11372

Peer Review No. 6826/2025

ICSI Unique Firm Regn No: P1995DE072900

UDIN No: F010189G000576997

Place: New Delhi

Date: 11/06/2025

[Note: This report is to be read with our letter of even date which is annexed as "Annexure-A" and forms an integral part of this report].

**AKHIL ROHATGI & COMPANY**

Company Secretaries

21, Shamnath Marg, Civil Lines, Delhi – 110054

Phone : 9810690633, 8527087435

Email : rohatgi_co_secy@yahoo.co.in

csdelhi84@gmail.com

GST No: 07ABTFA2714K1Z7

To,

Annexure –“A”

The Members,
Bharat Heavy Electricals Limited
BHEL House, Siri Fort,
New Delhi-110049

Our report of even date is to be read along with this letter as under:

- 1) Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records, based on our audit.
- 2) We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed, provide a reasonable basis for our opinion.
- 3) We have not verified the correctness and appropriateness of financial records and books of accounts of the Company.
- 4) Wherever required, we have obtained the management representation about the compliance of laws, rules and regulations and happening of events etc.
- 5) The compliance of the provisions of corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
- 6) The Secretarial Audit Report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

For Akhil Rohatgi & Co.
Company Secretaries

**DEEPAK
KUMAR**

CS Deepak Kumar

FCS: 10189, COP:11372

Peer Review No. 6826/2025

ICSI Unique Firm Regn No: P1995DE072900

UDIN No: F010189G000576997

Place: New Delhi

Date: 11/06/2025

Annexure – III: to the Board's Report: CEO and CFO Certificate

(in terms of Regulation 17(8) of SEBI (LODR) Regulations 2015)

To,

The Board of Directors
Bharat Heavy Electricals Ltd.,
New Delhi.

- (a) We have reviewed Financial Statements and the Cash Flow statement of Bharat Heavy Electricals Ltd for the year ended 31st March, 2025 and that to the best of our knowledge and belief:
 - (i) These statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - (ii) These statements together present a true and fair view of the Company's affairs and are in compliance with the applicable Ind AS, laws and regulations.
- (b) There are, to the best of our knowledge and belief, no transactions entered into by the company during the year 2024-25 which are fraudulent, illegal or violative of the Company's Code of Conduct.
- (c) We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of the internal control systems of the Company pertaining to financial reporting and we have disclosed to the Auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.
- (d) We have indicated to the Auditors and to the Audit Committee.
 - (i) Significant changes, if any, in internal control over financial reporting during the year 2024-25;
 - (ii) Significant changes, if any, in the accounting policies during the year 2024-25 and the same have been disclosed in the notes to the financial statements; and
 - (iii) Instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system over financial reporting.



(Rajesh Kumar Dwivedi)
Director (Finance) & CFO



(K. Sadashiv Murthy)
Chairman & Managing Director

Place: New Delhi

Date: 16.05.2025

Abode of Multidisciplinary Talent



9000+
Technical Graduates
Engineering strength
powering progress



1300+
Masters in Technology
Advanced technical expertise



1600+
MBA/PGDMs
Strategic Business
Leadership



50+
PhDs
Driving
Innovation



600+
**Finance
professionals**
CAs, ICWAs, CS

- Mature & seasoned workforce with **average age of 43 years** and **average experience 17 years**
- **100+ Doctors** and **30+ Law Officers**



SUSTAINABILITY, CORPORATE SOCIAL RESPONSIBILITY AND HEALTH, SAFETY & ENVIRONMENT

बी.एच.ई.एल. हरिद्वार द्वारा कॉर्पोरेट सामाजिक दायित्व के अंतर्गत शौचालय का निर्माण किया गया





BHEL is providing support for running schools and supporting inclusive education in schools located in its Haridwar and Jhansi units

Annexure – IV to the Board’s Report

Sustainability, CSR and HSE

4.1 Sustainability Performance – Environmental

The evolving dynamics of the global business environment have firmly positioned sustainability as a strategic necessity rather than an optional initiative. For BHEL, sustainability is deeply woven into the operational fabric, influencing every layer of planning, execution, and decision-making.

BHEL remains at the forefront of climate responsibility and environmental stewardship, constantly aligning with global best practices to reduce the Company’s ecological footprint and enhance positive social impact.

This section summarizes key initiatives and accomplishments for the year 2024–25 under environmental sustainability.

4.1.1 Responsible use of Material and Natural Resource Consumption

BHEL continues to prioritize judicious resource usage and conservation across all levels of operation. Optimizing material use not only strengthens cost-efficiency but also supports environmental goals, in alignment with UN Sustainable Development Goal 12 (SDG 12) – Responsible Consumption and Production.

The Company’s manufacturing units actively implement waste reduction strategies, including advanced nesting techniques to minimize metal scrap. Metal offcuts are either reused in production process or recycled responsibly, ensuring maximum feasible material use efficiency.

4.1.2 Energy Efficiency and Management

BHEL has been providing its customers with more energy efficient equipment and power plants with cleaner technologies and contributing towards energy efficiency and carbon emission reduction in alignment with UN Sustainable Development Goal 7 (SDG 7) - Affordable and Clean Energy.

Energy conservation is embedded in company’s operational ethos. Measures adopted in this direction include replacements with energy-efficient equipment, sealing energy leakages, and adoption of best-in-class energy management systems (ISO 50001).

Energy Audit was carried out, and more than 50 projects for energy conservation were identified across BHEL. These projects were completed in FY 2024-25 which will reduce power demand. Concurrently, renewable energy production

through captive solar installations rose to 39.48 million units during FY 2024-25, marking ~23% year-on-year increase. Over the past 8 years, BHEL's captive solar installation produced cumulative of 231.65 million units.

4.1.3 Water Stewardship

Your company is making concerted efforts for reducing water consumption, implementing recycle and reuse practices wherever feasible. Water conservation measures also include rooftop rainwater harvesting structures, check-dams to store rain water for groundwater recharging, and biodiversity preservation initiatives aligning seamlessly with UN Sustainable Development Goals 3, 6, 11, and 14.

During FY 2024-25, the company has continued its effort in creating new Rain Water Harvesting (RWH) systems and rejuvenating existing RWH systems which got defunct with passage of time. The total number of rain water harvesting systems and water bodies have gone above 140 in numbers, increasing the amount of rainwater harvested for recharging groundwater table and supporting biodiversity in BHEL campuses.

BHEL's waste and effluent management infrastructure includes 21 Effluent Treatment Plants (ETPs) and 19 sewage Treatment Plants (STPs). Notably, 11 of the Company's units are not letting out any effluent outside its boundary, setting benchmarks in sustainable water use.

4.1.4 Biodiversity and Green Cover

Approximately 40% of BHEL's land area is covered with vegetation, including trees, shrubs and bushes, as verified using satellite-based ecological assessment tools. BHEL campuses host nearly 3 million trees and shrubs, and Miyawaki Forests created in some of the campuses. Presence of a varieties of vegetation and water bodies help in supporting biodiversity.

During FY 2024-25, a total of 85,819 saplings were planted, exceeding set target of planting 50,000 saplings during the year. A large number of saplings were planted at various project sites too. Many of the BHEL's large campuses also include water bodies, enhancing ecosystems and supporting wildlife.

BHEL proudly joined the World Economic Forum's (WEF's) Trillion Trees Campaign (<https://www.1t.org>) during FY 2023-24, pledging to conserve and enhance existing green assets while scaling up afforestation.

4.1.5 Carbon Footprint Reduction

BHEL has pledged to achieve Net Zero emissions (Scope-1 and Scope-2) by 2047. Several activities are ongoing like

substituting high-emission fuels with cleaner alternatives (CNG, RLNG etc.), expansion of on-site solar capacity for captive usage and sourcing green electricity through Green Round the Clock (RTC) power purchase.

The Company has augmented its captive solar capacity by 7 MWp during FY 2024-25 taking total capacity to nearly 41.84 MWp. This has led to carbon emissions avoidance reaching to 28,704 Metric Tonnes in FY 2024-25, 8.8% improvement over the previous year. Extensive green cover in BHEL premises also acts as a vital carbon sink thereby adding to Net Zero goals.

4.1.6 Waste Minimization and Circularity

The company has well laid out systems for management of different types of wastes based on the principles of 3R (Reduce, Recycle, Reuse). Metal scraps are either reused/ recycled or sold to authorised agencies and biodegradable waste is composted or converted to bio-gas. Hazardous and e-waste are handled as per regulatory norms. During the year, Special Campaign 4.0 on Swachhata led to the disposal of ₹54.60 Crores worth of scrap. Furthermore, all 15 BHEL Townships are now certified as "Single Use Plastic Free", reflecting BHEL's commitment to cleaner living spaces.



Cleanliness drives organised at PSSR & ROD, Chennai, as a part of Swachhata Pakhwada

4.2 हरित बीएचईएल (HARIT BHEL) – Driving BHEL towards a Greener Tomorrow

In line with BHEL's commitment to sustainability and responsible growth, the company has launched a comprehensive green initiative — हरित बीएचईएल (HARIT BHEL) — aimed at transforming BHEL into a truly eco-conscious and environmentally responsible organization. This ambitious program is focused on achieving Net Zero emissions by the year 2047, in sync with India's long-term Net Zero target.

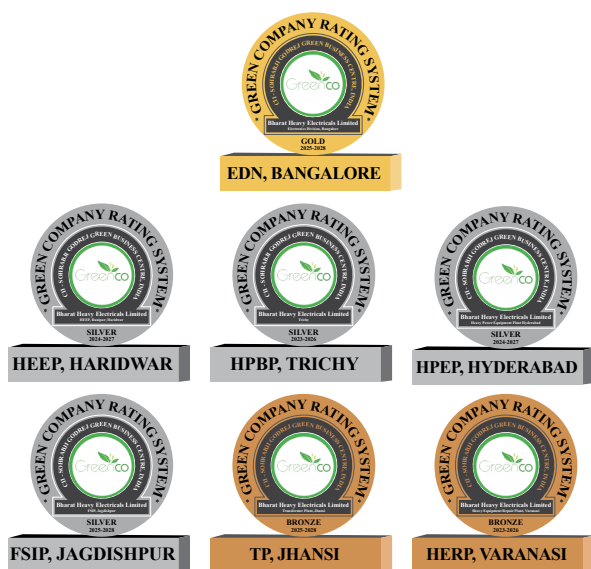
The हरित बीएचईएल (HARIT BHEL) initiative encompasses three pivotal components:

- 1. Targeting Net Zero Emissions by 2047:** BHEL is fully committed to reducing its environmental footprint

by becoming Net Zero in terms of Scope-1 (direct emissions) and Scope-2 (indirect emissions from purchased energy) by 2047. The company also intends to work collaboratively with customers, suppliers, and partners to reduce Scope-3 emissions across the entire value chain. This long-term vision will be achieved by adopting cleaner technologies, increasing the usage of renewable energy, efficient resource usage, and rigorous environmental governance. All manufacturing units have been given their baseline and road map has been prepared by them in line with the target. The Company's emission intensity has reduced by almost 7% during the year 2024-25 as compared to 2023-24.

2. **GreenCo Certification for Manufacturing Units:** To assess and improve the environmental performance of its operations, BHEL has gone for GreenCo Rating System by CII – Sohrabji Godrej Green Business Centre for its manufacturing units. This certification assesses existing green practices and provide recognition in form of GreenCo Rating and identifies opportunities for further improvement. This will help manufacturing units in their journey towards transforming themselves into model green manufacturing units.

During the last two financial years, seven manufacturing units have undergone assessment process and have been awarded GreenCo Rating.



3. **Key Sustainability Actions Implemented in 2024-25:** BHEL launched a number of sustainability actions across its manufacturing units during FY 2023-24 and they are being continued during FY 2024-25 as long term initiatives. These include but not limited to -

- i. Augmenting the capacity of Solar PV Plant for captive use in manufacturing units

- ii. Plantation of 85,819 saplings against target of 50,000 sapling across BHEL campuses.

In the coming years, HARIT BHEL will further deepen its impact through:

- Continued solar capacity augmentation
- GreenCo certification for remaining manufacturing units
- Implementation of water and energy audit recommendations
- Expansion of plantation drives and biodiversity projects
- Improved solid and liquid waste management systems
- Integration of sustainability at every level — from planning to execution

4.3 Health, Safety and Environment (HSE)

BHEL remains steadfast in its commitment to ensuring safety, protecting the environment, and promoting the well-being of people at workplace. The company strongly believes that emphasizing safety not only reduces costs but also boosts employee morale and strengthens its reputation. Guided by these principles, BHEL is actively fostering a culture of safety and sustainability, striving towards the ambitious goals of achieving "Zero Harm".

The company has Safety Management System which has matured over the last two decades. The safety management system framework conforming to ISO 45001, helps in adopting proactive approach towards identification of safety hazards and risks assessment, and taking mitigation measures. Regular internal and external audits are used as a tool to identify opportunities for improvement, and sharing of best safety practices between manufacturing units and project sites so as to enable mutual learning. Lot of efforts are being put for enhancing safety performance across the organization and building a robust safety culture in all spheres of activities. 'Safety Walks' by Head of the manufacturing units/project sites, daily Tool Box Talks, Safety Training and Retraining, Digital initiatives for implementation safety processes and monitoring of safety performances, Safety Reviews by the top management were some of the key thrust areas during the year.

During 2024-25, BHEL took various steps and initiatives for health and safety improvement of its human resources. These efforts included both internally driven programs and those prescribed by the Ministry of Heavy Industries and other government ministries and bodies. Key initiatives included the observance of 'Swachhata Pakhwada-2024' (August 16-31), 'Swachhata Hi Seva' (September 15-

October 2), and the 'Special Campaign 4.0 for Swachhata' (October 2–31, 2024). In addition, safety audits were conducted at various project sites, and the company observed the BHEL Safety Fortnight-2025 from March 4 to 17, 2025, beginning with National Safety Day. BHEL also celebrated Environment Awareness Month-2024 across the organisation from June 5 to July 4, 2024, starting with World Environment Day.

The efforts towards safety and health improvement are also being reflected in the form of reduction in Frequency Severity Index (FSI) encompassing data from units as well as project sites. FSI has been reduced to 0.248 in FY 2024–25, as compared to 0.310 in FY 2023–24. These efforts underscore the company's ongoing commitment to ensuring a safe and healthy working environment.

4.4 Sustainability Performance – Social

BHEL has identified Seven Thrust Areas for carrying out its CSR initiatives. These Seven Thrust Areas are elaborated in BHEL's CSR policy. All the activities in these thrust areas are in line with activities and areas mentioned in Schedule VII of the Companies Act, 2013. All CSR Allocations and Expenditure are as per the BHEL's CSR Policy, which in turn is in compliance with the extant provisions related to CSR in the Companies Act, 2013, Schedule VII to the Companies Act, The Companies (CSR Policy) Rules, 2014 and the extant DPE Guidelines issued from time to time on CSR expenditure by CPSEs. The total CSR budget for the financial year 2024-25 was ₹672 Lakh. Out of this, ₹435.91 Lakh (64.87%) has been allocated for CSR projects aligned with the common theme of "Health and Nutrition" for CPSEs in FY 2024-25, which will continue or be completed in FY 2025-26.



BHEL observed International Day of Persons with Disabilities in December 2024

Brief description of key interventions undertaken during the year are given below:

Educated India (शिक्षित भारत)

- Financial support for Habilitating special children in special care school at Ramachandrapuram, Hyderabad.
- Financial support to Arivalayam - a special care school and rehabilitation Centre for intellectually challenged children, at Trichy.
- Providing support for running schools located in BHEL manufacturing units at Haridwar and Jhansi.

Healthy India (स्वस्थ भारत)

- Financial support for Construction and Repair works at Mandya Institute of Medical Sciences (MIMS) Hospital, Mandya, Karnataka.
- Financial support to District Administration, Bhimavaram, West Godavari, Andhra Pradesh for various requirements at Primary Health Centres in West Godavari District, Andhra Pradesh.
- Financial support to Ashwamegh Gramin Panlot Kshetra Vikas Va Shaikshanik Sanstha (AGVSS) for project on Swastha Bharat in 350 villages from 10 Blocks of Amravati District, Maharashtra.
- Financial support to Sulabh International, Lucknow, for Construction of one 5 seated Sulabh Toilet Complex at Kapildhara, Varanasi, and six months maintenance of 11 existing Toilet Complexes in district Varanasi (at 4 Places) and Chandauli (at 7 Places), Uttar Pradesh.
- More than 30 projects on CSR Annual Theme "Health and Nutrition" viz. providing mobility aids to the physically



Inauguration of New ICU in Kasturba Hospital, BHEL Bhopal

disabled people, providing nutritional support kit along with awareness camps for Children/ Elderly/ Mothers and Pregnant Women/ TB patients, Medical and Health awareness camps, providing medical equipment's and Clean drinking water facilities and Toilets in nearby Government Hospitals/Health Centres, Yoga Classes etc. have been undertaken across India in the vicinity of BHEL units.

4.5 Annual report for CSR Activities

1. Brief outline on CSR Policy of the Company. **(Attached as Annexure-4A)**
2. Composition of CSR Committee

S. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee Held during the year	Number of meeting of CSR Committee attended during the year
1	Dr. K. Sivaprasad, Independent Director	Chairperson (upto November 1, 2024)	2	2
2	Ramesh Patlya Mawaskar, Independent Director	Chairperson (w.e.f. November 2, 2024)	1	1
3	Director (HR)	Member	3	3
4	Director (Finance)	Member	3	2

Head (CSR), Corporate Office is Permanent Invitee. Company Secretary acts as Secretary to the Committee.

3. Provide the web-link(s) where Composition of CSR Committee, CSR Policy and CSR Projects approved by the Board are disclosed on the website of the Company

Web-link : --- <https://www.bhel.com/csr>

4. Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable.

An Impact Assessment of following completed CSR projects valuing more than ₹1.00 Crore was got done from external agency. The details of projects are as below:

Project	Implementing Agency	Impact Assessment done by
Installation of 25 sets of Community Bio-digester Toilets Cluster along with drinking water facility.	FICCI	IIT Roorkee
Financial support to the "Professional Assistance for Development Action (PRADAN), NOIDA" for the project: Motivating AgRarian communities of Kandhamal (Odisha) for their Economic Transformation.	Professional Assistance for Development Action (PRADAN)	Crux Management Services Pvt. Ltd
Construction of Boys and Girls Hostel buildings at Government Polytechnic.	Dist. Panchayat Raj Engineer, PIU, Nizamabad	Crux Management Services Pvt. Ltd
Financial support in construction of Sarai building (for 100 people) at Dr. RPGMC, Kangra at Tanda in H.P.	Dr. RPGMC, Kangra	Crux Management Services Pvt. Ltd

Executive summary of Impact assessment reports is attached as **Annexure-4B1, 4B2, 4B3 and 4B4**. Detailed Impact Assessment report is available at the web link --- <https://www.bhel.com/csr>

5. (a) Average net profit of the company as per sub-section (5) of section 135.
₹336.23 Crores
- (b) Two percent of average net profit of the company as per sub-section (5) of section 135.
₹6.72 Crores
- (c) Surplus arising out of the CSR Projects or programmes or activities of the previous financial years.
Nil

- (d) Amount required to be set-off for the financial year, if any. **Nil**
- (e) Total CSR obligation for the financial year [(b) + (c) – (d)]. **₹6.72 Crores**
6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project). **₹191.66 Lakh**
- (b) Amount spent in Administrative Overheads. **₹9.61 Lakh**
- (c) Amount spent on Impact Assessment, if applicable. **₹0.59 Lakh**
- (d) Total amount spent for the Financial Year [(a) + (b) + (c)]*. **₹201.86 Lakh**
- (e) CSR amount spent or unspent for the Financial Year:

Total Amount Spent for the Financial Year (in ₹ Lakh)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per Section (6) of Section 135		Amount transferred to any fund specified under Schedule VII as per second proviso to sub-section (5) of section 135		
	Amount (In ₹ Lakh)	Date of Transfer	Name of the Fund	Amount	Date of Transfer
201.86	470.14	30.04.2025	N/A	N/A	N/A

- (f) Excess amount for set off, if any:

S. No.	Particular	Amount (In ₹ Lakh)
(i)	Two percent of average net profit of the company as per section 135 (5)	672
(ii)	Total amount spent for the Financial Year*	201.86
(iii)	Excess amount spent for the financial year [(ii) – (i)]	Nil
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii) – (iv)]	Nil

7. (a) Details of Unspent CSR amount for the preceding three financial years:

1	2	3	4	5	6	7	8
S. No.	Preceding Financial Year(s)	Amount Transferred to Unspent CSR Account under Sub-Section (6) of section 135 (in ₹ Lakh)	Balance Amount in Unspent CSR Account Under Sub-Section (6) of section 135 (in ₹ Lakh)	Amount Spent in the Financial Year (in ₹ Lakh)	Amount transferred to A Fund as specified under Schedule VII as per second proviso to sub-section (5) of section 135, if any	Amount remaining to be spent in succeeding Financial Years (in ₹ Lakh)	Deficiency, if any
					Amount (in ₹ Lakh)	Date of Transfer	
1	2021-22	Nil	2126.95	911.08	N/A	-	1215.87
2	2022-23	Nil	1215.87	600.50	N/A	-	615.37
3	2023-24	Nil	615.37	401.36	215.31*	29.04.2024	Nil

*Unspent CSR amount of FY 2020-21 amounting to ₹2,126.95 Lakh was transferred on 30.04.2021 to a separate bank A/c as per Companies (CSR Policy) Amendment Rules, 2021. Out of this ₹911.08 Lakh, ₹600.50 Lakh and ₹401.36 Lakh have been spent in FY 2021-22, 2022-23 & 2023-24 respectively. The unspent amount of ₹215.31 Lakh was transferred to PMNRF on 29.04.2024. This amount included unspent amount of ₹1.30 Lakh, out of liability created.

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: **No**

If Yes, enter the number of Capital assets created/ acquired: **N/A**

Furnish the details relating to such asset (s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year: **N/A**

S. No.	Short Particulars of the property or Asset (s) [including complete address and location of the property]	Pincode of the Property or Asset(s)	Date of Creation	Amount of CSR amount spent	Details of entity / Authority / beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, if applicable	Name	Registered address
-	-	-	-	-	-	-	-

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per sub-section (5) of section 135. **-N/A**

CSR budget for FY 2024-25 was ₹6.72 Crores. Full amount of CSR budget for FY 2024-25 i.e. ₹6.72 Crores was allocated to different CSR Projects. Out of total allocated CSR Budget, ₹201.86 Lakh has been spent and remaining amount of ₹470.14 Lakh have been transferred to unspent CSR account on 30.04.2025.

10. We hereby declare that the implementation and monitoring of CSR Policy is in compliance with CSR objectives and Policy of the company.

Chairman & Managing Director

Chairperson
(CSR Committee)

New Delhi

Date: July 25, 2025



Annexure – 4A (Part of Section 4.5 Annual report for CSR activities)

BHEL Corporate Social Responsibility (CSR) Policy Outline

CSR Vision:

To be a responsible corporate citizen working towards a better tomorrow.

CSR Mission:

To sincerely & effectively discharge company's responsibility in the identified CSR thrust areas and other areas listed out in the Companies Act, 2013.

Objectives of the Policy:

- To define CSR projects or programs which BHEL plans to undertake and which fall within the purview of the Companies Act 2013, the Companies (CSR Policy) Rules, 2014 and the prevailing DPE Guidelines.
- Modalities of execution of such CSR projects or programs.
- Monitoring process of such CSR projects or programs.
- To make the stakeholders aware about CSR practices in BHEL.
- To work keeping in mind the larger objective of sustainable development in conduct of business and in pursuit of CSR agenda.

Salient Features of the Policy:

- It covers the requirements stated in the Companies Act, 2013, the Companies (CSR Policy) Rules, 2014 and DPE Guidelines on CSR & Sustainability;
- It defines the thrust areas for CSR activities, which are based on the activities mentioned in Schedule VII of the Companies Act, 2013.
- It specifies that 2% of average net profit during the three immediately preceding financial years will be allocated for CSR activities.
- The company shall give preference to the local areas for spending at least 75% of the amount earmarked for CSR activities.
- A project having total value equal to or more than Rs. 1 crore will be termed as Mega project and Impact assessment of such projects will be mandatorily got done through an external agency.
- There is a provision to reserve 5% of the annual CSR budget as Emergency Fund to take up relief activities for any disaster/calamity.
- It stipulates that 5% of total CSR expenditure for the year shall be kept as a reserve for capacity building including administrative overheads.
- It provides information about organizational structure for CSR in BHEL.

Web-Link to CSR Policy:

BHEL CSR Policy is hosted on www.bhel.com under CSR section and can be accessed through the link <https://www.bhel.com/csr>

Annexure – 4B1 (Part of Section 4.5 Annual report for CSR activities)



भारतीय प्रौद्योगिकी संस्थान रुड़की

सतत ऊर्जा केन्द्र

रुड़की - 247667, उत्तराखण्ड, भारत

INDIAN INSTITUTE OF TECHNOLOGY ROORKEE

Center for Sustainable Energy
ROORKEE-247 667, (UTTARAKHAND), INDIA

Tele : 01332-285344 , 285248 (HOD)

e-mail : head@cfse.iitr.ac.in

Executive Summary

The study aims at conducting the assessment of impact of CSR initiatives of BHEL for installation of 25 sets of community Bio-digester Toilets clusters along with drinking water facility along the bank of River Ganga (Haridwar & Rishikesh region). These bio-toilets convert the foul-smelling human waste into odourless gas and water that can be released at no risk to the ecosystem into the sewage system. Another benefit is that the methane produced is combustible and can, therefore, be used for various household chores such as cooking, heating water, etc. The impact assessment study is based on five functions in every project which are Relevance, Efficiency, Effectiveness and Uniqueness, Impact and Sustainability. The main objectives of the impact assessment study are as follows:

- ❖ Whether the Bio-digester toilet has been installed and working as per the requirement.
- ❖ Quality of the bio-digester and sanitation.
- ❖ Social impact on livelihood.

It measures the performance of BHEL, Haridwar in each of the above mentioned functions through a survey conducted in the target sites. The comprehensive results represent that projects are satisfactory on these measures and work done by BHEL, Haridwar are highly laudable and found to be in accordance with the requirement of project. The CSR initiative of BHEL, Haridwar towards healthcare of the travelers which lack community health centre is a paradigm move and needs to be appreciated as it focused on improving the quality of health of the visitors and daily passengers. The beneficiaries were satisfied with the services being provided to them. The holistic approach represented by BHEL, Haridwar in funding Biodigester toilets is remarkable.

[Signature]
05.05.2025

Prof. Soumitra Satapathi

Head

Center for Sustainable Energy
Indian Institute of Technology Roorkee
Roorkee-247 667, Uttarakhand, INDIA

Annexure – 4B2 (Part of Section 4.5 Annual report for CSR activities)

EXECUTIVE SUMMARY REPORT BY CRUX MANAGEMENT SERVICES P LTD

This report prepared by Crux Management Services P Ltd evaluates the progress and impact MARKET (Motivating AgRarianCommunities for Kandhamal)," for the welfare of Tribal community in Odisha.

Overall REESI Assessment

Project Details -Thematic Areas, SDH alignment And Impact assessment on REESI model										
PROJECT DETAILS					Parameters - (Rated on High , Medium Low)					
Project	Thema tic area as per	Locati on	Thrust areas	SDG alignm ent	Releva nce	Efficie ncy	Effecti venes	Uniqu eness	Impact	sustai nabili
MARKET (Motivating AgRarianCommunities for Kandhamal)," for the welfare of Tribal community in Odisha	Inclusive India	Kandhamal	Inclusive India	SDG 1: No Poverty, SDG 5: Gender Equality, SDG 8: Decent Work and Economic Growth	High	Mdm	Mdm	Mdm	High	Mdm

Important Recommendations:

1. Strengthen Sustainability of Project Interventions:

- **Irrigation Infrastructure Maintenance:** Establish community-led irrigation committees and train local farmers in maintaining irrigation systems.
- **Farmer Organization Capacity Building:** Develop a curriculum for training PG leaders in financial management, organizational development, and leadership skills to ensure sustainability.

2. Improve Monitoring and Evaluation (M&E): Granular Monitoring System:

Introduce an M&E framework that tracks gender, socio-economic status, and agricultural performance .

3. BHEL Employees' Participation in the CSR Process

As the employee participation is very low, it is recommended that the same is addressed. By engaging in CSR, employees align with BHEL's core values of integrity, excellence, and commitment. This strengthens employee loyalty and helps amplify the company's values both inside and outside the organization. The participation of BHEL employees in CSR is crucial for the success of the company's social initiatives.

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Annexure – 4B3 (Part of Section 4.5 Annual report for CSR activities)

EXECUTIVE SUMMARY REPORT BY CRUX MANAGEMENT SERVICES P LTD

Impact Assessment Study Report CSR Projects of BHEL- PSSR, Chennai For Hostel Construction

Project Scope: Building Construction: Development of Boys & Girls Hostel with a capacity of accommodating 100-154 students each.

Impact assessment on REESI model

Project Details -Thematic Areas, SDH alignment And Impact assessment on REESI model										
Project	Thematic area as per CSR policy	PROJECT DETAILS			REESI Parameters - (Rated on High, Medium, Low)					
		Location	Thrust areas	SDG alignment	Relevance	Efficiency	Effectiveness	Uniqueness	Impact	sustainability
Construction of Boys & Girls Hostel	Educated India	Govt Polytechnic, District Nizamabad, Telangana	Educated India	SDG 4, SDG5, SDG 10	H	H	H	H	H	M

CONCLUSION AND RECOMMENDATION

BHEL in future can adopt the following in its CSR programme planning

BHEL's hostel initiative at Nizamabad has significantly benefited students, particularly those from rural, low-income backgrounds, by providing affordable and safe accommodation. However, improvements in areas like facility maintenance, food quality, and communication can enhance its impact.

Recommendations:

- **Construction and Structural Integrity:** Conduct a post-construction quality audit to assess plumbing, electrical systems, and ventilation to ensure long-term durability.
- **Cleanliness and Maintenance:** Implement daily cleaning schedules, encourage student-led cleanliness initiatives, and establish regular maintenance feedback loops.
- **Long-Term Sustainability:** Develop a sustainability plan, including regular maintenance budgets and potential partnerships for financial support.

Crux Management Services P Ltd



Annexure – 4B4 (Part of Section 4.5 Annual report for CSR activities)

Executive Summary of Project

This report prepared by Crux Management Services P Ltd presents the **Impact Assessment** of the Corporate Social Responsibility (CSR) project titled “**Construction of Sarai with 54-Bed Facility at Dr. Rajendra Prasad Medical College and Hospital, District Kangra, Himachal Pradesh.**”.

Project Overview

Dr. Rajendra Prasad Government Medical College and Hospital (RPGMC), being one of the most prominent tertiary healthcare institutions in Himachal Pradesh, witnesses a high footfall of patients from across the state. Many of these patients and their caregivers are compelled to seek temporary shelter during prolonged medical treatment, often under challenging conditions. To address this critical need, a **Sarai (rest house)** with **54 beds** was constructed under a CSR initiative.

Impact Highlights

- **Direct Beneficiaries:** Over **6,000 individuals per year** have benefited from the facility since its inception.
- **Financial Relief:** Beneficiaries reported an average saving of **₹500–₹1,000 per day**, which would otherwise be spent on rented accommodation.
- **Accessibility and Convenience:** The Sarai's **strategic location within the hospital campus** ensures easy and immediate access to medical services, reducing treatment delays.

Evaluation on the REESI Parameter

Sl.No	Name of the Project	Parameters				
		Relevance	Efficiency	Effectiveness	Uniqueness	Impact & sustainability
1	CONSTRUCTION OF SARAI WITH 54-BED FACILITY AT DISTRICT KANGRA, HIMACHAL PRADESH	High	High	Medium	High	Medium

Challenges Noted

- Periodic maintenance and facility management requires a **dedicated operations team**.
- Currently, the booking system is manual; a **digital management system** is recommended.
- Demand for beds is not as per capacity available, Publicity is required to increase the occupancy.

Recommendations

- Implement a **real-time occupancy monitoring and booking system**.
- Collaborate with hospital administration for **regular maintenance and feedback collection**.
- Explore the possibility of **scaling the model** to other medical colleges and district hospitals across the state.



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Annexure-V to the Board's Report

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L74899DL1964GOI004281
2.	Name of the Listed Entity	BHARAT HEAVY ELECTRICALS LIMITED
3.	Date of incorporation	13 November 1964
4.	Registered office address	BHEL House, Siri Fort, New Delhi – 110049
5.	Corporate address	BHEL House, Siri Fort, New Delhi – 110049
6.	E-mail	shareholderquery@bhel.in
7.	Telephone	011-66337598
8.	Website	www.bhel.com
9.	Financial year for which reporting is being done	FY 2024-25
10.	Name of the Stock Exchange(s) where shares are listed	BSE LIMITED (BSE) AND NATIONAL STOCK EXCHANGE OF INDIA LIMITED (NSE)
11.	Paid-up Capital	₹696.41 Crore
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Sandeep Singh Baraith (Sr. DGM – Corporate Strategic Management), email: s.baraith@bhel.in , Phone: 011-66337554
13.	Reporting boundary-Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together)	Standalone basis
14.	Whether the company has undertaken assessment or assurance of the BRSR core	Yes, certificate enclosed
15.	Name of assessment or assurance provider	BUREAU VERITAS (INDIA) PRIVATE LIMITED
16.	Type of assessment or assurance obtained	Reasonable assurance

II. Products/services

17. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Power Segment	The Power Segment comprises equipment supplies and EPC works for coal and lignite, gas, hydro and nuclear power plant businesses and spares & services business, apart from new business of coal to chemicals.	74%
2	Industry Segment	The Industry Segment caters to major equipment supplies and EPC works for a number of industries including transportation, transmission, defence & aerospace, captive power plants, process industries, renewables, upstream and downstream oil & gas, e-mobility and energy storage, among others.	26%

18. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total contributed turnover
1.	Construction and maintenance of power plants	42201	22%
2.	Manufacture of steam or other vapour generating boilers and hot water boilers other than central heating boilers	25131	29%
3.	Manufacture of engines and turbines, except aircraft, vehicle and cycle engines	28110	18%
4.	Manufacture of electricity distribution and control apparatus (electrical apparatus for switching or protecting electrical circuits (e.g. switches, fuses, voltage limiters, surge suppressors, junction boxes etc.) for a voltage exceeding 1000 volts; similar apparatus (including relays, sockets etc.) for a voltage not exceeding 1000 volts; boards, panels, consoles, cabinets and other bases equipped with two or more of the above apparatus for electricity control or distribution of electricity including power capacitors.)	27104	8%
5.	Manufacture of electric power distribution transformers, arc-welding transformers, fluorescent ballasts, transmission and distribution voltage regulators	27102	8%
6.	Manufacture of electric motors (except internal combustion engine starting motors)	27103	3%
7.	Construction/erection and maintenance of power, telecommunication and transmission lines	42202	3%

NIC Code list link: https://www.ncs.gov.in/Documents/NIC_Sector.pdf

III. Operations

19. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	16	30	46
International	0	1	1

The company has 16 manufacturing units (or plants), 2 repair units, 4 regional offices, 9 service centres, and 15 regional marketing centres. For plant names and their locations, refer 'Pan India Presence'.

20. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	28 (States), 8 (Union Territories)
International (No. of Countries)	91

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Exports contribute to ~ 1.7% of total turnover

c. A brief on types of customers

BHEL customers span across Government, Government ministries, Government-owned entities, Semi-Government agencies, CPSEs, State PSUs, State electricity boards, Independent Power Producers (IPP) and Private companies.

IV. Employees

Definition of 'Employees', 'workers', 'permanent employee', 'permanent worker', 'employee other than permanent' and 'worker other than permanent' is in line with "Guidance note for business responsibility and sustainability reporting format". As per the interpretation of the definition, 'Employees' include 'Employees' as well as 'Workers' in 'Permanent' and 'other than Permanent' category in below data points.

21. Details as at the end of Financial Year:

- a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	27800	26183	94.18%	1617	5.82%
2.	Other than Permanent (E) *	20422	18758	91.85%	1664	8.15%
3.	Total employees (D + E)	48222	44941	93.20%	3281	6.80%
WORKERS						
4.	Permanent (F)	13332	12999	97.50%	333	2.50%
5.	Other than Permanent (G)*	20327	18664	91.82%	1663	8.18%
6.	Total workers (F + G)	33659	31663	94.07%	1996	5.93%

- b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	811	789	97.29%	22	2.71%
2.	Other than Permanent (E)*	75	58	77.33%	17	22.67%
3.	Total employees (D + E)	886	847	95.60%	39	4.40%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	358	355	99.16%	3	0.84%
5.	Other than Permanent (G)*	75	58	77.33%	17	22.67%
6.	Total workers (F + G)	433	413	95.38%	20	4.62%

*BHEL awards job/ works contracts to contractors at its various Units/ Divisions/ Departments/ Sites as per organizational needs. The number of workers with contractors varies from time to time.

22. Participation/ Inclusion/ Representation of women (Status as on March 31, 2025)

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	10	2	20%
Key Management Personnel (KMP)*	1	0	0%

* In BHEL, KMP includes Board of Directors and Company Secretary; w.r.t. row no. 2 in the table above, only Company Secretary is considered.

23. Turnover rate for permanent employees and workers

Turnover rate for the year is defined as 'Number of persons who have left the employment of the entity in the year*100/ Average number of persons employed in the category'.

	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent employees	3.60%	4.76%	3.67%	3.34%	4.59%	3.42%	4.01%	4.97%	4.15%
Permanent workers	2.73%	3.30%	2.75%	2.55%	4.43%	2.60%	3.21%	7.66%	3.41%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

24. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary/ associate companies/ joint ventures (A)	Indicate whether Holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1.	BHEL-GE GAS TURBINE SERVICES PVT. LTD.	Joint Venture	49.99%	No
2.	NTPC BHEL POWER PROJECTS PVT. LTD.	Joint Venture	50.00%	No
3.	RAICHUR POWER CORPORATION LTD.	Joint Venture	22.14%	No
4.	BHARAT COAL GASIFICATION AND CHEMICALS LTD.	Joint Venture	49.00%	No

Refer Annexure – IX to the Board's Report – Form AOC – I.

VI. CSR Details

25. CSR details

- (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)

Yes, CSR is applicable for BHEL

- (ii) Turnover: ₹27,355 Crores

- (iii) Net worth: ₹25,113 Crores

VII. Transparency and Disclosures Compliances

26. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes https://pgportal.gov.in/	193	4	-	186	1	-
Investors (other than shareholders)	No	0	0	-	0	0	-

Shareholders	Yes The contact details provided at www.bhel.com	2	0	-	8	0	-
Employees and workers	Yes (Internal system)	85	49	-	74	35	-
Customers*	Yes (Internal system)	358	42	-	330	74	-
Value Chain Partners	Yes https://suvidha.bhel.in/	55	10	-	61	11	-

* Consolidation of customer complaint under single system is under implementation

Refer Annexure – II to Board's Report, Corporate Governance, Shareholders committee

Refer Annexure – VIII to Board's Report, Vigil Mechanism

27. Overview of the entity's material responsible business conduct issues

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Energy Management and Carbon Footprint	O	Opportunity for energy conservation, energy efficiency, carbon emission reduction, use of renewable energy, maintain existing green cover and planting new saplings. Opportunity to transform the company into 'Green Company' to address climate change issues. Refer Section C: Principle 6	--	Positive Implications
2.	Water and waste Management	O	Opportunity for efficient use of different types of wastes including water and other waste generated during operations based on the principles of 3R (Reduce, Recycle, Reuse) thereby reducing the impact on environment.	--	Positive Implications
3.	Skilled Manpower	R	The lack of new skill set and competencies required for new products/ businesses pose risk for revenues in diversified areas. The depleting skilled manpower in the existing core business of thermal equipment manufacturing may pose risk in future.	Reskilling of workforce, fresh induction at entry level and lateral hiring of required skill sets. Refer Section C: Principle 3	Negative Implications

27. Overview of the entity's material responsible business conduct issues (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Health and Safety	R	Managing Safety and Health is an integral part of our businesses. The hazards and risks at the workplace(s), Project site(s), Shop(s) can cause harm to employees, workers and other stakeholders thereby hampering operations.	Employee and workers mandatorily undergo Health, Safety and Environment (HSE) related training on regular basis. There is greater thrust on training and retraining of workers, health check-up and fitness test of workers. Systems and Procedures are in place to conduct the regular safety inspections and safety internal and external audits done at regular frequency. Corrective actions are taken for all the observations given by the auditors (internal as well as external). Refer Section C: Principle 3	Negative Implications
5.	Human Rights and Labour conditions	R	Responsibility to identify and manage Human Rights issues and uphold labour standards in the operations and supply chains. Non-compliance to regulations on Human Rights and labour standards has associated risks and consequential damages.	BHEL policies are in line with the principles of Human Rights, the constitution of India and applicable laws. The company has special provisions for safeguarding of women employees at the workplace. BHEL complies with all the provisions of labour law applicable to BHEL. Refer Section C: Principle 3 and 5	Negative Implications
6.	Employee engagement, diversity and inclusion	O	- Employee engagement enhances productivity and hence affects the bottom line. - Diversity/ equal opportunity helps in upliftment of the civic society. The Company is an equal opportunity employer and does not discriminate based on gender, race, caste, religion, linguistic, region etc. in recruitment and employment relationship guided by GoI policies leading to a diverse culture and talent.	--	Positive Implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Social engagement and impacts	O	CSR plays an important role in uplifting vulnerable and marginalized societies. It also improves company's brand perception; attractiveness to customers, employees, and investors; and overall business success.	--	Positive Implications
8.	Data and Cyber Security	R	Risks emanating from cyber threat leads to loss in revenue on account of operational time loss and critical data loss (organisation and customer) affecting business.	The company has identified cyber security as one of the top risks. Accordingly, various mitigation measures have been taken for minimisation of the risk viz. the company is certified for ISO/IEC 27001 and has implemented Information Security Management System (ISMS) across organisation; implementation of Centralized solution for Endpoint security, Next-Gen Cyber Security Operations Centre (Cyber SOC), Security Orchestration Automation and Response (SOAR) and Web Application Firewalls (WAFs). Threat intelligence from external sources is integrated with Security Information and Event Management (SIEM) to ensure real time action. Further details have been included in Section 1.12 of the Board's Report.	Negative Implications
9.	Product Safety	R	Lack of Product quality and safe functioning of product impacts company's brand image, liability claims and increases cost (rework costs) etc.	The manufacturing facilities churn out a wide range of high quality and reliable products adhering to national and international standards. Every product offering of BHEL has product manuals which are labelled with detailed product labels/name plates/test certificates as per the requirement and terms of contracts with customers besides the mandatory statutory requirements. Customers are offered training on operating the products as per the contractual conditions.	Negative Implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Corporate Governance and business ethics	R	Values/ Ethical behaviour is acting in ways that are consistent with how the Company views moral principles and values. Not adhering can lead to reputational risks and adverse impact on business	BHEL believes in conducting its business in compliance with Corporate Governance procedures and code of conduct and ethics. BHEL codes/ procedure are in place such as whistle-blower policy, fraud prevention policy, CDA rules etc. Refer Principle 1.	Negative Implications
11.	Climate Change	R	Reduction in demand for capital goods products that emit GHG emissions. The reduction in demand is a direct consequence to country/ global level policy changes.	Adoption of new technologies and diversifying product portfolio with low emission products.	Negative Implications
12.	Sustainable product and services	O	New business opportunities in the field of Nuclear, Defence, Transportation, Coal to Chemical etc., due to energy transition and climate actions by our customers.	--	Positive Implications
13.	Material Sourcing	R	Geopolitical uncertainties, increasing same material demand from other sectors causes supply risk and material price volatility which may lead to delay in product deliveries as well as challenge in product pricing	Promoting 'Make in India'/ indigenization of items, etc.	Negative Implications
14.	Fuel Economy and Emissions in Use-phase (Operational life of the product)	O	Customer preferences for improved fuel economy, combined with regulations and restricting emissions, are increasing the demand for energy-efficient and lower- emission products in the industry.	--	Positive implications

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N ^a	Y	Y
b. Has the policy been approved by the Board? (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N ^a	Y	Y
c. Web Link of the Policies, if available [#]	i, ii, iii, iv	-	v	vi	-	v	-	vi	-
2. Whether the entity has translated the policy into procedures. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No/NA)	Y	N	N	N	N	N	N	N	N
4. Name of the national and international codes/certifications/labels/standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.*	e, f, g	a, b, c	b, c, e, f	f,	e, f, h,	b, d	f, g	f, h	a
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	NA	50% order book from non-fossil sector	NA	NA	NA	- Planting of 50,000 saplings - GreenCo rating assessment of two manufacturing units	NA	NA	NA
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	NA	11.6% during FY 2024-25	NA	NA	NA	85,819 saplings planted - Two manufacturing units assessed for GreenCo rating. FSIP received Silver Rating and EDN Bengaluru received Gold rating	NA	NA	NA

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

The issue of climate change and imperative for climate action has become a key factor influencing business strategies and policies. BHEL has always been an environment conscious organization and already offering many products and solutions for mitigating the impacts of climate change and further working on many related emerging technologies. The company has been working relentlessly for reducing environmental footprint of its own operations through a well laid out Environment Management System.

HARIT BHEL is a transformative initiative to make BHEL a green company, aiming for NET ZERO by 2047. Increasing the use of green energy, reducing water wastage, increasing rainwater harvesting to achieve water neutrality and adopting responsible waste management practices are key focus areas under the HARIT BHEL initiative.

This also includes enhanced focus on ESG principles, which in turn will help the company foster a culture of innovation in delivering environment friendly products and services.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy(ies).

Name: Krishna Kumar Thakur
Designation: Director (HR)
DIN: 10172666
Telephone: 011- 26001003
Email id: dhr@bhel.in

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.																	
Description of other committee for performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.																	
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.																	
Description of other committee for compliance with statutory requirements of relevance to the principles and rectification	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	P1	P2	P3	P4	P5	P6	P6	P7	P8
	Policies and procedures of the organization are subject to audits/ reviews by ISO 9001, ISO 14001, ISO 45001, ISO 27001, CAG, Parliamentary Committees, Administrative Ministry, etc.								

*a. ISO 9001; b. ISO 14001; c. ISO 45001; d. ISO 50001; e. ten principles of UNGC on human rights, labour, environment and anti-corruption; f. DPE guidelines g. SEBI LODR requirement; h. Companies Act 2013;

#

i. <https://www.bhel.com/code-business-conduct-ethics-board-members-senior-management-personnel>

ii. <https://www.bhel.com/code-conduct-prevention-insider-trading>

- iii. <https://www.bhel.com/bhel-fraud-prevention-policy-0>
- iv. <https://www.bhel.com/whistle-blower-policy>
- v. <https://www.bhel.com/sites/default/files/HSEPOLICY.pdf>
- vi. https://www.bhel.com/sites/default/files/BHEL_CSR_Policy_2022.pdf

Notes:

BHEL has practices and procedures established based on these principles, but do not have formal policy document with respect to one of them.

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	No	No	No	No	No	No	No	No	No
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	No	No	No	No	No	No	Yes	No	No
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	No	No	No	No	No	No	No	No	No
It is planned to be done in the next financial year (Yes/No)	No	No	No	No	No	No	No	No	No
Any other reason (please specify) *	No	No	No	No	No	No	No	No	No

*In respect of Principle 7 referring to Policy Advocacy, although company doesn't have policy but follows established practices based on 'Policy advocacy in a responsible manner'

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Ethics, Transparency and Accountability

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

BHEL conducts several training programmes for its employees and the Directors. These training programmes are curated based on the requirements and include several topics (which in some form covers the nine principles) within a program.

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by awareness programmes
Board of Directors*	8	Familiarization of Manufacturing Capabilities, Business Conduct and Listing Regulations	80.00%
Key Managerial Personnel	5	Amendments to SEBI Listing Regulations, SEBI Insider Trading Regulations, Investor Education and Protection Fund, Viksit Bharat, SME, POSH and New Labour Codes	100.00%
Employees# other than BoD and KMPs	1651	Technical, functional, safety, managerial and behavioural topics in line with nine principles	60.10%
Workers@	625		44.70%

* In BHEL KMP includes Board of Directors and Company Secretary; w.r.t. row no. 2, only Company Secretary is considered.

This includes BHEL's permanent employees and workers.

@ This includes BHEL's permanent workers

2. Details of fines / penalties / punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (INR)	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Penalty/ Fine	NIL	NIL	0	NIL	NIL
Settlement	NIL	NIL	0	NIL	NIL
Compounding fee	NIL	NIL	0	NIL	NIL

Non-Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Imprisonment	NIL	NIL	NIL	NIL
Punishment	NIL	NIL	NIL	NIL

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, BHEL has Whistle Blower Policy and Fraud Prevention Policy in place to fight menace of corruption and bribery. As a part of BHEL's persisting endeavour to set a high standard of conduct among its employees (other than those governed by standing orders), BHEL 'Conduct, Discipline and Appeal Rules-1975' is in place. https://bhel.com/sites/default/files/CDA%20Rules_0.pdf

The Company is subject to RTI Act 2005, audit by Statutory Auditors and CAG audit under section 139 of the Companies Act, 2013.

<https://www.bhel.com/bhel-fraud-prevention-policy-0>

<https://www.bhel.com/whistle-blower-policy>

Chief Vigilance Officer (CVO), who functions as a link between Central Vigilance Commission (CVC), Central Bureau of Investigation (CBI) and the Management, heads the Vigilance function in BHEL. Each of the Manufacturing Units and Power

Sector Regions of BHEL have a Vigilance set-up, headed by a Vigilance Executive reporting to the CVO. In the area of business dealings with vendors and customers, BHEL has signed an MoU with Transparency International India (TII) to adopt 'Integrity Pact' to make procurement and contracting more transparent by binding both the parties to ethical conduct. A panel of three (03) Independent External Monitors (IEMs) has been appointed to oversee implementation of Integrity Pact in BHEL, with due approval of Central Vigilance Commission. Details of IEMs are available at the link below.

<https://www.bhel.com/iems-under-integrity-pact-1>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25	FY 2023-24
Directors	0	0
KMPs	0	0
Employees	0	1
Workers	0	0

6. Details of complaints with regard to conflict of interest:

Details	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	--	0	--
Number of complaints received in relation to issues of Conflict of Interest of the KMPs (other than directors)	0	--	0	--

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest-

Refer Annexure - VIII to the Board's Report, Vigil Mechanism

8. Number of days of accounts payable ((Accounts payable * 365) / Cost of goods/ services procured) in the following format:

	FY 2024-25	FY 2023-24*
Accounts payable x 365 days	₹4,27,47,74,15,00,000	₹3,95,37,31,10,00,000
Costs of goods/ service procured	₹2,13,15,00,00,000	₹1,72,55,00,00,000
Number of days of accounts payables	201	229

*Note: Data of FY 2023-24 has been regrouped/rearranged to conform to the FY 2024-25 classification

9. Open-ness of business: Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases*	a. i) Purchases from trading houses (₹)	0	0
	ii) Total purchases (₹)	1,47,16,00,00,000	97,00,00,00,000
	iii) Purchases from trading houses as % of total purchases	0%	0%
	b. Number of trading houses where purchases are made	0	0
	c. i) Purchases from top 10 trading houses (₹)	0	0
	ii) Total purchases from trading houses (₹)	0	0
	iii) Purchases from top 10 trading houses as % of total purchases from trading houses (₹)	0%	0%
Concentration of Sales	a. i) Sales to dealer / distributors (₹)	0	0
	ii) Total Sales (₹)	2,73,55,17,00,000	2,29,20,52,00,000
	iii) Sales to dealer / distributors as % of total sales	0%	0%
	b. Number of dealers / distributors to whom sales are made	0	0
	c. i) Sales to top 10 dealers / distributors (₹)	0	0
	ii) Total Sales to dealer / distributors (₹)	0	0
	iii) Sales to top 10 dealers / distributors as % of total sales to dealer / distributors	0%	0%
Share of RPTs in	a. i) Purchases (Purchases with related parties) (₹)	1,49,00,000	1,25,00,000
	ii) Total purchases (₹)	2,13,15,00,00,000	1,72,55,00,00,000
	iii) Purchases with related parties as % of Total purchases	0.01%	0.01%
	b. i) Sales (Sales to related parties) (₹)	3,29,89,00,000	3,15,83,00,000
	ii) Total sales (₹)	2,73,55,17,00,000	2,29,20,52,00,000
	iii) Sales to related parties as % of Total sales	1.21%	1.38%
	c. i) Loan & advances given to related parties (₹)	16,00,000	0
	ii) Total loans & advances (₹)	31,90,00,00,000	25,08,00,00,000
	iii) Loan & advances given to related parties as % of Total loans & advances	0.01%	0%
	d. i) Investments in related parties (₹)	5,29,49,000	0
	ii) Total Investments made (₹)	5,29,49,000	0
	iii) Investments in related parties as % of Total Investments made	100%	0%

*Note: Total purchases under 'Concentration of Purchases' pertain to Goods & Services only (excl. works)

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
49	- Awareness on Public Procurement Policy for Micro and Small Enterprises (MSEs) – Order for MSEs (issued by Ministry of MSME-Gol) - Online supplier registration portal - Government-e-Marketplace (GeM) - BHEL General Conditions of Contract - BHEL SAMVAAD with domestic industry to identify local sources and provide impetus for Atmanirbhar Bharat	20%

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

The Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 have detailed provisions which require the Directors of the Board to disclose their concern or interest (including their shareholding) in any company(ies)/ bodies corporate/ firms/ other association of individuals, periodically as well as whenever there is any change in the disclosures already made. In this regard, the Directors also submit a certificate to the Board stating that they do not have any conflict of interest with regard to the business of the Company on account of their concern/ interest and whenever any such conflict/ interest arises they shall promptly inform the same to the Board.

Apart from this, the Company's Board has approved a 'Code of Business Conduct & Ethics for all Board Members and Senior Management Personnel'. The Code encompasses (i) General Moral Imperatives (ii) Specific Professional Responsibilities as well as (iii) Specific Additional Provisions for Board Members and Senior Management Personnel. In addition, for the purpose of clearly defining the roles and responsibilities of the Board and individual Directors and to enable the Board to effectively perform its role, the Board has laid down a Charter of the Board of Directors.

In addition to these processes which are in place to avoid/ manage conflict of interests involving members of the Board, the Independent Directors on the Board are required to comply with certain additional provisions viz., submission of declaration of their independence (i.e. they meet the criteria of independence and that they are not aware of any circumstance or situation, which exist or may be reasonably anticipated, that could impair or impact their ability to discharge their

duties with an objective independent judgment and without any external influence) and compliance with Schedule IV of the Companies Act which inter alia provides for (i) Guidelines of professional conduct (ii) Role and functions and (iii) Duties for Independent Directors.

Principle 2: Product lifecycle sustainability

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2024-25	FY 2023-24	Details
R&D	1.59%	2.09%	Developmental projects in more than 10 distinct technology fields were taken up to promote environmental sustainability.
Capex	4.89%	5.57%	Major CAPEX towards Establishment of Regasified Liquefied Natural Gas (RLNG) Infrastructure at BHEL Trichy, 30T Electric Arc Furnace (EAF) at BHEL CFFP Haridwar, 10 MTPH Gas Fired Boiler at BHEL Jhansi, etc.

Refer Annexure- VI to the Board's Report and Annexure-VII to the Board's Report

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)
- b. If yes, what percentage of inputs were sourced sustainably?

Yes, BHEL has implemented e-procurement/GeM as business improvement and sustainable business practice. Also, supplier registration is done in online mode only. BHEL sources varied input material and component from several of its value chain partners which are certified and compliant with standards such as ISO 14001, ISO 45001, ISO 9001 etc.

100% of our inputs are sourced sustainably.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

BHEL products fall under capital goods category where product life goes beyond 25 years in majority of cases. These goods sold to customer becomes their property as per the contractual terms and forms part of customer's asset in books of finance with depreciating nature. The market requirement is for extension of the life of products or systems through process of refurbishments or R&M. After end of desired life of capital goods, they become unfit for reuse and hence being disposed as scrap by owner of the capital good products.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Extended Producer Responsibility (EPR) is not applicable to BHEL's activities.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details.

No, company has not conducted Life Cycle Assessments for products.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Not applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Company's manufacturing processes generate metal scrap; however, engineering measures are taken to minimize waste generation. A good amount of manufacturing scrap subsequently undergoes recycling within the company and is reused. For example, steel scrap is used in Central Foundry Forge Plant (CFFP) at Haridwar for manufacturing of Steel Castings. Similarly, used sand from Foundry Plant is reclaimed and again used in preparation of fresh moulds. Reusable material is also used in packaging manufactured goods.

However, the financial value of such recycled/reused items in use is not separately being captured at the moment.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

BHEL's business is B2B in nature and products/ systems we supply fall under capital goods category with long lifecycle (25 years and beyond). All the associated packaging material for supplies becomes the property of our customers that spread across the country and abroad. After end of desired life of capital goods, they become unfit for reuse and hence being safely disposed as scrap by owner of the capital good products.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

As explained in point 4 (previous point).

Principle 3: Employees' well-being

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees*											
Male	26183	26183	100%	26183	100%	0	0%	26183	100%	0	0%
Female	1617	1617	100%	1617	100%	1617	100%	0	0%	1617	100%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	27800	27800	100%	27800	100%	1617	5.82%	26183	94.18%	1617	5.82%
Other than Permanent employees											
Male	18758	18758	100%	18758	100%	0	0	0	0%	0	0%
Female	1664	1664	100%	1664	100%	1664	100%	0	0%	269	16.17%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	20422	20422	100%	20422	100%	1664	8.15%	0	0%	269	1.32%

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	12999	12999	100%	12999	100%	0	0%	12999	100%	0	0%
Female	333	333	100%	333	100%	333	100%	0	0%	333	100%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	13332	13332	100%	13332	100%	333	2.50%	12999	97.50%	333	2.50%
Other than Permanent workers®											
Male	18664	18664	100%	18664	100%	0	0%	0	0%	0	0%
Female	1663	1663	100%	1663	100%	1663	100%	0	0%	268	16.12%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	20327	20327	100%	20327	100%	1663	8.18%	0	0%	268	1.32%

Note: *BHEL extends medical facility to its employees and their dependents. The facility is extended to its employees/ spouse on superannuation/ death as well. Day care facilities are also extended in several premises including BHEL's manufacturing plants.

^a In case of 'other than permanent workers', insurance is inbuilt in the Works contract.

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2024-25	FY 2023-24
i) Cost incurred on wellbeing measures (well-being measures means well-being of employees and workers (including male, female, permanent and other than permanent employees and workers))	₹1,76,75,00,000	₹1,69,41,00,000
ii) Total revenue of the company	₹2,88,42,87,00,000	₹2,44,80,70,00,000
iii) Cost incurred on wellbeing measures as a % of total revenue of the company	0.61%	0.69%

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees* covered as a % of total employees	No. of workers# covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees* covered as a % of total employees	No. of workers# covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI [®]	-	-	-	-	-	-
Others (BHEL Pension scheme)	100%	100%	NA	100%	100%	NA
Others (BHEL Medical facility)	100%	100%	NA	100%	100%	NA

* This includes only permanent employees (including permanent workers). For other than permanent employees, all the statutory requirements are met by their respective contractors.

This includes only permanent workers. For other than permanent workers, all the statutory requirements are met by their respective contractors.

[®] ESI is not applicable. None of the BHEL permanent employees fall within the eligibility criteria of ESI Act.

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, BHEL's premises and office are accessible to differently abled employees and workers. The structural modifications and other changes (in policies, etc.) are made according to the requirements of the Rights of Persons with Disabilities Act, 2016.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, the company takes affirmative action in recruitment and promotion for representation of employees from socio-economically backward sections of society, minorities, disabled personnel and women as mandated by the Government of India. The company is an equal opportunity employer and does not discriminate on the basis of gender, race, caste, religion, linguistic, region, disability etc. in recruitment and employment relationship.

In case of an employee made to retire on medical grounds prematurely, provisions of "The Rights of Persons with Disabilities Act, 2016" are kept in consideration. Additionally, Transfer and Job Rotation Policy mandated for applicability of Government guidelines for the transfers of Persons with Disabilities (PwD) employees.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

	Permanent employees		Permanent workers	
Gender	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Other	--	--	--	--
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Yes
Permanent Employees	Yes
Other than Permanent Employees	Yes

There is a well laid out grievance redressal mechanism through two schemes – one for workers and other for staff and officers. A grievance for the purpose of the scheme means a grievance of individual employee arising out of the implementation of Company policies/rules or Management Decisions. Both these schemes provide for three-tier resolution. Defined timelines are laid down for resolution of grievance at each stage. Besides, an appellate mechanism is also provided under the scheme, in the case of grievance redressal scheme for staff and officers, and aggrieved employee can approach in case he/she is not satisfied with the resolution of the grievance. For 'other than permanent employees/ worker', the grievances are settled on case-to-case basis or through the contractors as the case may be.

7. Membership of employees and workers in association(s) or Unions recognized by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) Or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	27800	27800	100.00%	28673	28673	100.00%
- Male	26183	26183	100.00%	26996	26996	100.00%
- Female	1617	1617	100.00%	1677	1677	100.00%
- Other	0	0	--	0	0	--
Total Permanent Workers	13332	13332	100.00%	14207	14207	100.00%
- Male	12999	12999	100.00%	13846	13846	100.00%
- Female	333	333	100.00%	361	361	100.00%
- Other	0	0	--	0	0	--

BHEL has 29 participative trade unions represented in the apex level bipartite body, namely the Joint Committee for discussing workers' and the Company's interest related issues, based on the principle of participative management.

All three categories of employees viz. executives, supervisors and workers are represented by their respective associations/ trade unions. However, since there is no check-off facility to ascertain the exact membership of executive/ supervisor associations and workers' unions, a firm number is not available.

8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F / D)
Employees										
Male	26183	3845	14.69%	12794	48.86%	26996	3733	13.83%	11466	42.47%
Female	1617	394	24.37%	1071	66.23%	1677	405	24.15%	1118	66.67%
Other	0	0	--	0	--	0	0	--	0	--
Total	27800	4239	15.25%	13865	49.87%	28673	4138	14.43%	12584	43.89%
Workers										
Male	12999	1614	12.42%	4072	31.33%	13846	1289	9.31%	3842	27.75%
Female	333	104	31.23%	152	45.65%	361	96	26.59%	181	50.14%
Other	0	0	--	0	--	0	0	--	0	--
Total	13332	1718	12.89%	4224	31.68%	14207	1385	9.75%	4023	28.32%

Note: Employees and workers considered here are permanent

9. Details of performance and career development reviews of employees and workers:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	26183	26055	99.51%	26996	26996	100%
Female	1617	1575	97.40%	1677	1677	100%
Other	0	0	--	0	0	--
Total	27800	27630	99.39%	28673	28673	100%
Workers						
Male	12999	12811	98.55%	13846	13846	100%
Female	333	304	91.29%	361	361	100%
Other	0	0	--	0	0	--
Total	13332	13115	98.37%	14207	14207	100%

Note: Employees and workers considered here are permanent

10. Health and safety management system:**a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?**

Yes, Occupational Health and Safety Management System (OHSMS) has been implemented across the organization. This system is applicable to all Manufacturing Units, Power Sector Regions and Divisions covering all the employees working with and for BHEL.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Company has robust systems and processes to identify the work-related hazards and assess risks on routine and non-routine basis. Some of them are mentioned below:

HIRA (Hazard Identification and Risk Assessment) – HIRA is implemented at all workplaces as a standard practice. This involves thorough process of identification of hazards and attached risk for each process or activity in a comprehensive manner at every department level with the participation of all employees. The created HIRA is periodically reviewed for updates and promptly revised if any changes in processes are identified.

JSA (Job Safety Analysis) – It is essential that maintenance jobs and other repetitive jobs having accident potentials are analysed for hazards and adequate safety measures are laid down. This is done at the stage of planning for job / process. Procedures are being established to conduct JSA at workplace. During Job Safety Analysis, the procedure is to select the job based on frequency of accidents, severity of potential injuries and any new job in which the accident risks are uncertain. The job is then broken down into sequential steps, hazards are identified at each step, and strategies are developed to eliminate these hazards and prevent potential accidents.

Method Statement – It outlines the safe way of performing a specific job or accomplishing a project and ensures that necessary precautions or control measures are communicated to those involved. A method statement provides evidence that significant health and safety risks have been identified and there are safety systems in place.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes, Employees are equipped with processes and procedures to report work-related hazards. Through structured training programs conducted periodically at the workplace, workers are educated to recognize unsafe acts and conditions. They can report these hazards through offline or online channels accessible at their work sites. Additionally, established procedures are in place to address and mitigate the reported cases effectively within the system.

App based system 'HSE Observer' has been implemented for registration of work-related hazards/ unsafe acts / unsafe conditions at project sites. User can submit HSE violations/ issues, incidents/ near misses and good practices through the application. Any employee can register an HSE issue through the App and the role of Safety Officials is to report and highlight the issues. Also, for critical issues, work has to be stopped followed by reporting and resolution. Safety team is expected to highlight the issue in safety reviews and follow up for closure.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, employees and workers have access to non-occupational medical and healthcare services, offered through company operated health care facilities as well as external healthcare facilities which are compensated suitably as per the company policy. BHEL has ensured the availability of suitable medical facilities even at the remote workplaces.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0.427	0.444
Total recordable work-related injuries	Employees	0	0
	Workers	43	43

No. of fatalities	Employees	0	0
	Workers	0	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	43	41

Note: For the purpose of safety statistics all people working inside the BHEL Units have been included in the term workers.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

BHEL believes that the employees and people associated with other partner entities are important stakeholders and thus their health, safety and well-being are paramount for business success. Company consistently enhances systems, policies, and procedures to strive for "Zero Harm" to its workforce. Additionally, BHEL actively fosters a safety-centric culture to reinforce a commitment to workplace safety and well-being.

At BHEL, special initiatives are being taken to inculcate the safety values in the work force at all levels through structured training programs, safety reviews, work to permit system, HIRA and JSA, mega tool box talk, internal and external audits, etc. Awareness and sensitization are increased enormously by the help of HSE campaigns i.e. BHEL Safety Fortnight-2025 (March 4 – March 17, 2025), BHEL Environment Awareness Month-2024 (June 5 – July 4, 2024), Swachhata Pakhwada-2024 (Aug 16 – Aug 31, 2024), Special Campaign 4.0 (Oct 2 – Oct 31, 2024). To encourage new and innovative activities and projects, several inter-unit competitions were organized in during above promotional campaigns.

The efforts taken by the company elucidate the intentions towards providing safe and healthy environment for the human resource working for and with BHEL.

13. Number of Complaints on the following made by employees and workers:

Benefits	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

Systems are in place at respective premises of BHEL for registration of unsafe conditions related to safety. The same is addressed promptly by concerned departments, and it is a continuous ongoing process.

14. Assessments for the year:

Assessment of	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

externally, at regular intervals. Any observations made by auditors, whether internal or external, are diligently addressed through corrective actions. Moreover, Root Cause Analysis (RCA) is carried out for all safety-related incidents, and appropriate corrective measures are promptly implemented. This is a continuous process / activity at BHEL.

Leadership Indicators

15. Provide details of any corrective action taken or underway to address safety-related (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

BHEL has established systems and procedures to conduct routine safety inspections, both internally and

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N)?

Yes, BHEL extends life insurance or compensatory package to both employees and workers in the event of death.

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

BHEL's value chain partners come under PF Act and ESI Act, which makes them liable to deposit statutory dues. Service contract between BHEL and service provider contains clause on 'payment terms' for necessary statutory payment like PF, ESI etc.

3. **Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been / are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:**

Nil. There are no eligible cases in respect of employees and workers, affected by high consequence work related injury/ ill-health/ fatalities during FY 2024-25 and FY 2023-24.

Category	Total no. of affected employees/ workers		No. of employees/ workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	0	0	0	0
Workers	43	43	0	0

Note: For the purpose of safety statistics/data all people working inside the BHEL Units have been included in the term Workers.

4. **Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

Yes, BHEL provides transition assistance to facilitate continued employability and the management of career endings resulting from retirement or termination.

5. **Details on assessment of value chain partners:**

All the BHEL's value chain partners come under relevant labour laws and acts. Because of which both central and state labour department conduct periodic inspections related to Health and Safety practices and working conditions at the premise of value chain partners. Any gaps identified are suitability addressed by the partners.

Assessment of	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	100%
Working Conditions	100%

6. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

Refer point 5 (previous point).

Principle 4: Stakeholder engagement

Essential Indicators

1. **Describe the processes for identifying key stakeholder groups of the entity.**

Stakeholders are individuals or groups concerned or interested with or impacted by the activities of BHEL and vice-versa currently or in future. BHEL, being a listed Company, the shareholders of the Company have been identified as one of the key stakeholders. Further, suppliers or value chain partners are stakeholders w.r.t procurement and they are identified against registration process and through pre-qualification requirements in open tenders. Also, customers and employees too are identified as important stakeholders. Communities, in and around our units, which are directly or indirectly impacted by BHEL's operations are too considered as stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community, Meetings, Notice Board, Website), Others	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	Email, Newspaper Advertisement, Disclosure available on Stock Exchanges and BHEL Website	Engagement is done on Quarterly, Half-yearly & Annual basis as well as whenever the event occurs	All material events affecting the Company as well as disclosures required under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Suppliers	No	Email, Advertisement, Vendor meets, website etc.	Need based	To make suppliers aware of: - Public Procurement Policy (Preference to Make in India) - Import substitution - Participating in tenders issued on GeM portal - Lodging and tracking grievances on BHEL's grievance redressal portal, SUVIDHA - BHEL's quality objectives
Employees	No	Email, Monthly Newsletter, Notice Boards, Intranet Websites, Shop Floor, Shop Council, Plant Council and Joint Council Meetings, Goonj-employee satisfaction survey	Regular	Leadership engagement with employees, motivate them and foster a sense of community within the organization. Employees contribute as change champions with their suggestions on various facets of the organization including policy, process, innovation, structure, financial management, safety etc. Employee engagement survey to periodically revisit the engagement levers.
Customers	No	Email, Advertisement, telephone calls, meetings, website etc.	Regular	Assessment of customer needs, their requirements, complaints resolution, business enquiries etc.
Communities	Yes	Meetings through local NGOs	Case-to-case basis	Assessing their problems and vulnerabilities, which hold them back in attaining better standard of living.

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The most important forum for the shareholders of BHEL to have access to the Board of Directors is at the Annual General Meeting of the Company. During these meetings, shareholders raise various queries regarding the performance, strategies and outlook of the company, share their grievances as well as provide valuable feedback regarding improvements in the company's performance, not only from a business perspective but also on critical economic, environmental and social topics/ areas.

Further, shareholders get to vote on critical matters including appointment of directors, payment of dividends, related party transactions, auditor's fees etc. which ensures transparency and good corporate governance practices at the Board level.

BHEL value chain partners have access to Independent External Monitors (IEMs), who are nominated by CVC for consultation. They also can share their issues with Vigilance function of company during vendor meets etc. Business Associates' meet are held for interactions with top management of BHEL, wherein the feedback received is addressed. Further, the Board is briefed on issues requiring their attention..

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes. Stakeholders have provided their support to various environmental and social endeavours of BHEL viz., indigenization under Atmanirbhar Bharat, utilization of solar energy and water harvesting capacity in BHEL's factories and project sites, empowerment of woman employees etc. Few examples supporting social and environmental topics are as follows which are based on the feedback received during the interactions with stakeholders:

1. Benefits to MSEs like waiver of EMD, purchase preference, PQR relaxation, etc.
2. Foraying into new Business areas like Coal to Chemical etc.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

For the underprivileged sections of the community, BHEL undertakes CSR projects and allocates funds based on baseline surveys conducted by local NGOs. These NGOs engage directly with communities during the surveys to understand their needs and challenges.

As part of engagement with vulnerable and marginalized stakeholders, BHEL has conducted 49 supplier meets including Micro & Small Enterprises, during the FY 2024-25.

Principle 5: Human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees workers covered (D)	% (D / C)
Employees						
Permanent	27800	5445	19.59%	28673	5187	18.09%
Other than permanent	20422	1321	6.47%	17361	570	3.28%
Total Employees	48222	6766	14.03%	46034	5757	12.51%
Workers						
Permanent	13332	2243	16.82%	14207	2036	14.33%
Other than permanent	20327	1321	6.50%	17244	570	3.31%
Total Workers	33659	3564	10.59%	31451	2606	8.29%

Note: Only HR policy related trainings are considered here w.r.t. policies

2. Details of minimum wages paid to employees and workers, in the following format:

Category Total (A)	FY 2024-25					FY 2023-24				
	Total	Equal to Minimum Wage		More than Minimum Wage		Total	Equal to Minimum Wage		More than Minimum Wage	
	No. (A)	No. (B)	% (B / A)	No. (C)	% (C / A)	Nos. (D)	No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	27800	0	0%	27800	100%	28673	0	0%	28673	100%
Male	26183	0	0%	26183	100%	26996	0	0%	26996	100%
Female	1617	0	0%	1617	100%	1677	0	0%	1677	100%
Other	0	0	--	0	--	0	0	--	0	--
Other than Permanent	20422	8752	42.86%	11670	57.14%	17361	7477	43.07%	9884	56.93%
Male	18758	8101	43.19%	10657	56.81%	15764	6862	43.53%	8902	56.47%
Female	1664	651	39.12%	1013	60.88%	1597	615	38.51%	982	61.49%
Other	0	0	--	0	--	0	0	--	0	--
Workers										
Permanent	13332	0	0%	13332	100%	14207	0	0%	14207	100%
Male	12999	0	0%	12999	100%	13846	0	0%	13846	100%
Female	333	0	0%	333	100%	361	0	0%	361	100%
Other	0	0	--	0	--	0	0	--	0	--
Other than Permanent	20327	8752	43.06%	11575	56.94%	17244	7477	43.36%	9767	56.64%
Male	18664	8101	43.40%	10563	56.60%	15648	6862	43.85%	8786	56.15%
Female	1663	651	39.15%	1012	60.85%	1596	615	38.53%	981	61.47%
Other	0	0	--	0	--	0	0	--	0	--

3. Details of remuneration/salary/wages

a. Median remuneration/ wages

Salary/ wage structure of BHEL employee and workers are set as per the guidelines of DPE.

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)*^	4	₹66,97,336	1	₹70,56,255
Key Managerial Personnel^ (other than BoD)	1	₹52,44,691	0	0
Employees other than BoD and KMP^	26178	₹16,67,839	1616	₹24,37,754
Workers^	12999	₹14,04,503	333	₹14,05,918

*Independent Directors and part time official Directors are not considered.

Total sitting fees paid to Independent Directors was ₹11,80,000 in FY 2024-25. Median sitting fees paid to Independent Director was ₹5,90,000 in FY 2024-25.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format

Details	FY 2024-25	FY 2023-24
Gross wages paid to females^ (₹)	₹4,08,48,17,799	₹3,96,46,00,000
Total wages^ (₹)	₹57,77,59,26,057	₹56,40,17,00,000
Gross wages^ paid to females as % of total wages	7.07%	7.03%

Note: Employees considered here are permanent employees of BHEL

^PP/SI/PRP has been considered in calculation on actual payment basis. Perks @16% is considered for Executives and Supervisors and Perks @31% is considered for workers. Data pertains to employees on rolls as on March 31, 2025.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. Grievance Redressal officers are there in each BHEL premise for addressing human rights issues.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

There is formal well laid out grievance redressal mechanism related to human rights issues. The mechanism provides for three-tier resolution. First stage with Controlling Officer, second stage with Head of the Department and third stage with Grievance Redressal Committee.

6. Number of Complaints on the following made by employees and workers:

	FY 2024-25		FY 2023-24	
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year
Sexual Harassment	5	1	3	1
Discrimination at workplace	0	0	0	0
Child Labour	0	0	0	0
Forced Labour/Involuntary Labour	0	0	0	0
Wages	0	0	0	0
Other human rights related issues	0	0	0	0

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013, in the following format:

Details	FY 2024-25	FY 2023-24
i) Total complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal), Act, 2013 (POSH)	5	3
ii) Female employees / workers	1617	1677
iii) Complaints on POSH as a % of female employees/ workers	0.31%	0.18%
iv) Complaints on POSH upheld	3	2

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

As a preventive step, identity of complainant is known only to Internal Complaints Committee and is protected. All meetings in the Enquiry (Complainant and Respondent) are never done face to face.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, human rights requirement forms a part of business agreement or contract. The service contracts between BHEL and service provider contain a clause, meeting human rights requirement like child labour, minimum wages etc.

10. Assessments for the year:

All BHEL premises are periodically inspected by central and state labour departments, PF and ESI departments and other Government institutions or departments for the compliance related to relevant law/ act/ statute and identifying gaps.

Assessment w.r.t.	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced Labour/Involuntary Labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

No significant risk/ concern was identified.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Upholding of Human Rights is central to the Company's value system, and it strives to support, protect and promote human rights to ensure that fair and ethical business and employment practices are followed. The Company is committed to provide a safe inclusive environment for one and all, irrespective of the caste, colour, religion, gender, divyang-jan etc. The same is ensured in company's policies, procedures and practices.

2. Details of the scope and coverage of any Human rights due diligence conducted.

Plants and offices are assessed periodically during the preventive/ statutory audit for ensuring compliance with all the Statutory laws/Regulatory requirement, and the rules made thereunder. The company also conducts training programmes/ sensitization sessions for its employees and trainees including apprentices on the subject.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes. Refer Principle 3, Essential Indicator, Point 3.

4. Details on assessment of value chain partners:

Value chain partners of BHEL are assessed on Human Rights criteria by virtue of them coming under labor related laws/ acts/ statutes and these are assessed or inspected by relevant Government department/ institution.

Assessment w.r.t.	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	100%
Discrimination at workplace	100%
Child Labour	100%
Forced Labour/ Involuntary Labour	100%
Wages	100%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not applicable

Principle 6: Environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Financial Year	FY 2024-25	FY 2023-24
Revenue from Operations (₹)	2,83,39,48,00,000	2,38,92,78,00,000
Parameter		
From renewable sources		
Total electricity consumption (A) (in Giga Joules)	142139.08	115816.32
Total fuel consumption (B) (in Giga Joules)	0.00	0.00
Energy consumption through other sources (C) (in Giga Joules)	0.00	0.00
Total energy consumed from renewable sources (A+B+C) (in Giga Joules)	142139.08	115816.32
From non-renewable sources		
Total electricity consumption (D) (in Giga Joules)	798375.20	712922.75
Total fuel consumption (E) (in Giga Joules)	1679014.11	1642736.83
Energy consumption through other sources (F) (in Giga Joules)	0.00	0.00
Total energy consumed from non-renewable sources (D+E+F) (in Giga Joules)	2477389.31	2355659.58
Total energy consumed (A+B+C+D+E+F)	2619528.39	2471475.90

Energy intensity per rupee of turnover (in kilo Joule per ₹ of turnover) (Total energy consumed/ Revenue from operations)	9.24	10.34
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (in kilo Joule per \$ of turnover adjusted for PPP) (Total energy consumed/ Revenue from operations adjusted for PPP)	211	237
Energy intensity in terms of physical output	-	-
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note A: FY 2023-24 data has been restated after excluding township's electricity consumption data for one of the Manufacturing Unit which was included in the data reported earlier. This has been done to maintain consistency with FY 2024-25 data.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

None of the BHEL facilities has been identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme.

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	0.00	0.00
(ii) Groundwater	3292052.00	3589762.00
(iii) Third party water	5960580.00	6173909.00
(iv) Seawater / desalinated water	0.00	0.00
(v) Others	0.00	0.00
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	9252632.00	9763671.00
Total volume of water consumption (in kilolitres)	9252632.00	9763671.00
Water intensity per rupee of turnover (Total water consumption/ Revenue from operations – Litre per ₹)	0.0326493	0.0408645
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption/ Revenue from operations adjusted for PPP) – Litre per \$ of turnover adjusted for PPP	0.747	0.935
Water intensity in terms of physical output	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Note A: FY 2023-24 data has been restated after excluding township's water consumption data for one of the Manufacturing Unit which was included in the data reported earlier. This has been done to maintain consistency with FY 2024-25 data

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

4. Provide the following details related to water discharged

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(ii) To Groundwater	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iii) To Seawater	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iv) Sent to third-parties	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iv) Others	194969.00	142621.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	194969.00	142621.00
Total water discharged (in kilolitres)	194969.00	142621.00

There are number of Sewage Treatment Plants (STPs), Effluent Treatment Plants (ETPs) and Oxidation Ponds established at BHEL units which gives the desired level of treatment to the sewage/trade effluent generated. At most of the places, it is re-used inside the premises and not released outside.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

As part of the company's sustainability initiatives, 11 of its manufacturing units have achieved zero liquid discharge status, i.e. they do not release any effluent outside their

premises. The treated effluent and sewage are utilized for horticultural purposes within the plant premises to maintain green spaces across the campuses.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Unit	2024-25	2023-24
NOx	Tonne	230.69	153.42
SOx	Tonne	357.93	301.00
Particulate Matters (PM)	Tonne	314.38	355.59
Persistent organic pollutants (POC)	Tonne	0.00	0.00
Volatile organic compounds (VOC)	Tonne	230.07	172.96
Hazardous air pollutants (HAP)	Tonne	3.65	7.35
Others – Carbon Monoxide	Tonne	48.76	18.53

Note A: For FY 2023-24, data has been restated on account of inclusion of one of the Manufacturing Unit which was not reported earlier.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	2024-25	2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	135975.14	127879.24
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	161227.44	141792.33

Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Gram of CO ₂ emitted per ₹ of turnover achieved	1.05	1.13
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Gram of CO ₂ emitted per \$ of turnover achieved adjusted to PPP	23.99	25.82
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Note A: FY 2023-24 data have been restated due to following reasons:

- Fugitive emission of CO₂ which was not considered earlier, has been included now.
- One of the manufacturing units had included electricity consumption in township in total electricity consumption and the same has been rectified now.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Yes. BHEL has set up nearly 41.8 MW_p of capacity of Solar Power plants including rooftop solar which has helped the organization in reducing its GHG Emissions.

Owing to augmentation of our solar portfolio inside our premises by 7 MW_p during 2024-25, our carbon emissions avoidance reached 28,704 Metric Tonnes in FY 2024-25

Energy conservation / efficiency related projects are regular feature in our units which helps us in demand side management of energy and consequently reducing the associated carbon emission which would have occurred otherwise at enhanced level.

Refer Annexure – IV to the Board's Report, 4.1.2 Energy Efficiency and Management

Refer Annexure – IV to the Board's Report, 4.1.5 Carbon Footprint Reductions

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)*	107.68	91.29
E-waste (B)	117.78	36.36
Bio-medical waste (C)	11.68	16.34
Construction and demolition waste (D)	267.00	157.20
Battery waste (E)	70.75	77.59
Radioactive waste (F)	0.00	0.00
Other Hazardous waste. Please specify, if any. (G)	1133.21	1187.71
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	54588.30	51011.95
Total (A + B + C + D + E + F + G + H)	56296.40	52578.44
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations) – Gram per ₹	0.20	0.22

Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP) – Gram per \$ in PPP	4.55	5.04
Waste intensity in terms of physical output	-	-
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	391.13	311.98
(ii) Re-used	455.49	465.83
(iii) Other recovery operations	0.00	0.00
Total	846.62	777.81
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	2.94	10.72
(ii) Landfilling	178.20	157.26
(iii) Other disposal operations	42740.70	38773.65
Total	42921.84	38941.63

*Quantity of plastic waste disposed during the year to authorized agency.

In table above, 'other disposal operations' include sale of the scrap through e-auction/ other means to external agencies for their recycle/reuse/recovery. After considerable amount of scrap is accumulated, it is sold to the agency for final disposal

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible use of Material and Natural Resource Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water Stewardship

Refer Annexure – IV to the Board's Report, 4.1.6 Waste Minimization and Circularity

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

In our waste minimization process, we prioritize efficient cutting of metal sheets through a nesting plan. Generated scrap is either utilized in local foundries for castings/forgings or sent to authorized recyclers like CFFP Haridwar for melting in furnaces to reduce virgin material consumption.

At BHEL, solid wastes with resale value are collected, sorted, and sold to authorized recyclers, while non-resalable scraps are repurposed for filling low-lying areas. Hazardous waste and E-waste are disposed of in compliance with regulations, with proper records maintained for scrutiny. Hazardous waste is either sent to authorized recyclers or to Treatment Storage and Disposal Facility (TSDF) for appropriate disposal as required by respective state regulations.

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible use of Material and Natural Resource Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water Stewardship

Refer Annexure – IV to the Board's Report, 4.1.6 Waste Minimization and Circularity

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not applicable

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, BHEL is compliant with the extant applicable environmental law/ regulations/ guidelines in India.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres) :

For each facility / plant located in areas of water stress, provide the following information:

- i Name of the area: NIL
- ii Nature of operations: NIL
- iii Water withdrawal, consumption and discharge– Not Applicable

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	-	-
Total Scope 3 emissions per rupee of turnover		-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Below mentioned are some of the ways in which BHEL is trying to reduce its own Scope-3 emissions. However, it is not being quantified at the moment.

- i At many energy intensive units, we have switched over from LPG to RLNG which is being supplied through the pipeline and thereby avoiding scope-3 emissions associated with carriage of the fuel through roadways to that extent.
- ii Employees are encouraged to use car pool to save energy and avoid Scope-3 emissions.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions /

effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Zero Effluent Discharge outside premises	To prevent water pollution and promote sustainable wastewater management, the company has set up 21 Effluent Treatment Plants (ETPs) and 19 Sewage Treatment Plants (STPs). Effluents treated by these plants are reused within our premises for various purposes such as industrial processes, toilet flushing, and gardening. Consequently, 11 units have achieved zero effluent discharge outside their boundaries due to these initiatives.	Due to non-discharge of effluent outside the premises, we have avoided land and water pollution.
2.	Single use plastic free townships	BHEL townships has been declared as single use plastic free through 3 rd Party Audit.	BHEL Townships has been developed as sustainable habitats and citizens have developed a habit of avoiding single use plastic resulting in avoidance of land and water pollution on account of plastic waste.
3.	Installation of Energy Efficient Electrical appliances	Installation of i. 491 Nos. New 5-star, 1.5 TR, Inverter Window ACs in place of Old 5-star, fixed speed, 1.5 TR, Window ACs ii. 61 Nos. Brand new 3-Star, 2 TR, Hot and Cold, Inverter Split ACs in place of old 3-star, 2 TR, Cooling only Inverter Split AC etc.	Will result in annual avoidance of electrical energy to the tune of 5,27,269 units
4.	Upgradation to Regenerative burner in reheating furnaces	Upgradation from conventional to regenerative burners-based combustion system of 12 meter (HFS) and 9 meter reheating furnaces	Will result in annual avoidance of use of 11,71,726 SCM of RLNG fuel at CFFP Haridwar
5.	Structural revamping of furnaces	Structural revamping with improved insulation and better damper operation of LF-01, LF-02 and 6 meter furnaces.	Will result in annual avoidance of use of 90,000 SCM of RLNG fuel in CFFP Unit
6.	Energy efficient air compressor	Procurement and Installation of energy efficient screw type air compressor of 1500 cfm capacity	Will result in annual avoidance of electrical energy to the tune of 3,60,000 units at Trichy.
7.	Energy efficient lighting	Replacement of 1600 numbers conventional 250 W high bay HPSV lamp with 150 W LED light fitting	Will result in annual avoidance of electrical energy to the tune of 5,76,000 units at Trichy.

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
8.	Installation of Inhouse Solar Power Plants	The solar power plants installed across BHEL has reached an installed capacity of around 41.84 MW generating green energy for its internal consumption.	It has resulted in generation of 231.65 million units of green electricity in the last 8 years and avoiding equivalent amount of conventional power and consequently reducing the carbon footprint.

For more details:

Refer Annexure – IV to the Board's Report, Sustainability Performance – Environmental

Refer Annexure – VII to the Board's Report, Conservation of Energy

5. Does the entity have a business continuity and disaster management plan? Give details / web link.

Yes, BHEL has a business continuity and disaster management plan. Same was acted upon during COVID-19 outbreak. Business continuity plan and/ or disaster management plan were not published on internet.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

No significant impact came to notice.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

100% of value chain partners were assessed for environmental impact by virtue of them coming under environment related laws/ acts/ statutes and these are assessed or inspected by relevant Government department/ institutions. BHEL's contract document with the value chain partner, contains practices to be followed with respect to Environment, and BHEL takes undertaking from them in this regard.

8. How many Green Credits have been generated or procured:

a. By the listed entity

Nil

b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners

Nil

Principle 7: Policy advocacy

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

Ten (10) affiliations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	CIGRE India	International
2	Indian Electrical and Electronics Manufacturers' Association (IEEMA)	National
3	Confederation of Indian Industry (CII)	National
4	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
5	Standing Conference of Public Enterprises (SCOPE)	National
6	Engineering Export Promotion Council of India (EEPC)	National
7	Project Exports Promotion Council of India (PEPC)	National
8	PHD Chamber of Commerce and Industry	National
9	Central Board of Irrigation and Power (CBIP)	National
10	Construction Industries Development Council	National

2. Provide details of corrective action taken or underway on any issues related to anticompetitive conduct by the entity, based on adverse orders from regulatory authorities.

No instance of anti-competitive conduct by BHEL has been raised.

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
1.	BHEL SAMVAAD 4.0 - Dialogue with success partners of BHEL for strengthening self-reliance through innovation and collaboration	BHEL, under the guidance of MHI, conducted the event on 25.11.2024 at Bharat Mandapam, New Delhi	Yes	--	--
2.	Participation in various exhibitions and ELECRAMA (organized by IEEMA), GRIDCON (organized by Power Grid), International Methanol Seminar	BHEL, showcased its capabilities on the theme of each event	Yes	--	--

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
3.	Participation in various activities/ inputs to boost Capital Goods Sector, Public Sector Enterprise Council etc.	Through interaction with Industrial Bodies (CII, FICCI), Government Ministries viz. MHI, MoP, etc.	No	--	--
4.	Participation in various meetings of sub groups formed for revising capital goods policy	Through interaction with Industrial Bodies (CII, FICCI) and their respective consultants	No	--	--
5.	Facilitation of international trade and collaboration	Through inputs to Industry Bodies/ Government agencies for FTAs, etc.	No	--	--
6.	Inputs on matters such as Customs, Export promotion and Export incentives	Pre-budget memorandum for Budget 2024-25	No	--	--

Principle 8: Inclusive growth

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable

3. Describe the mechanisms to receive and redress grievances of the community.

Community raises their grievances through Centralised Public Grievance Redress and Monitoring System (CPGRAMS)/ Public Grievance Portal which are then assigned to Public Grievance Officer in BHEL.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	39.7%	32.18%
Sourced directly from within the district and neighbouring districts	14%	12%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent/ on contract basis) in the following locations, as % of total wage cost*

Location	FY 2024-25	FY 2023-24
Rural		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹3,88,11,79,474.48	₹3,29,77,73,379.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Rural areas	6.72%	5.85%
Semi-urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹14,30,62,56,604.75	₹13,71,33,13,292.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Semi-urban areas	24.76%	24.31%
Urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹14,91,64,76,621.57	₹14,10,24,94,878.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Urban areas	25.82%	25.00%
Metropolitan		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹24,67,20,13,355.99	₹24,43,50,39,231.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Metropolitan areas	42.70%	43.32%

Note: Employees considered here are permanent

*PP/SI/PRP has been considered in calculation on actual payment basis. Perks @16% is considered for Executives and Supervisors and Perks @31% is considered for workers.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by Government bodies:

Amount spent on CSR projects in designated aspirational districts during FY 2024-25 are

S. No.	State	Aspirational District	Amount Spent (in ₹ Lakh)
1	Uttarakhand	Haridwar	106.18

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized / vulnerable groups? (Yes/No/NA)

Yes

(b) From which marginalized / vulnerable groups do you procure?

Company has been supporting Micro and Small Enterprises (MSEs). MSEs tend to employ a larger share of the vulnerable sectors of the workforce, such as women, youth, and people from poorer households. Regular Vendor Meets and Supplier Development programs are being organized by BHEL units, specifically for MSEs (including local suppliers) as well as specific to SC/STs, which serves as a platform for identification of needs and formulation of action plan for mutual benefits. Further, preferences as mandated in the Public Procurement Policy for Micro and Small Enterprises (MSEs) Order for MSEs (issued by Ministry of MSME-Gol), are given.

To support all MSME/ MSE vendors, BHEL has onboarded itself on all the operating Trade Receivables Electronic Discounting System (TReDs) portals (mandated vide notification of MoMSME dated 07.11.2024). TReDS is an online platform that facilitates MSMEs to access working capital by discounting their trade receivables. Further, for enhanced visibility, GeM has provided for integration of BHEL's enterprise resource planning (ERP) with GeM and the same is in place for BHEL. The company also carried out 100% timely payments to MSE Vendors directly or through TReDS within the prescribed timelines (as mandated by MSMED Act, 2006). These initiatives affirm BHEL's full compliance with all DPE guidelines concerning TReDS.

(c) What percentage of total procurement (by value) does it constitute?

In FY 2024-25, BHEL procured 39.67% of its total goods and services from MSEs, 0.13% from SC/ST-owned MSEs and 1.55% from women-owned MSEs. The company also ensured timely payments to all MSEs.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year) based on traditional knowledge:

The company does not own or acquire Intellectual Property based on traditional knowledge. The company's products and corresponding IPs are based on knowledge derived through scientific evidence.

Refer Annexure -VI to the Board's Report of Annual Report, Research and Development and Technological achievements.

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes where in usage of traditional knowledge is involved.

No Intellectual Property dispute regarding usage of traditional knowledge during FY 2024-25.

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project (FY 2024-25)	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Financial support to restore eye sight of rural poor/underprivileged people with Cataract blindness at Noida, Uttar Pradesh.	60	100%
2	Financial support for organising medical camp for screening of anaemia in the villages under Bantol Gram Panchayat, Talcher, Odisha.	282	100%
3	Financial Support for providing Nutritional food to overcome Nutritional deficiency among children at Miyapur, Hyderabad.	150	100%

S. No.	CSR Project (FY 2024-25)	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
4	Financial Support for providing Nutritional food to overcome Nutritional deficiency among children at Picket, Secunderabad, Hyderabad.	65	100%
5	Financial support extended for palliative care to cancer patients through the provision of a refrigerator, aimed at enhancing the storage of essential medications and supplies at Kukatpally, Hyderabad.	35	100%
6	Financial support for organising Health Awareness and medical camp in village Sarwaun, Babina, Jhansi.	300	100%
7	Support for running schools located in BHEL manufacturing units at Haridwar and Jhansi.	920	100%

For more information on CSR, refer Annexure-IV, Sustainability Performance-Social

Principle 9: Customer value

Essential Indicator

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Customer value is prominent part of BHEL's culture and is reflected in our Vision, Mission and Values statement. The company constantly focusses to create value for customers through products and services.

Complaints of customers are received through various channels like letters, emails, phone calls and during meetings. The complaints are subsequently escalated to concerned agencies for immediate resolution and parallelly Root Cause Analysis (RCA) are done to avoid re-occurrences.

Apart from complaints, customer feedback is taken through customers' meets, face-to-face interactions, video-conferencing and appreciation letters.

2. Turnover of Products and/services as a percentage of turnover from all products/services that carry information about "Environmental & social parameters relevant to the product", "Safe and responsible usage" and "Recycling and/or safe disposal".

BHEL products are capital goods and hence have long operating life of 25 years. The products/ systems are offered to customers with manuals covering safety, operating in environment- friendly manner etc. The same aspects are covered in training of customer personnel by BHEL.

3. Number of consumer complaints in respect of the following:

	FY 2024-25			FY 2023-24		
	Received during the year	Pending resolution end of year	Remarks	Received during the year	Pending resolution end of year	Remarks
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	Not applicable					
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other	358	42	-	330	74	-

4. Details of instances of product recalls on account of safety issues:

There are no instances of product recall that happened on account of safety issues.

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, BHEL has an established and approved cyber security policy, which is internal to the organisation. Moreover, BHEL is in B2B business and does not deal with individual customers. Hence, any individual customer data is not stored.

Refer 'Data and Cyber Security' in Report of the Board of Directors

6. Provide details of any corrective actions taken on Underway on issues relating of advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not applicable. No such issue has been raised

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches
0
- b. Percentage of data breaches involving personally identifiable information of customers
Nil (0%)
- c. Impact, if any, of the data breaches
NA

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information on products and services of BHEL can be accessed from www.bhel.com

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Operation Manual and Training on products or systems are provided to customers as per the contractual requirements. Furthermore, technical advisories are issued to customers for safe O&M of BHEL supplied machines on case-to-case basis.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

BHEL is in regular touch with its customers and any disruptions are informed by emails, letter and through other communication means agreed to in the Contract/ Purchase Order. Further, proactive interactions with customers and customer feedback helps in averting disruption of operations at the customer premise. Periodic communications in form of letters or other digital means are issued to customers about their machines which are due for overhaul or mandatory inspections.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes. All the required and standard information are displayed on the products dispatched by BHEL..

Yes. BHEL conducts customer satisfaction survey for major products/ services. However, no survey was conducted during FY 2024-25.

**For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.**



K. Sadashiv Murthy

Chairman & Managing Director

Place: New Delhi

Date: July 25, 2025

Independent Assurance Statement

To

Bharat Heavy Electricals Limited (BHEL).

BHEL House, Siri Fort, New Delhi-110049 (India)

Introduction and Objective of Work

BUREAU VERITAS has been engaged by Bharat Heavy Electricals Limited (hereinafter abbreviated as “BHEL”) to conduct an independent assurance of the Business Responsibility and Sustainability Report Core (hereinafter abbreviated as “BRSR Core”), consisting of the Key Performance Indicators (KPIs) under Environment, Social and Governance (ESG) attributes, which are mentioned in Annexure I, as prescribed under the Securities and Exchange Board of India (SEBI) Circular dated 12th July, 2023 & SEBI/HO/CFD/CFD-PoD- 1/P/CIR/2024/177 dated December 20, 2024.

Intended User

The assurance statement is made solely for “BHEL and its stakeholders” as per the governing contractual terms and conditions of the assurance engagement contract between “BHEL” and “Bureau Veritas”. To the extent that the law permits, we owe no responsibility and do not accept any liability to any party other than “BHEL” for the work we have performed for this assurance report, or our conclusions stated in the paragraph below.

Reporting Criteria

Reporting Framework based on BRSR Core, Business Responsibility and Sustainability Report as per Annexure 1 of the SEBI circular SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 dated July 12, 2023 & SEBI/HO/CFD/CFD-PoD- 1/P/CIR/2024/177 dated December 20, 2024, BRSR Core KPIs.

The reported information of BRSR core based on following nine ESG attributes:

1. Green-house gas (GHG) footprint
2. Water footprint
3. Energy footprint
4. Embracing circularity - details related to waste management by the entity
5. Enhancing Employee Wellbeing and Safety
6. Enabling Gender Diversity in Business
7. Enabling Inclusive Development
8. Fairness in Engaging with Customers and Suppliers
9. Open-ness of business

Assurance Standards Used

Bureau Veritas conducted reasonable assurance of BRSR Core in accordance with the requirements of the International Federation of Accountants (IFAC) International Standard on Assurance Engagement (ISAE) 3000 (Revised) Reasonable Assurance & GHG as per ISAE 3410. Under this standard, Bureau Veritas has reviewed the information presented in the report against the characteristics of relevance, completeness, materiality, reliability, neutrality, and understandability.

Scope and Boundary of Assurance

- Checking that the data and information included in the BRSR Core (sub-set of BRSR), consisting of a set of Key Performance Indicators (KPIs) / metrics under 9 ESG attributes for the reporting period from 01.04.2024 to 31.03.2025 was fairly presented without material misrepresentation.
- Appropriateness and robustness of underlying reporting systems and processes, used to collect, analyse, and review the information reported.

Reporting Boundary: Only the standalone operations of BHEL.

Independent Assurance Statement

**The Methodology Adopted for Assurance**

Bureau Veritas conducted a sustainability assurance process for BHEL's BRSR core disclosures for April 1, 2024, to March 31, 2025, following SEBI's BRSR guidelines. Our procedures, tailored to the provided data and associated risks, included:

- Assessing report preparation against BRSR Core parameters.
- Evaluating assumptions, data estimation, and systems for accuracy and adherence to materiality, inclusivity, and responsiveness principles.
- Verifying quantification and analysis processes through site visits and discussions with corporate and operational personnel.
- Reviewing stakeholder engagement, materiality assessments, and data compilation processes at corporate and plant levels.
- Auditing claims and data streams for accuracy in collection, transcription, and aggregation.
- Evaluating ESG policies, practices, and GHG emissions calculations for reliability and fairness.
- Ensuring no misrepresentation of disclosures through review of evidence and backup data.

Limitations and Exclusions

The assurance is limited to the above-mentioned scope of work and excludes the information relating to:

- Data related to the Company's financial performance disclosures.
- Activities and practices followed outside the defined assurance period stated herein above.
- Positional statements, expressions of opinion, belief, aim, or future intention by "BHEL" and statements of future commitment.
- The assurance does not extend to the activities and operations of "BHEL" outside of the scope and geographical boundaries mentioned in the report as well as the operations undertaken by any other entity that may be associated with or have a business relationship with "BHEL".
- Compliance with any Environmental, Social, and legal issues related to the regulatory authority.
- Any of the statements related to company aspects or reputation.

Conclusion

Bureau Veritas conducted a comprehensive review of BHEL's BRSR core disclosures for the period April 1, 2024, to March 31, 2025, as presented in its Report. Based on the procedures performed, evidence obtained, and information and explanations provided by management, and subject to the inherent limitations outlined in the Report, in our opinion, BHEL's BRSR core disclosures are, in all material respects, prepared in accordance with the Securities and Exchange Board of India's (SEBI) BRSR guidelines.

As part of our independent reasonable assurance engagement, we rigorously evaluated the robustness and appropriateness of the underlying reporting systems and processes used to collect, analyse, and validate the reported information. Our assessment confirms that these systems are effectively designed and implemented to ensure alignment with SEBI's BRSR framework, supporting the accuracy, reliability, and completeness of the disclosures.

Responsibilities

BHEL is completely responsible for the report contents, identification of material topics, and data reporting structure. The selection of reporting criteria, reporting period, reporting boundary, monitoring, and measurement of data, preparation, and presentation of information for the report are the sole responsibility of the management of "BHEL". Bureau Veritas (BV) was not involved in the drafting or preparation of the report and any other backup data for the reporting period. The

responsibility of BV was to provide reasonable independent assurance for the sustainability of non-financial disclosures as described in the scope of assurance.

The said assessment is properly based on the assumption that the data and information provided in the report are proper and without any discrepancy. Bureau Veritas shall not be held liable or responsible for any type of decision a person or entity would make based on this assurance statement. While reading the assurance statement, stakeholders shall recognize and accept the limitations and scope as mentioned above.

Uncertainty

The reliability of assurance is subject to uncertainty(ies) that is inherent in the assurance process. Uncertainties stem from limitations in quantification models used, assumptions, or data conversion factors used or may be present in the estimation of data used to arrive at results. Our conclusions with respect to this assurance are naturally subject to any inherent uncertainty(ies) involved in the assurance process.

Statement of Independence, Impartiality, and Competence

Bureau Veritas is an independent professional services company that specializes in Quality, Health, Safety, Social, and Environmental Management with almost 196 years of history in providing independent assurance services. Bureau Veritas has implemented a Code of Ethics across the business to maintain high ethical standards among staff in their day-to-day business activities. We are particularly vigilant in the prevention of conflicts of interest.

No member of the assurance team has a business relationship with “BHEL”, its Directors, Managers, or officials beyond that required of this assignment. We have conducted this verification independently and there has been no conflict of interest.

The assurance team has extensive experience in conducting assurance over environmental, social, ethical, and health & safety information, systems, and processes and an excellent understanding of Bureau Veritas standard methodology for the assurance BRSR.

Competence

The assurance team has extensive experience in conducting assurance for environmental, social, ethical, and health & safety information, systems, and processes, along with an excellent understanding of Bureau Veritas' standard methodology for the assurance of sustainability reports.

Restriction on use of Our Report

Our Reasonable assurance report has been prepared and addressed to the Board of Directors of the Company at the request of the company solely to assist the company in reporting on the Company's Sustainability performance and activities. Accordingly, we accept no liability to anyone other than the Company. Our deliverables should not be used for any other purpose or by any person other than the addressees of our deliverables. The Firm neither accepts nor assumes any duty of care or liability for any other purpose or to any other party to whom our deliverables are shown or in whose hands it may come without our prior consent in writing.



Amit Kumar
Lead Assurer
Bureau Veritas (India) Private Limited
Noida, India
Dt: June 19, 2025



Munji Rama Mohan Rao
Technical Reviewer
Bureau Veritas (India) Private Limited
Hyderabad, India
Dt: June 19, 2025



RESEARCH AND DEVELOPMENT AND TECHNOLOGICAL ACHIEVEMENTS

Annexure – VI to the Board's Report

Research and Development and Technological Achievements

6.1 R&D Strategy

The Company's product line and solution offerings are technology intensive, which need continuous upgradation. Further, industrial customers are keen on contemporary technology based solutions. BHEL is committed towards developing innovative technologies and solutions, and substantially investing on product development and R&D.

In FY 2024-25 around ₹662 Crores were invested in R&D, 2.4% of revenue, resulting in 506 patents and copyrights filed, taking total IPR capital in excess of 5,900 (numbers) as on March 31, 2025. Also, in the year, around 13.5% of the company's revenues were generated from products, systems, and services developed in-house.

Significant Initiatives and Achievements

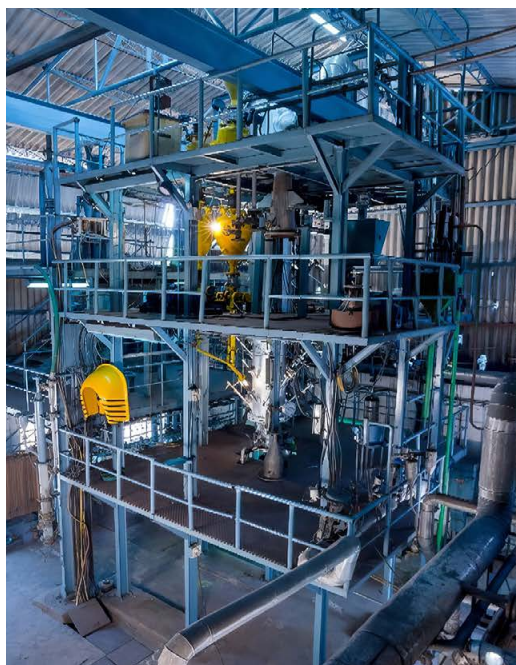
BHEL has identified following major areas for R&D and product development

- **Clean Coal Technologies-** BHEL has demonstrated the technology for conversion of coal to methanol. BHEL is also collaborating with CSIR-IICT to develop technology for producing Di-Methyl Ether (DME) from CO₂ captured from coal gasification.
- **High Efficiency Thermal Power Plants-** BHEL's focus on coal gasification and Advance Ultra Super Critical (AUSC)

technology for balancing energy security, economic growth, and environmental sustainability and promoting cleaner and more efficient power generation solutions.

- **Rail Transportation-** BHEL's ongoing commitment to innovation and excellence supporting the nation's goals for enhanced connectivity, safety, and sustainability of India's rail transportation. BHEL entered into a Technology Partnership agreement with OEM for development of SIL4 certified TCAS (also known as KAVACH) for Indian Railways.
- **Defence & Aerospace-** BHEL collaborates with various defence establishments demonstrating its commitment towards supporting India's defence preparedness, technological advancement, and strategic autonomy.
- **Technology Collaborations-** BHEL is strategically positioning itself to capitalize on emerging technologies, and drives growth through collaborations with established global players. BHEL has 16 active Technology Collaboration Agreements (TCA) as on March 31, 2025.

The company is committed to establish a robust knowledge ecosystem within the organization, and to continuously reskill engineering workforce. A specific area of focus for BHEL is engineering optimization, achieved through design optimization and streamlining product cycle time. This approach aims at achieving cost reduction and improving overall efficiency across BHEL products.



1.2 TPD Coal Gasification pilot plant for producing 0.25 TPD Methanol from high-ash coal established by BHEL at Hyderabad



BHEL has collaborated with CSIR-IIT to develop technology for producing Di-Methyl Ether (DME) from CO₂ captured from coal gasification

Achievement during the year

BHEL's R&D effort towards development of new/ improved products, processes and systems have resulted in the following:

- Developed highest rating Francis Turbine Model of 240 MW suitable for 222.5 m rated head and 214.3 rated rpm for Dibang, HEP. Model has been tested successfully and manufacturing approval is obtained.
- Successfully designed, manufactured and supplied the largest size and largest rating Kaplan runner for Polavaram HEP. The developed turbine has a runner diameter of 6.85 m, rated speed 100 rpm, rated Net Head 27 m and 80 MW power rating. With this development, BHEL has upgraded from 60 bar to 100 bar oil pressure system for Kaplan turbine, resulting in reduction of servomotor size and weight of its components.
- Established a facility for High Velocity Oxygen Fuel (HVOF) coating process for water passage components of hydro turbine. This coating increases the service life of components which are subjected to corrosive nature of silt in water. A new angular gun for coating intricate surfaces with narrow gaps has been established using Tungsten Carbide Ceramic fine powder of 5 µm (micron) to 30 µm particle size.
- Successfully manufactured Compressor Rotors for Fr-9E (132 MW) Gas Turbine. Previously, the complete rotor with blading was imported from M/s GE. As part of indigenization initiative, manufacturing of complete rotor along with tooling for manufacturing of compressor wheel, blades, assembly and balancing has been established in-house.
- Developed complete compressor including compressor internals which includes rotor, diaphragm and bearing seals for BCL800 series for IOCL Panipat. Previously compressor internals were imported while BHEL manufactured stationary components like casing, end covers etc.
- Developed complete Anti-Surge Controller, for compressor packages and steam turbine electronic governor controller. The patented anti-surge algorithm is implemented in ValmetDNA and maxDNA control system hardware platforms. The Triple Modular Redundancy (TMR) electronic governor is a highly customized version of BHEL's standard Electrohydraulic Turbine Control (EHTC) for Steam turbines for increased reliability and safety.
- Successfully developed highest rated 1600 kW, 6.6 kV, 2-Pole Flame Proof Motor in 800 mm centre height as per IS/IEC 60079-0:2017 and IS/IEC 60079-1:2014. Prior to this development BHEL used to offer Flame Proof Motor up to 1300 kW and any higher rating requirements were met with imports only. The motor has been successfully tested at Central Institute of Mining and Fuel Research



Fuel cell component testing station at Corp. R&D, Hyderabad



Fuel cell stack performance evaluation, under diverse test conditions, at Corp. R&D, Hyderabad

(CIMFR), Dhanbad for Zone-1 and 2, Gas group IIB (8% Ethylene in air), hazardous area application.

- Successfully designed, developed and tested Pump Module for Liquid Cooling System (LCS) for airborne applications. The LCS are used in aircrafts to extract the heat generated by electronic equipment (like Radars) by circulating the coolant. In LCS, the Pump Modules are used to circulate the coolant.
- The design of test rig for simulation of the actual load conditions, space requirements, functional requirement and finite element analysis of rig-in and rig-out system of propeller and motor of the Electro Hydraulic System (EHS) for Winged Reserve Propulsion System (WRPS) completed.
- Designed, manufactured and supplied 700 HP Single Power Pack (SPP) Diesel Electric Loco with cabins at both ends (Dual Cabin Design). The design helps in better visibility and operational ease for the loco pilot.
- BHEL in collaboration with IIT-Madras has developed and established a 100 kg/batch pilot scale demonstration plant to process electronic waste and recover valuable metals like Tin, Lead and Copper from the same, through Green Hydrometallurgy route. Additionally, the final wash water collected is neutralized to generate calcium nitrate solution, which can be used as fertilizer. Hence the whole process is Zero-Discharge to environment.

6.2 Outlook for R&D and technology development

BHEL's R&D focus areas for future include:

- Post successful development and demonstration of coal gasification technology, suitable for high ash coal, the company is working to improve indigenous technology to generate chemicals and fuels like ammonium nitrate, methanol, hydrogen, etc. from Syn-Gas.

- Development of end-to-end solutions for rail transportation in areas of three-phase AC drive system for Electric Locomotives and Electric Multiple Units (EMU), High Powered Locomotives and High Speed Trainsets.
- Development of Products and systems for Hydrogen Value chain.
- Development of Products and systems for Li-ion Battery System, Heat exchangers, etc.
- Development of Products for Downstream Oil and Gas sector.
- Development of Products and systems for nuclear power plants.
- Development of solutions for E-mobility ecosystem (including power train, charging stations etc.) and Energy Storage Systems.
- Development of Products and systems for digital substation and advanced power transmission.

BHEL is committed to achieve sustainable growth out of innovation and technology leadership through dynamic alignment of its R&D processes. By remaining responsive to market needs, focusing R&D efforts, and fostering a culture of continuous improvement, BHEL is striving to thrive in a rapidly evolving business environment.

For and on behalf of the Board of Directors of

BHARAT HEAVY ELECTRICALS LTD.



K. Sadashiv Murthy
Chairman & Managing Director

Place: New Delhi
Date: July 25, 2025

Annexure – VII to the Board's Report

7.1 Conservation of Energy

Your company consistently engages itself towards energy efficiency and conservation, as integral part of its operations. BHEL's energy-intensive units hold ISO 50001 certification, highlighting its commitment to rigorous energy management standards. Through systematic energy audits, conducted across its units, various conservation projects have been implemented, resulting in tangible reductions in energy demand.

BHEL's installed captive solar plants collectively generated around 39.48 million units of green energy across the organization during FY 2024-25 achieving cumulative generation of ~231.65 million units in past eight years. As on March 31, 2025, BHEL has total installed solar plants of 41.84 MWp capacity.

A noteworthy initiative during FY 2024-25 includes the installation of a 5 MWp grid-connected ground mounted solar PV system at BHEL Haridwar under the BOOM (Build-Own-Operate-Maintain) model. This project executed with no capital investment from BHEL, operates at a fixed tariff per kWh for 25 years and is expected to generate ~9.0 million units annually. Additionally, a 2 MWp ground-mounted solar power plant was installed in Hyderabad under the RESCO model and is expected to generate ~3.6 million units annually.

Ten Manufacturing Units (HEEP and CFFP Haridwar, HPBP and SSTP Trichy, Thirumayam, Ranipet, Bhopal, Hyderabad, Varanasi and Goindwal) are ISO 50001:2018 certified, and more than 50 Energy conservation (ENCON) projects have been implemented across BHEL during FY 2024-25.

7.2 Technology Absorption and Research & Development

Research & Development

1.	Specific areas in which R&D carried out by the company	}	Given in the Board's Report under Annexure- VI "Research and Development and Technological Achievements"
2.	Benefits derived as a result of the above R&D		
3.	Future Focus areas		
4.	Expenditure on R&D		
Total		--	₹662 Crores
a)	Recurring	--	₹657.2 Crores
b)	Capital	--	₹4.8 Crores
Expenditure as a percentage of revenue		--	2.4%

Technology Absorption

Details of technology imported during the last 5 years:

Technology	Year of import	Absorption status
New Generation C&I Automation	2020	Technology absorption in progress.
Upgraded Super Rapid Gun Mount (SRGM)	2021	
Circulating Fluidised Bed Combustion (CFBC) Boilers	2022	
Upgraded and New models of Gas Turbines	2023	
KAVACH (Signaling System)	2024	
Heat Recovery Steam Generators (HRSGs)	2025	

7.3 Foreign Exchange Earnings and Outgoing

(₹ Crores)		
Particulars	2024-25	2023-24
Foreign Exchange Used	1,967	1,564
Foreign Exchange Earned	557	1,062

For and on behalf of the Board of Directors of

BHARAT HEAVY ELECTRICALS LTD.



K. Sadashiv Murthy
Chairman & Managing Director

Place: New Delhi

Date: July 25, 2025

Annexure – VIII to the Board's Report

8.1 Implementation of Official Language

BHEL is committed towards implementation of Official Language 'Hindi'. Over the years, several activities were undertaken to promote Hindi in BHEL, and these efforts have been recognized with award of 'Rajbhasha Kirti' Puraskar. This is the highest National Award for Official Language for the year 2023-24, by the Department of Official Language, Ministry of Home Affairs, Government of India, for outstanding performance in the field of Official Language.

During the year 2024-25, regular meetings to review the status of Rajbhasha implementation were held, and the Hon'ble Parliament Committee on Official Language inspected Corporate R&D, Hyderabad, and appreciated the efforts being made towards implementation of Official Language.

Major activities undertaken to promote use of Rajbhasha 'Hindi' during FY 2024-25 are:

- 40 officials of BHEL participated in the Hindi Diwas, 2024 and 4th Akhil Bharatiya Rajbhasha Sammelan organized by Department of Official Language, Ministry of Home Affairs in New Delhi.
- On the occasion of Hindi Diwas - 2024, BHEL organized various competitions, seminars, cultural programs and kavi sammelans across the company.
- More than 500 employees participated in nine competitions during 'Rajbhasha Ullas Parv' organized in Delhi-NCR offices.

- On the occasion of World Hindi Day on January 10, 2025, various competitions/programmes were organized in all the units/divisions/offices of the company.
- Under the 'Inter-Unit Rajbhasha Shield' scheme, 07 units/divisions of the company were awarded Certificate and Rajbhasha Shield for excellent Rajbhasha implementation.
- BHEL is playing an active role in the Town Official Language Implementation Committees (TOLIC) located in various cities, with membership of Heads of units/divisions in respective cities. BHEL is making significant contribution in organizing competitions and other activities of TOLIC. 6 employees from Delhi - NCR based offices won awards in various competitions organized by TOLIC (PSU-1) Delhi during October- December 2024.
- Several units of BHEL have received awards from their respective TOLICs during the year, notably Corporate Office was awarded 'Third' prize in the category of 'Excellent Official Language Implementation' for the year 2023-24 from Town Official Language Implementation Committee, Delhi (Undertaking – 1).
- 17 Hindi magazines were published in BHEL and 30 employees were awarded for contributing excellent articles published in these magazines. Hindi magazine 'Arunima' received the 'Fourth' prize in the category of 'Best Hindi Magazine' for the period January – December 2024 from NARAKAS, Delhi (Undertaking – 1).
- Hindi workshops were organized regularly with more than 4,500 participants across the company. In Delhi – NCR located offices, 08 Hindi workshops were organized in which 331 employees were trained.



Rajbhasha Heads Meet held at BHEL Sadan, Noida in April 2024



Vigilance Heads Meet 2024 held at HPEP, Hyderabad

- Wards of employees who scored excellent marks in Hindi subject in Board examinations were also rewarded.
- Hindi e-mail competition with rewards were being conducted on quarterly basis across various units of the company.
- Hindi training for non-Hindi speaking employees in 'C' region, under the Hindi Teaching Scheme of the Government of India.
- Inspection of 14 units/divisions to monitor and review the progress in the use of the Official Language.

8.2 Vigil Mechanism

The Company has a full-fledged Vigil Mechanism in place, founded on the principles of Good Governance, Transparency, Probity and Ethics. Vigilance function of BHEL is headed by Chief Vigilance Officer (CVO), who functions as a link between Central Vigilance Commission (CVC), Central Bureau of Investigation (CBI) and the Management. Each of the manufacturing Units and Power Sector Regions of BHEL have a Vigilance set-up, headed by a Vigilance Executive reporting to the CVO.

Preventive Vigilance has always remained the focus area of BHEL's Vigilance team. The approach to preventive vigilance includes a combination of review of systems, rules and policies, particularly concerning procurement and recruitment, awareness raising measures, targeting specific functional areas/ issues, by engaging stakeholders, in order to progressively eliminate scope for corruption.

During the year, inspections of different manufacturing units/ power sector regions were done by the Corporate Vigilance team. In addition, routine inspections, surprise

checks, system studies, CTE Type Inspections etc. were also conducted at unit level by the Unit Vigilance setups. Based on the findings of these inspections and studies, necessary corrective and punitive actions were taken, and system improvements suggested to the Management. The audit reports (internal, statutory and CAG reports) are also scrutinized as per the mandate of CVC, so as to determine whether there is any vigilance angle involved in respect of the irregularities brought out in such reports. Annual Property returns of 2907 employees (about 20% of employee covered under CDA Rules) were scrutinized during the year FY 2024-25.

During FY 2024-25, 23 cases were taken up for investigation. Actions against 111 employees in 15 cases were recommended for the deviations from norms and procedures and other misconducts. The misconducts generally involved acts of deliberate omission, concealment, forgery, abuse of position with intent to deceive, gaining undue advantage, or causing wrongful gain or loss, thereby harming the Company's interests.

Another focus was on expeditious disposal of such actions. As a result, disciplinary proceedings against 21 employees were concluded and penalty imposed and 43 warning / advisory letters were also issued. Further, out of 254 complaints (236 received during the year FY 2024-25), 228 were disposed of after examination, and the balance are under different stages of disposal. On the advice of Vigilance, recoveries of ₹141.03 lakh have been made from various agencies, employees, vendors, and contractors.

One of the most effective ways to raise awareness is through knowledge-sharing. A compendium of case studies was published during FY 2024-25 as 'Vishleshan 2024' which



serves as a valuable reference during challenging decision-making moments and as such is an important preventive vigilance tool. Further, four issues of e-newsletter 'DISHA' were published during the year covering procurement policies, CVC/GOI guidelines, best practices and case studies.

As per CVC circular no. 08/08/2024 dated August 01, 2024, Vigilance Awareness Week (VAW) was observed from October 28, 2024 to November 03, 2024 on the theme "सत्यनिष्ठा की संस्कृति से राष्ट्र की समृद्धि" (Culture of Integrity for Nation's Prosperity). The week commenced with Integrity Pledge by the employees. The link of 'Integrity Pledge' (<https://pledge.cvc.nic.in>) was provided on BHEL internet Homepage, and all the intranet websites of various manufacturing Units/ Regions/ Offices, and all the stakeholders were encouraged to take the integrity pledge. Mass pledge was administered to 71,891 individuals including 27,900 employees, 214 vendors, 38,927 school students, 4,078 college students, and 772 citizens.

To generate awareness in line with the theme, a total of 125 awareness programmes and 99 competitions were held across BHEL for employees and their wards. 6 Vendor Meets and 3 Nukkad Nataks at Bengaluru marked key outreach efforts over the theme. Other Pan-BHEL activities included 10 walkathons, 2 cycle rallies, 6 human chains, and awareness program in Gram Sabhas of 8 villages.

For and on behalf of the Board of Directors of

BHARAT HEAVY ELECTRICALS LTD.

K. Sadashiv Murthy
Chairman & Managing Director

Place: New Delhi
Date: July 25, 2025

Annexure – IX to the Board's Report

Form AOC - I

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statements of Subsidiaries/ Associate Companies/ Joint Ventures

Part "A": Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in ₹ Crore)

1	Sl. No.	NOT APPLICABLE
2	Name of the subsidiary	
3	The date since when subsidiary was acquired	
4	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	
5	Reporting currency and Exchange rate as on the last date of the relevant Financial Year in the case of foreign subsidiaries	
6	Share capital	
7	Reserves & surplus	
8	Total assets	
9	Total Liabilities	
10	Investments	
11	Turnover	
12	Profit before taxation	
13	Provision for taxation	
14	Profit after taxation	
15	Proposed Dividend	
16	% of Shareholding	
1	Names of Subsidiaries which are yet to commence operations	NIL
2	Names of subsidiaries which have been liquidated or sold during the year	NIL

Part “B”: Associates and Joint Ventures

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

(₹ in Crore)

	Name of Joint Ventures	BHEL-GE Gas Turbine Services Pvt Ltd	NTPC BHEL Power Projects Pvt Ltd	Raichur Power Corporation Ltd	Bharat Coal Gasification and Chemicals Limited
1	Latest Audited Balance Sheet Date	31.03.2024	31.03.2024	31.03.2024	31.03.2025
2	Date on which Associate or Joint Venture was associated or acquired	5 th May, 1997	28 th April, 2008	15 th April, 2009	21 st May, 2024
3	Shares of JVs held by BHEL on the year end				
	No.	2379999	50000000	664040000	4900
	Amount of investment	2.38	50.00	664.04	0.0049
	Extent of Holding %	50% minus one share	50%	22.14%	49%
4	Description of how there is significant influence	Jointly controlled entities			
5	Reason why the Associate/ JV is not consolidated	N.A.	N.A.	N.A.	N.A.
6	Net worth attributable to Shareholding as per latest audited Balance Sheet	275.57	NIL	NIL	NIL
7	Profit/ Loss for the year	As per equity method			
	i) Considered in Consolidation	59.01	NIL	NIL	NIL
	ii) Not considered in Consolidation	-	(8.51)	(329.14)	(1.11)

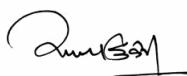
Figures given in brackets are negative. In RPCL, 300 shares are held by BHEL in the name of its nominee.

M/s Powerplant Performance Improvement Private Ltd. is still under liquidation and hence not considered in consolidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Cr in F.Y 2024-25 against its equity investment of ₹2 Crore in PPIL.

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

Place : New Delhi
Date : May 16, 2025

Form No AOC - II

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)
Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to
in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under
third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis:

1	Name(s) of the related party and nature of relationship	: NIL
2	Nature of contracts/arrangements/transactions	: NIL
3	Duration of the contracts / arrangements/transactions	: NIL
4	Salient terms of the contracts or arrangements or transactions including the value, if any	: NIL
5	Justification for entering into such contracts or arrangements or transactions	: NIL
6	Date(s) of approval by the Board	: NIL
7	Amount paid as advances, if any	: NIL
8	Date on which the special resolution was passed in general meeting as required under proviso to section 188	: NIL

2. Details of materials contracts or arrangements or transactions at arm's length basis:

(a)	Name(s) of the related party and nature of relationship	: NIL
(b)	Nature of contracts/arrangements/transactions	: NIL
(c)	Duration of the contracts / arrangements/transactions	: NIL
(d)	Salient terms of the contracts or arrangements or transactions including the value, if any	: NIL
(e)	Date(s) of approval by the Board, if any	: NIL
(f)	Amount paid as advances, if any:	: NIL

For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.



K. Sadashiv Murthy
Chairman & Managing Director
DIN: 09184201

Place: New Delhi
Date: July 25, 2025

Annexure – X to the Board's Report

INDEPENDENT AUDITORS' REPORT

To the Members of

Bharat Heavy Electricals Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of **Bharat Heavy Electricals Limited ("the Company")**, which comprise the Balance Sheet as at March 31, 2025, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including a summary of the material accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements") in which are incorporated the returns for the year ended on that date for 11 branches audited by us and 14 branches audited by the branch auditors of the company.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025, its profit including other comprehensive income, its changes in equity and cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs) specified under section 143 (10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants

of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Emphasis of Matter

We draw attention to

1. Note No 06 of the financial statement, the company has not provided for an overdue amount from customer STPG (formerly NEC Sudan), stuck on account of civil war as approved by Board.
2. Note No 09 of the financial statement, regarding the balance of debtors of RVUNL/ Suratgarh 7 & 8 Project (2*660 MW).
3. Note No 38 of the financial statements, regarding vacation of provision against contractual obligation wherever Performance Guarantee (PG) test is not a pre-requisite condition as per contract.

Our opinion is not modified in respect of matters mentioned in above paragraphs.

Key Audit Matters

Key audit matters are those matters that in our professional judgement were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	Auditor's Response
<i>Accuracy of recognition, measurement, presentation and disclosures of revenues and other related balances in respect of "Revenue from contracts with Customers" under Ind AS 115</i> The application of this revenue accounting standard involves certain key judgments relating to identification of distinct performance obligations, determination of transaction price of identified performance obligations, the appropriateness of the basis used to measure revenue recognized over a period, and disclosures including presentations of balances in the financial statements. Estimated efforts is a critical estimate to determine revenue, as it requires consideration of progress of the contract, efforts incurred till date, efforts required to complete the remaining performance obligation. Refer Note 39 to the standalone financial statements.	<i>Principal Audit Procedures</i> Our audit approach consisted testing of the design and operating effectiveness of internal controls and procedures as follows: • Evaluated the effectiveness of controls over the preparation of information that are designed to ensure the completeness and accuracy. • Selected a sample of existing continuing contracts and new contracts, and tested the operating effectiveness of the internal control, relating to identification of the distinct performance obligations and determination of transaction price. • Tested the relevant information, accounting systems and change relating to contracts and related information used in recording and disclosing revenue in accordance with Ind AS 115. • Reviewed a sample of contracts to identify possible delays in achieving milestones, which require change in estimated efforts to complete the remaining performance obligations. • Performed analytical procedures and test of details for reasonableness and other related material items
<i>Assessment and recoverability of Trade Receivables and Contract Assets</i> The Company has trade receivables outstanding (net) of ₹8930.93 Crore and contract assets (net) of ₹29444.13 Crore at the end of March 31, 2025. These balances are related to revenue recognized in line with Ind AS 115 "Revenue from contracts with customers" for ongoing contracts and completed contracts. The assessment of its recoverability is a key audit matters in the audit due to its size, pending balance confirmation of letters sent and high level of management judgment. Refer Notes 6, 9, 39 to the standalone financial statements.	<i>Principal Audit Procedures</i> We have assessed the Company's internal process to recognize the revenue and review mechanism of trade receivables and contract assets. Our audit approach consisted testing of the design and operating effectiveness of internal controls and procedures as follows: • Evaluated the process of invoicing with Customers. • Obtained the list of project wise outstanding details and its review mechanism by the management. • Reviewed the guidelines and policies of the Company on impairment of trade receivables and contract assets. • Tested the accuracy of aging of trade receivables and contract assets at the year end on sample basis. • Performed analytical procedures and test of details for reasonableness, recoverability and other related material items.

Assessment of Contingent Liability

There are a number of litigations pending before various forums against the Company and the management's judgement is required for estimating the amount to be disclosed as contingent liability.

We determined the above area as a Key Audit Matter in view of associated uncertainty relating to the outcome of these matters which requires application of judgment in interpretation of law. Accordingly, our audit was focused on analyzing the facts of subject matter under consideration and judgments/ interpretation of law involved.

(Refer Note 32 to the standalone financial statements).

Principal Audit Procedures

The audit procedures included but were not limited to:

- Obtaining a detailed understanding processes and controls of the Management with respect to claims or disputes
- Performing following procedures on samples selected:
- Understanding the matters by reading the correspondences, communications, minutes of the management meeting
- Making corroborative inquiries with appropriate level of the management personnel including status update, expectation of outcomes with the basis, and the future course of action contemplated by the Company, and perusing legal opinions, if any, obtained by the Management.
- Obtaining direct confirmation from the legal attorneys of the company and considering their opinions /probability assessment of the outcomes.
- Evaluating the evidence supporting the judgement of the management about possible outcomes and the reasonableness of the estimates.
- Evaluating appropriateness of adequate disclosures in accordance with the applicable accounting standards

Other Matters

We did not audit the financial statements/information of 14 (Fourteen) branches included in the standalone financial statements of the Company whose financial statements/ financial information reflect total assets of ₹46,711 Crore as at 31st March, 2025 and total revenue of ₹20,696 Crore for the year ended on that date, as considered in the standalone financial statements. The financial statements/information of these branches have been audited by the Branch auditors whose reports have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of these branches, is based solely on the report of such branch auditors.

Our opinion is not modified in respect of these matters.

Information Other than the Standalone Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility & Sustainability Report, Corporate Governance and Shareholder's information, but does not include the standalone financial statements and our auditor's report thereon. These reports are expected to be made available to us after the date of this Auditor's Report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read such other information when made available to us and if we conclude that there is a material misstatement there-in we are required to communicate the matter to those charged with governance.

Responsibilities of Management and those charged with governance for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy

and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, Management of Company is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management of Company either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

- (1) As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the **"Annexure A"** a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- (2) As required by Section 143 (3) of the Act, based on our audit we report that:
 - a. We have sought and obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit
 - b. In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of those books and proper returns adequate for the purpose of our audit have been received from the branches not visited by us;
 - c. The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by branch auditors have been sent to us and have been properly dealt with by us in preparing this report;
 - d. The Balance Sheet, the Statement of Profit and Loss (including other comprehensive income), Statement of Changes in Equity and the Statement of Cash Flow dealt with by this Report are in agreement with the books of account;
 - e. In our opinion, the aforesaid financial statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules 2015 as amended;
 - f. In terms of Notification no. G.S.R. 463 (E) dt. 05-06-2015 issued by Ministry of Corporate Affairs, the Provision of Section 164(2) of the Companies Act, 2013 in respect of disqualification of directors are not applicable to the Company, being a Government Company.
 - g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in **"Annexure B"**;
 - h. As per notification number G.S.R. 463 (E) dated 5th June, 2015 issued by Ministry of Corporate Affairs, section 197 of the Act, regarding remuneration to director is not applicable to the Company, since it is a Government Company; and
- i. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i) The company has disclosed the impact of pending litigations on its financial position in its standalone financial statements. **Refer Note 32** to the financial statements;
 - ii) The company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts. **Refer Note 38** to the financial statements;
 - iii) There has been no delay in transferring the amount, required to be transferred in accordance with the relevant provisions of the Companies Act, 2013 and the rules made thereunder, to the Investor Education and Protection Fund by the Company.
 - iv) (a) The management has represented that, to the best of its knowledge and belief, of the Standalone Financial Statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
b) The management has represented, that, to the best of its knowledge and belief, as disclosed, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the ultimate beneficiaries.

- c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11 (e), as provided under (a) and (b) contain any material mis-statement.
- v) As stated in **Note 31** to the financial statements,
- (a) the Board of Directors of the company has proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend proposed is in accordance with section 123 of the Act to the extent it applies to the declaration of dividend.
- (b) During the year Company has not declared or paid any Interim Dividend.
- (c) The Final dividend proposed for the previous year, declared and paid by the Company during the year is in accordance with Section 123 of the Act, as applicable.
- vi) Based on our examination carried out in accordance with the Implementation Guidance on Reporting on Audit Trail under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (Revised 2024 Edition) issued by the Institute of

Chartered Accountants of India, which included test checks, and the reports of Branch Auditors we report that the company has used multiple accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software.

Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention except in case of one branch where DBase accounting software was used for the year ended 31st March, 2024 which didn't have feature of recording audit trail (edit log) and for the period 06-01-2024 to 15-01-2024 no transaction were recorded across the BHEL due to malware attack.

- (3) On the basis of verification of the books and records of the Company, as we considered appropriate and according to the information and explanations given to us, we are enclosing our report in terms of Section 143(5) of the Act, on the directions and sub directions issued by the Comptroller and Auditor General of India in "Annexure C".

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQM7162

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQO6756

Place : New Delhi
Date : 16.05.2025

Annexure "A" TO INDEPENDENT AUDITORS' REPORT

(Referred to in Paragraph 1 under "Report on Other Legal and Regulatory Requirements" of our report to the Members of Bharat Heavy Electricals Limited of even date)

i) In respect of Company's Property, Plant and Equipment and Intangible Assets:

(a) A. The Company has maintained proper records showing full particulars including quantitative details and situation of its Property, Plant & Equipment.

B. The Company has maintained proper records showing full particulars of Intangible assets.

(b) The Company has program of verification to cover all the items of Property, Plant & Equipment in a phased manner, over a period of three years, which,

in our opinion, is reasonable having regard to the size of the Company and nature of its business. Pursuant to the program, certain Property, Plant and Equipment were physically verified by the management during the year. According to the information and explanation given to us, no material discrepancies were noticed on such verification.

(c) According to the information and explanation given to us, the records examined by us, the title deeds of immovable properties are held in the name of Company except those are mentioned in the below table.

Title deeds of Immovable Property not held in the name of BHEL (As on 31/03/2025)

Description of item of property (under the line item of B/S)	Gross Carrying value (₹ in Crore)	Lease/ Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/ director	Property held since which date	Reason for not being held in the name of the company
PPE:-					
Land-Freehold	0.08	Bachha Lal S/O Late Ram Kishore	No	08-06-1983	The case is pending with Special Land Acquisition officer Varanasi for mutation in the name of HERP Varanasi.
Land-Freehold	0.52	State Govt of Telangana	No	1974 onwards	Transfer of title deed in progress, matter taken up with state govt. through TSIIIC
Land-Freehold	0.11	State Govt of Telangana	No	30-01-1961	Gazette Notification issued for acquisition of Land for setting up of Heavy Electrical Plant (Ref No:171,192,92-A,61,202 in the year 1961 & 63
Land-Freehold	0.18	State Govt. of Madhya Pradesh	No	Since 1957	Land provided through gazette of Government of India, title deed not available in the name of BHEL.
Land-Freehold	1.24	State Govt. of Tamil Nadu	No	Various dates between 13.01.1981 to 17.02.1986	Land transfer documents (Handing over by state govt and taken over by BHEL) are available indicating area and Survey Numbers. Assignment deed is yet to be issued by State Government in favour of BHEL.

Description of item of property (under the line item of B/S)	Gross Carrying value (₹ in Crore)	Lease/ Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Land- Freehold	0.0022	B Saroja Devi	No	01-04-1965	There is a dispute between Mrs. B Saroja Devi and M/s BHEL in supreme court. The Supreme Court has referred the case back to High Court for disposal and the same is pending.
Land- Freehold	1.64	State Govt. of Tamil Nadu	No	24-11-2010	Patta (Title Deed) is yet to be obtained
Land- Leasehold (Right-of-use of assets)	68.38	464.8287 Acres in the name of Maharashtra Industrial Development Corporation 9.0688 Acres in the name of State Govt. of Maharashtra 2.7676 Acres in the name of Private owners of Land	No	20-03-2013	Full acquisition of proposed land not yet completed.
Building - Freehold	0.11	JB Construction (Builder)	No	35 YEARS	Title in respect of 4 Flats are in dispute between builder & Land Owner
Building - Freehold	0.05	Maharashtra Cooperative Society	No	35 YEARS	6 Flats in name of Cooperative Society. There is no dispute.
Land- Freehold	0.0002	Mutation is done in BHEL Name. However, in Khatauni BHEL Jhansi is not shown. It is shown as Dohri Railway Land.	No	1974-75	This is due to mistake at the end of State Revenue Department that they have made a typographical error while making the khatauni entry. Matter was taken up by Estate Department, TP Jhansi with District Revenue Authority for change of the name on the name of BHEL.
Building - Leasehold (Right-of-use of assets)	1.2777	State Govt. of Maharashtra	No	01-02-1991	Maharashtra Govt. has not executed the lease of land with MVIRDC, thus MVIRDC can not execute the lease deed for 1 Floors with BHEL.

Description of item of property (under the line item of B/S)	Gross Carrying value (₹ in Crore)	Lease/ Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Investment Property:-					
Building - Leasehold	1.2777	State Govt. of Maharashtra	No	01-02-1991	Maharashtra Govt. has not executed the lease of land with MVIRDC, thus MVIRDC can not execute the lease deed for 1 Floors with BHEL.

- (d) The Company has not revalued its Property, Plant & Equipment (including Right of Use assets) or intangible assets during the year. Accordingly, the provisions of clause 3(i)(d) of the Order are not applicable.
- (e) According to the information and explanations given to us and the relevant records produced, no proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.
- ii) (a) The physical verification of inventory (excluding stocks lying with third parties) has been conducted at reasonable intervals by the Management during the year. In respect of inventory lying with third parties, these have substantially been confirmed by them. In respect of inventories of stores and spares, the Management has a verification programme with appropriate procedures designed to cover the items over a period of three years, which in our opinion, is appropriate.
- According to the information and explanations given to us, no material discrepancies of 10% or more in the aggregate for each class of inventory between physical inventory and book records were noticed on physical verification.
- (b) In our opinion and according to the information and explanations given to us, and relevant records produced, the company has been sanctioned working capital limit of ₹80,000 Crores (Fund Based Limit of ₹9,500 Crore, Non-Fund Based Limits Letter of Credit (LC) ₹3,500 Crores and Bank Guarantees (BG) ₹67,000 crore), under consortium finance from Banks/Financial institution against security of current assets. As per records verified by us, in our opinion, the monthly/quarterly returns or statement filed by the company with such Banks/Financial Institution are in agreement with books of accounts of the Company.
- iii) According to the information and explanation given to us, the company has provided Bank Guarantee of ₹661.50 crore (i.e. 49 % of ₹1350 crore) on behalf of its Joint Venture during the year. In our opinion and according to the information and explanations given to us, the terms and conditions of such guarantee provided is, prima facie, not prejudicial to the interest of the company.
- iv) According to the information and explanations given to us, Section 185 of the Act regarding loans to directors is not applicable to the Company by virtue of Notification No. G.S.R 463(E) dated 05.06.2015 issued by the Ministry of Corporate Affairs, Government of India. In our opinion and according to the information and information given to us, the company has complied with the provisions of Section 186 of Companies Act 2013 in respect of loans and investment made.
- v) In our opinion and according to the information and explanations given to us, the Company has not accepted deposits or amount which deemed to be deposits. As such, the directives issued by the Reserve Bank of India, the provisions of Sections 73 to 76 or any other relevant provisions of the Act and the rules framed thereunder are not applicable to the Company.
- vi) We have broadly reviewed the books of account and records maintained by the Company pursuant to the Companies (Cost Records and Audit) Rules 2014 prescribed by the Central Government under section 148(1) of the Companies Act, 2013 and are of the opinion that prima facie the prescribed accounts and records have been made and maintained. We have not, however, made detailed examination of the records with a view to determine whether they are accurate and complete.
- vii) (a) According to the information and explanations given to us, in our opinion, the Company is generally regular in depositing with appropriate authorities

undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, Cess and any other statutory dues as applicable to it. There was no undisputed amount payable in respect of Goods and Service Tax, Provident Fund, Employee State Insurance, Income Tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value added Tax, Cess and any other Statutory dues as at March 31,

2025 for a period of more than six months from the date they became payable.

- (b) According to the information and explanations given to us, the particulars of Goods and Service Tax, Provident Fund, Income Tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, which have not been deposited on account of dispute are as under:

(₹ in Crore)

Sl. No.	Name of the Statute	Forum where dispute is pending	Nature of the Dues	Amount Involved	Amount paid under protest	Amount not deposited	Period to which the amount relates
1	Central Sales Tax Act, Value Added Tax and Sales Tax Act of various States	Assessing Officer	Sales Tax	73.56	40.48	33.09	1991-92 to 2014-15
		Dy. Commissioner / Jt. Commissioner / Commissioner (Appeals)		261.81	19.63	242.18	1992-93 to 2016-17
		Appellate Tribunal		263.07	124.75	138.32	1984-85 to 2015-16
		High Court		5.94	1.66	4.28	1985-86, 1994-95, 2009-11
2	Central Excise Act, 1944	Assessing Officer	Excise Duty	9.58	-	9.58	2011-12 to 2017-18
		Dy. Commissioner / Jt. Commissioner / Commissioner (Appeals)		3.81	0.06	3.75	2015-17, 2022-23
		Appellate Tribunal		47.21	4.39	42.82	1980-2008, 2014-15, 2016-17
		Supreme Court		27.49	-	27.49	2008-10
3	Service Tax under the Finance Act, 1994	Assessing Officer	Service Tax	1.56	-	1.56	2017-18
		Dy. Commissioner / Jt. Commissioner / Commissioner (Appeals)		1.31	0.44	0.87	2017-18
		Appellate Tribunal		440.62	9.65	430.97	2005-06 to 2017-18

Sl. No.	Name of the Statute	Forum where dispute is pending	Nature of the Dues	Amount Involved	Amount paid under protest	Amount not deposited	Period to which the amount relates
4	Customs Act, 1962	Assessing Officer	Custom Duty	9.88	5.88	3.99	2015-16, 2017-18, 2023-24
		Dy. Commissioner /Jt. Commissioner /Commissioner (Appeals)		9.39	0.20	9.20	2013-15, 2021-25
		Appellate Tribunal		21.40	0.43	20.96	2007-08, 2012-14, 2020-22, 2023-24
5	GST Act 2017	Assessing Officer	GST	8.87	0.29	8.58	2018-21, 2024-25
		Dy. Commissioner /Jt. Commissioner /Commissioner (Appeals)		27.13	0.44	26.69	2017-21, 2024-25
		Appellate Tribunal		0.96	0.18	0.78	2017-18
6	Income Tax Act 1961	Dy. Commissioner /Jt. Commissioner /Commissioner (Appeals)	Income Tax	0.41	0.41	-	2016-18
7	Income Tax (Foreign)	Appeal to be filed with Rawandan Court	Income Tax	19.46	6.19	13.27	2013-15
		Bangladesh Tax Appellate Authority		20.78	-	20.78	2021-22
8	Employees' Provident Fund and Miscellaneous Provisions Act, 1952	RPFC Kanpur	Provident Fund	1.24	0.62	0.62	2002-03
Total				1,255.47	215.68	1,039.78	

viii) According to the records of the Company examined by us and the information and explanations given to us, no transactions have been recorded in the books of accounts which have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.

ix) According to the records of the Company examined by us and the information and explanations given to us:

- The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- According to the information and explanations given to us and on the basis of our audit procedures,

we report that the Company has not been declared willful defaulter by any bank or financial institution or other lender.

- In our opinion and according to the information and explanations given to us the Company has not taken any Term Loan during the year and there is no outstanding term loan at the beginning of the year and hence, reporting under clause 3(ix) (c) of Order is not applicable.
- According to the information and explanation given to us, and the procedures performed by us, and on overall examination of the financial statement of the company, we report that no funds raised on short-term basis have been used for long-term purposes by the company.

- e) According to the information and explanation given to us, and on an overall examination of the financial statement of the company, we report that the company has not taken any funds from any entity or person on account of or to meet the obligations of its joint ventures.
- f) According to the information and explanation given to us, and procedures applied by us, we report that the company has not raised any loans during the year on the pledge of securities held in its joint ventures.
- x) a) The Company has not raised any monies by way of initial public offer or further public offer (including debt instruments) hence reporting under clause 3(x) (a) of the Order is not applicable.
- b) During the year, the Company has not made any preferential allotment or private placement of shares or debentures (fully or partly or optionally) and hence reporting under clause 3(x) (b) of the Order is not applicable.
- xi) a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, no fraud by the Company or any fraud on the Company by its officers or employees has been noticed or reported during the year, nor we have been informed of such case by the management.
- b) No report under sub-section (12) of section 143 of the Companies Act, has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with Central Government.
- c) We have taken into consideration the whistle blower complaints received by the company during the year while determining the nature, timing and extend of audit procedures.
- xii) Since the Company is not a Nidhi Company, provisions of clause no. 3(xii) of the Order is not applicable to the Company.
- xiii) According to the information and explanations, all the transactions with related parties are in compliance with section 177 and 188 of the Companies Act, 2013 wherever applicable and the details have been disclosed in the Financial Statement, as required by the applicable accounting standard.
- xiv) (a) In our opinion and based on examination, the company has an internal audit system commensurate with the size and nature of its business.
- (b) We have considered the internal audit report of the company issued till date, for the period under audit.
- xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with the directors or persons connected with them covered under Section 192 of the Act. Accordingly, provisions of clause 3(xv) of the Order are not applicable.
- xvi) (a) In our opinion and according to the information and explanations given to us, the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, provisions of clause (xvi)(a) of the Order are not applicable to the Company.
- (b) According to the information and explanations provided to us, the Company has not conducted any Non-Banking Financial or Housing Finance activities therefore the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, provisions of clause 3(xvi)(b) of the Order are not applicable
- (c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, provisions of clause 3(xvi)(c) of the Order are not applicable.
- (d) According to the audit reports shared by the management of entities forming part of the group, and as per information and explanations given to us by the Management, in our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016). Accordingly, provisions of clause 3(xvi)(d) of the Order are not applicable.
- xvii) Based on our examination of the books and records of the Company, the company has not incurred cash losses in the current and has not incurred cash losses in the immediately preceding financial year. Accordingly, provisions of clause 3(xvii) of the order are not applicable.
- xviii) There has been no resignation of the statutory auditors during the year. Accordingly, provisions of clause 3(xviii) of the order are not applicable.
- xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting

the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

xx) According to the records of the Company examined

by us and the information and explanations given to us:

- (a) There are no unspent amount towards Corporate Social Responsibility (CSR) on other than ongoing projects requiring a transfer to a Fund specified in schedule VII to the Companies Act in compliance with second proviso to sub section (5) of Section 135 of the said Act. Accordingly, reporting under clause 3(xx) (a) of the Order is not applicable.
- (b) In respect of ongoing projects, the Company has transferred unspent Corporate Social Responsibility amount as at the end of previous financial year, to a Special account within a period of 30 days from the end of the said financial year in compliance with the provision of section 135(6) of the Act

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQM7162

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQO6756

Place : New Delhi
Date : 16.05.2025

"ANNEXURE B" TO INDEPENDENT AUDITORS' REPORT

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to financial statements of Bharat Heavy Electricals Limited ("the Company") as of March 31, 2025 in conjunction with our audit of the Standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over financial reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to Standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over financial reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements

were established and maintained, and whether such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to standalone financial statement, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the Auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting with reference to standalone financial statement.

Meaning of Internal Financial Controls with reference to Standalone financial statements

A Company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial control with reference to Standalone financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation

of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Standalone Financial Statements

Because of the inherent limitations of internal financial controls with reference to standalone financial statement, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Standalone

financial statements to future periods are subject to the risk that the internal financial control with reference to Standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to Standalone financial statements and such internal financial controls with reference to Standalone financial statements were operating effectively as at March 31, 2025, based on the internal control with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over financial reporting issued by the Institute of Chartered Accountants of India.

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQM7162

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQO6756

Place : New Delhi
Date : 16.05.2025

"ANNEXURE C" TO INDEPENDENT AUDITORS' REPORT

Directions issued by the Comptroller & Auditor General of India under Section 143(5) of the Companies Act, 2013 indicating the areas to be examined by the Statutory Auditors during the course of audit of annual accounts of Bharat Heavy Electricals Limited (Standalone) for the year 2024-25:

S. No.	Areas Examined	Replies
1	Whether the Company has system in place to process all the accounting transactions through IT system. If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, if any may be stated.	Yes, the Company has system in place to process all the accounting transactions through IT system at each Branch. However, each Branch is using different accounting Software. Based on our Audit & Branch Auditor's Report, wherever the accounting transactions are based on workings outside IT System, no instances of lack of integrity of accounts and financial implications have been noticed/ reported.
2	Whether there is any restructuring of an existing loan or cases of waiver / write off of debts / loans / interest etc. made by a lender due to the company's inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a government company, then this direction is also applicable for statutory auditor of lender company).	According to the information and explanations given to us and based on our examination of the records of the company, there has been no restructuring/ waiver/ write off of debts/loans/interest etc. made by a lender due to the company's inability to repay the loan.
3	Whether funds (grants/subsidy etc.) received / receivable for specific schemes from Central / State Government or its agencies were properly accounted for /utilized as per its term and conditions? List the cases of deviation.	Fund received / receivable for specific schemes from Central / State agencies were properly accounted for /utilized as per its term and conditions.

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQM7162

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQO6756

Place : New Delhi
Date : 16.05.2025



COMPLIANCE CERTIFICATE

We have conducted an audit of account of BHEL, Standalone and Consolidated accounts for the year ended on 31.03.2025 in accordance with the directions / sub-directions issued by the C&AG of India under section 143(5) of the Companies Act, 2013 and certify that we have complied with all the directions / sub-directions issued to us

For P S M G & Associates
Chartered Accountants
FRN – 008567C

(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQM7162

For A B P & Associates
Chartered Accountants
FRN – 315104E

(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQO6756

Place : New Delhi
Date : 16.05.2025

भारतीय लेखापरीक्षा एवं लेखा विभाग
कार्यालय महा निदेशक लेखापरीक्षा (ऊर्जा)
नई दिल्ली



No.DGACE/Rep/01-54/AFS-BHEL-EFS/
2025-26/218

INDIAN AUDIT & ACCOUNTS DEPARTMENT
Office of the Director General of Audit (Energy)
New Delhi

Dated: 23/07/2025

सेवा में,

अध्यक्ष एवं प्रबंध निदेशक,
भारत हेवी इलेक्ट्रिकल्स लिमिटेड,
नई दिल्ली

विषय:- 31 मार्च 2025 को समाप्त वर्ष के लिए भारत हेवी इलेक्ट्रिकल्स लिमिटेड, नई दिल्ली के लेखाओं पर कम्पनी अधिनियम 2013 की धारा 143(6)(b) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियाँ।

महोदय,

मैं, भारत हेवी इलेक्ट्रिकल्स लिमिटेड, नई दिल्ली के 31 मार्च 2025 को समाप्त वर्ष के लेखाओं पर कम्पनी अधिनियम 2013 की धारा 143(6)(b) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियाँ अंग्रेषित कर रही हूँ।

कृपया इस पत्र की संलग्नकों सहित प्रार्थि की पावती भेजी जाए।

भवदीया,

संलग्नक:- यथोपरि।

तनुजा मित्तल
(तनुजा मित्तल)
महानिदेशक (ऊर्जा)

**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL
STATEMENTS OF BHARAT HEAVY ELECTRICALS LIMITED FOR THE YEAR
ENDED 31 MARCH 2025**

The preparation of financial statements of Bharat Heavy Electricals Limited for the year ended 31 March 2025 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditors appointed by the Comptroller and Auditor General of India under section 139(5) of the Act are responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 16 May 2025.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of Bharat Heavy Electricals Limited for the year ended 31 March 2025 under Section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under section 143(6)(b) of the Act.

For and on behalf of the
Comptroller & Auditor General of India

Place: New Delhi

Date: 23/07/2025


(Tanuja Mittal)
Director General of Audit (Energy)



Financial Statements

Standalone Financial Statements 178

Standalone Balance Sheet as at March 31, 2025

(₹ in Crore)

Particulars	Note	Page	As at March 31, 2025	As at March 31, 2024
A. ASSETS				
1. Non-current assets				
(a) Property, plant and equipment	3a	192	2862.46	2510.69
(b) Capital work-in-progress	3b	192	161.70	282.32
(c) Investment Property	3c	193	0.45	-
(d) Intangible assets	4a	200	84.27	63.35
(e) Intangible assets under development	4b	201	33.73	26.04
(f) Financial assets				
(i) Investments	5	202	671.71	667.60
(ii) Trade receivables	6	203	3046.58	3224.69
(iii) Other financial assets	7	205	715.95	4434.24
(g) Deferred tax assets (net of liabilities)	8	206	4067.72	4201.26
(h) Other non-current assets	9	207	14074.98	13689.69
Total non-current assets			25719.55	24871.74
2. Current assets				
(a) Inventories	10	208	9869.49	7220.57
(b) Financial assets				
(i) Trade receivables	6	203	5884.35	4785.38
(ii) Cash and cash equivalents	11	209	439.21	1835.04
(iii) Bank balances other than cash and cash equivalents	12	209	7173.20	4322.43
(iv) Other financial assets	7	205	300.76	13797.52
(c) Current tax assets (net)	13	209	137.37	229.07
(d) Other current assets	9	207	18955.39	15909.80
Total current assets			42759.77	34542.11
TOTAL ASSETS			68479.32	59413.85
B. EQUITY AND LIABILITIES				
3. Equity				
(a) Equity share capital	14	210	696.41	696.41
(b) Other equity	15	210	24416.60	24154.18
Total Equity			25113.01	24850.59
4. Liabilities				
4.1 Non-current liabilities				
(a) Financial liabilities				
(i) Lease Liabilities	16	211	162.39	23.55
(ii) Trade payables	17	211		
(i) Total outstanding dues of micro enterprises and small enterprises			-	-
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises			2170.79	2292.76
(iii) Other financial liabilities	18	213	422.79	2755.97
(b) Provisions	19	213	2585.56	2489.08
(c) Other non-current liabilities	20	213	9793.90	4102.77
Total non-current liabilities			15135.43	9316.03

Standalone Balance Sheet as at March 31, 2025

(₹ in Crore)

Particulars	Note	Page	As at March 31, 2025		As at March 31, 2024	
4.2. Current liabilities						
(a) Financial liabilities						
(i) Borrowings	21	214	8795.00		8808.00	
(ia) Lease Liabilities	16	211	57.21		24.91	
(ii) Trade payables	17	211				
(i) Total outstanding dues of micro enterprises and small enterprises			1430.24		1000.59	
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises			8110.68		7538.79	
(iii) Other financial liabilities	18	213	1245.81	19638.94	1493.32	18865.61
(b) Provisions	19	213		1815.31		2318.27
(c) Other current liabilities	20	213		6776.63		4063.36
Total current liabilities			28230.88		25247.24	
Total liabilities			43366.31		34563.27	
TOTAL EQUITY AND LIABILITIES			68479.32		59413.85	

Basis of preparation, measurement and material accounting policies

2 186

The accompanying notes [1-55] are an integral part of these financial statements

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Standalone Statement of Profit and Loss

For the year ended March 31, 2025

(₹ in Crore)

Particulars	Note	Page	For the year ended March 31, 2025	For the year ended March 31, 2024
INCOME				
Revenue from operations	22	215	28339.48	23892.78
Other income	23	215	503.39	587.92
TOTAL INCOME			28842.87	24480.70
EXPENSES				
Cost of raw materials consumed			8207.65	6116.27
Purchases of Bought out items			6757.99	5868.46
Civil, erection and engineering expenses			4989.22	4908.84
Consumption of stores & spares			432.61	350.28
Changes in inventories of finished goods, work in progress and Scrap	24	216	(1542.32)	(436.74)
Employee benefits expense	25	216	5923.42	5628.84
Other Expenses	26	217	2329.34	844.23
Finance costs	27	220	748.33	731.29
Depreciation & amortisation expense	3.1 3.2 4.1	194 199 200	271.96	248.90
TOTAL EXPENSES			28118.20	24260.37
PROFIT BEFORE TAX			724.67	220.33
Tax expenses	28	220		
a) Current tax			23.16	(112.56)
b) Deferred tax			188.54	73.00
PROFIT FOR THE YEAR (A)			512.97	259.89

Standalone Statement of Profit and Loss

For the year ended March 31, 2025

(₹ in Crore)

Particulars	Note	Page	For the year ended March 31, 2025	For the year ended March 31, 2024
OTHER COMPREHENSIVE INCOME	29	220		
Items that will not be reclassified to profit or loss (net of tax)				
-Remeasurement of defined employee benefits			(163.50)	(82.41)
OTHER COMPREHENSIVE INCOME FOR THE YEAR (B)			(163.50)	(82.41)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR (A+B)			349.47	177.48
Earnings per equity share	30	221		
(1) Basic [Face value of ₹2 each]			1.47	0.75
(2) Diluted [Face value of ₹2 each]			1.47	0.75

Basis of preparation, measurement and material accounting policies **2** **186**

The accompanying notes [1-55] are an integral part of these financial statements

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Standalone Statement of Changes in Equity

For the year ended March 31, 2025

A. Equity Share Capital

(₹ in Crore)

Equity shares of ₹2 each issued, subscribed and fully paid	Number of shares		Amount	
	2024-25	2023-24	2024-25	2023-24
Balance at the beginning of the year	3482063355	3482063355	696.41	696.41
Changes in equity share capital during the year	-	-	-	-
Balance at the end of the year	3482063355	3482063355	696.41	696.41

B. Other equity

For the year ended March 31, 2025

(₹ in Crore)

Description	Reserves and surplus				Other items of other comprehensive income	Total other Equity
	Capital Reserves	Capital Redemption Reserves	General Reserves	Retained Earnings		
Balance as at April 01, 2024	35.18	37.87	30476.66	(5977.59)	(417.94)	24154.18
Changes in accounting policy or prior period errors	-	-	-	-	-	-
Reinstated balance as at April 01, 2024	35.18	37.87	30476.66	(5977.59)	(417.94)	24154.18
Add: Total comprehensive Income for the year	-	-	-	512.97	(163.50)	349.47
Less: Final dividend	-	-	-	(87.05)	-	(87.05)
Balance as at March 31, 2025	35.18	37.87	30476.66	(5551.67)	(581.44)	24416.60

For the year ended March 31, 2024

(₹ in Crore)

Description	Reserves and surplus				Other items of other comprehensive income	Total other Equity
	Capital Reserves	Capital Redemption Reserves	General Reserves	Retained Earnings		
Balance as at April 01, 2023	35.18	37.87	30476.66	(6098.20)	(335.53)	24115.98
Changes in accounting policy or prior period errors	-	-	-	-	-	-
Reinstated balance as at April 01, 2023	35.18	37.87	30476.66	(6098.20)	(335.53)	24115.98
Add: Total Comprehensive Income for the year	-	-	-	259.89	(82.41)	177.48
Less: Final dividend	-	-	-	(139.28)	-	(139.28)
Balance as at March 31, 2024	35.18	37.87	30476.66	(5977.59)	(417.94)	24154.18

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Standalone Statement of Cash Flows

For the year ended March 31, 2025

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
A. CASH FLOW FROM OPERATING ACTIVITIES		
Profit /(Loss) before tax	724.67	220.33
Adjustments for:		
Provision and write off	(879.13)	(1188.18)
Depreciation and amortisation	271.96	248.90
Finance cost (including unwinding of interest)	748.33	731.29
Interest & dividend income	(440.71)	(535.43)
Unrealised Foreign Exchange loss/(gain)	(16.97)	56.03
Amortisation of Government Grant	(8.99)	(15.62)
Others include profit on sale of investment & PPE and Impairment of Investment	(18.03)	(7.78)
Cash generated / (used) in operations before working capital changes	381.13	(490.46)
Adjustment for changes in working capital:		
Trade Receivables	(1002.80)	(2469.24)
Contract Assets	(1960.76)	(13.70)
Inventories	(2632.53)	(503.04)
Loans, advances & other assets	(1448.62)	(737.22)
Sub total	(7044.71)	(3723.20)
Trade payable	846.94	(1119.43)
Advances from customers, deposits and others	7927.25	1398.02
Sub total	8774.19	278.59
Net cash (used in) / from working capital	1729.48	(3444.61)
Cash generated / (used) in operations	2110.60	(3935.07)
Income Tax paid	(154.41)	(158.48)
Refund of income taxes	235.70	380.65
Net cash (used in) / from operating activities	2191.89	(3712.90)
B. CASH FLOW FROM INVESTING ACTIVITIES		
Redemption / maturity of bank deposits (having original maturity of more than 3 months)	(2878.41)	1112.69
Interest received	371.74	399.30
Sale proceeds from Investment	5.76	0.80
Dividend received from joint ventures	38.08	41.65
Sale of Property, Plant and Equipment, Intangible Assets & Investment Property	13.46	8.92
Purchase of Property, Plant and Equipment, Intangible Assets & Investment Property (Net)	(281.54)	(232.50)
Net cash (used in) / from investing activities	(2730.91)	1330.86

Standalone Statement of Cash Flows

For the year ended March 31, 2025

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
C. CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from short term borrowings	(13.00)	3423.00
Proceeds / (repayment) of lease obligation (Principal)	(62.60)	(34.32)
Proceeds / (repayment) of lease obligation (Interest)	7.24	(4.73)
Dividend paid	(87.44)	(139.45)
Interest paid	(701.01)	(588.76)
Net cash (used in) / from financing activities (refer point 4)	(856.81)	2655.74
D. Net increase/(decrease) in cash and cash equivalents	(1395.83)	273.70
Opening balance of cash and cash equivalents	1835.04	1561.34
Closing balance of cash and cash equivalents [Refer Note 11]	439.21	1835.04

(1) Statement of cash flow has been prepared under the indirect method as set out in the Ind AS 7 - Statement of Cash flow.

(2) Previous year's figures have been regrouped/reclassified wherever applicable

(3) Closing balance of Cash & Cash Equivalents includes exchange variation loss of ₹ Nil Cr (Previous year ₹Nil)

(4) Changes in liabilities arising from financing activities are available at Note [21 (vi)] and Note [35](b)

(5) During the year the company has accounted for income tax refund amounting to ₹235.70 Cr, including interest income of ₹12.69 Cr.

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
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As per our report of even date

For ABP & Associates
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(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi

Date : 16th May, 2025

Notes to the Standalone Financial Statements for the year ended March 31, 2025

Note [1] – Company Information

Bharat Heavy Electricals Limited ("BHEL or "the Company") is a public limited company domiciled in India and has its registered office at BHEL House, Siri Fort, New Delhi-110049.

The Company is an integrated power plant equipment manufacturer and is engaged in design, engineering, manufacture, construction, testing, commissioning and servicing of a wide range of products and services for the core sectors of the economy, viz, Power, Transmission, Industry, Transportation, Renewable Energy, Water, Oil & Gas and Defence & Aerospace.

Note [2] - Material Accounting Policies

1. Basis of preparation of Financial Statements

a) Statement of Compliance:

The financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as notified by Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015 and subsequent amendments thereof as well as with the additional requirements applicable to financial statements as set forth in Companies Act, 2013 and amended thereof.

b) Basis of measurement

The financial statements have been prepared on a going concern basis and on an accrual method of accounting. Historical cost is used in preparation of the financial statements except as otherwise mentioned in the policy.

c) Functional and presentation currency

The financial statements are prepared in INR, which is the Company's functional currency.

d) Use of Estimates and Judgments

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Critical estimates and judgements in applying accounting policies

Estimates and judgements made in applying accounting policies that have significant effect on the amounts recognized in the financial statements are as follows:

i) Revenue

The Company uses input method based on cost approach in accounting for the revenue in respect of construction contracts. Use of input method requires the Company to estimate its costs relative to the total expected costs in the satisfaction of its performance obligation. The estimates are assessed continually during the term of the contract and the company re-measures its progress towards complete satisfaction of its performance obligations satisfied over time at the end of each reporting period.

Company updates its estimated transaction price at each reporting period, to represent faithfully the circumstances present at the end of the reporting period and the changes in circumstances during the reporting period.

ii) Property, plant and equipment

The charge in respect of periodic depreciation is derived after estimating the asset's expected useful life and the expected residual value at the end of its life. The depreciation method, useful lives and residual values of Company's assets are estimated by management at the time the asset is acquired and reviewed during each financial year.

iii) Employee Benefit Plans

Employee defined benefit plans and long term benefit plans are measured on the basis of actuarial assumptions. However, any changes in these assumptions may have impact on the reported amount of obligation and expenses.

iv) Provisions and contingencies

Assessments undertaken in recognising provisions and contingencies have been made as per the best judgement of the management based on the current available information.

2. Property, Plant & Equipment (PPE)

Property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the plant and equipment and borrowing costs on Eligible Assets if the recognition criteria are met.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred.

Significant components with different useful lives are accounted for and depreciated separately.

Depreciation on property, plant and equipment (other than those used abroad under contract) is charged on straight-line method as per the useful life prescribed in Schedule II of the Companies Act, 2013, except in the following items where estimated useful life is based on technically assessed estimated useful life:

Assets Category	Years
Plant & equipment	15-30
Buildings	5-60
Electricals installations & equipment	10-30
Erection equipment, Capital tools & tackles	5
Drainage, sewerage & water supply	30
Servers and networks	5
Solar Power Generation Plant	25

Depreciation methods, useful lives and residual values are reviewed in each financial year and changes, if any, are accounted for prospectively.

Property, Plant & Equipment costing ₹10,000/- or less and those whose written down value as at the beginning of the year is ₹10,000/- or less, are depreciated fully.

At erection / project sites: The cost of roads, bridges and culverts is fully amortized over the tenure of the contract, while sheds, railway sidings, electrical installations and other similar enabling works (other than temporary structures) are depreciated over the tenure of the contract after retaining residual value, if any.

Assets used outside India pursuant to long term contracts are depreciated over the duration of the initial contract.

Temporary structures are fully depreciated in the year of construction.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss when the asset is derecognised.

3. Leases

At the inception of an arrangement, the Company determines whether such an arrangement is or contains a lease.

a. Right-of-use assets

Right-of-use assets are amortised over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

b. Lease liabilities

Upon initial recognition, assets taken on lease are capitalized under right-of-use assets at cost which comprises initial measurement of lease liability at present value, initial lease payments less incentives, initial direct costs and estimated cost of dismantling and removing the underlying assets, if any.

Lease payments made under leases are apportioned between the finance expense and the reduction of the outstanding lease liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

c. Short term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

d. For Assets given on finance lease, the Company recognizes finance income over the lease term using effective interest rate method. Initial direct costs incurred are included in the initial measurement of the finance lease receivable and reduce the amount of income recognized over the lease term.

Lease income arising from operating lease is recognized as income over the lease period on a straight-line basis except where the periodic increase in lease rentals is in line with expected general inflation.

4. Intangible assets

Intangible items costing more than ₹10000/- are evaluated for capitalization and are carried at cost less accumulated amortization and accumulated impairment, if any.

Intangible assets are amortised in Statement of Profit and Loss on a straight-line method over the estimated useful lives from the date that they are available for use. The estimated useful lives for the intangible assets are as follows:

Software	3 years
Others	10 years

Intangible assets having WDV ₹10000/- or less at the beginning of the year are amortized fully.

Amortization period and amortization methods are reviewed in each financial year and changes, if any, are accounted for prospectively.

Research and development expenditure

Expenditure on research activities is recognized in statement of profit and loss as incurred. Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the company intends to and has sufficient resources to complete development and to use or sell the asset. The expenditure capitalized includes the cost of materials, direct labour, overhead costs that are directly attributable to preparing the asset for its intended use, and borrowing costs, if any.

Assets acquired for purposes of research and development are capitalized.

5. Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, are added to the cost of such assets.

An asset that necessarily takes a substantial period of time, considered as more than twelve months, to get ready for its intended use or sale is a qualifying asset for the purpose.

All other borrowing costs are recognized in the statement of profit and loss in the period in which they are incurred.

6. Investments in Joint ventures

Investments in joint ventures are accounted at cost less impairment losses, if any.

If the intention of the management is to dispose the investment in near future, it is classified as held for sale and measured at lower of its carrying amount and fair value less costs to sell.

7. Inventories

Inventory is valued at cost or net realizable value, whichever is lower. In respect of valuation of finished goods and work-in-progress, cost means factory cost. In respect of raw material, components, loose tools, stores and spares cost means weighted average cost.

8. Revenue from contracts with customers

Revenue from contract with customers is recognized when a performance obligation is satisfied by transfer of promised goods or services to a customer.

For performance obligation satisfied over time, the revenue recognition is done by measuring the progress towards complete satisfaction of performance obligation.

The progress is measured in terms of a proportion of actual cost incurred to-date, to the total estimated cost attributable to the performance obligation. i.e input method.

The Company transfers control of a good or service over time and therefore satisfies a performance obligation and recognises revenue over a period of time if one of the following criteria is met:

(a) the customer simultaneously consumes the benefit of the Company's performance or

(b) the customer controls the asset as it is being created/enhanced by the Company's performance or

(c) there is no alternative use of the asset and the Company has either explicit or implicit right of payment considering legal precedents,

In all other cases, performance obligation is considered as satisfied at a point in time.

The revenue is recognised to the extent of transaction price allocated to the performance obligation satisfied. Transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring goods or services to a customer excluding amounts collected on behalf of a third party.

Other Income

Dividend income is recognized in statement of profit and loss on the date on which the Company's right to receive payment is established.

Interest Income is recognized using effective interest rate method.

Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted for on accrual basis.

9. Foreign currency Translation/Transaction

Transaction in foreign currencies are **initially** recorded at the exchange rate prevailing on the date of the transaction first qualifies for recognition.

Foreign currency denominated monetary assets and liabilities are translated into the functional currency at exchange rates in effect at the end of each reporting period. Foreign exchange gains or losses arising from settlement and translations are recognized in the statement of profit and loss.

Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevailing at the date of transaction.

10. Employee Benefits

Defined contribution plans

The Company's contribution to Pension fund including

Family Pension Fund for the employees is covered under defined contribution plan and is recognized as employee benefit expense in statement of profit and loss in the periods during which services are rendered by employees.

Defined benefit plans

The Company's gratuity scheme, provident fund scheme, travel claims on retirement and post-retirement medical facility scheme are in the nature of defined benefit plans.

The liability recognized in the balance sheet in respect of these defined benefit plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets, if any. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using an appropriate government bond rate that have terms to maturity approximating to the terms of the related liability.

Remeasurements comprising actuarial gains and losses as well as the difference between the return on plan assets and the amounts included in net interest on the net defined benefits liability (asset) are recognized in other comprehensive income (net of income tax).

Other expenses related to defined benefit plans are recognized in statement of profit and loss.

Long term Leave Liability

The Company measures the expected cost of accumulating compensated absences as the additional amount expected to be paid as a result of the unused entitlement that has accumulated at the end of the reporting period. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur. The Company records a liability for accumulated balance based on actuarial valuation determined using projected unit credit method. Remeasurements and other expenses related to long term benefit plans are recognized in statement of profit and loss.

11. Provisions and Contingent liabilities

Provisions

- (i) Claims for liquidated damages against the Company are recognized in the financial statements based on the management's assessment of the probable outcome with reference to the available information supplemented by experience of similar transactions.
- (ii) The Company provides for anticipated costs for warranties when it recognizes revenues on the related products or contracts and maintain the same throughout the warranty period. The provision is based on historical experience / technical assessment.
- (iii) When it is probable that total contract costs will

exceed total contract revenue, the expected loss is recognised immediately.

- (iv) Other provisions are recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

However, where the effect of time value of money is material, provisions are determined and maintained by discounting the expected future cash flows, wherever applicable.

Contingent liabilities

Contingent liabilities are possible obligations that arise from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company. Where there is present obligation arising from the past event but it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote (where no disclosure is required). Contingent liabilities are disclosed on the basis of judgment of the management/ independent experts. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate.

12. Government Grants

Government grants are recognized only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received.

In case of depreciable assets, the cost of the assets is shown at gross value and grant thereon is taken to deferred income which is recognized as income in the Statement of Profit and Loss over the useful life of the asset.

Where the Company receives non-monetary grants, the asset and the grant are accounted for at fair value of assets and are treated as deferred income. Deferred income is recognized in the statement of profit and loss on a systematic and rational basis over the useful life of the asset.

Government grants related to revenue are recognized on a systematic basis in the statement of profit and loss over the periods necessary to match them with the related costs which they are intended to compensate.

13. Income Taxes

Income tax expense comprises current tax and deferred tax.

Current income tax

Income tax expense is recognized in statement of profit

and loss except to the extent that it relates to items recognized in other comprehensive income or directly in equity.

Current tax is the expected tax payable on the taxable income for the year, using tax rates (tax laws) enacted or substantively enacted by the end of the reporting period and includes adjustment on account of tax in respect of previous years.

Deferred tax

Deferred tax is recognized using the balance sheet method, providing for temporary difference between the carrying amount of an asset or liability for financial reporting purpose at the reporting date and its tax base.

Deferred tax is measured at the tax rates that are expected to apply when the temporary differences are either realised or settled, based on the laws that have been enacted or substantively enacted by the end of reporting period.

A deferred tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the temporary difference can be utilized.

The carrying amount of Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

14. Impairment of Assets

Impairment of financial assets

The loss allowance in respect of trade receivables, contract assets and lease receivables are measured at an amount equal to lifetime expected credit losses.

The loss allowance in respect of all other financial assets, which are required to be impaired, are measured at an amount equal to lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition. However, if, at the reporting date, the credit risk on a financial instrument has not increased significantly since initial recognition, the loss allowance is measured at an amount equal to 12-month expected credit losses.

Impairment of Non- Financial Assets

The carrying amount of cash generating units is reviewed at each reporting date where there is any indication of impairment. An impairment loss is recognized in the statement of profit and loss where the carrying amount exceeds the recoverable amount of the cash generating units.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

15. Segment Reporting

Revenue and expenses are identified to segments on the basis of their relationship to the operating activities of the segment. Revenue, expenses, assets and liabilities which are not allocable to segments on a reasonable basis, are included under "Unallocated revenue/ expenses/ assets/ liabilities".

16. Non-derivative financial instruments

Non derivative financial instruments are classified as :-

- Financial assets, measured at (a) amortized cost and (b) fair value through Profit and Loss ("FVTPL").
- Financial liabilities carried at amortized cost.

Initially, all financial instruments are recognized at their fair value. Transaction costs are included in determining the carrying amount, if the financial instruments are not measured at FVTPL. Financial assets are derecognized when substantial risks and rewards of ownership of the financial asset have been transferred. In cases where substantial risks and rewards of ownership of the financial assets are neither transferred nor retained, financial assets are derecognized only when the Company has not retained control over the financial asset. Financial liabilities are derecognized when contractual obligations are discharged or cancelled or expired.

Non-derivative financial assets are subsequently measured as below:

A. Amortized cost –

"Financial Instruments at amortized cost" are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the statement of profit and loss. The losses arising from impairment are recognized in the statement of profit and loss.

B. FVTPL Category –

Financial instruments classified in this category are subsequently carried at fair value with changes recorded in the statement of profit and loss. Directly attributable transaction costs are recognised in statement of profit and loss as incurred.

Non-derivative financial liabilities are subsequently measured as below:

Subsequent to initial recognition, non-derivative financial liabilities are measured at amortised cost using the effective interest method.

17. Cash and Cash Equivalents

Cash and cash equivalents comprise cash at bank and on hand. It includes term deposits and other short-term money market deposits with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

18. Dividend

The Company recognises a liability to pay dividend to equity shareholders when the distribution is authorised, and the distribution is no longer at the discretion of the Company. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity.

19. Earnings per share

Basic earnings per equity share is computed by dividing the net profit attributable to the equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. Diluted earnings per share is computed by dividing the net profit attributable to the equity shareholders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares.

20. Investment Property

Investment properties are properties (land or building or part of building or both) held to earn rental income and/or for capital appreciation. It does not include property held for use in the production or supply of goods or services or for administrative purposes, nor it includes property held for sale in the ordinary course of business.

These are initially measured at cost, including related transaction costs and, where applicable, borrowing costs as per accounting standards. After initial recognition, investment properties are carried at cost less accumulated depreciation and accumulated impairment losses, if any. Though measured at cost, the fair value of investment properties is disclosed in the notes to the financial statements, based on a valuation by an independent qualified valuer. Subsequent expenditure is capitalized if it is probable that future economic benefits will flow to the company and the cost of the expenditure can be

reliably measured. Day-to-day repairs and maintenance are expensed off when incurred.

Investment properties are depreciated in accordance to the category of asset that it belongs to and the life of the asset shall be as conceived for the same in line with the policy on PPE.

Properties are transferred to or from investment property only when there is a clear change in use, supported by evidence. Transfers between investment property, and owner-occupied property do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes. An investment property is derecognized upon disposal or when it is permanently withdrawn from use and no future economic benefits are expected from its use or disposal. Any gain or loss arising from derecognition (the difference between net disposal proceeds and carrying amount) is recognized in the Statement of Profit and Loss.

Note [3a] - Non current assets

Property, Plant and Equipment

Refer point 2 of Note [2] for Material accounting policy on Property, Plant and Equipment (PPE)

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	7404.47	6897.00
Less: Accumulated depreciation	4542.01	4386.31
Net block (for details refer to Note 3.1)	2862.46	2510.69

The Net block includes ₹304.56 Cr (Previous Year ₹142.17 Cr) in respect of RoU assets.

Company had opted for exemption under IndAS 101, and accordingly carrying value as on 31.03.2015 was considered as deemed cost on IndAS transition date.

Note [3b] - Non current assets

Capital work in progress

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Plant & machinery and other equipments:		
Under Erection/ Fabrication/awaiting erection	87.16	81.86
In transit	24.59	48.86
Construction work-in-progress -Civil	45.37	151.16
Construction stores (including in transit)	4.58	0.44
Total	161.70	282.32

(₹ in Crore)

CWIP Ageing schedule - As at March 31, 2025	Amount in CWIP for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	145.83	0.98	1.30	1.30	149.42
Projects temporarily suspended				12.28	12.28

(₹ in Crore)

CWIP Completion Schedule (CWIP which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2025	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress					
New Building - Noida	0.91				0.91
Electric Overhead Travelling Crane	1.47				1.47
Other Projects less than ₹10 Crore (Total Nos - 12)	1.10			0.37	1.47
Projects temporarily suspended					
Equipment Fabrication Plant - Bhandara				7.74	7.74
Enabling work- Uppur				2.94	2.94
Other Projects less than ₹1 Crore (Total Nos - 5)				1.60	1.60

(₹ in Crore)

CWIP Ageing schedule - As at March 31, 2024	Amount in CWIP for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	152.55	43.02	14.91	59.28	269.76
Projects temporarily suspended			0.59	11.97	12.56

(₹ in Crore)

CWIP Completion Schedule (CWIP which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2024	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress					
New Building - Noida	106.62				106.62
Other Projects less than ₹10 Crore (Total Nos - 14)	2.58	0.09	0.48		3.15
Projects temporarily suspended					
Equipment Fabrication Plant - Bhandara				7.74	7.74
Enabling work- Uppur			0.59	2.35	2.94
Other Projects less than ₹1 Crore (Total Nos - 4)	0.28			1.60	1.88

Note [3c] - Non current assets

Investment Property

Refer point 20 of Note [2] for Material accounting policy on Investment Property

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	1.17	-
Less: Accumulated depreciation	0.72	-
Net block (for details refer to Note 3.2)	0.45	-
Fair value of Investment Property	111.58	N.A.

Note 3.1 - Details of Property, Plant & Equipment

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land - Freehold land (including development expenses) *	27.73	0.00	0.00	27.73	0.00	0.00	0.00	0.00	27.73	27.73
Buildings - Freehold Buildings *	1978.91	157.73	(6.38)	2130.26	763.87	41.61	(5.86)	799.62	1330.64	1215.04
Roads, bridges & culverts	16.29	1.72	0.00	18.01	15.05	0.19	0.00	15.24	2.77	1.24
Drainage, Sewerage & water supply	39.28	5.48	(0.00)	44.76	10.77	1.47	(0.00)	12.24	32.52	28.51
Plant & Equipment	3425.75	154.34	(11.84)	3568.25	2623.14	115.79	(11.57)	2727.36	840.89	802.61
Railway Siding	8.85	0.00	0.00	8.85	6.17	0.41	0.00	6.58	2.27	2.68
Locomotives & Wagons	28.33	0.00	0.00	28.33	20.79	1.26	0.00	22.05	6.28	7.54
Furniture & fixtures	82.00	6.37	(0.78)	87.59	52.17	6.07	(0.63)	57.61	29.98	29.83
Vehicles	16.60	1.43	(0.05)	17.98	12.37	1.03	(0.06)	13.34	4.64	4.24
Office and Other equipments	156.14	12.50	(1.37)	167.27	135.16	7.81	(1.26)	141.71	25.56	20.97
Electronic Data Processing Equipment	174.99	9.43	11.10	195.52	168.02	3.24	11.12	182.38	13.14	6.97
Electrical Installations	311.12	36.35	(0.27)	347.20	197.20	10.51	(0.10)	207.61	139.58	113.91
Construction Equipment	70.97	0.53	(4.65)	66.85	69.53	0.49	(4.66)	65.36	1.49	1.44
Fixed Assets costing upto ₹10,000/-	24.36	3.90	(0.80)	27.46	24.36	3.90	(0.80)	27.46	-	-
Solar power generation	143.74	0.07	0.00	143.81	37.93	5.48	0.00	43.41	100.40	105.81
Right-of-use Assets*	391.97	215.22	(82.60)	524.59	249.80	51.89	(81.65)	220.04	304.56	142.17
TOTAL	6897.02	605.08	(97.66)	7404.47	4386.33	251.13	(95.47)	4542.01	2862.46	2510.69
Previous Year	6620.97	336.53	(60.51)	6897.02	4212.23	233.66	(59.53)	4386.33	2510.69	2408.74

Notes:

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹14411.16 Crore and as at 31.03.2024 ₹13965.56 Crore

Gross Block as at 31.03.2025 includes assets condemned and retired from active use ₹7.24 Crore (Previous year ₹5.04 Crore)

Net Block as at 31.03.2025 includes assets condemned and retired from active use ₹0.12 Crore (Previous year ₹0.12 Crore)

Gross Block excludes cost of assets purchased out of grant received from Govt of India for research as executing agency since the property does not vest with the Company ₹243.50 crore (Previous year ₹242.91 crore)

* Transfer to Investment Property from Land Gross Block ₹ Nil, Building Freehold Gross Block ₹0.53 Crore & Accumulated Depreciation ₹0.51 Crore and Building RoU Gross Block ₹0.64 Crore & Accumulated Depreciation ₹0.19 Crore

There is no impairment loss during the year.

Table 3.1(a): Right-of-use assets includes:

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land (including development expenses)	123.69	0.64	(0.00)	124.33	20.86	3.96	0.00	24.82	99.51	102.83
Buildings *	2.66	0.00	(0.64)	2.02	0.50	0.24	(0.19)	0.55	1.47	2.16
Plant & Equipment	20.91	0.00	(4.61)	16.30	10.34	5.47	(4.61)	11.20	5.10	10.57
Office & other equipment	16.42	1.25	(9.80)	7.87	15.43	0.46	(9.80)	6.09	1.78	0.99
EDP Equipment	203.02	204.66	(66.00)	341.68	187.89	35.99	(66.16)	157.72	183.96	15.13
Vehicle	7.25	0.95	(1.55)	6.65	2.78	1.60	(0.90)	3.48	3.17	4.47
Others	18.02	7.72	0.00	25.74	12.00	4.17	0.00	16.17	9.57	6.02
TOTAL	391.97	215.22	(82.60)	524.59	249.80	51.89	(81.65)	220.03	304.56	142.17
Previous Year	431.97	14.62	(54.63)	391.97	276.71	27.51	(54.43)	249.80	142.17	155.26

* Transfer to Investment Property from Building RoU Gross Block ₹0.64 Crore & Accumulated Depreciation ₹0.19 Crore

Additional disclosure of Note [3.1] details of Property, Plant and Equipment

1. (A) Title deeds of Immovable Property not held in the name of BHEL (As on 31/03/2025)

Description of item of property (under the line item of B/S)	Gross Carrying value (₹ in Crore)	Lease/ Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
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PPE:-

Land-Freehold	0.08	Bachha Lal S/O Late Ram Kishore	No	08-06-1983	The case is pending with Special Land Acquisition officer Varanasi for mutation in the name of HERP Varanasi.
Land-Freehold	0.52	State Govt of Telangana	No	1974 onwards	Transfer of title deed in progress, matter taken up with state govt. through TSIC
Land-Freehold	0.11	State Govt of Telangana	No	30-01-1961	Gazette Notification issued for acquisition of Land for setting up of Heavy Electrical Plant (Ref No:171,192,92-A,61,202 in the year 1961 & 63
Land-Freehold	0.18	State Govt. of Madhya Pradesh	No	Since 1957	Land provided through gazette of Government of India, title deed not available in the name of BHEL.
Land-Freehold	1.24	State Govt. of Tamil Nadu	No	Various dates between 13.01.1981 to 17.02.1986	Land transfer documents (Handing over by state govt and taken over by BHEL) are available indicating area and Survey Numbers. Assignment deed is yet to be issued by State Government in favour of BHEL.
Land-Freehold	0.0022	B Saroja Devi	No	01-04-1965	There is a dispute between Mrs. B Saroja Devi and M/s BHEL in Supreme Court. The Supreme Court has referred the case back to High Court for disposal and the same is pending.
Land-Freehold	1.64	State Govt. of Tamil Nadu	No	24-11-2010	Patta (Title Deed) is yet to be obtained
Land-Leasehold (Right-of-use of assets)	68.38	464.8287 Acres in the name of Maharashtra Industrial Development Corporation 9.0688 Acres in the name of State Govt. of Maharashtra 2.7676 Acres in the name of Private owners of Land	No	20-03-2013	Full acquisition of proposed land not yet completed.
Building-Freehold	0.11	JB Construction (Builder)	No	35 YEARS	Title in respect of 4 Flats are in dispute between builder & Land Owner
Building-Freehold	0.05	Maharashtra Cooperative Society	No	35 YEARS	6 Flats in name of Cooperative Society. There is no dispute.
Land-Freehold	0.0002	Mutation is done in BHEL Name. However, in Khatauni BHEL Jhansi is not shown. It is shown as Dohri Railway Land.	No	1974-75	This is due to mistake at the end of State Revenue Department that they have made a typographical error while making the Khatauni entry. Matter was taken up by Estate Department, TP Jhansi with District Revenue Authority for change of the name on the name of BHEL.
Building-Leasehold (Right-of-use of assets)	1.2777	State Govt. of Maharashtra	No	01-02-1991	Maharashtra Govt. has not executed the lease of land with MVIRDC, thus MVIRDC can not execute the lease deed for 1 Floors with BHEL.

Investment Property:-

Building - Leasehold	1.2777	State Govt. of Maharashtra	No	01-02-1991	Maharashtra Govt. has not executed the lease of land with MVIRDC, thus MVIRDC can not execute the lease deed for 1 Floors with BHEL.
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Additional disclosure of Note [3.1] details of Property, Plant and Equipment

1. (A) Title deeds of Immovable Property not held in the name of BHEL (As on 31/03/2024)

Description of item of property (under the line item of B/S)	Gross Carrying value (₹ in Crore)	Lease/ Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
PPE:-					
Land-Freehold	1.64	State Govt. of Tamil Nadu	No	24-11-2010	Patta (Title Deed) is yet to be obtained
Land-Freehold	1.24	State Govt. of Tamil Nadu	No	Various dates between 13.01.1981 to 17.02.1986	Land transfer documents (Handing over by state govt and taken over by BHEL) are available indicating area and Survey Numbers. Assignment deed is yet to be issued by State Government in favour of BHEL.
Land-Freehold	0.52	State Govt of Telangana	No	1974 onwards	Transfer of title deed in progress, matter taken up with state govt. through TSIC.
Land-Freehold	0.18	State Govt. of Madhya Pradesh	No	Since 1957	Land provided through gazette of Government of India, title deed not available in the name of BHEL.
Land-Freehold	0.11	State Govt of Telangana	No	30-01-1961	Gazette Notification issued for acquisition of Land for setting up of Heavy Electrical Plant (Ref No:171,192,92-A,61,202 in the year 1961 & 63.
Land-Freehold	0.08	Bachha Lal S/O Late Ram Kishore	No	08-06-1983	Due to dispute in enhanced compensation Matter is sub judice in Hon'ble High court at Allahabad. Appeal no. 659 of 1995.
Land-Freehold	0.0022	B Saroja Devi	No	01-04-1965	There is a dispute between Mrs. B Saroja Devi and M/s BHEL in Supreme Court. The Supreme Court has referred the case back to High Court for disposal and the same is pending.
Land-Freehold	0.0002	Mutation is done in BHEL Name. However, in Khatauni BHEL Jhansi is not shown. It is shown as Dohri Railway Land.	No	1974-75	This is due to mistake at the end of State Revenue Department that they have made a typographical error while making the Khatauni entry. Matter was taken up by Estate Department, TP Jhansi with District Revenue Authority for change of the name on the name of BHEL.
Land-Leasehold (Right-of-use of assets)	68.38	464.8287 Acres in the name of Maharashtra Industrial Development Corporation 9.0688 Acres in the name of State Govt. of Maharashtra 2.7676 Acres in the name of Private owners of Land	No	20-03-2013	Full acquisition of proposed land not yet completed.
Building-Freehold	0.11	JB Construction (Builder)	No	35 YEARS	Title in respect of 4 Flats are in dispute between builder & Land Owner
Building-Freehold	0.05	Maharashtra Cooperative Society	No	35 YEARS	6 Flats in name of Cooperative Society. There is no dispute.
Building-Leasehold (Right-of-use of assets)	2.56	State Govt. of Maharashtra	No	01-02-1991	Maharashtra Govt. has not executed the lease of land with MVIRDC, thus MVIRDC cannot execute the lease deed for 2 Floors with BHEL.

Additional disclosure of Note [3.1] details of Property, Plant and Equipment

Particulars		As at March 31, 2025	As at March 31, 2024
2. Land and buildings includes			
a.	i) Acres of land for which formal transfer/lease deed have not been executed (in acres)	8441.47	8441.47
	Net Block (₹ in Crore)	63.52	64.24
	ii) Number of flats for which formal transfer/lease deed have not been executed (in nos)	12	12
	Net Block (₹ in Crore)	0.92	0.97
	iii) Acres of land for which the cost paid is provisional; [registration charges and stamp duty, (net of provision) would be] accounted for on payment. (in acres)	480.04	480.04
	Net Block (₹ in Crore)	59.82	60.54
b.	Acres of land leased to Ministry of Defence, Govt. of India Departments & others (in acres)	20.47	20.47
c.	Acres of land is under adverse possession/encroachment (in acres)	886.99	947.40
d.	1300.32653 acres (PY 1297.85903 acres) of land pending mutation at Haridwar plant for which legal action is in process. It includes land measuring 934 acres (PY 934 acres) which is in BHEL's possession but has been wrongly got mutated in the name of SIDCUL Government of Uttarakhand in the year 2004 & 2007 and 2.4675 acres (P.Y. Nil) related to BHEL vs Nakli Ram case which is pending before court.		
e.	Further at Haridwar plant, 8 Acres of land is pending transfer to IOCL /State Government under office memorandum dated 01.12.2003 of Uttarakhand Government.		

(Cost of land of (b to e) mentioned above is not material)

Particulars		As at March 31, 2025	As at March 31, 2024
3.	i) Total Area of Land in acres	16690.71	16690.71
	ii) Free hold land (Sale Deed) / Possessory Rights/license out of 3(i) in acres	15987.38	15987.38
	iii) Leasehold land out of 3(i) in acres	703.33	703.33

4. The company provides 100% depreciation on an item of PPE having cost / opening net block up to ₹10000/- each. The impact of providing 100% depreciation on an item of PPE on profit, without considering the impact of earlier years is as under :

(₹ in Crore)

Particulars		As at March 31, 2025	As at March 31, 2024
	100% depreciation on PPE upto ₹10,000/- charged off	6.18	4.48
	Less: Normal depreciation on above	(1.38)	(1.37)
	Excess amount charged to depreciation for the year	4.79	3.11

5. Properties (i) 2nd Floor office in Chatterjee International Centre, Kolkata (ii) Indora Residential flats, Nagpur – Land & buildings and (iii) Vadodra Township – Land & buildings, having a net block value of ₹1.42 Crore, have been identified for sale under asset monetisation drive, subject to requisite approvals.

6. Summary Status of capital expenditure:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Addition to PPE & Intangible Assets	646.82	347.89
Increase/ (Decrease) in CWIP	(120.62)	(62.27)
Increase/ (Decrease) in Intangible Assets under development	7.66	16.78
Increase/ (Decrease) in Capital Advance	1.78	(14.99)
Total	535.64	287.41

Note 3.2 - Details of Investment Property

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land - Freehold land (including development expenses)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Buildings	0.00	0.00	1.17	1.17	0.00	0.02	0.70	0.72	0.45	0.00
TOTAL	0.00	(0.00)	1.17	1.17	0.00	0.02	0.70	0.72	0.45	0.00
Previous Year	NA									

Fair value of above investment property ₹111.58 Crore

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹3.72 Crore and as at 31.03.2024 ₹Nil

Note [4a] - Non current assets Intangible Assets

Refer point 4 of Note [2] for accounting policy on Intangible Assets

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	343.70	339.23
Less: Accumulated amortisation	259.43	275.88
Net block (for details refer to Note 4.1)	84.27	63.35

Company had opted for exemption under IndAS 101, and accordingly carrying value as on 31.03.2015 was considered as deemed cost on IndAS transition date.

Note 4.1 - Details of Intangible Assets

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Internally Developed										
-Others	75.90	0.00	(37.27)	38.63	71.03	2.11	(37.27)	35.87	2.77	4.87
Other than Internally Developed										
-Software	61.10	12.56	0.00	73.66	55.00	5.43	(0.00)	60.43	13.23	6.10
-Technical Know-how	202.23	29.18	0.00	231.41	149.85	13.29	0.00	163.13	68.28	52.38
TOTAL	339.23	41.74	(37.27)	343.70	275.87	20.83	(37.27)	259.43	84.27	63.35
Previous Year	327.88	11.35	0.00	339.23	260.64	15.24	0.00	275.87	63.35	67.24

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹594.27 Crore and as at 31.03.2024 ₹606.94 Crore
There is no impairment loss during the year.

Note [4b] - Non current assets

Intangible assets under development

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Intangible assets under development	33.73	26.04
Total	33.73	26.04

(₹ in Crore)

Intangible Assets under development ageing schedule - As at March 31, 2025	Amount of Intangible Asset under development for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	7.69	20.04	3.46	2.54	33.73
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development Completion schedule (which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2025	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development ageing schedule - As at March 31, 2024	Amount of Intangible Asset under development for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	20.03	3.47	-	2.54	26.04
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development Completion schedule (which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2024	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

Note [5] - Non current assets

Financial assets - Investment

Refer point 6 of Note [2] for Material accounting policy on investment in joint ventures & point 16 of Note [2] on Non-derivative financial instruments

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	No. of Shares (Face value in ₹)	Amount	No. of Shares (Face value in ₹)	Amount
I Quoted equity instruments		-		-
II Unquoted equity instruments (fully paid up shares)				
(a) Investment in joint ventures (at cost)				
(i) Raichur Power Corporation Ltd.	664040000 (10)	664.04	664040000 (10)	664.04
(ii) BHEL-GE Gas Turbine Services Pvt. Ltd.	2379999 (10)	2.38	2379999 (10)	2.38
(iii) NTPC-BHEL Power Projects Pvt. Ltd.	50000000 (10)	50.00	50000000 (10)	50.00
Less: Provision for impairment		50.00		50.00
(iv) Powerplant Performance Improvement Ltd.	1999999 (10)		1999999 (10)	2.00
Less: Provision for impairment				2.00
(v) Bharat Coal Gasification and Chemicals Limited	4900 (10)	5.29		-
(Includes deemed investment of ₹5.29 crore (Previous Year: Nil) denotes the fair value of guarantee fees towards financial guarantee given without any consideration)				
		671.71		666.42
(b) Investment in equity instruments fully paid up (at FVTPL)				
(i) AP Gas Power Corporation Ltd.	728960 (10)	0.91	728960 (10)	0.91
Add / (Less) : Provision for impairment		0.91		0.28
(ii) Engineering Projects (India) Ltd.	1892 (10)	*	1892 (10)	*
Share in Co-operative Societies		#		#
Total		671.71		667.60
*Value of less than ₹1 lakh				
Aggregate amount of unquoted investment		722.62		719.33
Aggregate amount of impairment in value of investments		50.91		51.73

Equity shares held in various employees cooperative societies, valuing less than ₹1 lakh/-

Information about joint ventures and subsidiary

Particulars	Country of incorporation	As at March 31, 2025	As at March 31, 2024
Name of the joint ventures (JVC)		Proportion (%) of ownership	
BHEL-GE Gas Turbine Services Private Limited (BGGTS)	India	One share less than 50%	One share less than 50%
NTPC-BHEL Power Projects Private Limited (NBPPL)		50%	50%
Raichur Power Corporation Limited (RPCL)		22.14%	22.14%
Powerplant Performance Improvement Limited (PPIL)		One share less than 50%	One share less than 50%
Bharat Coal Gasification and Chemicals Limited (BCGCL)		49%	-

- (i) The provision for impairment in value of investment in NTPC-BHEL Power Projects Private Limited has been made to the extent of ₹50.00 crore (upto previous year ₹50.00 crore) based on the net financial position. BHEL Board of Directors in its 566th meeting held on 28th January 2025 approved the annulment of in-principle approval for pursuing the winding up of NBPPL accorded by BHEL Board of Directors in its 494th meeting held on 08.02.2018 and accorded in-principle approval for taking up the implementation of 1x800 MW AUSC Technology based Technology Demonstration Plant (TDP) by NBPPL.
- (ii) M/s Power Plant Performance Improvement Ltd. is still under liquidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Cr in F.Y 2024-25 against its equity investment of ₹2 Crore in PPIL .
- (iii) Investment in Neelanchal Ispat Nigam Limited (NINL) has been disposed in F.Y. 2022-23 and an amount of ₹26.22 Crores has been received till F.Y. 2023-24, Balance amount of sales consideration for ₹5.76 Crores which is hold against contingent liability is booked as profit on sale of investment in current F.Y. with interest of ₹0.64 Crores and accrued interest of ₹0.28 Crores as per intimation received from Tata Steel Limited (Buyer of NINL) that hold back amount are kept under 3 FDRs on which interest is also accruing and TDS on accrued interest is allocated to BHEL in proportion of BHEL Share in hold amount for F.Y. 2024-25.
- (iv) BHEL has provided a Corporate Guarantee amounting to ₹662 Cr, limiting to the liabilities to 49% of Financial Incentive of ₹1350 Cr. to the President of India for discharge of obligations payable to the Authority by the Bharat Coal Gasification & Chemicals Ltd. (BCGCL), a joint venture company formed by Coal India Limited (CIL) and Bharat Heavy Electricals Limited (BHEL), under Coal Gasification Plant Development and Production Agreement dated 12.03.2025.

Note [6] - Financial assets - Trade receivables

Refer point 14 of Note [2] for Material accounting policy on impairment of financial assets

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Unsecured, considered good	3351.23	6566.49	3601.58	5344.68
Credit impaired (included in allowances for B&D debts)	8474.83	693.22	11682.32	544.70
	11826.06	7259.71	15283.90	5889.38
Less: Allowances for bad and doubtful debts	8779.48	1375.36	12059.21	1104.00
Total Trade Receivable (Net)	3046.58	5884.35	3224.69	4785.38

Simplified approach is followed for impairment of trade receivables, the classification is done in line with Ind AS 109.

Trade receivables includes:

(a) Due from Directors	-	-	-	-
(b) Due from Officers	-	-	-	-

Note (i) : Trade receivables includes overdue amount of ₹211 Cr (USD 25.5 million) from customer STPG (formerly NEC Sudan), stuck on account of civil war, which has been considered good and not provided for as approved by the Board. If the amount was provided for, the impact on 'Profit before tax' is ₹211 cr.

Non current Trade receivable ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	67.22	22.35	272.28	233.90	756.66	-	-	1352.41
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	6.89	16.56	81.34	8.93	1885.10	-	-	1998.82
IV) Disputed Trade receivables - credit Impaired	121.06	120.92	159.70	147.46	7925.69	-	-	8474.83

Current Trade receivable ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	4827.68	577.21	753.85	225.97	181.78	-	-	6566.49
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
IV) Disputed Trade receivables - credit impaired	5.60	1.11	4.25	1.96	680.30	-	-	693.22

Non current Trade receivable ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	80.11	202.23	251.34	154.46	1173.65	-	-	1861.79
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	65.26	37.02	10.28	5.34	1621.89	-	-	1739.79
IV) Disputed Trade receivables - credit impaired	173.55	83.73	281.82	305.34	10837.88	-	-	11682.32

Current Trade receivable ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	4009.53	638.13	387.24	142.68	167.10	-	-	5344.68
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
IV) Disputed Trade receivables - credit impaired	2.72	1.42	9.65	19.58	511.33	-	-	544.70

Note [7] - Financial assets

Other Financial Assets

Refer point 14 of Note [2] for Material accounting policy on impairment of financial assets

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Security deposits				
Deposits with SEBs, port trust & others				
Unsecured, considered good	101.45	91.91	100.83	58.27
Credit impaired	8.02	12.80	3.40	12.93
	109.47	104.71	104.23	71.20
Less: Allowances for bad & doubtful deposits	8.02	12.80	3.40	12.93
	101.45	91.91	100.83	58.27
Fixed deposits against margin money for BG issued	614.50	-	105.27	-
Interest accrued on banks deposits	-	141.00	-	122.86
Advance to Employees	-	68.29	-	59.00
Less: Allowance for bad and doubtful advances	-	0.44	-	0.31
	-	67.85	-	58.69
Total	715.95	300.76	206.10	239.82
Includes:				
Due from Directors	-	-	-	-
Dues from Officers	-	0.01	-	0.01

Note [8] - Non current assets

Deferred tax assets (net of liabilities)

Refer point 13 of Note [2] for Material accounting policy on Income taxes

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Deferred tax assets		
Provisions	2439.70	2614.51
Dues allowed on payment basis	451.21	520.72
On account of taxable loss	1187.80	1012.04
Others	62.43	78.85
Sub Total	4141.14	4226.12
Less : Deferred tax liabilities		
Depreciation (PP&E and Intangible assets)	73.42	24.86
Deferred tax assets (net of liabilities)	4067.72	4201.26

Movement of deferred tax balances

(₹ in Crore)

Particulars	Balance as at April 01, 2024	Recognized in retained earnings	Recognized in statement of profit & loss A/c	Recognized in OCI	Balance as at March 31, 2025
Deferred tax assets					
Provisions	2614.51	-	(174.81)	-	2439.70
Dues allowed on payment basis	520.72	-	(124.50)	54.99	451.21
On account of taxable loss	1012.04	-	175.76	-	1187.80
Others	78.85	-	(16.42)	-	62.43
Subtotal	4226.12	-	(139.97)	54.99	4141.14
Less: Deferred tax liabilities					
Depreciation (PP&E and Intangible assets)	24.86	-	48.56	-	73.42
Deferred tax assets (net of liabilities)	4201.26	-	(188.53)	54.99	4067.72

Note [9] - Other Assets

Refer point 14 of Note [2] for Material accounting policy on impairment

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contract Assets (including unbilled revenue)				
Unsecured, considered good	14483.07	16759.98	14585.00	14342.73
Credit impaired (included in allowances for B&D debts)	3633.32	127.58	3635.34	441.72
	18116.39	16887.56	18220.34	14784.45
Less: Allowances for bad and doubtful debts	4450.81	1109.01	4924.61	1,332.64
Sub Total (A)	13665.58	15778.55	13295.73	13451.81
Security deposits				
Deposits with tax authorities and others				
Unsecured, considered good	53.48	410.71	65.54	337.13
Unsecured, considered doubtful	35.20	69.89	39.88	72.04
	88.68	480.60	105.42	409.17
Less: Provision for bad & doubtful deposits	35.20	69.89	39.88	72.04
Sub Total (B)	53.48	410.71	65.54	337.13
Loans & advances				
Unsecured, considered good				
Advances towards purchases (Vendors & sub-Contractors)	172.56	92.90	128.33	37.55
Input Tax credit receivable	-	1645.96	-	1293.31
Claims recoverable and others	179.28	1027.27	197.79	790.00
Capital advances	4.08	-	2.30	-
Unsecured, considered doubtful				
Advances towards purchases (Vendors & sub - Contractors)	16.23	6.34	11.10	27.92
Input Tax credit receivable	-	6.40	-	7.66
Claims recoverable and others	515.36	205.20	372.60	161.00
Capital advances	0.58	-	-	-
	888.09	2984.07	712.12	2317.44
Less: Provision for bad & doubtful loans & advances	532.17	217.94	383.70	196.58
Sub Total (C)	355.92	2766.13	328.42	2120.86
Total (A+B+C)	14074.98	18955.39	13689.69	15909.80

Note (i): The debtors as on reporting date includes net dues of ₹208 cr against RVUNL/ Suratgarh 7 & 8 Project (2*660 MW) (More than 3 years from trial operation). Creation of provision is not prudent on the basis of recoverability as customer has issued amendment for delivery extension & confirmed that payment is under process and will remit the amount shortly. Further, Customer has also paid an amount of ₹40 cr on 08.05.2025. If the amount was provided for, the net impact on 'Profit before tax' is ₹168 cr.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
I) Undisputed Contract Assets - considered good	11423.52	16759.98	11592.50	14342.73
II) Undisputed Contract Assets - credit impaired	-	-	-	-
III) Disputed Contract Assets - considered good	3059.55	-	2992.50	-
IV) Disputed Contract Assets - credit Impaired	3633.32	127.58	3635.34	441.72
Total	18116.39	16887.56	18220.34	14784.45
Loan & advances includes :				
(a) Due from Directors	-	-	-	-
(b) Due from Officers	-	-	-	-

Note [10] - Current assets Inventories

Refer point 7 of Note [2] for Material accounting policy on valuation of inventories

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Raw material & components	3726.37		2866.04	
Material-in-transit	358.87	4085.24	203.29	3069.33
Work-in-progress (including items with sub-contractors)		5369.49		3917.74
Finished goods	485.92		414.31	
Inter - division transfers in transit	119.98	605.90	89.18	503.49
Stores & spare parts				
Production	204.17		150.51	
Fuel stores	8.26		5.49	
Miscellaneous	57.22	269.65	58.64	214.64
Other Inventory				
Materials with fabricators/contractors	121.65		105.00	
Loose tools	23.88		19.20	
Scrap (at estimated realisable value)	159.45	304.98	173.33	297.53
		10635.26		8002.73
Less: Provision for non-moving inventory		765.77		782.16
Total		9869.49		7220.57
Note :				
Write down of inventories		48.77		105.78
Less : reversal thereof		65.41		67.41
Net		(16.64)		38.37

Note [11] - Current assets

Financial assets - Cash & cash equivalents

Refer point 17 of Note [2] for Material accounting policy on cash and cash equivalents

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Balances with banks				
EEFC a/c	112.92		284.68	
Fixed Deposits having maturity in 3 months or less	199.00		-	
Current / cash credit a/c *	121.79	433.71	1547.21	1831.89
Cheques, demand drafts on hand		3.55		3.08
Cash & stamps on hand		0.07		0.07
Remittances in transit		1.88		-
Total		439.21		1835.04

* Includes ₹48.89 Cr for FY 2024-25 and ₹116.18 Cr for FY 2023-24 in escrow account for specified projects.

Note [12] - Current assets

Financial assets - Bank balances

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Fixed deposits having maturity more than 3 months but not more than 12 months		6618.06		3739.65
Fixed deposits against margin money for BG issued		431.45		462.06
Balances with bank (earmarked):				
CG II CEFC A/c & Others	5.76		9.70	
Unclaimed dividend a/c	1.35		1.74	
Non-repatriable a/c	0.66		0.65	
Sale proceeds of fractional shares on bonus issue	-		0.03	
Sanrachna A/c	0.14		0.14	
Fixed Deposit with Court in BHEL A/C	111.08		106.07	
CSR	4.70	123.69	2.39	120.72
Total		7173.20		4322.43
Total Cash and Bank Balances [11 + 12]		7612.41		6157.47

Note [13] - Current assets

Current tax assets / (liabilities) (net)

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Advance tax & TDS		149.57		254.20
Less: Provisions for taxation		12.20		25.13
Total		137.37		229.07

Note [14] - Equity Equity share capital

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	No. of Shares (Face value in ₹)	Amount	No. of Shares (Face value in ₹)	Amount
Equity share capital				
Authorised	100000000000 (2)	2000.00	100000000000 (2)	2000.00
Issued, subscribed and fully paid up	3482063355 (2)	696.41	3482063355 (2)	696.41
a) The reconciliation of the number of equity shares outstanding				
Balance as at the beginning of the year	3482063355	696.41	3482063355	696.41
Add/(Less): Changes during the year	-	-	-	-
Balance as at the end of the year	3482063355	696.41	3482063355	696.41
b) Details of shares held by shareholders holding more than 5% of shares at the end of the year				
President of India (Promoter)	2199650402	63.17%	2199650402	63.17%
Percentage change of Promoter holding during the year		Nil		Nil
Life Insurance Corporation of India	233921477	6.72%	284736920	8.18%
Face value per share in (₹)		2.00		2.00

c) Terms / rights attached to the equity shares

The company has only one class of equity shares having par value of ₹2 per share (previous year ₹2 per share). Each holder of the equity shares is entitled to one vote per share.

Note [15] - Other Equity

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Capital reserve	35.18	35.18
Capital redemption reserve	37.87	37.87
General reserves	30476.66	30476.66
Retained earnings	(5551.67)	(5977.59)
OCI (Re-measurements of defined benefit plans)	(581.44)	(417.94)
Total	24416.60	24154.18

For additions and deduction under each of the above specific heads, SOCIE (Statement of Changes in Equity) may be referred.

Nature and purpose of reserves:

- Capital reserve:** It represents mainly the excess of net assets taken, over the cost of consideration paid during amalgamation of the then subsidiary company (HPVP) with BHEL.
- Capital redemption reserve:** The Company has recognised Capital Redemption Reserve on buy back of equity shares from its general reserve. The amount in capital redemption reserve is equal to nominal amount of equity shares bought back.
- General reserve:** This represents accumulation of profits retained by Company to meet future (known/unknown) obligations.

- (d) **Retained earnings:** Retained earnings are profits that Company has earned till date, less transfer to general reserve, dividends or other distributions to shareholders.
- (e) **Re-measurement of net defined benefit plans:** Differences between the interest income on plan assets and the return actually achieved, and any changes in the liabilities over the year due to changes in actuarial assumption or experience adjustments within the plans, are recognised in 'Other comprehensive income' and these are subsequently not to be reclassified to the Statement of Profit and Loss.

Note [16] - Financial liabilities - Lease Liabilities

Refer point 3 of Note [2] for Material accounting policy on Leases

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Lease Liabilities	162.39	57.21	23.55	24.91
Total	162.39	57.21	23.55	24.91

Further disclosures available at Note [35] on Leases

Note [17] - Financial liabilities -Trade payables

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Trade payables				
(i) Total outstanding dues of micro enterprises and small enterprises	-	1430.24	-	1000.59
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises	2170.79	8075.21	2292.76	7502.15
(iii) Acceptances	-	35.47	-	36.64
Total	2170.79	9540.92	2292.76	8539.38

(₹ in Crore)

Micro and small enterprises disclosure	As at March 31, 2025	As at March 31, 2024
(i) The principal amount remaining unpaid to supplier as at the end of the accounting year *	1466.85	1013.82
(ii) The interest due thereon remaining unpaid, to supplier as at the end of accounting year.	-	-
(iii) The amount of interest paid in terms of section 16, along with the amounts of the payment made to the supplier beyond appointed day during the year.	-	-
(iv) The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding interest specified under this Act.	-	-
(v) The amount of interest accrued during the year and remaining unpaid at the end of year.	-	-
(vi) The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprises, for the purpose of disallowance as a deductible expenditure.	-	-

* The amount shown here as outstanding includes amount shown in Note 17 & 18 to Micro and Small enterprises . The amount shown here is not due for payment contractually as on March 31, 2025.

Non current Trade Payable Ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) Other than MSME	-	-	-	-	8.32	1829.59	1837.91
II) Disputed dues - Other than MSME *	-	-	-	14.73	0.09	318.06	332.88

Current Trade Payable Ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) MSME	0.06	-	-	-	136.37	1289.82	1426.25
II) Others	166.63	8.65	2.73	3.21	1763.13	6154.34	8098.69
III) Disputed dues - MSME	-	-	-	-	-	3.99	3.99
IV) Disputed dues - Others *	-	-	-	-	7.18	4.81	11.99

Non current Trade Payable Ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) Other than MSME	0.01	0.04	0.14	-	7.81	1863.77	1,871.77
II) Disputed dues - Other than MSME *	9.24	0.30	0.58	231.73	0.09	179.05	420.99

Current Trade Payable Ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) MSME	4.01	-	-	-	122.36	873.07	999.44
II) Others	495.55	18.32	15.13	19.48	1781.67	5198.29	7528.44
III) Disputed dues - MSME*	-	-	-	-	-	1.15	1.15
IV) Disputed dues - Others *	-	-	-	7.00	-	3.35	10.35

\$ Not yet due represents contractually retained amounts subject to settlement on achievement of milestones.

* Break up of outstanding is given based on contractually due date but these will be paid only if resolution of dispute occurs in their favour.

Note [18] - Financial liabilities- Other financial liabilities

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Deposits from contractors & others	413.11	716.19	397.01	623.50
Liabilities:				
- Employee dues	-	152.41	-	353.32
- Capital Expenditure~	9.68	131.02	10.86	114.90
- Others	-	212.24	-	374.89
Unpaid Dividend*	-	1.35	-	1.74
Interest accrued on borrowings	-	27.31	-	24.97
Financial Guarantee obligation	-	5.29	-	-
Total	422.79	1245.81	407.87	1493.32

~ includes MSME ₹36.61 Cr for FY 2024-25 & ₹13.23 Cr for FY 2023-24.

*No amount is due and outstanding to be transferred to Investor Education & Protection Fund at the year end.

Note [19] - Provisions

Refer point 10 & 11 of Note [2] for Material accounting policy on Employee Benefits and Provisions

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contractual obligation	1349.46	422.32	1373.26	448.91
Provision for employee benefits*	1028.48	855.64	903.47	1228.15
Provision others	206.09	534.18	212.35	639.07
Corporate social responsibility **	1.53	3.17	-	2.14
Total	2585.56	1815.31	2489.08	2318.27

*Further disclosure available at Note [25] on Employee Benefits

**Disclosure as per point (vii) of Note [26] on CSR expense

Note [20] - Other liabilities

Refer point 12 of Note [2] for Material accounting policy on Government grants

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contract liabilities (Advances received from customers incl. excess of billing over revenue)	9742.94	5550.73	4063.35	3070.10
Liabilities towards statutory dues	-	1220.75	-	989.83
Deferred income- Govt. grant #	50.96	5.15	39.42	3.43
Total	9793.90	6776.63	4102.77	4063.36

#Govt. grant is received for setting up of solar PV plant, manufacturing of modules and under Common Engineering Facility Centre scheme, Nuclear Pump Test Facility.

Note [21] - Current Liabilities

Financial Liabilities - Borrowings

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Secured		
Loans from banks (secured by hypothecation of raw materials, components, work-in-progress, finished goods & stores)	8795.00	8808.00
Sub Total (A)	8795.00	8808.00
Unsecured (B)	-	-
Total borrowings (A+B)	8795.00	8808.00

(i) Details of sanctioned limits

Description	Sanctioned Limit (₹/ Cr.)	Utilization		Sanctioned Limit (₹/ Cr.)	Utilization	
		As at March 31, 2025			As at March 31, 2024	
		Value (₹/ Cr.)	% Utilisation		Value (₹/ Cr.)	% Utilisation
Non Fund Based Limits	70500	52371.47	74.29%	51000	35096	68.82%
Bank Guarantees [#]	67000	49122.10	73.32%	48000	32828	68.39%
Letter of Credit (inc. Buyer’s Credit)	3500	3262.00	93.20%	3000	2268	75.60%
Fund Based Limits	9500	8795.00	92.58%	9000	8808	97.87%
WCDL		8795.00			8808	
PCFC		NIL			NIL	
Commercial Paper	5000	NIL		5000	NIL	

Out of above, Bank guarantee of ₹19.84 Cr. was issued on behalf of BCGCL, a joint venture between Coal India Ltd. and Bharat Heavy Electricals Ltd.

Total Consortium limit (fund based + non fund based) was increased from ₹60000 Cr to ₹80000 Cr w.e.f. 26.03.2025 and is secured by first charge by way of hypothecation of raw materials, components, work in progress, finished goods, stores, trade receivables and other current assets both present and future.

Commercial Papers are in the nature of unsecured short term borrowings.

- (ii) Loan from Banks represents WCDL (Working Capital Demand Loan) of ₹8795 Cr. (P.Y. ₹8808 Cr.)
- (iii) The company has not been declared wilful defaulter by any Bank / Financial Institution.
- (iv) The quarterly returns or statements of current assets filed by the Company with Banks or Financial Institutions are in agreement with Books of accounts.
- (v) Corporate Guarantees given for own obligations outstanding as at 31.03.2025 is ₹315 crore (previous year ₹328 crore).
- (vi) Changes in Borrowings arising from Financing activities

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Opening Balance (excl. Cash Credit)	8808.00	5385.00
Cash Flow during the year	(13.00)	3423.00
Closing Balance (excl. Cash Credit)	8795.00	8808.00

For changes in lease liability arising from financing activities, refer Note No. [35(b)]

Note [22]

Revenue from operations

Refer point 8 of Note [2] for Material accounting policy on Revenue from contracts with customers

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Revenue from contracts with customers		
Revenue from Construction and Project related activity	18478.11	15888.42
Sale of Product & Other services	8877.06	7032.10
Total (A)	27355.17	22920.52
Other operational income		
Freight & insurance	158.18	163.78
Scrap sales	270.51	249.20
Recoveries from suppliers	228.55	220.12
Liabilities written back	182.94	161.16
Insurance claims	34.67	28.83
Export incentives	4.07	10.20
Others	105.39	138.97
Total (B)	984.31	972.26
Revenue from operations (A + B)	28339.48	23892.78
Revenue from Operations excludes Goods and service tax:	4551.81	3786.00

Note [23]

Other income

Refer point 8 of Note [2] for Material accounting policy on Revenue from contracts with customers

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Interest income		
From banks	374.63	345.35
Others	28.00	148.43
Sub Total (A)	402.63	493.78
Dividend income		
Dividend on investment in joint ventures (long term trade)	38.08	41.65
Sub Total (B)	38.08	41.65
Other income		
Profit on sale of investment	5.76	0.80
Government grants on Solar PV Plant for Captive Use / CEFC scheme	8.99	15.62
Profit from sale of PPE & capital stores (Net)	13.46	8.92
Others	34.47	27.15
Sub Total (C)	62.68	52.49
Total other income (A+B+C)	503.39	587.92

Note [24]

Changes in inventories of finished goods, work in progress and Scrap [(Accretion) / Decretion]

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Work -in -progress		
Closing balance	5371.51	3917.74
Opening balance	3917.74	3482.75
	(1453.77)	(434.99)
Finished goods		
Closing balance	485.94	414.31
Opening balance	414.31	422.57
	(71.63)	8.26
Scrap		
Closing balance	159.45	173.33
Opening balance	173.33	163.30
	13.88	(10.03)
Inter-division transfer in transit	(30.80)	0.02
(Accretion) / Decretion	(1542.32)	(436.74)

Note [25]

Employee benefits expense

Refer point 10 of Note [2] for Material accounting policy on Employee Benefits

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Salaries, wages, bonus, allowances & other benefits	5029.68	4802.44
Contribution to provident and other funds	493.10	451.80
Staff welfare expenses	292.27	248.10
Contribution to gratuity fund	103.49	120.52
Group insurance	4.88	5.98
Total	5923.42	5628.84

Note [26]

Other Expenses

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Power & fuel	490.64	452.20
Expenditure on other sub contracts	288.10	262.63
Carriage outward	244.24	199.95
Payment to security agencies	165.57	155.22
Repairs & maintenance:		
Buildings	52.70	43.15
Plant & machinery	39.86	34.26
Others	124.79	95.51
Insurance	225.69	139.72
Travelling & conveyance	106.96	105.22
Bank charges	157.75	96.35
R&D related expense	11.65	9.95
Hire charges	59.70	55.01
Expenditure on collaborations & royalty	58.35	60.41
Rates & taxes	42.37	25.21
Office expense	30.88	29.83
Expenditure on skill development	15.67	13.49
Legal, audit & certification expense	41.48	55.15
EDP, software & lease line expense	25.94	16.64
Water charges	20.44	23.39
Rent non-residential	3.04	2.59
Expenditure in connection with exports	1.60	14.12
Entertainment & courtesy expenses	3.24	3.54
Environmental protection	6.08	5.53
Seminar, development and training expense	4.77	4.47
Unrealised loss in investment of equity share	-	1.94
Publicity & public relation expense	2.29	3.08
Corporate social responsibility	6.72	-
Miscellaneous expense	76.16	78.01
Exchange variation [Net (gain) / loss]	(135.38)	(105.20)
Provisions & Write off (Details at point no. vi below)	158.04	(1037.14)
Total	2329.34	844.23

Note [26]

Other Expenses (Contd.)

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Further Details:		
(i) Legal, audit & certification expense includes:		
Payment to Statutory Auditors:		
Audit fees	1.07	1.07
Tax audit	0.24	0.24
Quarterly limited review & others	0.70	0.65
Audit expense	0.16	0.16
Payment to Cost Auditors fees	0.16	0.16
(ii) Director's fees	0.12	0.20
(iii) Expenditure on departmental repair & maintenance:		
Plant & machinery	195.91	175.27
Buildings	26.91	28.01
Others	31.33	28.60
(iv) Expenditure on research & development	132.98	126.08
(v) Expenditure on foreign travel		
No. of tours	193.00	220
Expenditure	6.81	5.10

(vi) Provisions & Write-offs:

(Refer Point 11 & 14 of Note [2] for Material accounting policy on Provisions and Impairment of assets)

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Doubtful debts, liquidated damages and loans, advances & deposits		
Created during the year	1880.92	3271.76
Less: withdrawal during the year	4564.01	1819.13
	(2683.09)	1452.63
Contractual obligations		
Created during the year	410.04	109.43
Less: withdrawal during the year	607.49	2693.53
	(197.45)	(2584.10)
Other Provisions		
Created during the year	197.81	320.56
Less: withdrawal during the year	310.59	292.40
	(112.78)	28.16
Investment written off	1.15	-
Bad debts written off	552.39	19.94
Liquidated damages & contractual charges charged off	2573.11	29.59
Losses written off	24.71	16.64
Total Provisions and Write off	158.04	(1037.14)

(vii) Corporate social responsibility

As per section 135 of the Companies Act, 2013 read with guidelines issued by DPE, the Company is required to spend, in every financial year, at least two percent of the average net profits of the Company made during the three immediately preceding financial years in accordance with its CSR policy. The details of CSR expense for the year are as under:

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
A. Amount required to be spent during the year	6.72	-
B. Amount available from previous year	-	6.15
C. Total (A+B)	6.72	6.15
D. Amount spent during the year on -		
(i) Construction/ acquisition of any asset	-	-
(ii) On purposes other than (i) above	2.02	4.01
Total	2.02	4.01
Amount carried forward:	4.70	2.14
Current	3.17	2.14
Non-current	1.53	-

The unspent amount of CSR for FY 2020-21 amounting to ₹2.14 Cr. transferred to Prime Minister Relief Fund on 29.04.2024.

(₹ in Crore)

Particulars	For the year ended March 31, 2025		For the year ended March 31, 2024	
	In cash	Yet to be paid in cash	In cash	Yet to be paid in cash
(i) Construction / acquisition of any asset	-	-	-	-
(ii) On purposes other than (i) above	1.21	0.81	3.97	0.04
Total	1.21	0.81	3.97	0.04
Type of CSR activities	Health, Cleanliness, Education, Responsibility & Inclusivity, Disaster Relief, Water, Biodiversity, Carbon and Waste Management			

The provision for Unspent amount on ongoing projects ₹4.70 Cr. for F.Y. 2024-25 transferred to a separate bank account on 30.04.2025 as per Companies (CSR policy) Amendment Rules, 2021 and being used for the purpose.

Note [27] Finance costs

Refer point 5 & 11 of Note [2] for Material accounting policy on Borrowing Costs and Provisions

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Discount on commercial papers	5.31	8.77
Unwinding of provisions	33.70	121.38
Interest cost:		
Banks / Financial Institutions	667.46	595.05
On lease obligation	11.28	4.38
Others	30.51	1.67
Other expenses on issuance of Commercial paper	0.07	0.04
Sub - Total	748.33	731.29
Less: Borrowing cost capitalised	-	-
Total	748.33	731.29

Note [28] Tax expenses

Refer point 13 of Note [2] for Material accounting policy on Income taxes

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Current tax		
For current year	7.69	30.72
For earlier years	15.47	(143.28)
Deferred tax		
For current year	195.69	59.69
For earlier years	(7.15)	13.31
Total	211.70	(39.56)

Note [29] Other comprehensive income / (expenditure)

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Income / (expenditure)		
Re-measurement of defined employee benefits	(218.49)	(110.13)
Less: Income tax related to above items*	(54.99)	(27.72)
Total	(163.50)	(82.41)
* Includes		
Current tax	-	-
Deferred tax	(54.99)	(27.72)

Reconciliation of Income tax expense and accounting profit (TCI) multiplied by income tax rate

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Total Comprehensive Income / (Loss) (TCI) before tax (A)	506.18	110.20
Statutory income tax rate (B)	25.168%	25.168%
Tax expense [C = (AxB)]	127.40	27.74
Difference due to: (D)		
Tax effect of expenses not deductible for tax purposes	21.11	34.95
Difference in tax due to Income chargeable to tax at special rate	(0.12)	-
Change in tax expense - earlier years	8.32	(129.97)
Sub-total (D)	29.31	(95.02)
Net Tax Expense [E = (C+D)]	156.71	(67.28)

Note [30]

Earnings per share

Refer point 19 of Note [2] for Material accounting policy on Earnings per share

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Profit / (loss) attributable to equity shareholders	512.97	259.89
Weighted average number of equity shares	348.21	348.21
Basic and diluted earnings per share of ₹2 each	1.47	0.75

Note [31]

Dividend per share

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Proposed dividend on equity shares not recognised as liability		
Proposed final dividend of ₹0.50 per share for FY 2024-25 (FY 2023-24 ₹0.25 per share).	174.10	87.05

Proposed dividend on equity shares is subject to the approval of the shareholders of the Company at the Annual General Meeting and not recognised as liability as at the Balance Sheet date.

Note [32] Contingent Liabilities and Commitments

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
A. Contingent liabilities		
Claims against the company not acknowledged as debt:		
(a) Sales tax matters	894.45	1243.96
(b) Service tax matters	431.21	700.83
(c) Court & arbitration matters	825.36	883.87
(d) Excise duty matters	84.53	174.03
(e) Customs duty and others	942.71	897.19
(f) Goods & Service Tax	37.47	13.63
(g) Other matters (incl. disputed staff cases)	149.99	105.40
(h) Claim towards Liquidated damages (LD)	2942.39	3926.30
Total	6308.11	7945.21

- (i) In view of various court cases, litigations and claims disputed by the Company, the outflow of resources is not ascertainable at this stage. Generally, contingent liability in respect of court & arbitration cases are shown on award/court judgement and also reviewed on a case to case basis for its reporting in contingent liability.
- (ii) It is not practicable for the Company to estimate the timing of actual cash outflows in respect of items (a) to (g), if any, due to pending resolution of the respective proceedings. However, the chances of cash outflow are contingent.
- (iii) Liquidated damages represents likely claims or amount withheld by customer on account of delay in execution of projects which will be settled after commissioning and trial operation of project based on delay analysis and is being disclosed in line with Ind AS 37.
- (iv) **Movement in contingent liabilities:**

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	7945.21	7306.80
Less: Reduction out of opening balance	2040.18	1308.15
Add: Additions (net) during the year	403.08	1946.55
Balance at the end of the year	6308.11	7945.21

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
B. Commitments		
(a) Estimated amount of contracts, net of advances, remaining to be executed on capital account and not provided for.	542.33	298.77
(The above includes related to acquisition of intangible assets)	112.77	59.43
(b) Investment in the Joint Venture entity (NBPPL) for which the company has restrictions for their disposal for five years from the date of incorporation /commercial operation of the project/first unit of the project/completion of first EPC contract, as the case may be. This investment has been fully provided for.	50.00	50.00
(c) BHEL has signed a Joint Venture Agreement with M/s Coal India Ltd. on 28th Feb 2024 for formation of a Joint Venture Company (JVC). As per the JVA, BHEL shall make equity contributions of INR 1732 Crore in the JVC over a period of 4 Years (after pre-construction period of 1 year).	1732.00	1,732.00
(d) In view of the nature of business, being long term construction contracts there may be other commitments for purchase of material etc., which has been considered as normal business process.		

Note [33]

The Company had taken over Amorphous Silicon Solar Cell Plant (ASSCP), Gurgaon on April 1, 1999 from Ministry of New and Renewable Energy (MNRE) on lease for a period of 30 years. The formal lease agreement with the Ministry of New and Renewable Energy (MNRE) is yet to be finalised.

Note [34]

Balance shown under Trade receivables, Trade payables, contractors' advances, deposits and stock / materials lying with sub-contractors/ fabricators are subject to confirmation, reconciliation & consequential adjustment, if any. The Company is in the business of long term construction contracts, bills are raised on the customers as per contract in line with billing schedule approved by the customer and the reconciliation is carried out on ongoing basis & provisions made, wherever considered necessary. Final reconciliation with customer is done on completion of project (Trial Operation and PG Test completed). Trade Receivable of Completed Projects stand at ₹6051 Crore (Previous Year ₹7906 Crore). Out of completed contracts, the projects reconciled with customers have outstanding trade receivables of ₹4278 Crore (previous year ₹4943 Crore).

Note [35]

Disclosure on Leases - Ind AS 116

Lease Commitments - Company as Lessee

The company's significant leasing agreements are in respect of land, building and EDP equipments. The company has entered into a rate contract for lease arrangement for computer items, printers, video conferencing equipments and peripherals. Assets taken on lease are capitalised and disclosed separately as Right-of-use assets in the property, plant and equipment. The lease rentals are allocated between interest, maintenance and principal value. The interest and maintenance charges are charged to Statement of Profit and Loss and principal amount is adjusted to lease obligations.

The company has applied the following available practical expedients :

- (i) The short-term leases exemptions to leases with lease term less than 12 months
- (ii) The low value lease exemption to leases where underlying asset is of low value (assets of less than ₹50000 in value).

a) Age-wise analysis of Lease Liabilities are as follows:

(₹ in Crore)

Particulars	Future minimum lease payments		Interest		Present value [PV] of minimum lease payments	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Not later than 1 year #	66.81	26.33	14.95	2.72	51.86	23.61
Later than 1 year and not later than 5 years	187.08	23.04	24.86	0.99	162.22	22.05
Later than 5 years	3.03	4.46	2.85	2.96	0.18	1.50

The amount of future minimum lease payments in respect of leases where remaining lease term as at the end of March 31, 2025 is less than 12 months is ₹ 8.03 cr (Previous year ₹9.18 cr).

b) Movement in lease liabilities during the FY 2024-25

(₹ in Crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Lease Liabilities As at April 1*	48.45	68.50
Add: Additions	215.22	14.62
Add: Accretion of interest	11.28	4.38
Less : Payments/Adjustment	55.35	39.05
Lease Liabilities as at March 31*	219.60	48.45

* includes interest accrued of ₹5.34 crore (PY ₹1.29 crore) & ₹1.29 crore (PY ₹1.66 crore) as at March 31, 2025 & March 31, 2024 respectively.

c) Amounts recognised in profit or loss:

(₹ in Crore)

Particulars	For the Year Ended	
	March 31, 2025	March 31, 2024
Expense relating to Short-term leases	0.63	2.10
Expense relating to low value assets leases	0.92	1.11
Depreciation charge of right-of-use assets	51.89	27.51
Interest expense (included in finance cost)	11.28	4.38

d) The company has various lease contracts that have not yet commenced . The future lease payments for these non-cancellable lease contracts are as follows:

(₹ in Crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Not later than 1 year	2.25	1.20
Later than 1 year and not later than 5 years	12.03	4.81
Later than 5 years	0.75	-

Note [36]

Disclosure on 'Employee benefits' - Ind AS 19

A. The Company has following Schemes in the nature of Defined Benefits plans:

- i) Gratuity Scheme
- ii) Post Retirement Medical Scheme
- iii) Provident Fund Scheme
- iv) Travel claim on Retirement

(i) Gratuity (Funded Plan)

The Company has a defined benefit gratuity plan. Every employee who has rendered continuous service of five years or more is entitled to gratuity at 15 days salary (15/26 X last drawn basic salary plus dearness allowance) for each completed year of service subject to a maximum limit of Rs.20 Lakhs. The gratuity liability arises on account of future payments, which are required to be made in the event of retirement, death in service or withdrawal. The liability has been assessed using projected unit credit actuarial method.

Movement in net defined benefit (asset)/liability on Gratuity plan

(₹ in Crore)

Particulars	Defined benefit obligation		Fair value of plan assets		Net defined benefit (asset)/liability	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	1921.07	1850.22	1534.45	1453.48	386.62	396.74
Included in Profit for the Year:						
Current Service Cost	95.16	91.16	-	-	95.16	91.16
Past Service Cost	-	-	-	-	-	-
Interest cost /(income)	139.28	136.92	(130.95)	(107.56)	8.33	29.36
Total amount recognised in Profit for the Year	234.44	228.08	(130.95)	(107.56)	103.49	120.52
Included in Other Comprehensive income (OCI):						
Remeasurement loss / (gain):						
Actuarial loss / (gain) arising from:						
Change in Demographic Assumption	-	-	-	-	-	-
Change in Financial Assumption	95.31	29.74	-	-	95.31	29.74
Experience Adjustment	(62.11)	(25.66)	11.70	(9.72)	(50.41)	(35.38)
Total amount recognised in other comprehensive income	33.20	4.08	11.70	(9.72)	44.90	(5.64)
Others						
Contributions paid by the Employer	-	-	402.63	125.00	(402.63)	(125.00)
Benefits paid	163.35	161.31	163.35	161.31	-	-
Closing balance	2025.35	1921.07	1892.98	1534.45	132.38	386.62

Details of Plan assets

Particulars	As at March 31, 2025	As at March 31, 2024
Funds managed by Insurer*	82.44%	81.69%
High quality Corporate bonds (quoted)	1.93%	15.38%
State Government securities (quoted)	2.30%	2.84%
Bank Balance	13.33%	0.09%
Total	100.00%	100.00%

* Insurer is Life Insurance Corporation of India

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table %	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rate % (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	Gratuity			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(103.29)	112.09	(96.30)	104.67
Change in Salary escalation rate (0.50% movement)	32.42	(39.42)	31.29	(37.52)

Sensitivities due to mortality and withdrawals are not material and hence impact of change due to these are not calculated.

Sensitivities as rate of increase of pensions in payment, rate of increase of pensions before retirement & life expectancy are not applicable.

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Expected maturity analysis of the gratuity plan in future years

(₹ in Crore)

Particulars	Gratuity	
	As at March 31, 2025	As at March 31, 2024
Less than 1 year	150.30	158.20
Between 1-2 years	124.94	125.81
Between 2-3 years	109.47	111.49
Between 3-4 years	100.29	98.46
Between 4-5 years	88.88	89.43
Between 5-6 years	69.68	78.90
Over 6 years	1381.79	1258.78
Total	2025.35	1921.07

Expected contributions to gratuity plans for the year ending 31 March 2026 are ₹125.54 crore

The weighted average duration of the gratuity defined benefit plan obligation at the end of the reporting period is 14.39 years (31 March 2024: 14.83 years).

Risk Exposures

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such, company is exposed to various risks such as increase in salary, investment risk, discount rate, mortality, disability and withdrawals.

(ii) Post Retirement Medical Benefits (Funded Plan)

The Company has Post-Retirement Medical benefit (PRMB), under which the retired employees and their spouses are provided medical facilities in the Company hospitals/empanelled hospitals subject to company medical rules. They can also avail treatment as out-patient subject to a ceiling fixed by the Company. The liability for the same is recognised annually on the basis of actuarial valuation.

Movement in net defined benefit (asset)/liability on Post retirement Medical Benefit Plan

(₹ in Crore)

Particulars	Defined benefit obligation		Fair value of plan assets		Net defined benefit (asset) / liability	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	2376.14	2249.60	1903.77	1831.92	472.37	417.68
Included in Profit for the Year:						
Current service cost	45.84	44.73	-	-	45.84	44.73
Past service Cost	-	-	-	-	-	-
Interest cost / (income)	172.27	166.47	(159.24)	(135.56)	13.03	30.91
Total amount recognised in Profit for the Year	218.11	211.20	(159.24)	(135.56)	58.87	75.64
Included in Other Comprehensive Income (OCI):						
Remeasurement loss / (gain):						
Actuarial loss / (gain) arising from:						
Demographic assumptions	-	-	-	-	-	-
Financial assumptions	106.52	34.69	-	-	106.52	34.69
Experience adjustment	38.24	81.94	10.86	(12.58)	49.10	69.36
Total amount recognised in other comprehensive income	144.76	116.63	10.86	(12.58)	155.62	104.05
Others						
Contributions paid by the employer	-	-	250.00	125.00	(250.00)	(125.00)
Benefits paid	241.34	201.29	241.34	201.29	-	-
Closing balance	2497.67	2376.14	2060.81	1903.77	436.86	472.37

The plan assets of the Company are managed by Life Insurance Corporation of India through a trust managed by the Company in terms of an insurance policy taken to fund obligations of the Company.

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table %	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates % (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	Post Retirement medical Benefit			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(148.04)	150.42	(124.67)	129.20
Change in cost (0.50% movement)	156.28	(146.42)	131.61	(125.77)

Sensitivity due to mortality and withdrawals are not material and hence impact of change not calculated.

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Expected maturity analysis of the Post retirement medical Benefit plan in future years

(₹ in Crore)

Particulars	Post Retirement Medical Benefit	
	As at March 31, 2025	As at March 31, 2024
Less than 1 year	263.08	201.18
Between 1-2 years	286.01	218.72
Between 2-3 years	293.75	224.64
Between 3-4 years	304.64	232.96
Between 4-5 years	318.98	243.93
Between 5-6 years	330.81	252.98
Over 6 years	700.40	1001.73
Total	2497.67	2376.14

Expected contributions to Post retirement medical benefit plan for the year ending 31 March 2026 are ₹64.59 crore.

The weighted average duration of the post retirement medical benefit plan obligation at the end of the reporting period is 12.67 years (31 March 2024: 12.53 years).

Risk Exposure

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in medical cost, investment risk, discount rate, mortality, disability and withdrawals.

(iii) Provident Fund

The Company pays fixed contribution to provident fund at predetermined rates to a separate trust, which invests the funds in permitted securities. The Company has an obligation to ensure minimum rate of return to the members as specified by GOI. Accordingly, the Company has obtained report of the actuary. Wherever as per the actuarial valuation certificate liability for likely interest shortfall arises, the same has been provided in the accounts.

Details of interest shortfall in PF Trust

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Excess / (Shortfall) in PF interest liability based on actuarial valuation for the year	(25.88)	9.97
Accumulated provision for shortfall in PF interest liability based on actuarial valuation	44.01	18.13
Remeasurement gain/(loss) recognised through other comprehensive income statement	(16.97)	(9.17)
Interest shortfall / (surplus) accounted through Statement of Profit & Loss	8.91	(19.14)

The Company has PF trusts located at various places covering the employees of the Company and managed separately, the details of plan assets and obligations are as follows :

(₹ in Crore)

Location	Defined benefit obligation		Fair value of plan assets		Surplus / (Shortfall)	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
BHEL EPF Trust, Ranipur, Hardwar	1986.34	1824.36	2000.26	1841.54	13.92	17.18
BHEL Employee Provident Fund-Trichy	1084.17	988.93	1075.96	986.19	(8.21)	(2.74)
BHEL Employee Provident Fund Bhopal	1719.01	1629.83	1705.24	1625.11	(13.77)	(4.72)
BHEL New Delhi Employees Provident Fund Trust	1520.79	1493.90	1514.16	1491.75	(6.63)	(2.15)
BHEL Employee Provident Fund-Hyderabad	887.48	901.38	918.33	917.02	30.85	15.64
BHEL PPD EPF Trust, Chennai	1021.78	955.03	1006.38	946.51	(15.40)	(8.52)
BHEL Employee Provident Fund-Bengaluru	679.89	637.68	694.38	653.29	14.49	15.61
BHEL (BAP Unit) EPF Trust, Ranipet	321.18	322.00	329.80	323.44	8.62	1.44
BHEL Employee Provident Fund Trust Jhansi	512.75	494.82	526.07	508.78	13.32	13.96
Bharat Heavy Plates & Vesseles Limited Employee Contributory Provident Fund-Vizag	160.10	152.27	201.56	192.31	41.46	40.04
Total	9893.49	9400.20	9972.14	9485.94	78.65	85.74

Movement in net defined benefit (asset)/liability on Provident Fund

(₹ in Crore)

Particulars	BHEL Employees Provident Fund Trust (Consolidated)			
	Defined benefit obligation		Fair value of plan assets	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	9400.20	8933.68	9485.94	9009.99
Included in Profit for the Year:				
Current service cost	389.44	369.63	-	-
Interest cost / (income)	765.59	724.70	(784.63)	(760.00)
Total amount recognised in Profit for the Year	1,155.03	1,094.33	(784.63)	(760.00)
Included in Other Comprehensive Income (OCI):				
Remeasurement loss / (gain):				
Actuarial loss / (gain) arising from:				
Demographic assumptions	-	-	-	-
Financial assumptions	1.96	0.86	-	0.28
Experience adjustment	(4.75)	29.61	28.91	(4.88)
Total amount recognised in other comprehensive income	(2.79)	30.47	28.91	(4.60)
Others				
Contributions paid by the employer	-	-	389.44	369.63
Employee Contribution	680.29	710.44	680.29	710.44
Benefits paid	1,719.39	1,658.60	1,719.39	1,658.60
Settlements/Transfer-in	380.15	289.88	380.15	289.88
Closing balance	9893.49	9400.20	9972.15	9485.94

Note: Interest shortfall in respect of PF trusts having deficit have been accounted during the year through statement of profit and loss account and other comprehensive income statement.

in addition to the above, diminution in PF Trust Investment is also cumulatively provided totalling to ₹53.11 Cr. based on the best possible assessment of recovery.

Details of Plan assets

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Govt. of India securities [Quoted]	879.15	796.78
State Government securities [Quoted]	4983.06	4678.27
Corporate bonds [Quoted]	3224.07	3259.15
Special Deposit [Unquoted]	299.98	344.65
Liquid Fund [Quoted]	6.65	3.76
Short term deposit [Unquoted]	111.82	85.76
Mutual Fund & Equity shares[Quoted]	467.42	317.58
Total	9972.14	9485.94

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date:

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Expected statutory interest rate on the ledger balance	8.25%	8.25%
Expected short fall in interest earnings on the fund	0.05%	0.05%
Demographic assumptions:		
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rate % (All ages)		
Upto 30 Years	3.00%	3.00%
From 31 to 44 years	1.00%	1.00%
Above 44 years	1.00%	1.00%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	BHEL Employees Provident Fund Trust			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(2.14)	2.25	(1.80)	1.89

Sensitivity due to mortality and withdrawals are not material and hence impact of change not calculated.

Expected maturity analysis in future years

(₹ in Crore)

Particulars	Provident Fund	
	As at March 31, 2025	As at March 31, 2024
Within the next 12 months	705.69	787.86
Between 2-5 years	1796.95	1755.71
Between 5-10 years	1547.56	1554.56
Beyond 10 years	5843.29	5302.07
Total	9893.49	9400.20

Risk Exposure

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in investment risk, discount rate, mortality, disability and withdrawals.

(iv) Travel claim on retirement- (Settlement Allowance - Unfunded Plan)

The settlement allowance is the expenditure reimbursed to an employee towards travel and shifting of baggage for proceeding to home town or any place in India where he or she intends to settle after retirement or death in service for self (including members of his/her family).

Movement in Settlement Allowance liability

(₹ in Crore)

Particulars	Settlement Allowance liability	
	As at March 31, 2025	As at March 31, 2024
Opening balance	15.06	13.43
Current service cost	1.08	0.89
Interest cost / (income)	1.09	0.99
Included in Profit for the year	2.17	1.88
Actuarial loss / (gain)	0.99	2.55
Total amount recognised in TCI for the Year	3.16	4.43
Others		
Contributions paid by the employer	-	-
Benefits paid	1.23	2.80
Closing balance	16.99	15.06

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Settlement Allowance	
	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount Rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

B. Long term Leave Liability (Encashable Leave -EL /Half Pay Leave-HPL) - (Unfunded Plan)

The company provides for earned leave benefit and half pay leave to the employees of the company which accrue half yearly at 15 days (maximum) and 10 days respectively. The earned leave is encashable while in service subject to fulfilment of certain conditions. On retirement/superannuation, earned leave & half pay leave put together upto a maximum of 300 days is encashable subject to company policies & leave encashment rules. The leave liability has been treated as other long term benefits and has been assessed using projected unit credit actuarial method.

Movement in long term leave liability

(₹ in Crore)

Particulars	Long Term Leave Liability	
	As at March 31, 2025	As at March 31, 2024
Opening balance	1065.02	1037.18
Included in Profit for the Year:		
Current service cost	162.56	138.96
Interest cost / (income)	77.21	76.75
Actuarial loss / (gain)	(33.01)	(23.73)
Total amount recognised in Profit for the Year	206.76	191.98
Benefits paid	130.62	164.14
Closing balance	1141.16	1065.02

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Long Term Leave Liability	
	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

C. Pension Fund

The Company has recognised Rs 266 cr [PY ₹278 cr] as contribution in respect of pension scheme [defined contribution plan] for the FY 2024-25

Note [37]

Disclosure as per Ind AS 24 - Related Parties

A) List of related parties

i)	Joint venture companies	BHEL-GE Gas Turbine Services Pvt. Ltd. (BGGTS) NTPC-BHEL Power Projects Pvt. Ltd. (NBPPL) Raichur Power Corporation Ltd. (RPCL) Bharat Coal Gasification & Chemicals Ltd. (BCGCL) Powerplant Performance Improvement Ltd. (PPIL)
	Post employment benefit plans	Provident fund trusts Gratuity trust PRMB Trust Pension Trust
	Others	Central Government controlled entities

The company is a central Public Sector undertaking under the administrative control of Ministry of Heavy Industries and majority of its stake is held by Government of India. The significant transactions are with other PSUs, State owned utilities, Railways etc. which are also controlled by Govt. of India directly or indirectly. The transactions with such entities are normal, based on market driven rates at arms length price.

ii) Other related parties:

a. Key Management Personnel [KMP]

Particulars	Designation	Position Held [w.e.f /upto]
Functional Directors		
Shri K Sadashiv Murthy	Chairman & Managing Director	(w.e.f. 01.11.2023)
Shri Jai Prakash Srivastava	Director (E, R&D)	(upto 31.12.2024)
Shri Krishna Kumar Thakur	Director (HR)	(w.e.f. 04.07.2023)
Shri Tajinder Gupta	Director (Power)	(w.e.f. 20.09.2023)
Ms. Bani Varma	Director (IS & P)	(w.e.f. 09.10.2023)
Shri Rajesh Kumar Dwivedi	Director (Finance)	(w.e.f. 19.06.2024)
Company Secretary		
Shri Rajeev Kalra	Company Secretary	(upto 10.07.2024)
Dr. Yogesh R Chhabra	Company Secretary	(w.e.f. 11.07.2024)

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Compensation to Key management personnel		
- Short term employee benefits	3.64	4.31
- Post employment benefits	0.78	0.64
- Other long term benefits	-	-
- Termination benefits	-	-
- Share based payment	-	-
Total	4.42	4.95

b. Government Director/Independent Director

Name		Held [w.e.f /upto]
Shri Vijay Mittal	Government Director	(w.e.f. 25.03.2022)
Smt. Arti Bhatnagar	Government Director	(w.e.f. 14.02.2023)
Dr. K. Sivaprasad	Independent Director	(upto 01.11.2024)
Dr. Lekhasri Samantsinghar	Independent Director	(upto 12.04.2024)
Shri Ramesh Patlya Mavaskar	Independent Director	(w.e.f. 08.06.2023)
Shri Ashok Aseri	Independent Director	(w.e.f. 29.03.2025)
Shri Aashish Chaturvedi	Independent Director	(w.e.f. 29.03.2025)

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Sitting Fees -- Independent Directors	0.12	0.20

B) Transactions with Post Employment Benefit Plans managed through separate trust

(₹ in Crore)

Name of the Trust	Post Employment benefit plan	Contribution by employer	
		For the year ended	
		March 31, 2025	March 31, 2024
PRMB Trust	Post Retirement medical scheme	250.00	125.00
Gratuity Trust	Gratuity	402.63	125.00
Employees Superannuation Fund	Pension Fund	327.59	457.47
BHEL EPF Trust,Ranipur,Hardwar	Provident Fund	70.22	60.18
BHEL Employee Provident Fund-Trichy	Provident Fund	63.50	59.60
BHEL Employee Provident Fund Bhopal	Provident Fund	62.65	59.71
BHEL New Delhi Employees Provident Fund Trust	Provident Fund	46.51	45.64
BHEL Employee Provident Fund-Hyderabad	Provident Fund	43.73	44.24
BHEL PPD EPF Trust,Chennai	Provident Fund	33.55	32.24
BHEL Employee Provident Fund-Bengaluru	Provident Fund	29.80	29.47
BHEL (BAP Unit) EPF Trust,Ranipet	Provident Fund	17.51	17.68
BHEL Employee Provident Fund Trust Jhansi	Provident Fund	14.44	14.14
Bharat Heavy Plates & Vesseles Limited Employee Contributory Provident Fund-Vizag	Provident Fund	7.53	6.73

C) Details of Transactions with Joint Ventures and Balances

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Sales of Goods and services		
BGGTS	324.31	305.92
RPCL	5.47	9.30
NBPPL	0.11	0.61
Dividend income		
BGGTS	38.08	41.65
Royalty income		
BGGTS	1.90	2.03
Purchase of Goods and Services		
BGGTS	1.49	1.18
RPCL	-	0.07
Subscription to Equity Shares		
BCGCL (Equity Shares 4900 Nos. of ₹10 each)	0.00	-
Deemed Investments Non Cash Transaction		
BCGCL	5.29	-
Amounts due to BHEL at the end of the year		
BGGTS	195.29	138.05
RPCL	632.82	643.84
NBPPL	276.29	277.02
BCGCL	0.16	-
Amounts due from BHEL (incl. advances) at the end of the year		
BGGTS	0.21	0.38
RPCL	8.17	8.55
NBPPL	38.40	41.69
Provision for Doubtful debts & advances		
BGGTS	10.71	10.52
RPCL	20.73	20.73
NBPPL	239.35	222.12

Note: Refer Note [5] for provision for dimunition in value of investments

Note [38]

Disclosure [Movement in provisions] - Ind AS 37

(₹ in Crore)

a.	Liquidated Damages	As at March 31, 2025	As at March 31, 2024
	Opening Balance	9166.53	8234.67
	Add: Additions	836.65	1165.80
	Less: Usage/ Write off/payment	2499.68	21.72
	Less: Withdrawal/adjustments	433.97	212.21
	Closing Balance	7069.53	9166.53

Liquidated damages are provided in line with the Accounting Policy of the Company and the same is dealt suitably in the accounts on settlement or otherwise. Contingent liability relating to liquidated damages is shown in Para A (h) of Note [32].

(₹ in Crore)

b.	Contractual Obligation	As at March 31, 2025	As at March 31, 2024
	Opening Balance		
	As disclosed in Note [19]	1822.17	3774.42
	As disclosed in Note [6]	105.45	552.05
	As disclosed in Note [9]	397.29	462.40
	4788.87	2324.91	
	Add: Borrowing Cost	33.70	121.38
	Add: Additions	447.70	118.15
	Less: PV Adjustment	36.33	3.81
	Less: Usage/ Write off/payment	79.87	106.97
	Less: Withdrawal/adjustments	523.60	2587.80
	Add/(Less): Change in estimate and rates	(1.33)	(4.91)
	Closing Balance		
	As disclosed in Note [19]	1771.78	1822.17
	As disclosed in Note [6]	223.85	105.45
	As disclosed in Note [9]	169.54	397.29
	2324.91	2165.17	

The provision for contractual obligation is made considering the effect of time value of money in line with Material Accounting Policy No. 11 to meet the warranty obligations as per the terms and conditions of the contract. The same is retained till the completion of the warranty obligations of the contract. The actual expenses on warranty obligation may vary from contract to contract and on year to year depending upon the terms and conditions of the respective contract. Contractual obligation, pertaining to dues from projects fully provided for, disclosed in Non Current Allowances for B&D Debts in Note [6] and [9].

The company has changed its practice to vacate provision against contractual obligations wherever Performance Guarantee (PG) test is not a pre-requisite condition as per contract. Accordingly, provisions to the tune of ₹118.47 cr has been vacated during the year which has resulted in increase of profit.

Note [39]

Disclosure - Revenue from Contracts with Customers - Ind AS 115

a. Movement in impairment provisions

(₹ in Crore)

Particulars	2024-25		2023-24	
	Trade receivables	Contract assets	Trade receivables	Contract assets
Opening balance	5192.66	3979.22	4322.46	4652.34
Add: Additions	650.00	224.88	1519.23	254.95
Less: Write off	484.18	92.50	26.55	1.26
Less: Reversal/adjustments	559.92	509.60	622.48	926.80
Closing balance	4798.55	3602.00	5192.66	3979.22

b. Disaggregation of revenue from contracts with customers

(₹ in Crore)

Particulars	Power		Industry		Total
	Within India	Outside India	Within India	Outside India	

2024-25

Revenue from customers

Timing of revenue recognition

(a) At a point in time (product/services)	3782.90	64.31	4895.91	133.94	8877.06
(b) Over time (projects)	16138.30	266.87	2068.00	4.94	18478.11

2023-24

Revenue from customers

Timing of revenue recognition

(a) At a point in time (product/services)	3324.43	61.58	3603.94	42.14	7032.10
(b) Over time (projects)	13737.26	586.36	1562.54	2.25	15888.42

(₹ in Crore)

Particulars	2024-25		2023-24	
	Power	Industry	Power	Industry
Revenue from customers				
CPSUs	9227.07	2776.16	6888.04	2096.72
Adani Group	2553.12	-	103.78	-
TANGEDCO	1587.36	-	1631.90	-
TSGENCO	1578.55	-	2834.77	-

c. Contract Balances (net of provisions)

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Trade Receivables	8930.93	8010.07
Contract assets (incl. unbilled revenue)	29444.13	26747.54
Contract liabilities	15293.67	7133.45

d. Contract revenue recognised

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Revenue recognised against contract liabilities (adjustment of customer advances and valuation adjustment during the year)	2842.80	3011.15
Revenue recognised against performance obligation satisfied in previous year (impact due to change in contract revenue)	594.72	163.16

Construction of power projects is a long cycle business, where the contracts received by the company are either EPC contracts (Engineering, Procurement & Construction) or BTG Packages (i.e. Boiler, Turbine and Generator packages). Power projects are long gestation period projects with normal execution period of contract ranging between 3 to 5 years. BHEL scope of services includes supply of equipment, erection, commissioning, synchronizing the plant to the grid, completing the trial operation and providing the guaranteed parameters.

Although there are several components to the overall scope, such projects are generally considered one performance obligation. The control transfers simultaneously over the execution period as the entity performs rather than at discrete points in time and hence revenue is recognized over the period of time based on measure of progress (input cost method).

Note [40]**Disclosure pursuant to Ind AS 107 [Financial Instruments - Accounting Classifications and Fair value measurements]**

- a. The Fair value of cash and cash equivalents, bank balances, loans, trade receivables, trade payables, security deposit, financial guarantee and others reasonably approximates their carrying amount. Trade receivables are evaluated after taking into consideration for Expected Credit Losses. Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Fair value hierarchy

The fair value of financial instruments have been classified in following categories depending on the inputs used in the valuation technique.

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(₹ in Crore)

Financial assets and liabilities measured at fair value- recurring fair value measurements	Level 3 Hierarchy	
	As at March 31, 2025	As at March 31, 2024
Financial assets:		
Investment in unquoted equity instruments	0.00	1.19
Financial Liabilities:		
Financial guarantee	5.29	-

b. Valuation Techniques used to determine fair value

Fair value of unquoted equity instruments is determined using Level 3 inputs which include inputs from the financial statements of the investee Company based on Net asset value per share.

Reconciliation of fair value measurement of unquoted equity shares classified as FVTPL assets

(₹ in Crore)

As at March 31, 2024	1.19
Changes in fair value / Impairment	(1.19)
As at March 31, 2025	0.00

Financial Risk Management

Objectives and Policies

The company's activities are exposed to different financial risks arising out of natural business exposures to any company operating in the sector. The management of financial risk has always been an integral part of the company's business strategies and policies. The company reviews and aligns its policies and guidelines from time to time to address the financial risks in line with the needs and expectations of its various stakeholders. Exposure risk from the use of financial instruments can be categorized as under:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risk, and management of Company's capital. Further quantitative disclosures are included throughout these financial statements.

Risk management framework

BHEL has in place a Board approved Risk Management Charter & Policy which provides overall framework for Risk Management in the company. The objective of the charter is to ensure that the risks are being properly identified, assessed and effectively managed by adopting suitable risk mitigation measures. The company has 3-layer risk management framework. At the first level, the Board Level Risk Management Committee (BLRMC) of the company is assigned with responsibility of reviewing the company's Risk Governance structure, Risk Assessment & Risk Management framework, Guidelines, Policies and Processes thereof. Risk Management Steering Committee (RMSC) at the second level is responsible for adopting & implementing the risk management framework and leading the risk management initiative across the company. Chief Risk Officer (CRO) being the convener of BLRMC & RMSC is responsible for periodic reporting on risk management to Board/ BLRMC. Key risks being faced by the company are analysed starting from Unit level for their respective areas to prepare risk mitigation plans and to ensure implementation.

a) Management of Credit Risk

Credit risk is considered as an integral part of risk reward balance of doing business. BHEL is involved in setting up of power projects pertaining to Government sector (State utilities, PSU's, Railways and other govt. departments etc.) and private sectors in India and abroad. The projects are generally funded by Financial Institutions/ banks or payments are covered by Letter of Credit (LC). The project duration ranges from 3 to 5 years and payments are generally realised in stages as per the terms of the contract including advance, progress payments, milestone (including intermediate) payments and also retentions which are released on completion of such projects. Since majority customers' profile pertains to Government sector, constituting 80% of total receivables coupled with the fact that the company itself is a CPSE, credit risk is relatively low. In respect of private sector customers, the payment terms are mainly through LC. The company has well established review mechanism for receivables at various levels within organisation to ensure proper attention and focus for realisation in line with the company policies, procedures and guidelines. The company uses expected credit loss model to assess the impairment loss or gain and the disclosure of the same is made elsewhere. Further, adequate provisions are maintained to address any eventuality.

(i) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Financial assets for which loss allowance is measured using 12 months Expected Credit Losses (ECL)		
Cash and cash equivalents	439.21	1835.04
Other bank balances	7173.20	4322.43
Other financial assets	1016.71	445.92
Financial assets for which loss allowance is measured using Life time Expected Credit Losses (ECL) including impairment loss		
Trade receivables	8930.93	8010.07

Concentration of credit risk- Geographical	Percentage of total receivable	
	As at March 31, 2025	As at March 31, 2024
Within India	97%	95%
Outside India	3%	5%
Total	100%	100%

The company's exposure to credit risk for trade receivables, contract assets and other receivables by type of counterparty are as follows -

Note	Percentage of Total Receivables	
	As at March 31, 2025	As at March 31, 2024
Central Public Sector Undertakings incl. Railways and Govt. Deptt.	46%	43%
State Electricity Boards	35%	40%
Private Customers and others	16%	13%
Exports	3%	5%
Total	100%	100%

(ii) Impairment losses

1. Financial assets for which loss allowance is measured using 12 month expected credit losses

The company has assets where the counter- parties have sufficient capacity to meet the obligations and where the risk of default is very low.

The movement in the allowance for impairment in respect of loans during the year was as follows:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance as at April 1	16.32	14.91
Impairment loss recognised/ write off/ withdrawal	4.50	1.41
Balance as at March 31	20.82	16.32

2. Reconciliation of impairment loss provisions

The movement in the allowance for impairment in respect of trade receivables and contract assets during the year was as follows:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance as at April 1	9171.88	8974.80
Impairment loss recognised	874.88	1774.18
Amounts written off/ withdrawal	(1646.20)	(1577.09)
Balance as at March 31	8400.55	9171.88

The company makes investments out of surplus funds as per policy of the company duly approved by the Board and in line with the DPE guidelines. Credit risk on cash and cash equivalents and term deposits is very limited as the company generally invests in deposits with financially strong banks and financial institutions.

b) Management of Liquidity risk

The Company manages liquidity risk by maintaining sufficient cash and cash equivalents including term deposits and the availability of Funding through an adequate amount of credit facilities to meet obligations as and when due. Robust cash management system and regular monitoring of cash flows enables management to plan and maintain adequate sources to finance its funds requirement throughout the year. Besides adequate cash and bank balances, company enjoys credit facilities. The company is able to meet all its fund requirements from internal resources i.e. the funds generated from operations and also through short-term borrowings for better treasury management operations.

The following are the contractual maturities of non-derivative financial liabilities, based on contractual cash flows:

(₹ in Crore)

Financial Liabilities Non-derivative financial liabilities	As at March 31, 2025		As at March 31, 2024	
	Within 1 year	Exceeding 1 year	Within 1 year	Exceeding 1 year
Trade payables	9540.92	2170.79	8539.38	2292.76
Deposits from contractors and others	716.19	413.11	623.50	397.01
Lease liabilities	57.21	162.39	24.91	23.55
Other Payables/liabilities				
Employee dues	152.41	-	353.32	-
Other dues	240.90	-	401.60	-
Capex dues	131.02	9.68	114.90	10.86
Financial Guarantee obligation	5.29	-	-	-
Short term borrowings	8795.00	-	8808.00	-
Total	19638.94	2755.97	18865.61	2724.18

c) Management of Market risk

The Company is exposed to certain currency, commodity, interest rate risks arising from its operations. The company has foreign exchange risk management policy to cover the foreign exchange risks. To insulate the company against major commodity price fluctuation, framework agreements including price pass through claims are being entered regularly with supply chain partners including suppliers and customers. Surplus funds generated from operation are kept invested in short term deposits with PSU Banks or large sized private banks only and in debt based schemes of public sector mutual funds, thereby minimizing any chance of risk.

Foreign currency risk exposure:- The company's exposure to foreign currency risk at the end of reporting period, are as follows:

- (i) The derivative instruments that are hedged and outstanding as on 31.03.2025 is Nil (previous year Nil)
- (ii) The foreign currency exposures that are not hedged by a derivative instrument or otherwise are as under:

FC in Million
(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024		As at March 31, 2025	As at March 31, 2024
	Euro	Equivalent INR	Euro	Equivalent INR	Others INR	Others INR
Assets						
Trade receivable	59.23	543.50	53.64	484.16	41.12	1.86
Contract assets	221.26	2026.77	235.03	2112.15	263.20	39.52
Other assets	11.74	108.16	0.61	5.50	93.77	154.98
Sub Total (A)	292.23	2678.42	289.29	2601.82	398.09	196.36
Liabilities						
Advances from customer	28.22	190.35	35.46	238.77	1.29	22.65
Trade payables and others	27.69	256.30	29.79	272.79	343.61	308.96
Sub Total (B)	55.91	446.65	65.25	511.56	344.89	331.61
Assets (Net of Liabilities) [(A)-(B)]	236.32	2231.77	224.04	2,090.26	53.19	(135.25)

Particulars	USD	Equivalent INR	USD	Equivalent INR
Assets				
Trade receivable	79.27	669.84	77.52	644.22
Contract assets	187.27	1597.17	234.62	1948.28
Other assets	0.87	6.74	0.36	2.41
Sub Total (A)	267.41	2273.76	312.50	2594.91
Liabilities				
Advances from customer	35.69	226.53	50.09	253.59
Trade payables and others	76.85	655.22	132.79	1114.42
Sub Total (B)	112.55	881.75	182.88	1368.01
Assets (Net of Liabilities) [(A)-(B)]	154.87	1392.01	129.62	1226.90

The above figures are net of provisions, if any

Sensitivity analysis

The impact of strengthening/weakening of the Indian Rupee vis a vis USD, EURO and others as at year end on profit or loss is as shown below. This analysis is based on foreign currency exchange rate variances that the company considered to be reasonably possible at the end of the reporting period. The analysis is performed on the same basis for previous year, albeit that the reasonably possible foreign exchange rate variances were different, as indicated below:

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Strengthening	Weakening	Strengthening	Weakening
Effect on Profit/(loss) on 1 % movement				
Euro	22.32	(22.32)	20.90	(20.90)
USD	13.92	(13.92)	12.27	(12.27)
Others	0.53	(0.53)	(1.35)	1.35

Capital Management

The company's objective, while managing capital is to continue business as a going concern, safeguard, preserve and enhance its capital to provide maximum return to shareholders, benefits to other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. The Board of Directors also monitors the level of dividends to equity shareholders. The Company monitors capital, using a medium term view and long term view, on the basis of a number of financial ratios generally used by industry as well as by the rating agencies. The Company is not subject to externally imposed capital requirements. The Company's capital structure is managed against the various financial ratios as required to maintain highest credit ratings.

Note [41] Operating Segments

The Segments have been identified as 'Power' and 'Industry', based on the orders booked by the respective business sectors. These segments are driven by the three business sectors i.e. Power Sector, Industry sector, International Operations.

The Power segment comprises mainly thermal, gas, hydro and nuclear power plant businesses, related spares & services business apart from new businesses of coal to chemicals, emission control equipment and spares for Non-BHEL sets.

The Industry segment caters to major equipment supplies and EPC works for a variety of sectors including transportation, transmission, defence & aerospace, captive power, renewables, downstream oil & gas, energy storage, and electric mobility, among others.

The order booked by International operation group is taken to Power or Industry as the case may be.

The Company's Committee of functional Directors has been identified as Chief Operating Decision maker (CODM).

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Power	Industry	Total	Power	Industry	Total
I. SEGMENT REVENUE FROM OPERATIONS						
Revenue From Operations-External	20937.25	7402.23	28339.48	18435.79	5456.99	23892.78
II. SEGMENT RESULTS						
a. Segment Results	1216.02	1262.45	2478.47	1657.03	137.08	1794.11
b. Unallocated expenses (Net of income)			1005.47			842.49
c. Profit before finance cost & Incometax (a) - (b)			1473.00			951.62
d. Finance cost (Includes unwinding of Interest)			748.33			731.29
e. Net Profit before Income Tax (c) - (d)			724.67			220.33
f. Income Tax			211.70			(39.56)
g. Net Profit/(loss) after Income Tax (e)-(f)			512.97			259.89
III ASSETS & LIABILITIES						
a. Segment Assets	45455.29	9240.71	54696.00	39561.83	8418.14	47979.97
b. Common Assets			13783.32			11433.88
c. Total Assets			68479.32			59413.85
d. Segment Liabilities	29075.97	7034.26	36110.23	20670.89	6081.21	26752.10
e. Common Liabilities			7256.08			7811.16
f. Total Liabilities			43366.31			34563.27
IV OTHER INFORMATION						
a. Capital Expenditure	335.93	146.46		158.93	91.86	
b. Depreciation & Amortization	158.06	69.18		138.73	76.90	
c. Non Cash Expenses (other than depreciation & amortization)	(73.14)	214.64		(815.40)	147.31	

Geographical Segments

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Within India	Outside India	Total	Within India	Outside India	Total
1 Revenue from Operations	27863.22	476.26	28339.48	23156.49	736.29	23892.78
2 Non- Current Assets (PPE & Intangible Assets)	3141.70	0.46	3142.16	2880.44	1.96	2882.40
3 Capital Expenditure	535.30	0.34	535.64	286.57	0.85	287.41

Major Customer- Details of Revenue from Single Customer exceeding 10% of total revenue of BHEL

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Power	Industry	Total	Power	Industry	Total
CPSUs	9227.07	2776.16	12003.23	6888.04	2096.72	8984.76
Adani Group	2553.12	-	2553.12	103.78	-	103.78

Note [42]

Additional Disclosures

(₹ in Crore)

A.	Category of Imports	For the year ended	
		March 31, 2025	March 31, 2024
	Imports on CIF basis		
	Raw materials	1091.75	568.77
	Components and spare parts	771.38	833.42
	Capital goods	13.09	42.18
	Total Imports	1876.22	1444.38

(₹ in Crore)

B.	Types of Expenditure (incurred in foreign currency)	For the year ended	
		March 31, 2025	March 31, 2024
	i) Royalty	53.81	58.00
	ii) Know-how	5.74	21.55
	iii) Professional consultation fee	6.89	15.70
	iv) Interest and others (incl. on foreign sites)	24.06	24.49

(₹ in Crore)

C.	Classification of Consumption [raw materials, components, stores & spare parts]	For the year ended	
		March 31, 2025	March 31, 2024
	i) Imported (including custom duty)	1931.03	1522.25
	ii) Indigenous	13467.22	10812.76
	iii) Percentage of total consumption		
	Imported	12.54	12.34
	Indigenous	87.46	87.66

(₹ in Crore)

D.	Earnings in foreign exchange	For the year ended	
		March 31, 2025	March 31, 2024
	Physical Export of goods (FOB basis)	201.79	351.19
	Erection & other services	136.35	268.71
	Foreign exchange on deemed exports (incl. domestic contracts and SEZ export)	218.85	442.14
	Total	556.99	1062.04

(₹ in Crore)

E.	Statement for raw materials and components consumed	For the year ended	
		March 31, 2025	March 31, 2024
	Raw Materials		
	i) Ferrous materials	3527.85	2211.26
	ii) Non-ferrous materials	679.37	466.12
	iii) Insulating materials	116.50	108.30
	iv) Insulated cables and Magnet wires	14.96	8.98
	v) Other Components	3198.26	2973.24
	vi) Others	670.71	348.37
	Total	8207.65	6116.27
	Bought out Materials		
	i) Ferrous materials	102.99	52.62
	ii) Non-ferrous materials	110.17	42.61
	iii) Insulating materials	143.57	109.14
	iv) Insulated cables and Magnet wires	45.24	50.43
	v) Other Components	4431.91	3715.71
	vi) Others	1924.11	1897.95
	Total	6757.99	5868.46

Note [43]

Ratios

Particulars	Numerator	Denominator	2024-25	2023-24	% Variance	Reason for variance
(a) Current ratio	Total Current Assets	Total Current Liabilities	1.51	1.37	-10.71	
(b) Debt-equity ratio	The company does not have any long term debt and hence these ratios are not applicable					
(c) Debt service coverage ratio						
(d) Long term Debt to Working Capital						
(e) Interest service coverage ratio						
(f) Total Debt to Total Assets ratio	Total Borrowings	Total Assets	0.13	0.15	11.69	
(g) Inventory turnover ratio	Revenue from contracts with customers	Average Inventory (Net)	3.20	3.28	-2.40	
(h) Trade receivables turnover ratio	Revenue from contracts with customers	Average Trade receivable (net)	3.23	3.15	2.53	
(i) Bad debts to accounts receivable ratio	Bad debts written off	Gross Trade Receivables	0.03	0.00	2394.24	Due to changes in Bad debts written off
(j) Current Liability Ratio	Current Liabilities	Total Liabilities	0.65	0.73	-10.88	
(k) Trade payables turnover ratio	Purchases and Subcontracting	Average Trade Payables	1.89	1.51	24.90	
(l) Net capital turnover ratio	Revenue from contracts with customers	Total Current Assets - Total Current Liabilities	1.88	2.47	-23.65	Higher working capital intensity
(m) Return on equity ratio	Profit for the year (PAT)	Average Total Equity - OCI	2.01%	2.03%	-0.84	
(n) Operating profit ratio	Profit Before Interest, Depreciation & Tax - Other Income	Revenue from operations	4.38%	2.56%	70.87	Due to higher volume of Operations and ERV Gains
(o) Net profit ratio	Profit for the year (PAT)	Revenue from operations	1.81%	1.09%	66.41	Due to higher volume of Operations and ERV Gains
(p) Return on capital employed	Earning before interest and taxes	Capital Employed = Total Equity - CWIP - Intangible assets under development - Deferred tax assets	7.06%	4.68%	51.01	Due to higher volume of Operations and ERV Gains
(q) Return on investment	NA					
(r) Net worth (₹ / Cr.)	Share Capital + Reserve and Surplus		25113.01	24850.59	1.06	
(s) Profit After Tax (₹ / Cr.)	Profit after Tax		512.97	259.89	97.38	Due to higher volume of Operations and ERV Gains
(t) Earning Per Share (₹)	Profit for the year (PAT)	Weighted average no. of shares	1.47	0.75	97.38	
(u) Capital redemption reserve (₹ / Cr.)			37.87	37.87	0.00	

Note [44]

Disclosure - Investment Property - Ind AS 40

Material Accounting Policy disclosed at point 20 of Note [2]

During the year Company has adopted the material accounting policy and applied the same for accounting of Investment property. Relevant details are as under:

(₹ in Crore)

Particulars	2024-25	2023-24
(i) Detail of Incomes and expenses:		
Rental Income	1.82	-
Direct Operating expenses (incl Repair & Maintenance)	0.39	-

(ii) Fair Value of Investment Property

The market value of the investment property has been assessed at ₹111.58 cr by registered valuer as defined under rule 2 of Companies (Registered Valuers and Valuation) Rules 2017 as at 31.03.2025 for various properties located at Bhopal and Mumbai.

(iii) The Company has entered into operating lease on its investment property portfolio consisting of certain Land and Building. Future undiscounted lease payments to be received under operating lease as at 31.03.2025 are as follows:

Particulars	2024-25	2023-24
Less than 1 year	7.11	-
Between 1 and 2 year	7.13	-
Between 2 and 3 year	7.25	-
Between 3 and 4 year	7.56	-
Between 4 and 5 year	5.14	-
Beyond 5 years	1.85	-
Total	36.04	-

Note [45]

As per SEBI (Listing obligations & Disclosure Requirements) Regulations, 2015, the requisite details of loans and advances in the nature of loans, given by the Company are given below:

- No loans have been given (other than loans to employees), wherein there is no repayment schedule or repayment is beyond seven years; and
- There are no loans and advances in the nature of loans, to firms/companies, in which directors are interested.

Note [46]

Assets and Liabilities are classified between Current and Non-current considering 12 months period as operating cycle.

Note [47]

The company has no transactions with companies struck off under section 248 of the Companies Act, 2013 or Section 560 of the Companies Act, 1956.

Note [48]

There were no charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period.

Note [49]

The Company is complying with the number of layers prescribed under clause(87) of section 2 of the Act read with Companies (restriction on number of layers) Rules, 2017.

Note [50]

No Scheme of Arrangements has been approved by the Competent Authority in terms of sections 230 to 237 of the Companies Act, 2013.

Note [51]

The Company has no transactions that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 which is unrecorded in the books of accounts.

Note [52]

The Company has not traded or invested in Crypto currency or Virtual currency during the financial year.

Note [53]

Figures have been rounded off nearest to ₹ in crore with two decimal.

Note [54]

Previous year's figures have been regrouped/ rearranged wherever considered necessary.

Note [55]

The Board of Directors has authorised to issue the Financial Statements 2024-25 in its meeting held on May 16, 2025.

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi

Date : 16th May, 2025





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INDEPENDENT AUDITOR'S REPORT

To the Members of
Bharat Heavy Electricals Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **BHARAT HEAVY ELECTRICALS LIMITED** hereinafter referred to as "the company" and its share of profit in joint ventures, which comprise the Consolidated Balance Sheet as at 31st March, 2025, the consolidated statement of profit and loss (including other comprehensive income), the consolidated statement of changes in equity and the consolidated cash flow statement for the year then ended, and a summary of the material accounting policies and other explanatory information for the year ended on that date (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of other auditors on separate Financial Statements and on the other financial statements/ financial information of the joint ventures referred to in the Other Matters section below the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company and its joint ventures as at March 31, 2025, and their consolidated net profit (financial performance including other comprehensive income), their consolidated changes in equity and consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with the Standards on Auditing (SAs) specified under section 143 (10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Company and its Joint Ventures in accordance with the Code of Ethics issued by the Institute

of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the consolidated financial statements under the provisions of the Companies Act, 2013 and the rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditors in terms of their reports referred in the Other Matters section below, is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

Emphasis of Matter

We draw your attention to:

1. Note No 06 of the financial statement, the company has not provided for an overdue amount from customer STPG (formerly NEC Sudan), stuck on account of civil war as approved by Board.
2. Note No 09 of the financial statement, regarding the balance of debtors of RVUNL/ Suratgarh 7 & 8 Project (2*660 MW).
3. Note No 40 of the financial statements, regarding vacation of provision against contractual obligation wherever Performance Guarantee (PG) test is not a pre-requisite condition as per contract.

Our opinion is not modified in respect of matters mentioned in above paragraphs.

Key Audit Matters

Key audit matters are those matters that in our professional judgement were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	Auditor's Response
<i>Accuracy of recognition, measurement, presentation and disclosures of revenues and other related balances in respect of "Revenue from contracts with Customers" under Ind AS 115.</i> The application of this revenue accounting standard involves certain key judgments relating to identification of distinct performance obligations, determination of transaction price of identified performance obligations, the appropriateness of the basis used to measure revenue recognized over a period, and disclosures including presentations of balances in the financial statements. Estimated efforts is a critical estimate to determine revenue, as it requires consideration of progress of the contract, efforts incurred till date, efforts required to complete the remaining performance obligation. Refer Note 41 to the consolidated financial statements.	<u>Principal Audit Procedures</u> Our audit approach consisted testing of the design and operating effectiveness of internal controls and procedures as follows: • Evaluated the effectiveness of controls over the preparation of information that are designed to ensure the completeness and accuracy. • Selected a sample of existing continuing contracts and new contracts, and tested the operating effectiveness of the internal control, relating to identification of the distinct performance obligations and determination of transaction price. • Tested the relevant information, accounting systems and change relating to contracts and related information used in recording and disclosing revenue in accordance with Ind AS 115. • Reviewed a sample of contracts to identify possible delays in achieving milestones, which require change in estimated efforts to complete the remaining performance obligations. • Performed analytical procedures and test of details for reasonableness and other related material items.
<i>Assessment and recoverability of Trade Receivables and Contract Assets</i> The Company has trade receivables outstanding (net) of ₹8930.93 Crore and contract assets (net) of ₹29444.13 Crore at the end of March 31, 2025. These balances are related to revenue recognized in line with Ind AS 115 "Revenue from contracts with customers" for ongoing contracts and completed contracts. The assessment of its recoverability is a key audit matters in the audit due to its size, pending balance confirmation of letters sent and high level of management judgment. Refer Notes 6, 9, 41 to the consolidated financial statements.	<u>Principal Audit Procedures</u> We have assessed the Company's internal process to recognize the revenue and review mechanism of trade receivables and contract assets. Our audit approach consisted testing of the design and operating effectiveness of internal controls and procedures as follows: • Evaluated the process of invoicing with customers. • Obtained the list of project wise outstanding details and its review mechanism by the management. • Reviewed the guidelines and policies of the Company on impairment of trade receivables and contract assets. • Tested the accuracy of aging of trade receivables and contract assets at the year end on sample basis. • Performed analytical procedures and test of details for reasonableness, recoverability and other related material items.
<i>Assessment of Contingent Liability</i> There are a number of litigations pending before various forums against the Company and the management's judgement is required for estimating the amount to be disclosed as contingent liability. We determined the above area as a Key Audit Matter in view of associated uncertainty relating to the outcome of these matters which requires application of judgment in interpretation of law. Accordingly, our audit was focused on analysing the facts of subject matter under consideration and judgments/ interpretation of law involved. Refer Note 33 to the Consolidated statements	<u>Principal Audit Procedures</u> The audit procedures included but were not limited to: • Obtaining a detailed understanding processes and controls of the Management with respect to claims or disputes. • Performing following procedures on samples selected. • Understanding the matters by reading the correspondences, communications, minutes of the management meeting. • Making corroborative inquiries with appropriate level of the management personnel including status update, expectation of outcomes with the basis, and the future course of action contemplated by the Company, and perusing legal opinions, if any, obtained by the Management. • Obtaining direct confirmation from the legal attorneys of the company and considering their opinions /probability assessment of the outcomes. • Evaluating the evidence supporting the judgement of the management about possible outcomes and the reasonableness of the estimates. • Evaluating appropriateness of adequate disclosures in accordance with the applicable accounting standards.

Information Other than the Consolidated Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's information, but does not include the consolidated financial statements and Standalone Financial Statements and our auditor's report thereon. These reports are expected to be made available to us after the date of this Auditor's Report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read such other information when made available to us and if we conclude that there is a material misstatement therein we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of the consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated statement of change in equity and consolidated cash flow statement of the Company including its joint ventures in accordance with the Ind AS and other accounting principles generally accepted in India. The respective Board of Directors of the Company and its joint ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the company and its joint ventures and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the

Consolidated Financial Statements by the Directors of the Company, as aforesaid.

In preparing the consolidated financial statements, the Board of Directors of the companies included in the Company are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management either intends to liquidate the Company and its Joint Ventures or to cease operations, or has no realistic alternative but to do so.

The Board of Directors of the Company and its joint ventures are responsible for overseeing the financial reporting process of the respective Company and of its joint ventures.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company and its joint ventures incorporated in India have adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of company's management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of Company's and its Joint Ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company and its Joint Venture to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Company and its Joint Ventures to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the Consolidated Financial Statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion. Our responsibilities in this regard are further described in para 1 to para 4 of the section titled "Other Matters" in this Audit report.

Materiality is the magnitude of misstatements in the consolidated financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial

statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

1. We did not audit the financial statements/information of **14 (Fourteen)** branches included in the standalone financial statements of the Company whose financial statements/financial information reflect total assets of **₹46,711 Crore** as at 31st March, 2025 and total revenue of **₹20,696 Crore** for the year ended on that date, as considered in the standalone financial statements. The financial statements/information of these branches have been audited by the Branch auditors whose reports have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of these branches, is based solely on the report of such branch auditors.
2. We did not audit the financial statements/information of Joint Ventures BHEL-GE Gas Turbine Services Private Limited ('BGGTS'). The consolidated financial results also include the Company's share of net profit after tax of ₹59.01 Cr and total comprehensive income of ₹59.17 Cr for the year ended 31st March 2025, as considered in the consolidated audited financial results, in respect of Joint Ventures-BHEL-GE Gas Turbine Services Private Limited ('BGGTS'), whose financial statements are unaudited. These unaudited financial statements/financial information furnished to us by the company's management and our opinion on the Statement, in so far as it relates to the amounts and disclosures included in respect of aforesaid joint ventures, is based solely on such unaudited financial statements/financial information.
3. We also did not audit the financial statements of two jointly controlled entities i.e. Raichur Power Corporation Ltd. and NTPC-BHEL Power Projects Pvt. Ltd. The consolidated financial statements do not include the share of net loss and other comprehensive loss of these jointly controlled entities as the Company has already recognized accumulated losses equal to the cost of investment in its financial statements in respect of these jointly controlled entities. These financial statements of Raichur Power Corporation Ltd. and NTPC-BHEL Power Projects Pvt. Ltd. are unaudited and financial statements / financial information are furnished to us by the Company's management and our opinion on the Statement, in so far as it relates to the amounts and disclosures included in respect of aforesaid joint ventures, is based solely on such unaudited financial results/financial information.
4. We did not audit the financial statements of jointly controlled entity Bharat Coal Gasification and Chemicals Limited (BCGCL). The consolidated financial statements do

not include the share of net loss and other comprehensive loss of this jointly controlled entity as the company has already recognized accumulated losses equal to the cost of investment in its financial statements in respect of this jointly controlled entity. The financial statements / financial information of Bharat Coal Gasification and Chemicals Limited (BCGCL) have been audited by other auditor whose reports have been furnished to us by the company.

5. The accounts of Power Plant Performance Improvements Ltd., a Joint Venture of BHEL have not been consolidated as the said company is under liquidation.

Our opinion on the consolidated financial statements, and our report on other legal and regulatory requirements below, is not modified in respect of the above matters with respect to our reliance on the unaudited financial statements certified by the management.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143 (3) of the Act based on our audit and on the consideration of unaudited financial statements certified by the management of jointly controlled entities as referred in "Other Matters" paragraph, we report, to the extent applicable, that:

- (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements;
- (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept by the company so far as it appears from our examination of those books and management certified financials.
- (c) The consolidated balance sheet, the consolidated statement of profit and loss (including other comprehensive income), consolidated statement of changes in equity and the consolidated cash flow statement dealt with by this report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements;
- (d) In our opinion, the aforesaid consolidated financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended.
- (e) In terms Notification no. G.S.R. 463(E) dtd. 05-06-2015 issued by the Ministry of Corporate Affairs, the provision of Section 164(2) of the Companies Act, 2013 in respect of disqualification of directors are not applicable to the Company;

- (f) With respect to the adequacy of the internal financial controls with reference to Consolidated financial statements of the company and Joint Ventures incorporated in India and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an opinion on the adequacy and operating effectiveness of the company's internal financial controls over financial reporting.
- (g) As per Notification No. GSR 463(E) dated 5 June 2015 issued by the Ministry of Corporate Affairs, Government of India, section 197 of the Act is not applicable to the Government Companies. Accordingly, reporting in accordance with requirement of provisions of section 197(16) of the Act is not applicable to the company.
- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014 to the extent applicable, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the management certified financial statements including the other financial information of jointly controlled entities, as noted in "Other Matters" paragraph:
 - i. The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Company and Joint Ventures – **Refer Note 33** to the consolidated financial statements;
 - ii. Provision has been made in the consolidated financial statements, as required under the applicable law or Indian accounting standards, for material foreseeable losses, if any, on long-term contracts – **Refer Note 40** to the consolidated financial statements in respect of such items as it relates to the Company and Joint Ventures and
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company and Joint Ventures incorporated in India.
 - iv. a) The respective Managements of the Company and its joint ventures, whose financial statements are unaudited, have represented to us that to the best of their knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or any such Joint Ventures to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other

persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- (b) The respective Managements of the Company and its joint ventures, whose financial statements are unaudited, have represented to us that to the best of their knowledge and belief, no funds have been received by the Company or any of such joint ventures from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or any of joint ventures shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. As stated in Note 31 to the Consolidated Financial Statements
- (a) The final dividend proposed for the previous year, declared and paid by the company during the year is in accordance with Section 123 of the Act, as applicable.
- (b) During the year the company has not declared or paid any Interim Dividend.
- (c) The Board of Directors of the company has proposed final dividend for the year which is

subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

- vi. Based on our examination carried out in accordance with the Implementation Guidance on Reporting on Audit Trail under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (Revised 2024 Edition) issued by the Institute of Chartered Accountants of India, which included test checks and that performed by the respective auditors of the joint ventures whose financial statements have been audited under the Act, we report that the company and the above referred joint ventures have used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software.

Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention except in case of one branch where DBase accounting software was used for the year ended 31st March 2024 which didn't have feature of recording audit trail (edit log) and for the period 06-01-2024 to 15-01-2024 no transaction were recorded across the BHEL due to malware attack.

2. With respect to the matter of paras 3 (xxi) and 4 of the Companies (Auditor's Report) Order 2020, and four Joint Ventures remains unaudited as mentioned in the section titled "Other Matters" and in case of 1 audited joint venture, CARO is not applicable and no report has been issued by the Auditors of such entity. Based on the CARO report issued by us for the standalone financial statement of the company for the year ended 31st March 2025, we report that there are no qualifications or adverse remarks in the CARO report.

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)

Partner

M. No. 400189

UDIN:25400189BMMKQN5182

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)

Partner

M. No. 057140

UDIN:25057140BMKTQP7059

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE CONSOLIDATED IND AS FINANCIAL STATEMENTS OF BHARAT HEAVY ELECTRICALS LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated Ind AS financial statements of the Company as of and for the year ended March 31, 2025, we have audited the internal financial controls over financial reporting of Bharat Heavy Electricals Limited (hereinafter referred to as "the Company"), and joint ventures, which are companies incorporated in India as of that date. We did not audit the financial statements of five Joint Ventures out of which four Joint Ventures are unaudited.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the company and joint ventures, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over financial reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our responsibility is to express an opinion on the Company's, internal financial controls with reference to consolidated financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls With reference to Consolidated financial statements (the "Guidance Note") issued by the ICAI and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to consolidated financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated financial statements included obtaining an understanding of internal financial controls with reference to Consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the branches and joint ventures, incorporated in India, in terms of their reports referred to in the 'Other Matters' paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls of the Company and its Joint Venture Companies incorporated in India, with reference to Consolidated Financial Statements.

Meaning of Internal Financial Controls with reference to consolidated financial statements

A company's internal financial control with reference to consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to Consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to consolidated financial statements

Because of the inherent limitations of internal financial controls with reference to Consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to consolidated financial statements to future periods are subject to the risk that the internal financial control with reference to Consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Other Matters

Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated financial statements in so far as it relates five jointly controlled entities, which are companies incorporated in India, is based on the corresponding management certificate of these five jointly controlled entities incorporated in India.

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated Financial Statements

in so far as it relates to five joint ventures incorporated in India, out of which four Joint Venture's financial statements / financial information are unaudited and our opinion on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated Financial Statements of the Company is not affected as the Company's share of net profit/loss (including Other Comprehensive Income) and disclosures included in respect of these joint ventures in these Consolidated Financial Statements are not material to the Company.

Our report is not modified in respect of the above matters.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Company, and its joint ventures, which are entities incorporated in India, have, in all material respects, an adequate internal financial controls system with reference to Consolidated financial statements and such internal financial controls with reference to Consolidated financial statements were operating effectively as at March 31, 2025, based on the internal controls over the financial reporting criteria established by the Company and its Joint Ventures incorporated in India considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls with reference to Consolidated financial statements issued by the Institute of Chartered Accountants of India.

For P S M G & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189
UDIN:25400189BMMKQN5182

For A B P & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M. No. 057140
UDIN:25057140BMKTQP7059

Place : New Delhi
Date : 16.05.2025

No. DGA(E)/Rep/01-55/A/c5-BHEL-CFS/2025-26/216

भारतीय लेखापरीक्षा एवं लेखा विभाग
कार्यालय महा निदेशक लेखापरीक्षा (ऊर्जा)
नई दिल्ली



INDIAN AUDIT & ACCOUNTS DEPARTMENT
Office of the Director General of Audit (Energy)
New Delhi

Dated: 23/07/2025

सेवा में,

अध्यक्ष एवं प्रबंध निदेशक,
भारत हेवी इलेक्ट्रिकल्स लिमिटेड,
नई दिल्ली

विषय:- 31 मार्च 2025 को समाप्त वर्ष के लिए भारत हेवी इलेक्ट्रिकल्स लिमिटेड, नई दिल्ली के समेकित वित्तीय विवरण (Consolidated Financial Statement) पर कम्पनी अधिनियम 2013 की धारा 143(6)(b) एवं धारा 129(4) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियाँ।

महोदय,

मैं भारत हेवी इलेक्ट्रिकल्स लिमिटेड, नई दिल्ली के 31 मार्च 2025 को समाप्त वर्ष के समेकित वित्तीय विवरण (Consolidated Financial Statement) पर कम्पनी अधिनियम 2013 की धारा 143(6)(b) एवं धारा 129(4) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियाँ अग्रेषित कर रही हूँ। कृपया इस पत्र की संलग्नकों सहित प्राप्ति की पावती भेजी जाए।

भवदीया,

संलग्नक:- यथोपरि।

तनुजा मित्तल
(तनुजा मित्तल)
महानिदेशक (ऊर्जा)

COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) READ WITH SECTION 129(4) OF THE COMPANIES ACT, 2013 ON THE CONSOLIDATED FINANCIAL STATEMENTS OF BHARAT HEAVY ELECTRICALS LIMITED FOR THE YEAR ENDED 31 MARCH 2025

The preparation of consolidated financial statements of Bharat Heavy Electricals Limited for the year ended 31 March 2025 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditors appointed by the Comptroller and Auditor General of India under section 139 (5) read with section 129 (4) of the Act are responsible for expressing opinion on the financial statements under section 143 read with section 129 (4) of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 16 May 2025.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the consolidated financial statements of Bharat Heavy Electricals Limited for the year ended 31 March 2025 under Section 143(6)(a) read with section 129(4) of the Act. We conducted a supplementary audit of the financial statements of Bharat Heavy Electricals Limited and Bharat Coal Gasification and Chemicals Limited but did not conduct supplementary audit of the financial statements of NTPC-BHEL Power Projects Private Limited and Raichur Power Corporation Limited for the year ended on that date. Further, Section 139(5) and 143(6)(a) of the Act are not applicable to BHEL-GE Gas Turbine Services Private Limited, being private entity, for appointment of their Statutory Auditor(s) and for conduct of supplementary audit. Accordingly, Comptroller & Auditor General of India has neither appointed the Statutory Auditor(s) nor conducted the supplementary audit of this company. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under section 143(6)(b) of the Act.

For and on behalf of the
Comptroller & Auditor General of India

Tanuja Mittal

(Tanuja Mittal)

Director General of Audit (Energy)

Place: New Delhi

Date: 23/07/2025

Consolidated Balance sheet

as at March 31, 2025

(₹ in Crore)

Particulars	Note	Page	As at March 31, 2025		As at March 31, 2024	
A. ASSETS						
1. Non-current assets						
(a) Property, plant and equipment	3a	277	2862.46		2510.69	
(b) Capital work-in-progress	3b	277	161.70		282.32	
(c) Investment Property	3c	278	0.45			
(d) Intangible assets	4a	281	84.27		63.35	
(e) Intangible assets under development	4b	282	33.73		26.04	
(f) Investment accounted for using equity method	5	283	275.57		254.48	
(g) Financial assets			275.57			
(i) Investments	5a	284	0.00		1.19	
(ii) Trade receivables	6	285	3046.58		3224.69	
(iii) Other financial assets	7	287	715.95		206.10	
(h) Deferred tax assets (net of liabilities)	8	287	4067.72		4201.26	
(i) Other non-current assets	9	288	14074.98		13689.69	
Total non-current assets			25323.41		24459.81	
2. Current assets						
(a) Inventories	10	289	9869.49		7220.57	
(b) Financial assets						
(i) Trade receivables	6	285	5884.35		4785.38	
(ii) Cash and cash equivalents	11	290	439.21		1835.04	
(iii) Bank balances other than cash and cash equivalents	12	290	7173.20		4322.43	
(iv) Other financial assets	7	287	300.76		11182.67	
(c) Current tax assets (net)	13	290	137.37		229.07	
(d) Other current assets	9	288	18955.39		15909.80	
Total current assets			42759.77		34542.11	
TOTAL ASSETS			68083.18		59001.92	
B. EQUITY AND LIABILITIES						
3. Equity						
(a) Equity share capital	14	291	696.41		696.41	
(b) Other equity	15	291	24025.75		23742.24	
Total Equity			24722.16		24438.65	
4. Liabilities						
4.1 Non-current liabilities						
(a) Financial liabilities						
(i) Lease Liabilities	16	292	162.39		23.55	
(ii) Trade payables	17	292				
(i) Total outstanding dues of micro enterprises and small enterprises			-		-	
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises			2170.79		2292.76	
(iii) Other financial liabilities	18	294	422.79		2724.18	

Consolidated Balance sheet

as at March 31, 2025

(₹ in Crore)

Particulars	Note	Page	As at March 31, 2025		As at March 31, 2024	
(b) Provisions	19	294	2585.56		2489.08	
(c) Other non-current liabilities	20	294	9793.90		4102.77	
Total non-current liabilities			15135.43		9316.03	
4.2. Current liabilities						
(a) Financial liabilities						
(i) Borrowings	21	295	8795.00		8808.00	
(ia) Lease Liabilities	16	292	57.21		24.91	
(ii) Trade payables	17	292				
(i) Total outstanding dues of micro enterprises and small enterprises			1430.24		1000.59	
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises			8110.68		7538.79	
(iii) Other financial liabilities	18	294	1240.52	19633.65	1493.32	18865.61
(b) Provisions	19	294	1815.31		2318.27	
(c) Other current liabilities	20	294	6776.63		4063.36	
Total current liabilities			28225.59		25247.24	
Total liabilities			43361.02		34563.27	
TOTAL EQUITY AND LIABILITIES			68083.18		59001.92	

Basis of preparation, measurement and material accounting policies

2

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The accompanying notes [1 - 55] are an integral part of these financial statements

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



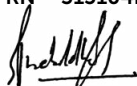
(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

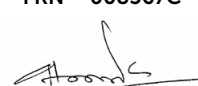
As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Consolidated Statement of Profit and Loss

For the year ended March 31, 2025

(₹ in Crore)

Particulars	Note	Page	For the year ended March 31, 2025	For the year ended March 31, 2024
INCOME				
Revenue from operations	22	296	28339.48	23892.78
Other income	23	296	465.31	546.27
TOTAL INCOME			28804.79	24439.05
EXPENSES				
Cost of raw materials consumed			8207.65	6116.27
Purchases of Bought out items			6757.99	5868.46
Civil, erection and engineering expenses			4989.22	4908.84
Consumption of stores & spares			432.61	350.28
Changes in inventories of finished goods, work in progress and Scrap	24	297	(1542.32)	(436.74)
Employee benefits expense	25	297	5923.42	5628.84
Other Expenses	26	298	2329.34	844.23
Finance costs	27	299	748.33	731.29
Depreciation & amortisation expense	3.1 3.2 4.1	279 281 282	271.96	248.90
TOTAL EXPENSES			28118.20	24260.37
Profit / (loss) before share of net profits / loss of investments accounted for using equity method and tax			686.59	178.68
Share of net profit / (loss) of joint venture accounted for using equity method			59.01	63.98
PROFIT BEFORE TAX			745.60	242.66
Tax expenses	28	299		
a) Current tax			23.16	(112.56)
b) Deferred tax			188.54	211.70
				73.00
PROFIT FOR THE YEAR (A)			533.90	282.22
OTHER COMPREHENSIVE INCOME	29	300		
Items that will not be reclassified to profit or loss (net of tax)				
-Remeasurement of defined employee benefits			(163.50)	(82.41)
-Share of OCI of JV accounted using equity method			0.16	(0.14)
OTHER COMPREHENSIVE INCOME FOR THE YEAR (B)			(163.34)	(82.55)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR (A+B)			370.56	199.67
Attributable to:				
Equity holders of the parent			370.56	199.67
Non Controlling interest				
TOTAL			370.56	199.67
TOTAL OTHER COMPREHENSIVE INCOME FOR THE YEAR				
Attributable to:				
Equity holders of the parent			(163.34)	(82.55)
Non Controlling interest				
TOTAL			(163.34)	(82.55)

Consolidated Statement of Profit and Loss

For the year ended March 31, 2025

(₹ in Crore)

Particulars	Note	Page	For the year ended March 31, 2025	For the year ended March 31, 2024
TOTAL PROFIT FOR THE YEAR				
Attributable to:				
Equity holders of the parent			533.90	282.22
Non Controlling interest				
TOTAL			533.90	282.22
Earnings per equity share	30	300		
(1) Basic [Face value of ₹2 each]			1.53	0.81
(2) Diluted [Face value of ₹2 each]			1.53	0.81

Basis of preparation, measurement and material accounting policies

2

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The accompanying notes [1 - 55] are an integral part of these financial statements

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi

Date : 16th May, 2025

Consolidated Statement of Changes in Equity

For the year ended March 31, 2025

A. Equity Share Capital

(₹ in Crore)

Equity shares of ₹ 2 each issued, subscribed and fully paid	Number of shares		Amount	
	2024-25	2023-24	2024-25	2023-24
Balance at the beginning of the year	3482063355	3482063355	696.41	696.41
Changes in equity share capital during the year	-	-	-	-
Balance at the end of the year	3482063355	3482063355	696.41	696.41

B. Other equity

For the year ended March 31, 2025

(₹ in Crore)

Description	Reserves and surplus				Other items of other comprehensive income	Total other Equity*	Non controlling interest
	Capital Reserves	Capital Redemption Reserves	General Reserves	Retained Earnings			
Balance as at April 01, 2024	35.18	37.87	30476.66	(6390.15)	(417.32)	23742.24	-
Changes in accounting policy or prior period errors	-	-	-	-	-	-	-
Reinstated balance as at April 01, 2024	35.18	37.87	30476.66	(6390.15)	(417.32)	23742.24	-
Add: Total comprehensive Income for the year	-	-	-	533.90	(163.34)	370.56	-
Less: Final dividend	-	-	-	(87.05)	-	(87.05)	-
Balance as at March 31, 2025	35.18	37.87	30476.66	(5943.29)	(580.65)	24025.75	-

* Total other equity represents owners of the parent

Consolidated Statement of Changes in Equity

For the year ended March 31, 2025

For the year ended March 31, 2024

(₹ in Crore)

Description	Reserves and surplus				Other items of other comprehensive income	Total other Equity *	Non controlling interest
	Capital Reserves	Capital Redemption Reserves	General Reserves	Retained Earnings			
Balance as at April 01, 2023	35.18	37.87	30476.66	(6533.10)	(334.76)	23681.85	-
Changes in Accounting Policy or prior period errors	-	-	-	-	-	-	-
Reinstated balance as at April 01, 2023	35.18	37.87	30476.66	(6533.10)	(334.76)	23681.85	-
Add: Total Comprehensive Income for the year	-	-	-	282	(82.55)	199.67	-
Less: Final dividend	-	-	-	(139.28)	-	(139.28)	-
Balance as at March 31, 2024	35.18	37.87	30476.66	(6390.15)	(417.32)	23742.24	-

* Total other equity represents owners of the parent

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
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(K Sadashiv Murthy)
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For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Consolidated Statement of Cash Flows

For the year ended March 31, 2025

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
A. CASH FLOW FROM OPERATING ACTIVITIES		
Profit /(Loss) before tax	745.60	242.66
Adjustments for :		
Provision and write off	(879.13)	(1188.18)
Depreciation and amortisation	271.96	248.90
Finance cost (including unwinding of interest)	748.33	731.29
Interest & dividend income	(402.63)	(493.78)
Share of loss /(profit) in joint venture	(59.01)	(63.98)
Unrealised Foreign Exchange loss/(gain)	(16.97)	56.03
Amortisation of Government Grant	(8.99)	(15.62)
Others include profit on sale of investment & PPE and Impairment of Investment	(18.03)	(7.78)
Cash generated / (used) in operations before working capital changes	381.13	(490.46)
Adjustment for changes in working capital:		
Trade Receivables	(1002.80)	(2469.24)
Contract Assets	(1960.76)	(13.70)
Inventories	(2632.53)	(503.04)
Loans, advances & other assets	(1448.62)	(737.22)
Sub total	(7044.71)	(3723.20)
Trade payable	846.94	(1119.43)
Advances from customers, deposits and others	7927.25	1398.02
Sub total	8774.19	278.59
Net cash (used in) / from working capital	1729.48	(3444.61)
Cash generated / (used) in operations	2110.60	(3935.07)
Income Tax paid	(154.41)	(158.48)
Refund of income taxes	235.70	380.65
Net cash (used in) / from operating activities	2191.89	(3712.90)
B. CASH FLOW FROM INVESTING ACTIVITIES		
Redemption / maturity of bank deposits (having original maturity of more than 3 months)	(2878.41)	1112.69
Interest received	371.74	399.30
Sale proceeds from Investment	5.76	0.80
Dividend received from joint ventures	38.08	41.65
Sale of Property, Plant and Equipment & Intangible Assets	13.46	8.92
Purchase of Property, Plant and Equipment & Intangible Assets	(281.54)	(232.50)
Net cash (used in) / from investing activities	(2730.91)	1330.86

Consolidated Statement of Cash Flows

For the year ended March 31, 2025

(₹ in Crore)

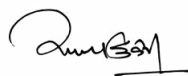
Particulars	For the year ended March 31, 2025	For the year ended March 31, 2023
C. CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from short term borrowings	(13.00)	3423.00
Proceeds / (repayment) of lease obligation (Principal)	(62.60)	(34.32)
Proceeds / (repayment) of lease obligation (Interest)	7.24	(4.73)
Dividend paid	(87.44)	(139.45)
Interest paid	(701.01)	(588.76)
Net cash (used in) / from financing activities (refer point 4)	(856.81)	2655.74
D. Net increase/(decrease) in cash and cash equivalents	(1395.83)	273.70
Opening balance of cash and cash equivalents (excluding cash credit of subsidiary)	1835.04	1561.34
Closing balance of cash and cash equivalents [Refer Note 11]	439.21	1835.04

- (1) Statement of cash flow has been prepared under the indirect method as set out in the Ind AS 7 - Statement of Cash flow.
- (2) Previous year's figures have been regrouped/reclassified wherever applicable
- (3) Closing balance of Cash & Cash Equivalents includes exchange variation loss of ₹ Nil (Previous year ₹ Nil).
- (4) Changes in liabilities arising from financing activities are available at Note [21(vi)] and Note [37](b)
- (5) During the year the company has accounted for income tax refund amounting to ₹235.70 Cr, including interest income of ₹12.69 Cr.

For and on behalf of Board of Directors



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Company Secretary
M. No. F 7463



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FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025

Notes to the Consolidated Financial Statements for the year ended March 31, 2025

Note [1] – Company Information

Bharat Heavy Electricals Limited ("BHEL or "the Company") is a public limited company domiciled in India and has its registered office at BHEL House, Siri Fort, New Delhi -110049

The Company is an integrated power plant equipment manufacturer and is engaged in design, engineering, manufacture, construction, testing, commissioning and servicing of a wide range of products and services for the core sectors of the economy, viz. Power, Transmission, Industry, Transportation, Renewable Energy, Water, Oil & Gas and Defence & Aerospace.

Note [2] - Material Accounting Policies (Consolidated Financial Statements)

1. Basis of preparation of Financial Statements

a) Statement of Compliance:

The financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as notified by Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015 and subsequent amendments thereof as well as with the additional requirements applicable to financial statements as set forth in Companies Act, 2013 and amended thereof.

b) Basis of measurement

The financial statements have been prepared on a going concern basis and on an accrual method of accounting. Historical cost is used in preparation of the financial statements except as otherwise mentioned in the policy.

c) Functional and presentation currency

The financial statements are prepared in INR, which is the Company's functional currency.

d) Use of Estimates and Judgments

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Critical estimates and judgements in applying accounting policies

Estimates and judgements made in applying accounting

policies that have significant effect on the amounts recognized in the financial statements are as follows:

i) Revenue

The Company uses input method based on cost approach in accounting for the revenue in respect of construction contracts. Use of input method requires the Company to estimate its costs relative to the total expected costs in the satisfaction of its performance obligation. The estimates are assessed continually during the term of the contract and the company re-measures its progress towards complete satisfaction of its performance obligations satisfied over time at the end of each reporting period.

Company updates its estimated transaction price at each reporting period, to represent faithfully the circumstances present at the end of the reporting period and the changes in circumstances during the reporting period.

ii) Property, plant and equipment

The charge in respect of periodic depreciation is derived after estimating the asset's expected useful life and the expected residual value at the end of its life. The depreciation method, useful lives and residual values of Company's assets are estimated by management at the time the asset is acquired and reviewed during each financial year.

iii) Employee Benefit Plans

Employee defined benefit plans and long term benefit plans are measured on the basis of actuarial assumptions. However, any changes in these assumptions may have impact on the reported amount of obligation and expenses.

iv) Provisions and contingencies

Assessments undertaken in recognising provisions and contingencies have been made as per the best judgement of the management based on the current available information.

2. Property, Plant & Equipment (PPE)

Property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the plant and equipment and borrowing costs on Eligible Assets if the recognition criteria are met.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its

cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred.

Significant components with different useful lives are accounted for and depreciated separately.

Depreciation on property, plant and equipment (other than those used abroad under contract) is charged on straight-line method as per the useful life prescribed in Schedule II of the Companies Act, 2013, except in the following items where estimated useful life is based on technically assessed estimated useful life:

Assets Category	(Years)
Plant & equipment	15-30
Buildings	5-60
Electricals installations & equipment	10-30
Erection equipment, Capital tools & tackles	5
Drainage, sewerage & water supply	30
Servers and networks	5
Solar Power Generation Plant	25

Depreciation methods, useful lives and residual values are reviewed in each financial year and changes, if any, are accounted for prospectively.

Property, Plant & Equipment costing ₹10,000/- or less and those whose written down value as at the beginning of the year is ₹10,000/- or less, are depreciated fully.

At erection / project sites: The cost of roads, bridges and culverts is fully amortized over the tenure of the contract, while sheds, railway sidings, electrical installations and other similar enabling works (other than temporary structures) are depreciated over the tenure of the contract after retaining residual value, if any.

Assets used outside India pursuant to long term contracts are depreciated over the duration of the initial contract.

Temporary structures are fully depreciated in the year of construction.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss when the asset is derecognised.

In the case of BHEL-GE Gas Turbine Services Pvt. Ltd.

Depreciation is provided on the straight line method over the estimated useful life of the assets, which are equal/ lower than the rates prescribed under Schedule II of the Companies Act, 2013. In order to reflect the actual usage

of assets, the estimated useful lives of the assets is based on a technical evaluation.

Assets category	Estimated useful life (Years)
Plant and machinery	2-25
Electrical installations	2-10
Furniture and fixtures	3-10
Computers	2-5
Office equipment	2-10

The right-of-use asset is depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

In the case of Raichur Power Corporation Limited

Depreciation is provided on straight line method at the rates specified in the CERC/KERC Regulation 2009.

Assets are depreciated to the extent of 90% of the cost and 10% is retained as residual value.

Depreciation on additions to assets is provided on a pro-rata basis i.e. from / (up to) the date of the assets are available for its intended use (disposed off). Individual assets costing up to ₹5000 are fully depreciated in the year in which they are put to use.

In the case of NTPC-BHEL Power Projects Pvt. Ltd.

Depreciation on Property, Plant and Equipment is charged on straight line method as per the useful life prescribed in Schedule-II of the Companies Act, 2013.

3. Leases

At the inception of an arrangement, the Company determines whether such an arrangement is or contains a lease.

a. Right-of-use assets

Right-of-use assets are amortised over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

b. Lease liabilities

Upon initial recognition, assets taken on lease are capitalized under right-of-use assets at cost which comprises initial measurement of lease liability at present value, initial lease payments less incentives, initial direct costs and estimated cost of dismantling and removing the underlying assets, if any.

Lease payments made under leases are apportioned

between the finance expense and the reduction of the outstanding lease liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

c. Short term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

- d. For Assets given on finance lease, the Company recognizes finance income over the lease term using effective interest rate method. Initial direct costs incurred are included in the initial measurement of the finance lease receivable and reduce the amount of income recognized over the lease term.

Lease income arising from operating lease is recognized as income over the lease period on a straight-line basis except where the periodic increase in lease rentals is in line with expected general inflation.

4. Intangible assets

Intangible items costing more than ₹10000/- are evaluated for capitalization and are carried at cost less accumulated amortization and accumulated impairment, if any.

Intangible assets are amortised in Statement of Profit and Loss on a straight-line method over the estimated useful lives from the date that they are available for use. The estimated useful lives for the intangible assets are as follows:

Software	3 years
Others	10 years

Intangible assets having WDV ₹10000/- or less at the beginning of the year are amortized fully.

Amortization period and amortization methods are reviewed in each financial year and changes, if any, are accounted for prospectively.

Research and development expenditure

Expenditure on research activities is recognized in statement of profit and loss as incurred. Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the company intends to and has sufficient resources to complete development

and to use or sell the asset. The expenditure capitalized includes the cost of materials, direct labour, overhead costs that are directly attributable to preparing the asset for its intended use, and borrowing costs, if any.

Assets acquired for purposes of research and development are capitalized.

5. Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, are added to the cost of such assets.

An asset that necessarily takes a substantial period of time, considered as more than twelve months, to get ready for its intended use or sale is a qualifying asset for the purpose.

All other borrowing costs are recognized in the statement of profit and loss in the period in which they are incurred.

6. Inventories

Inventory is valued at cost or net realizable value, whichever is lower. In respect of valuation of finished goods and work-in-progress, cost means factory cost. In respect of raw material, components, loose tools, stores and spares cost means weighted average cost.

7. Revenue from contracts with customers

Revenue from contract with customers is recognized when a performance obligation is satisfied by transfer of promised goods or services to a customer.

For performance obligation satisfied over time, the revenue recognition is done by measuring the progress towards complete satisfaction of performance obligation. The progress is measured in terms of a proportion of actual cost incurred to-date, to the total estimated cost attributable to the performance obligation, i.e input method.

The Company transfers control of a good or service over time and therefore satisfies a performance obligation and recognises revenue over a period of time if one of the following criteria is met:

- the customer simultaneously consumes the benefit of the Company's performance or
- the customer controls the asset as it is being created/enhanced by the Company's performance or
- there is no alternative use of the asset and the Company has either explicit or implicit right of payment considering legal precedents,

In all other cases, performance obligation is considered as satisfied at a point in time.

The revenue is recognised to the extent of transaction price allocated to the performance obligation satisfied. Transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring goods or services to a customer excluding amounts collected on behalf of a third party.

Other Income

Dividend income is recognized in statement of profit and loss on the date on which the Company's right to receive payment is established.

Interest Income is recognized using effective interest rate method.

Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted for on accrual basis.

In the case of BHEL-GE Gas Turbine Services Pvt. Ltd.

Sales of Parts

Revenue from sale of gas turbine parts in the course of ordinary activities is measured at fair value of the consideration received or receivable, net of sales tax and sales return. Revenue is recognized upon transfer of control of promised products or services to customers in an amount that reflects the consideration we expect to receive in exchange for those products or services.

Engineering services

Revenue from fixed-price, fixed-timeframe engineering and supply contracts, where the performance obligations are satisfied over time and where there is no uncertainty as to measurement or collectability of consideration, is recognized as per the percentage-of-completion method.

Repair services

In case of repair services, revenue is recognized as per the terms of the contract with customer. Sale of replacement parts supplied under repair service contract is recognized upon transfer of significant risk and rewards of ownership to the customer and is net of sales tax and sales returns.

In the case of Raichur Power Corporation Ltd. (RPCL)

Income from contractors arising out of interest on works advance given to contractors is accounted on realization / acceptance basis.

Revenue from Sale of infirm energy and other miscellaneous receipts is accounted by reducing the same against the Capital Cost as per CERC/KERC guidelines.

Revenue from Sale of energy is recognised as per the guidelines in the CERC / KERC (Terms and conditions for determination of Generation tariff) Regulations 2014.

8. Foreign currency Translation/Transaction

Transaction in foreign currencies are **initially** recorded at the exchange rate prevailing on the date of the transaction first qualifies for recognition.

Foreign currency denominated monetary assets and liabilities are translated into the functional currency at exchange rates in effect at the end of each reporting period. Foreign exchange gains or losses arising from settlement and translations are recognized in the statement of profit and loss.

Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevailing at the date of transaction.

9. Employee Benefits

Defined contribution plans

The Company's contribution to Pension fund including Family Pension Fund for the employees is covered under defined contribution plan and is recognized as employee benefit expense in statement of profit and loss in the periods during which services are rendered by employees.

Defined benefit plans

The Company's gratuity scheme, provident fund scheme, travel claims on retirement and post-retirement medical facility scheme are in the nature of defined benefit plans.

The liability recognized in the balance sheet in respect of these defined benefit plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets, if any. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using an appropriate government bond rate that have terms to maturity approximating to the terms of the related liability.

Remeasurements comprising actuarial gains and losses as well as the difference between the return on plan assets and the amounts included in net interest on the net defined benefits liability (asset) are recognized in other comprehensive income (net of income tax).

Other expenses related to defined benefit plans are recognized in statement of profit and loss.

Long term Leave Liability

The Company measures the expected cost of accumulating compensated absences as the additional amount expected to be paid as a result of the unused entitlement that has accumulated at the end of the reporting period. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur. The Company records

a liability for accumulated balance based on actuarial valuation determined using projected unit credit method. Remeasurements and other expenses related to long term benefit plans are recognized in statement of profit and loss.

10. Provisions and Contingent liabilities

Provisions

- (i) Claims for liquidated damages against the Company are recognized in the financial statements based on the management's assessment of the probable outcome with reference to the available information supplemented by experience of similar transactions.
- (ii) The Company provides for anticipated costs for warranties when it recognizes revenues on the related products or contracts and maintain the same throughout the warranty period. The provision is based on historical experience / technical assessment.
- (iii) When it is probable that total contract costs will exceed total contract revenue, the expected loss is recognised immediately.
- (iv) Other provisions are recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

However, where the effect of time value of money is material, provisions are determined and maintained by discounting the expected future cash flows, wherever applicable.

Contingent liabilities

Contingent liabilities are possible obligations that arise from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company. Where there is present obligation arising from the past event but it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote (where no disclosure is required). Contingent liabilities are disclosed on the basis of judgment of the management/ independent experts. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate.

11. Government Grants

Government grants are recognized only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received.

In case of depreciable assets, the cost of the assets is shown at gross value and grant thereon is taken to deferred income which is recognized as income in the Statement of Profit and Loss over the useful life of the asset.

Where the Company receives non-monetary grants, the asset and the grant are accounted for at fair value of assets and are treated as deferred income. Deferred income is recognized in the statement of profit and loss on a systematic and rational basis over the useful life of the asset.

Government grants related to revenue are recognized on a systematic basis in the statement of profit and loss over the periods necessary to match them with the related costs which they are intended to compensate.

12. Income Taxes

Income tax expense comprises current tax and deferred tax.

Current income tax

Income tax expense is recognized in statement of profit and loss except to the extent that it relates to items recognized in other comprehensive income or directly in equity.

Current tax is the expected tax payable on the taxable income for the year, using tax rates (tax laws) enacted or substantively enacted by the end of the reporting period and includes adjustment on account of tax in respect of previous years.

Deferred tax

Deferred tax is recognized using the balance sheet method, providing for temporary difference between the carrying amount of an asset or liability for financial reporting purpose at the reporting date and its tax base.

Deferred tax is measured at the tax rates that are expected to apply when the temporary differences are either realised or settled, based on the laws that have been enacted or substantively enacted by the end of reporting period.

A deferred tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the temporary difference can be utilized.

The carrying amount of Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

13. Impairment of Assets

Impairment of financial assets

The loss allowance in respect of trade receivables,

contract assets and lease receivables are measured at an amount equal to lifetime expected credit losses.

The loss allowance in respect of all other financial assets, which are required to be impaired, are measured at an amount equal to lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition. However, if, at the reporting date, the credit risk on a financial instrument has not increased significantly since initial recognition, the loss allowance is measured at an amount equal to 12-month expected credit losses.

Impairment of Non- Financial Assets

The carrying amount of cash generating units is reviewed at each reporting date where there is any indication of impairment. An impairment loss is recognized in the statement of profit and loss where the carrying amount exceeds the recoverable amount of the cash generating units.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

14. Segment Reporting

Revenue and expenses are identified to segments on the basis of their relationship to the operating activities of the segment. Revenue, expenses, assets and liabilities which are not allocable to segments on a reasonable basis, are included under "Unallocated revenue/ expenses/ assets/ liabilities".

15. Non-derivative financial instruments

Non-derivative financial instruments are classified as :-

- Financial assets, measured at (a) amortized cost and (b) fair value through Profit and Loss ("FVTPL").
- Financial liabilities carried at amortized cost.

Initially, all financial instruments are recognized at their fair value. Transaction costs are included in determining the carrying amount, if the financial instruments are not measured at FVTPL. Financial assets are derecognized when substantial risks and rewards of ownership of the financial asset have been transferred. In cases where substantial risks and rewards of ownership of the financial assets are neither transferred nor retained, financial assets are derecognized only when the Company has not retained control over the financial asset. Financial

liabilities are derecognized when contractual obligations are discharged or cancelled or expired.

Non-derivative financial assets are subsequently measured as below:

A. Amortized cost –

"Financial Instruments at amortized cost" are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the statement of profit and loss. The losses arising from impairment are recognized in the statement of profit and loss.

B. FVTPL Category –

Financial instruments classified in this category are subsequently carried at fair value with changes recorded in the statement of profit and loss. Directly attributable transaction costs are recognised in statement of profit and loss as incurred.

Non-derivative financial liabilities are subsequently measured as below:

Subsequent to initial recognition, non-derivative financial liabilities are measured at amortised cost using the effective interest method.

16. Cash and Cash Equivalents

Cash and cash equivalents comprise cash at bank and on hand. It includes term deposits and other short-term money market deposits with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

17. Dividend

The Company recognises a liability to pay dividend to equity shareholders when the distribution is authorised, and the distribution is no longer at the discretion of the Company. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity.

18. Earnings per share

Basic earnings per equity share is computed by dividing the net profit attributable to the equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. Diluted earnings per share is computed by dividing the net profit attributable to the equity shareholders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the

weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares.

19. Investment Property

Investment properties are properties (land or building or part of building or both) held to earn rental income and/or for capital appreciation. It does not include property held for use in the production or supply of goods or services or for administrative purposes, nor it includes property held for sale in the ordinary course of business.

These are initially measured at cost, including related transaction costs and, where applicable, borrowing costs as per accounting standards. After initial recognition, investment properties are carried at cost less accumulated depreciation and accumulated impairment losses, if any. Though measured at cost, the fair value of investment properties is disclosed in the notes to the financial statements, based on a valuation by an independent qualified valuer. Subsequent expenditure is capitalized if it is probable that future economic benefits will flow to the company and the cost of the expenditure can be reliably measured. Day-to-day repairs and maintenance are expensed off when incurred.

Investment properties are depreciated in accordance to the category of asset that it belongs to and the life of the asset shall be as conceived for the same in line with the policy on PPE.

Properties are transferred to or from investment property only when there is a clear change in use, supported by evidence. Transfers between investment property, and owner-occupied property do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes. An investment property is derecognized upon disposal or when it is permanently withdrawn from use and no future economic benefits are expected from its use or disposal. Any gain or loss arising from derecognition (the difference between net disposal proceeds and carrying amount) is recognized in the Statement of Profit and Loss.

Note [3a] - Non current assets

Property, Plant and Equipment

Refer point 2 of Note [2] for Material accounting policy on Property, Plant and Equipment (PPE)

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	7404.47	6897.00
Less: Accumulated depreciation	4542.01	4386.31
Net block (details refer to Note 3.1)	2862.46	2510.69

The Net block includes ₹304.56 Cr (Previous Year ₹142.17 Cr) in respect of RoU assets.

Company had opted for exemption under IndAS 101, and accordingly carrying value as on 31.03.2015 was considered as deemed cost on IndAS transition date.

Note [3b] - Non current assets

Capital work in progress

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Plant & machinery and other equipments:		
Under Erection/ Fabrication/awaiting erection	87.16	81.86
In transit	24.59	48.86
Construction work-in-progress -Civil	45.37	151.16
Construction stores (including in transit)	4.58	0.44
Total	161.70	282.32

(₹ in Crore)

CWIP Ageing schedule - As at March 31, 2025	Amount in CWIP for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	145.83	0.98	1.30	1.30	149.42
Projects temporarily suspended	-	-	-	12.28	12.28

(₹ in Crore)

CWIP Completion Schedule (CWIP which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2025	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress					
New Building - Noida	0.91	-	-	-	0.91
Electric Overhead Travelling Crane	1.47	-	-	-	1.47
Other Projects less than ₹10 Crore (Total Nos - 12)	1.10	-	-	0.37	1.47
Projects temporarily suspended					
Equipment Fabrication Plant - Bhandara	-	-	-	7.74	7.74
Enabling work -Uppur	-	-	-	2.94	2.94
Other Projects less than ₹1 Crore (Total Nos - 5)	-	-	-	1.60	1.60

(₹ in Crore)

CWIP Ageing schedule - As at March 31, 2024	Amount in CWIP for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	152.55	43.02	14.91	59.28	269.76
Projects temporarily suspended	-	-	0.59	11.97	12.56

(₹ in Crore)

CWIP Completion Schedule (CWIP which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2024	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress					
New Building - Noida	106.62	-	-	-	106.62
Other Projects less than ₹10 Crore (Total Nos - 14)	2.58	0.09	0.48	-	3.15
Projects temporarily suspended					
Equipment Fabrication Plant - Bhandara	-	-	-	7.74	7.74
Enabling work- Uppur			0.59	2.35	2.94
Other Projects less than ₹1 Crore (Total Nos - 4)	0.28	-	-	1.60	1.88

Note [3c] - Non current assets

Investment Property

Refer point 19 of Note [2] for Material accounting policy on Investment Property

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	1.17	-
Less: Accumulated amortisation	0.72	-
Net block (for detail refer to Note 3.2)	0.45	-
Fair value of Investment Property	111.58	N.A.

Note 3.1 - Details of Property, Plant & Equipment

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land - Freehold land (including development expenses)*	27.73	0.00	0.00	27.73	0.00	0.00	0.00	0.00	27.73	27.73
Buildings - Freehold Buildings *	1978.91	157.73	(6.38)	2130.26	763.87	41.61	(5.86)	799.62	1330.64	1215.04
Roads, bridges & culverts	16.29	1.72	0.00	18.01	15.05	0.19	0.00	15.24	2.77	1.24
Drainage, Sewerage & water supply	39.28	5.48	(0.00)	44.76	10.77	1.47	(0.00)	12.24	32.52	28.51
Plant & Equipment	3425.75	154.34	(11.84)	3568.25	2623.14	115.79	(11.57)	2727.36	840.89	802.61
Railway Siding	8.85	0.00	0.00	8.85	6.17	0.41	0.00	6.58	2.27	2.68
Locomotives & Wagons	28.33	0.00	0.00	28.33	20.79	1.26	0.00	22.05	6.28	7.54
Furniture & fixtures	82.00	6.37	(0.78)	87.59	52.17	6.07	(0.63)	57.61	29.98	29.83
Vehicles	16.60	1.43	(0.05)	17.98	12.37	1.03	(0.06)	13.34	4.64	4.24
Office and Other equipments	156.14	12.50	(1.37)	167.27	135.16	7.81	(1.26)	141.71	25.56	20.97
Electronic Data Processing Equipment	174.99	9.43	11.10	195.52	168.02	3.24	11.12	182.38	13.14	6.97
Electrical Installations	311.12	36.35	(0.27)	347.20	197.20	10.51	(0.10)	207.61	139.58	113.91
Construction Equipment	70.97	0.53	(4.65)	66.85	69.53	0.49	(4.66)	65.36	1.49	1.44
Fixed Assets costing upto ₹10,000/-	24.36	3.90	(0.80)	27.46	24.36	3.90	(0.80)	27.46	-	-
Solar power generation	143.74	0.07	0.00	143.81	37.93	5.48	0.00	43.41	100.40	105.81
Right-of-use Assets *	391.97	215.22	(82.60)	524.59	249.80	51.89	(81.65)	220.04	304.56	142.17
TOTAL	6897.02	605.08	(97.66)	7404.47	4386.33	251.13	(95.47)	4542.01	2862.46	2510.69
Previous Year	6620.97	336.53	(60.51)	6897.02	4212.23	233.66	(59.53)	4386.33	2510.69	2408.74

Notes:

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹14411.16 Crore and as at 31.03.2024 ₹13965.56 Crore

Gross Block as at 31.03.2025 includes assets condemned and retired from active use ₹7.24 Crore (Previous year ₹5.04 Crore)

Net Block as at 31.03.2025 includes assets condemned and retired from active use ₹0.12 Crore (Previous year ₹0.12 Crore)

Gross Block excludes cost of assets purchased out of grant received from Govt of India for research as executing agency since the property does not vest with the Company ₹243.50 crore (Previous year ₹242.91 crore)

* Transfer to Investment Property from Land Gross Block ₹ Nil, Building Freehold Gross Block ₹0.53 Crore & Accumulated Depreciation ₹0.51 Crore and Building RoU Gross Block ₹0.64 Crore & Accumulated Depreciation ₹0.19 Crore

There is no impairment loss during the year.

Table 3.1(a): Right-of-use assets includes:

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land (including development expenses)	123.69	0.64	(0.00)	124.33	20.86	3.96	0.00	24.82	99.51	102.83
Buildings*	2.66	0.00	(0.64)	2.02	0.50	0.24	(0.19)	0.55	1.47	2.16
Plant & Equipment	20.91	0.00	(4.61)	16.30	10.34	5.47	(4.61)	11.20	5.10	10.57
Office & other equipment	16.42	1.25	(9.80)	7.87	15.43	0.46	(9.80)	6.09	1.78	0.99
EDP Equipment	203.02	204.66	(66.00)	341.68	187.89	35.99	(66.16)	157.72	183.96	15.13
Vehicle	7.25	0.95	(1.55)	6.65	2.78	1.60	(0.90)	3.48	3.17	4.47
Others	18.02	7.72	0.00	25.74	12.00	4.17	0.00	16.17	9.57	6.02
TOTAL	391.97	215.22	(82.60)	524.59	249.80	51.89	(81.65)	220.03	304.56	142.17
Previous Year	431.97	14.62	(54.63)	391.97	276.71	27.51	(54.43)	249.80	142.17	155.26

* Transfer to Investment Property from Building RoU Gross Block ₹0.64 Crore & Accumulated Depreciation ₹0.19 Crore

Additional disclosure of Note [3.1] details of Property, Plant and Equipment

Particulars			As at March 31, 2025	As at March 31, 2024
1. Land and buildings includes				
a.	i) Acres of land for which formal transfer/lease deed have not been executed	(in acres)	8441.47	8441.47
	Net Block	(₹ in Crore)	63.52	64.24
	ii) Number of flats for which formal transfer/lease deed have not been executed	(in nos)	12	12
	Net Block	(₹ in Crore)	0.92	0.97
	iii) Acres of land for which the cost paid is provisional; [registration charges and stamp duty, (net of provision) would be] accounted for on payment.	(in acres)	480.04	480.04
	Net Block	(₹ in Crore)	59.82	60.54
b.	Acres of land leased to Ministry of Defence, Govt. of India Departments & others	(in acres)	20.47	20.47
c.	Acres of land is under adverse possession/ encroachment.	(in acres)	886.99	947.40
d.	1300.32653 acres (PY 1297.85903 acres) of land pending mutation at Haridwar plant for which legal action is in process. It includes land measuring 934 acres (PY 934 acres) which is in BHEL’s possession but has been wrongly got mutated in the name of SIDCUL Government of Uttarakhand in the year 2004 & 2007 and 2.4675 acres (P.Y. Nil) related to BHEL vs Nakli Ram case which is pending before court.			
e.	Further at Haridwar plant, 8 Acres of land is pending transfer to IOCL /State Government under office memorandum dated 01.12.2003 of Uttarakhand Government.			

(Cost of land of (b to e) mentioned above is not material)

Particulars	As at March 31, 2025	As at March 31, 2024
2. i) Total Area of Land in acres	16690.71	16690.71
ii) Free hold land (Sale Deed) / Possessory Rights/license out of 2(i) in acres	15987.38	15987.38
iii) Leasehold land out of 2(i) in acres	703.33	703.33
3. The company provides 100% depreciation on an item of PPE having cost/opening net block up to ₹10000/- each. The impact of providing 100% depreciation on an item of PPE on profit, without considering the impact of earlier years is as under:		
(₹ in Crore)		

Particulars	As at March 31, 2025	As at March 31, 2024
100% depreciation on PPE upto ₹10,000/- charged off	6.18	4.48
Less: Normal depreciation on above	(1.38)	(1.37)
Excess amount charged to depreciation for the year	4.79	3.11
4. Properties (i) 2 nd Floor office in Chatterjee International Centre, Kolkata (ii) Indora Residential flats, Nagpur – Land & buildings and (iii) Vadodra Township – Land & buildings, having a net block value of ₹1.42 Crore, have been identified for sale under asset monetisation drive, subject to requisite approvals.		

Note 3.2 - Details of Investment Property

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Land - Freehold land (including development expenses)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Buildings	0.00	0.00	1.17	1.17	0.00	0.02	0.70	0.72	0.45	0.00
TOTAL	0.00	(0.00)	1.17	1.17	0.00	0.02	0.70	0.72	0.45	0.00
Previous Year	NA									

Fair value of above investment property ₹111.58 Crore

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹3.72 Crore and as at 31.03.2024 ₹0 Crore

Note [4a] - Non current assets

Intangible assets

Refer point 4 of Note [2] for Material accounting policy on intangible assets

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Gross block	343.70	339.23
Less: Accumulated amortisation	259.43	275.88
Net block (details refer to note 4.1)	84.27	63.35

Company had opted for exemption under IndAS 101, and accordingly carrying value as on 31.03.2015 was considered as deemed cost on IndAS transition date.

Note 4.1 - Details of Intangible Assets

(₹ in Crore)

Description	Gross Block				Depreciation/ Amortization				Net Block	
	Opening Balance as on 01.04.2024	Additions/ Adjustments	Deductions/ Adjustments	Closing Balance as on 31.03.2025	Accumulated Depreciation as at 01.04.2024	Depreciation/ Amortisation for the year	Depreciation Adjustments	Accumulated Depreciation as at 31.03.2025	Net Block as at 31.03.2025	Net Block as at 31.03.2024
Internally Developed										
-Others	75.90	0.00	(37.27)	38.63	71.03	2.11	(37.27)	35.87	2.77	4.87
Other than Internally Developed										
-Software	61.10	12.56	0.00	73.66	55.00	5.43	(0.00)	60.43	13.23	6.10
-Technical Know-how	202.23	29.18	0.00	231.41	149.85	13.29	0.00	163.13	68.28	52.38
TOTAL	339.23	41.74	(37.27)	343.70	275.87	20.83	(37.27)	259.43	84.27	63.35
Previous Year	327.88	11.35	0.00	339.23	260.64	15.24	0.00	275.87	63.35	67.24

Gross Block (as per earlier IGAAP) as at 31.03.2025 ₹594.27 Crore and as at 31.03.2024 ₹606.94 Crore
There is no impairment loss during the year.

Note [4b] - Non current assets Intangible assets under development

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Intangible assets under development	33.73	26.04
Total	33.73	26.04

(₹ in Crore)

Intangible Assets under development ageing schedule - As at March 31, 2025	Amount of Intangible Asset under development for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	7.69	20.04	3.46	2.54	33.73
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development Completion schedule (which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2025	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development ageing schedule - As at March 31, 2024	Amount of Intangible Asset under development for a period of				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	20.03	3.47	-	2.54	26.04
Projects temporarily suspended	-	-	-	-	-

(₹ in Crore)

Intangible Assets under development Completion schedule (which are overdue or has exceeded its cost compared to its original plan) - As at March 31, 2024	To be completed in				
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

Note [5] - Non current assets

Investment accounted for using equity method

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
BHEL GE Gas Turbine Services Private Limited		
Opening net assets	254.48	232.29
Profit / (Loss) for the year	59.01	63.98
Other Comprehensive income	0.16	(0.14)
Less: Dividend paid	38.08	41.65
Closing net assets	275.57	254.48
Bharat Coal Gasification and Chemicals Limited		
Opening net assets	-	-
Investment during the year	0.00	-
Profit / (Loss) for the year	0.00	-
Other Comprehensive income		
Less: Dividend paid		

(i) RPCL (joint venture company) has incurred losses due to which the group has recognised accumulated losses equal to the cost of investment as at March 31, 2019. The group has unrecognised share of losses amounting to ₹1926 Crore as per their unaudited financial statement for the year ended March 31, 2025.

(ii) NBPPL (joint venture company) has incurred losses due to which the group has recognised accumulated losses equal to the cost of investment as at March 31, 2019. The group has unrecognised share of losses amounting to ₹120 Crore as per their unaudited financial statement for the year ended March 31, 2025.

(iii) During the year the Company has made investment of ₹49000 in Joint Venture Bharat Coal Gasification & Chemicals Limited ("BCGCL") (BHEL's share 49% of share capital) incorporated on 21st May, 2024 has been considered in consolidated financial statements on the basis of audited financial statements for the year ended 31.03.2025.

Note [5a] - Non current assets

Financial assets - Investments

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	No. of Shares (Face value in ₹)	Amount	No. of Shares (Face value in ₹)	Amount
I Quoted equity instruments		-		-
II Unquoted equity instruments (fully paid up shares)				
(a) Investment in joint ventures (at cost)				
(i) Powerplant Performance Improvement Ltd.			1999999 (10)	2.00
Less: Provision for impairment		-		2.00
				0.00
(b) Investment in equity instruments fully paid up (at FVTPL)				
(i) AP Gas Power Corporation Ltd.	728960 (10)	0.91	728960 (10)	0.91
Add / (less) Fair Value Adjustment		0.91		0.28
		0.00		1.19
(ii) Engineering Projects (India) Ltd.	1892 (10)	*	1892 (10)	*
Share in Co-operative Societies		#		#
Total		0.00		1.19
*Value of less than ₹1 lakh				
Aggregate amount of unquoted investment		0.91		2.91
Aggregate amount of impairment in value of investments		0.91		1.72

Equity shares held in various employees cooperatives societies, valuing less than ₹1 lakh/-

Information about joint ventures

Particulars	Country of incorporation	As at March 31, 2025	As at March 31, 2024
		Proportion (%) of ownership	
Name of the joint ventures (JVC)			
BHEL-GE Gas Turbine Services Private Limited (BGGTS)	India	One share less than 50%	One share less than 50%
NTPC-BHEL Power Projects Private Limited (NBPPL)		50%	50%
Raichur Power Corporation Limited (RPCL)		22.14%	22.14%
Power Plant Performance Improvement Limited (PPIL)		One share less than 50%	One share less than 50%
Bharat Coal Gasification and Chemicals Limited (BCGCL)		49%	-

- (i) The provision for impairment in value of investment in NTPC-BHEL Power Projects Private Limited has been made to the extent of ₹50.00 crore (upto previous year ₹50.00 crore) based on the net financial position. BHEL Board of Directors in its 566th meeting held on 28th January 2025 approved the annulment of in-principle approval for pursuing the winding up of NBPPL accorded by BHEL Board of Directors in its 494th meeting held on 08.02.2018 and accorded in-principle approval for taking up the implementation of 1x800 MW AUSC Technology based Technology Demonstration Plant (TDP) by NBPPL.
- (ii) M/s Power Plant Performance Improvement Ltd. is still under liquidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Cr in F.Y. 2024-25 against its equity investment of ₹2 Crore in PPIL.
- (iii) Investment in Neelanchal Ispat Nigam Limited (NINL) has been disposed in F.Y. 2022-23 and an amount of ₹26.22 Crores has been received till F.Y. 2023-24. Balance amount of sales consideration for ₹5.76 Crores which is hold against contingent liability is booked as profit on sale of investment in current F.Y. with interest of ₹0.64 Crores and accrued interest of ₹0.28 Crores as per intimation received from Tata Steel Limited (Buyer of NINL) that hold back amount are kept under 3 FDRs on which interest is also accruing and TDS on accrued interest is allocated to BHEL in proportion of BHEL Share in hold amount for F.Y. 2024-25.

Note [6] - Financial assets - Trade receivables

Refer point 13 of Note [2] for Material accounting policy on impairment of financial assets

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Unsecured, considered good	3351.23	6566.49	3601.58	5344.68
Credit impaired (included in allowances for B&D debts)	8474.83	693.22	11682.32	544.70
	11826.06	7259.71	15283.90	5889.38
Less: Allowances for bad and doubtful debts	8779.48	1375.36	12059.21	1104.00
Total Trade Receivables (Net)	3046.58	5884.35	3224.69	4785.38

Simplified approach is followed for impairment of trade receivables, the classification is done in line with Ind AS 109.

Trade receivables includes:

(a) Due from Directors	-	-	-	-
(b) Due from Officers	-	-	-	-

Note (i) : Trade receivables includes overdue amount of ₹211 Cr (USD 25.5 million) from customer STPG (formerly NEC Sudan), stuck on account of civil war, which has been considered good and not provided for as approved by the Board. If the amount was provided for, the impact on 'Profit before tax' is ₹211 cr.

Non current Trade receivable ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	67.22	22.35	272.28	233.90	756.66	-	-	1352.41
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	6.89	16.56	81.34	8.93	1885.10	-	-	1998.82
IV) Disputed Trade receivables - credit Impaired	121.06	120.92	159.70	147.46	7925.69	-	-	8474.83

Current Trade receivable ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	4827.68	577.21	753.85	225.97	181.78	-	-	6,566.49
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
IV) Disputed Trade receivables - credit Impaired	5.60	1.11	4.25	1.96	680.30	-	-	693.22

Non current Trade receivable ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	80.11	202.23	251.34	154.46	1173.65	-	-	1,861.79
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	65.26	37.02	10.28	5.34	1621.89	-	-	1,739.79
IV) Disputed Trade receivables - credit Impaired	173.55	83.73	281.82	305.34	10837.88	-	-	11,682.32

Current Trade receivable ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment					Unbilled Dues	Not Yet due for payment	Total
	Less than 6 months	6 months - 1 year	1-2 Years	2-3 Years	More than 3 years			
I) Undisputed Trade receivables - considered good	4009.53	638.13	387.24	142.68	167.10	-	-	5344.68
II) Undisputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
III) Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
IV) Disputed Trade receivables - credit Impaired	2.72	1.42	9.65	19.58	511.33	-	-	544.70

Note [7] - Financial assets - Others

Refer point 13 of Note [2] for Material accounting policy on impairment of financial assets

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Security deposits				
Deposits with SEBs, port trust & others				
Unsecured, considered good	101.45	91.91	100.83	58.27
Credit impaired	8.02	12.80	3.40	12.93
	109.47	104.71	104.23	71.20
Less: Allowances for bad & doubtful deposits	8.02	12.80	3.40	12.93
	101.45	91.91	100.83	58.27
Fixed deposits against margin money for BG issued	614.50		105.27	
Interest accrued on banks deposits	-	141.00		122.86
Advance to Employees	-	68.29	-	59.00
Less: Allowance for bad and doubtful advances	-	0.44	-	0.31
	-	67.85	-	58.69
Total	715.95	300.76	206.10	239.82
Security Deposits Includes:				
Due from Directors	-	-	-	-
Dues from Officers	-	0.01	-	0.01

Note [8] - Non current assets

Deferred tax assets (net of liabilities)

Refer point 12 of Note [2] for Material accounting policy on income taxes

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Deferred tax assets		
Provisions	2439.70	2614.51
Dues allowed on payment basis	451.21	520.72
On account of taxable loss	1187.80	1012.04
Others	62.43	78.85
Sub Total	4141.14	4226.12
Less : Deferred tax liabilities		
Depreciation (PP&E and Intangible assets)	73.42	24.86
Deferred tax assets (net of liabilities)	4067.72	4201.26

Note [9] - Other Assets

Refer point 13 of Note [2] for Material accounting policy on impairment of financial assets.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contract assets (including unbilled revenue)				
Unsecured, considered good	14483.07	16759.98	14585.00	14342.73
Credit impaired (included in allowances for B&D debts)	3633.32	127.58	3635.34	441.72
	18116.39	16887.56	18220.34	14784.45
Less: Allowances for bad and doubtful debts	4450.81	1109.01	4924.61	1,332.64
Sub Total (A)	13665.58	15778.55	13295.73	13451.81
Security deposits				
Deposits with tax authorities and others				
Unsecured, considered good	53.48	410.71	65.54	337.13
Unsecured, considered doubtful	35.20	69.89	39.88	72.04
	88.68	480.60	105.42	409.17
Less: Provision for bad & doubtful deposits	35.20	69.89	39.88	72.04
Sub Total (B)	53.48	410.71	65.54	337.13
Loans & advances				
Unsecured, considered good				
Advances towards purchases (Vendors & sub - Contractors)	172.56	92.90	128.33	37.55
Input Tax credit receivable	-	1645.96	-	1293.31
Claims recoverable and others	179.28	1027.27	197.79	790.00
Capital advances	4.08	-	2.30	-
Unsecured, considered doubtful				
Advances towards purchases (Vendors & sub - Contractors)	16.23	6.34	11.10	27.92
Input Tax credit receivable	-	6.40	-	7.66
Claims recoverable and others	515.36	205.20	372.60	161.00
Capital advances	0.58	-	-	-
	888.09	2984.07	712.12	2317.44
Less: Provision for bad & doubtful loans & advances	532.17	217.94	383.70	196.58
Sub Total (C)	355.92	2766.13	328.42	2120.86
Total (A+B+C)	14074.98	18955.39	13689.69	15909.80

Note (i) : The debtors as on reporting date includes net dues of ₹208 cr against RVUNL/ Suratgarh 7 & 8 Project (2*660 MW) (More than 3 years from trial operation). Creation of provision is not prudent on the basis of recoverability as customer has issued amendment for delivery extension & confirmed that payment is under process and will remit the amount shortly. Further, Customer has also paid an amount of ₹40 cr on 08.05.2025. If the amount was provided for, the net impact on 'Profit before tax' is ₹168 cr.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
I) Undisputed Contract Assets - considered good	11423.52	16759.98	11592.50	14342.73
II) Undisputed Contract Assets - credit impaired	-	-	-	-
III) Disputed Contract Assets - considered good	3059.55	-	2992.50	-
IV) Disputed Contract Assets - credit Impaired	3633.32	127.58	3635.34	441.72
Total	18116.39	16887.56	18220.34	14784.45
Loan & advances includes:				
(a) Due from Directors	-	-	-	-
(b) Due from Officers	-	-	-	-

Note [10] - Current assets

Inventories

Refer point 6 of Note [2] for Material accounting policy on valuation of inventories.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Raw material & components	3726.37		2866.04	
Material-in-transit	358.87	4085.24	203.29	3069.33
Work-in-progress		5369.49		3917.74
(including items with sub-contractors)				
Finished goods	485.92		414.31	
Inter - division transfers in transit	119.98	605.90	89.18	503.49
Stores & spare parts				
Production	204.17		150.51	
Fuel stores	8.26		5.49	
Miscellaneous	57.22	269.65	58.64	214.64
Other Inventory				
Materials with fabricators/contractors	121.65		105.00	
Loose tools	23.88		19.20	
Scrap (at estimated realisable value)	159.45	304.98	173.33	297.53
		10635.26		8002.73
Less: Provision for non-moving inventory		765.77		782.16
Total		9869.49		7220.57
Note:				
Write down of inventories		48.77		105.78
Less : reversal thereof		65.41		67.41
Net		(16.64)		38.37

Note [11] - Current assets

Financial assets - Cash & cash equivalents

Refer point 16 of Note [2] for Material accounting policy on cash and cash equivalents

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Balances with banks				
EEFC a/c	112.92		284.68	
Fixed Deposits having maturity in 3 months or less	199.00			
Current / cash credit a/c*	121.79	433.71	1547.21	1831.89
Cheques, demand drafts on hand		3.55		3.08
Cash & stamps on hand		0.07		0.07
Remittances in transit		1.88		-
Total		439.21		1835.04

* Includes ₹48.89 Cr for FY 2024-25 and ₹116.18 Cr for FY 2023-24 in escrow account for specified projects.

Note [12] - Current assets

Financial assets - Bank balances

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Fixed deposits having maturity more than 3 months but not more than 12 months		6618.06		3739.65
Fixed deposits against margin money for BG issued		431.45		462.06
Balances with banks (earmarked):				
CG II CEFC A/c & Others	5.76		9.70	
Unclaimed dividend a/c	1.35		1.74	
Non-repatriable a/c	0.66		0.65	
Sale proceeds of fractional shares on bonus issue	-		0.03	
Sanrachna A/c	0.14		0.14	
Fixed Deposit with Court in BHEL A/C	111.08		106.07	
CSR	4.70	123.69	2.39	120.72
Total		7173.20		4322.43
Total Cash and Bank Balances [11 + 12]		7612.41		6157.47

Note [13] - Current assets

Current tax assets / (liabilities) (net)

Refer point 12 of [Note 2] for Material accounting policy on income taxes.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
Advance tax & TDS		149.57		254.20
Less: Provisions for taxation		12.20		25.13
Total		137.37		229.07

Note [14] - Equity Equity share capital

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	No. of Shares (Face value in ₹)	Amount	No. of Shares (Face value in ₹)	Amount
Equity share capital				
Authorised	10000000000	2000.00	10000000000	2000.00
	(2)		(2)	
Issued, subscribed and fully paid up	3482063355	696.41	3482063355	696.41
	(2)		(2)	
a) The reconciliation of the number of equity shares outstanding				
Balance as at the beginning of the year	3482063355	696.41	3482063355	696.41
Add/(Less): Changes during the year	-	-	-	-
Balance as at the end of the year	3482063355	696.41	3482063355	696.41
b) Details of shares held by shareholders holding more than 5% of shares at the end of the year				
President of India (Promoter)	2199650402	63.17%	2199650402	63.17%
Percentage change of Promoter holding during the year		Nil		Nil
Life Insurance Corporation of India	233921477	6.72%	284736920	8.18%
Face value per share in (₹)		2.00		2.00

c) Terms / rights attached to the equity shares

The company has only one class of equity shares having par value of ₹2 per share (previous year ₹2 per share). Each holder of the equity shares is entitled to one vote per share.

Note [15] - Other Equity

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Capital reserve	35.18	35.18
Capital redemption reserve	37.87	37.87
General reserves	30476.66	30476.66
Retained earnings	(5943.29)	(6390.15)
OCI (Re-measurements of defined benefit plans)	(580.65)	(417.32)
Total	24025.77	23742.25

For additions and deduction under each of the above specific heads, SOCIE (Statement of Changes in Equity) may be referred.

Nature and purpose of reserves:

- (a) **Capital reserve:** It represents mainly the excess of net assets taken, over the cost of consideration paid during amalgamation of the then subsidiary company (HPVP) with the BHEL.
- (b) **Capital redemption reserve:** The Company has recognised Capital Redemption Reserve on buy back of equity shares from its general reserve. The amount in capital redemption reserve is equal to nominal amount of equity shares bought back.
- (c) **General reserve:** This represents accumulation of profits retained by Company to meet future (known/unknown) obligations.
- (d) **Retained earnings:** Retained earnings are profits that Company has earned till date, less transfer to general reserve, dividends or other distributions to shareholders.
- (e) **Re-measurement of net defined benefit plans:** Differences between the interest income on plan assets and the return actually achieved, and any changes in the liabilities over the year due to changes in actuarial assumption or experience adjustments within the plans, are recognised in 'Other comprehensive income' and these are subsequently not to be reclassified to the Statement of Profit and Loss.

Note [16] - Financial liabilities - Lease Liabilities

Refer point 3 of Note [2] for Material accounting policy on Leases

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Lease Liabilities	162.39	57.21	23.55	24.91
Total	162.39	57.21	23.55	24.91

Further disclosures available at Note [37] on Leases.

Note [17] - Financial liabilities - Trade payables

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Trade payables				
(i) Total outstanding dues of micro enterprises and small enterprises	-	1430.24	-	1000.59
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises	2170.79	8075.21	2292.76	7502.15
(iii) Acceptances	-	35.47	-	36.64
Total	2170.79	9540.92	2292.76	8539.38

Non current Trade Payable Ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) Other than MSME	-	-	-	-	8.32	1829.59	1837.91
II) Disputed dues - Other than MSME^	-	-	-	14.73	0.09	318.06	332.88

Current Trade Payable Ageing schedule - As at March 31, 2025

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) MSME	0.06	-	-	-	136.37	1289.82	1426.25
II) Others	166.63	8.65	2.73	3.21	1763.13	6154.34	8098.69
III) Disputed dues - MSME	-	-	-	-	-	3.99	3.99
IV) Disputed dues - Others^	-	-	-	-	7.18	4.81	11.99

Non current Trade Payable Ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) Other than MSME	0.01	0.04	0.14	-	7.81	1863.77	1871.77
II) Disputed dues - Other than MSME^	9.24	0.30	0.58	231.73	0.09	179.05	420.99

Current Trade Payable Ageing schedule - As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment				Unbilled Dues	Not Yet due for payment \$	Total
	Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years			
I) MSME	4.01	-	-	-	122.36	873.07	999.44
II) Others	495.55	18.32	15.13	19.48	1781.67	5198.29	7528.44
III) Disputed dues - MSME	-	-	-	-	-	1.15	1.15
IV) Disputed dues - Others^	-	-	-	7.00	-	3.35	10.35

\$ Not yet due represents contractually retained amounts subject to settlement on achievement of milestones.

^Break up of outstanding is given based on contractually due date but these will be paid only if resolution of dispute occurs in their favour.

Note [18] - Financial liabilities - Others

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Deposits from contractors & others	413.11	716.19	397.01	623.50
Liabilities:				
- Employee dues	-	152.41	-	353.32
- Capital Expenditure	9.68	131.02	10.86	114.90
- Others	-	212.24	-	374.89
Unpaid Dividend*	-	1.35	-	1.74
Interest accrued on borrowings	-	27.31	-	24.97
Total	422.79	1240.52	407.87	1493.32

*No amount is due and outstanding to be transferred to Investor Education & Protection Fund at the year end.

Note [19] - Provisions

Refer point 9 & 10 of Note [2] for Material accounting policy on Employee Benefits and Provisions

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contractual obligation	1349.46	422.32	1373.26	448.91
Provision for employee benefits*	1028.48	855.64	903.47	1228.15
Provision others	206.09	534.18	212.35	639.07
Corporate social responsibility	1.53	3.17	-	2.14
Total	2585.56	1815.31	2489.08	2318.27

*Further disclosure available at Note (25) on Employee Benefits.

Note [20] - Other liabilities

Refer point 11 of Note [2] for Material accounting policy on Government grants

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Non Current	Current	Non Current	Current
Contract liabilities (Advances received from customers incl. excess of billing over revenue)	9742.94	5550.73	4063.35	3070.10
Liabilities towards statutory dues	-	1220.75	-	989.83
Deferred income- Govt. grant #	50.96	5.15	39.42	3.43
Total	9793.90	6776.63	4102.77	4063.36

#Govt. grant is received for setting up of solar PV plant, manufacturing of modules and under Common Engineering Facility Centre scheme, Nuclear Pump Test Facility.

Note [21] - Current Financial liabilities - Borrowings

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Secured		
Loans from banks (secured by hypothecation of raw materials, components, work-in-progress, finished goods & stores)	8795.00	8808.00
Sub Total (A)	8795.00	8808.00
Unsecured (B)	-	-
Total borrowings (A+B)	8795.00	8808.00

(i) Details of sanctioned limits

Description	Sanctioned Limit	Utilization As at March 31, 2025		Sanctioned Limit	Utilization As at March 31, 2024	
		Value (Rs./ Cr)	% Utilisation		Value (Rs./ Cr)	% Utilisation
Non Fund Based Limits	70500	52371	74.29%	51000	35096	68.82%
Bank Guarantees#	67000	49122	73.32%	48000	32828	68.39%
Letter of Credit (inc. Buyer's Credit)	3500	3262	93.20%	3000	2268	75.60%
Fund Based Limits	9500	8795	92.58%	9000	8808	97.87%
WCDL		8795			8808	
PCFC		NIL			NIL	
Commercial Paper	5000	NIL		5000.00	NIL	

#Out of above, Bank guarantee of ₹19.84 Cr. was issued on behalf of BCGCL, a joint venture between Coal India Ltd. and Bharat Heavy Electricals Ltd.

*Total Consortium limit (fund based + non fund based) was increased from ₹60000 Cr to ₹80000 Cr w.e.f. 26.03.2025 and is secured by first charge by way of hypothecation of raw materials, components, work in progress, finished goods, stores, trade receivables and other current assets both present and future.

Commercial Papers are in the nature of unsecured short term borrowings.

(ii) Loan from Banks represents WCDL (Working Capital Demand Loan) of ₹8795 Cr. (P.Y. ₹8808 Cr.)

(iii) The company has not been declared wilful defaulter by any Bank / Financial Institution.

(iv) The quarterly returns or statements of current assets filed by the Company with Banks or Financial Institutions are in agreement with Books of accounts.

(v) Corporate Guarantees given for own obligations outstanding as on 31.03.2025 is ₹315 crore (previous year ₹328 crore).

(vi) Changes in Borrowings arising from Financing activities.

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Opening Balance (excl. cash credit)	8808.00	5385.00
Cash Flow during the year	(13.00)	3423.00
Closing Balance (excl. cash credit)	8795.00	8808.00

For changes in lease liability arising from financing activities, refer Note [37](b).

Note [22]

Revenue from operations

Refer point 7 of Note [2] for Material accounting policy on Revenue from contracts with customers

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Revenue from contracts with customers		
Revenue from Construction and Project related activity	18478.11	15888.42
Sale of Product & Other services	8877.06	7032.10
Total (A)	27355.17	22920.52
Other operational income		
Freight & insurance	158.18	163.78
Scrap sales	270.51	249.20
Recoveries from suppliers	228.55	220.12
Liabilities written back	182.94	161.16
Insurance claims	34.67	28.83
Export incentives	4.07	10.20
Others	105.39	138.97
Total (B)	984.31	972.26
Revenue from operations (A + B)	28339.48	23892.78
Revenue from Operations excludes Goods and service tax :	4551.81	3786.00

Note [23]

Other income

Refer point 7 of Note [2] for Material accounting policy on Revenue from contracts with customers

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Interest income		
From banks	374.63	345.35
Others	28.00	148.43
Sub Total (A)	402.63	493.78
Other income		
Profit on sale of Investment	5.76	0.80
Government grants on Solar PV Plant for captive use / CEFC	8.99	15.62
Profit from sale of PPE & capital stores (Net)	13.46	8.92
Others	34.47	27.15
Sub Total (B)	62.68	52.49
Total Other Income (A+B)	465.31	546.27

Note [24]**Changes in inventories of finished goods, work in progress and Scrap
[(Accretion) / Decretion]**

(₹ in Crore)

Particulars	For the year ended March 31, 2025		For the year ended March 31, 2024	
Work -in -progress				
Closing balance	5371.51		3917.74	
Opening balance	3917.74	(1453.77)	3482.75	(434.99)
Finished goods				
Closing balance	485.94		414.31	
Opening balance	414.31	(71.63)	422.57	8.26
Scrap				
Closing balance	159.45		173.33	
Opening balance	173.33	13.88	163.30	(10.03)
Inter-division transfer in transit		(30.80)		0.02
(Accretion) / Decretion		(1542.32)		(436.74)

Note [25]**Employee benefits expense**

Refer point 9 of Note [2] for Material accounting policy on employee benefits

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2025
Salaries, wages, bonus, allowances & other benefits	5029.68	4802.44
Contribution to provident and other funds	493.10	451.80
Staff welfare expenses	292.27	248.10
Contribution to gratuity fund	103.49	120.52
Group insurance	4.88	5.98
Total	5923.42	5628.84

Note [26]

Other Expenses

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Power & fuel	490.64	452.20
Expenditure on other sub contracts	288.10	262.63
Carriage outward	244.24	199.95
Payment to security agencies	165.57	155.22
Repairs & maintenance:		
Buildings	52.70	43.15
Plant & machinery	39.86	34.26
Others	124.79	95.51
Insurance	225.69	139.72
Travelling & conveyance	106.96	105.22
Bank charges	157.75	96.35
R&D expense	11.65	9.95
Hire charges	59.70	55.01
Expenditure on collaborations & royalty	58.35	60.41
Rates & taxes	42.37	25.21
Office expense	30.88	29.83
Expenditure on skill development	15.67	13.49
Legal, audit & certification expense	41.48	55.15
EDP, software & lease line expense	25.94	16.64
Corporate social responsibility	6.72	-
Water charges	20.44	23.39
Expenditure in connection with exports	1.60	14.12
Rent non-residential	3.04	2.59
Entertainment & courtesy expenses	3.24	3.54
Environmental protection	6.08	5.53
Seminar, development and training expense	4.77	4.47
Unrealised loss in investment of equity share	-	1.94
Publicity & public relation expense	2.29	3.08
Miscellaneous expense	76.16	78.01
Exchange variation [Net (gain) / loss]	(135.38)	(105.20)
Provision and Write off (Details at point no v below)	158.04	(1037.14)
Total	2329.34	844.23
Further Details:		
(i) Director's fees	0.12	0.20
(ii) Expenditure on departmental repair & maintenance:		
Plant & machinery	195.91	175.27
Buildings	26.91	28.01
Others	31.33	28.60
(iii) Expenditure on research & development	132.98	126.08
(iv) Expenditure on foreign travel		
No. of tours	193	220
Expenditure	6.81	5.10

(v) Provisions and Write-offs:

Refer Point 10 & 13 of Note [2] for Material accounting policy on Provision and Impairment of assets

(₹ in Crore)

Particulars	For the year ended March 31, 2025		For the year ended March 31, 2024	
Doubtful debts, liquidated damages and loans, advances & deposits				
Created during the year	1880.92		3271.76	
Less: withdrawal during the year	4564.01	(2,683.09)	1819.13	1,452.63
Contractual obligations				
Created during the year	410.04		109.43	
Less: withdrawal during the year	60749	(197.45)	2693.53	(2584.10)
Other Provisions				
Created during the year	197.81		320.56	
Less: withdrawal during the year	310.59	(112.78)	292.40	28.16
Investment written off		1.15		-
Bad debts written off		552.39		19.94
Liquidated damages & contractual charges charged off		2573.11		29.59
Losses written off		24.71		16.64
Total		158.04		(1037.14)

Note [27]

Finance costs

Refer point 5 & 10 of Note [2] for Material accounting policy on Borrowing costs and Provisions

(₹ in Crore)

Particulars	For the year ended March 31, 2025		For the year ended March 31, 2024	
Discount on commercial papers		5.31		8.77
Unwinding of provisions		33.70		121.38
Interest cost:				
Banks / Financial Institutions	667.46		595.05	
On lease obligation	11.28		4.38	
Others	30.51	709.25	1.67	601.10
Other expenses on issuance of Commercial paper		0.07		0.04
Sub - Total		748.33		731.29
Less: Borrowing cost capitalised		-		-
Total		748.33		731.29

Note [28]

Tax expenses

Refer point 12 of Note [2] for Material accounting policy on Income Taxes

(₹ in Crore)

Particulars	For the year ended March 31, 2025		For the year ended March 31, 2024	
Current tax				
For current year	7.69		30.72	
For earlier years	15.47	23.16	(143.28)	(112.56)
Deferred tax				
For current year	195.69		59.69	
For earlier years	(7.15)	188.54	13.31	73.00
Total		211.70		(39.56)

Note [29]

Other comprehensive income / (expenditure)

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Income / (expenditure)		
Re-measurement of defined employee benefits	(218.49)	(110.13)
Less: Income tax related to above items *	(54.99)	(27.72)
Total	(163.50)	(82.41)
* Includes		
Current tax	-	-
Deferred tax	(54.99)	(27.72)

Reconciliation of Income tax expense and accounting profit (TCI) multiplied by income tax rate

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Total Comprehensive Income / (Loss) (TCI) before tax (A)	527.27	132.39
Statutory income tax rate (B)	25.168%	25.168%
Tax expense [C = (AxB)]	132.70	33.32
Difference due to: (D)		
Tax effect of expenses not deductible for tax purposes	30.70	45.44
Difference in tax due to income chargeable to tax at special rate	(0.12)	-
Tax effect on share of JVs Profit / Loss	(14.89)	(16.07)
Change in tax expense - earlier years	8.32	(129.97)
Sub Total (D)	24.01	(100.60)
Net Tax Expense [E = (C+D)]	156.71	(67.28)

Note [30]

Earnings per share

Refer point 18 of Note [2] for Material accounting policy on Earnings per share

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Profit / (loss) attributable to equity shareholders	533.90	282.22
Weighted average number of equity shares	348.21	348.21
Basic and diluted earnings per share of ₹2 each	1.53	0.81

Note [31]

Dividend per share

(₹ in Crore)

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Proposed dividend on equity shares not recognised as liability		
Proposed final dividend of ₹0.50 per share for FY 2024-25 (FY 2023-24 ₹0.25 per share)	174.10	87.05

Proposed dividend on equity shares is subject to the approval of the shareholders of the Company at the Annual General Meeting and not recognised as liability as at the Balance Sheet date.

Note [32]

Notes to Accounts

The Consolidated financial statements relate to Bharat Heavy Electricals Limited (the Company), its interest in Joint venture entities. The Consolidated financial statements have been prepared on the following basis:-

Basis of Accounting

- i) The financial Statements of joint ventures in the consolidation are upto the same reporting date as of the parent company respectively.
- ii) The consolidated financial statements have been prepared in accordance with Ind AS 110 on "Consolidated Financial Statements" and Ind AS-28 "Investment in Associates and Joint Ventures".

Basis of Consolidation

1. The Company's interest in equity-accounted investees' comprise interests in joint venture. A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities. Interests in the joint venture are accounted for using the equity method. They are initially recognized at cost, which includes transaction costs. Subsequent to initial recognitions, the consolidated financials include the Company's share of profit or loss and OCI of equity-accounted investees, until the date on which significant influence or joint control ceases.

When the Group's share of losses of a joint venture exceeds the Group's interest in that joint venture, the Group discontinues recognising its share of further losses. Additional losses are recognized only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the joint venture.

2. The consolidated financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances and are presented to the extent possible.

The Consolidated Financial statements include the results of the following entities:-

Particulars	Principal place of business	Proportion of ownership	
		2024-25	2023-24
Joint Venture Companies			
(accounted for using equity method)			
BHEL-GE Gas Turbine Services Private Limited	India	One share less than 50%	One share less than 50%
NTPC-BHEL Power Projects Private Limited		50%	50%
Raichur Power Corporation Limited		22.14%	22.14%
Bharat Coal Gasification & Chemicals Limited		49%	-

- a) Interest in Joint Ventures in respect of BHEL-GE Gas Turbine Services Ltd., NTPC-BHEL Power Projects Pvt. Ltd, and Raichur Power Corporation Ltd. is considered based on unaudited financial statements for the year ended on 31.03.2025.
- b) Interest in Joint Ventures in respect of Bharat Coal Gasification & Chemicals Ltd. is considered based on audited financial statements for the year ended on 31.03.2025.
- c) Interest in joint Ventures in respect of Power Plant Performance Improvement Ltd. (PPIL) have not been considered in preparation of Consolidated Financial Statements as the company is under liquidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Cr against its equity investment of ₹2 Crore in PPIL in F.Y 2024-25.

Note [33]

Contingent Liabilities and Commitments

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
A. Contingent liabilities		
Claims against the company not acknowledged as debt:		
(a) Sales tax matters	894.45	1243.96
(b) Service tax matters	431.21	700.83
(c) Court & arbitration matters	825.36	883.87
(d) Excise duty matters	84.53	174.03
(e) Customs duty and others	942.71	897.19
(f) Goods & Service Tax	37.47	13.63
(g) Other matters (incl. disputed staff cases)	149.99	105.40
(h) Claim towards Liquidated damages (LD)	2942.39	3926.30
Total	6308.11	7945.21

- (i) In view of various court cases, litigations and claims disputed by the Company, the outflow of resources is not ascertainable at this stage. Generally, contingent liability in respect of court & arbitration cases are shown on award/court judgement and also reviewed on a case to case basis for its reporting in contingent liability.
- (ii) It is not practicable for the Company to estimate the timing of actual cash outflows in respect of items (a) to (g), if any, due to pending resolution of the respective proceedings. However, the chances of cash outflow are contingent.
- (iii) Liquidated damages represents likely claims or amount withheld by customer on account of delay in execution of projects which will be settled after commissioning and trial operation of project based on delay analysis and is being disclosed in line with Ind AS -37.
- (iv) **Movement in contingent liabilities:**

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	7945.21	7306.80
Less: Reduction out of opening balance	2040.18	1308.15
Add: Additions (net) during the year	403.08	1946.55
Balance at the end of the year	6308.11	7945.21

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
B. Commitments		
(a) Estimated amount of contracts, net of advances, remaining to be executed on capital account and not provided for	542.33	298.77
(The above includes related to acquisition of intangible assets)	112.77	59.43
(b) Investment in the Joint Venture entity (NBPPL) for which the company has restrictions for their disposal for five years from the date of incorporation /commercial operation of the project/first unit of the project/completion of first EPC contract, as the case may be. This investment has been fully provided for.	50.00	50.00
(c) BHEL has signed a Joint Venture Agreement with M/s Coal India Ltd. on 28th Feb 2024 for formation of a Joint Venture Company (JVC). As per the JVA, BHEL shall make equity contributions of INR 1732 Crore in the JVC over a period of 4 Years (after pre-construction period of 1 year).	1732.00	1,732.00
(d) In view of the nature of business, being long term construction contracts there may be other commitments for purchase of material etc., which has been considered as normal business process..		

Note [34]

The Company had taken over Amorphous Silicon Solar Cell Plant (ASSCP), Gurgaon on April 1, 1999 from Ministry of New and Renewable Energy (MNRE) on lease for a period of 30 years. The formal lease agreement with the Ministry of New and Renewable Energy (MNRE) is yet to be finalised.

Note [35]

Balance shown under Trade receivables, Trade payables, contractors' advances, deposits and stock / materials lying with sub-contractors/ fabricators are subject to confirmation, reconciliation & consequential adjustment, if any. The Company is in the business of long term construction contracts, bills are raised on the customers as per contract in line with billing schedule approved by the customer and the reconciliation is carried out on ongoing basis & provisions made, wherever considered necessary. Final reconciliation with customer is done on completion of project (Trial Operation and PG Test completed). Trade Receivable of Completed Projects stand at ₹6051 Crore (Previous Year ₹7906 Crore). Out of completed contracts, the projects reconciled with customers have outstanding trade receivables of ₹4278 Crore (previous year ₹4943 Crore).

Note [36]

Jointly Controlled Entities

A. Summarized financial information of the joint venture, based on its Ind-AS financial statements, and reconciliation with the carrying amount of the investment in financial statements are set out below:

(₹ in Crore)

Name of the joint ventures (accounted for at equity method)	Principal place of business	Proportion of ownership		Carrying Amount	
		As at March 31		As at March 31	
		2025	2024	2025	2024
BHEL-GE Gas Turbine Services Private Limited (BGGTS)	India	One share less than 50%	One share less than 50%	2.38	2.38
NTPC-BHEL Power Projects Private Limited (NBPPL)		50.00%	50.00%	-	-
Raichur Power Corporation Limited (RPCL)		22.14%	22.14%	664.04	664.04
Power Plant Performance Improvement Limited		One share less than 50%	One share less than 50%	-	-
Bharat Coal Gasification & Chemicals Ltd. (BCGCL)		49.00%	-	-	-

- BGGTS is a Joint Venture Company of BHEL and GE, USA formed to take up repair & servicing of GE designed Gas Turbines.
- The provision for impairment in value of investment in NTPC-BHEL Power Projects Private Limited has been made to the extent of ₹50.00 crore (upto previous year ₹50.00 crore) based on the net financial position. BHEL Board of Directors in its 566th meeting held on January 28, 2025 approved the annulment of in-principle approval for pursuing the winding up of NBPPL accorded by BHEL Board of Directors in its 494th meeting held on 08.02.2018 and accorded in-principle approval for taking up the implementation of 1x800 MW AUSC Technology based Technology Demonstration Plant (TDP) by NBPPL.
- Raichur Power Corporation Limited, a joint venture company of BHEL & Karnataka Power Corporation Ltd (KPCL), has been promoted for setting up of a 2x800 MW supercritical thermal power plant at Yeramarus, Raichur, Karnataka and 1x800 MW supercritical thermal power plant at Edlapur, Raichur, Karnataka on build, own and operate basis. COD of Unit I and Unit II of Yeramarus TPP achieved in March 2017 and April 2017 respectively.
- Bharat Coal Gasification and Chemicals Limited (BCGCL) was incorporated as a Joint Venture Company (JVC) of BHEL and CIL on 21.05.2024 to undertake coal to chemicals business by initially setting up a coal to 2000 TPD Ammonium Nitrate Project at Lakhanpur, Odisha by utilizing BHEL's "Pressurized Fluidized Bed Gasification (PFBG)" technology.
- Powerplant Performance Improvement Limited is still under liquidation. As per the liquidation process, BHEL has received an amount of ₹0.87 Crs in December 2024 against its equity investment of ₹2 Crore in PPIL.

B. Summarized financial information of Joint Venture companies of Group are as follows:-

The table below summarises financial information of Joint Venture Companies of the group accounted for at equity method. The information is as per the financial statements of the relevant Joint venture Companies and not the group's share of these amounts:

BHEL-GE Gas Turbine Services Pvt. Ltd

(₹ in Crore)

Balance Sheet	As at March 31, 2025	As at March 31, 2024
Non-current assets	55.39	83.08
Current assets	980.34	859.72
Cash and Cash Equivalent (incl.bank balances) included in Current assets	184.37	162.92
Non-current liabilities	9.23	8.19
Non-Current financial liabilities (excluding Trade Payables)	1.55	1.45
Current liabilities	475.35	425.64
Current financial liabilities (excluding Trade Payables)	6.87	7.08

(₹ in Crore)

Statement of Profit and Loss	For the year ended	
	March 31, 2025	March 31, 2024
Revenue from operations	1052.58	1054.74
Interest Income	27.15	23.67
Depreciation and Amortization	7.97	8.59
Interest Expense	0.52	0.62
Income tax Expense	40.95	43.75
Profit / (loss) for the year	118.02	127.95
Other Comprehensive Income	(0.32)	0.27
Total Comprehensive Income	118.34	127.68

Raichur Power Corporation Ltd.

(₹ in Crore)

Balance Sheet	As at March 31, 2025	As at March 31, 2024
Non-current assets	9492.61	9685.94
Current assets	4065.92	3657.93
Cash and Cash Equivalent [incl. bank balances] included in Current assets	190.90	13.08
Non-current liabilities	15909.25	16390.12
Non-Current financial liabilities (excluding Trade Payables)	15,909.25	16390.12
Current liabilities	6349.36	4167.18
Current financial liabilities (excluding Trade Payables)	6193.52	3847.07

(₹ in Crore)

Statement of Profit and Loss	For the year ended	
	March 31, 2025	March 31, 2024
Revenue from operations	4296.02	3910.74
Depreciation and Amortization	674.98	661.74
Interest Expense	2410.65	2210.09
Income tax Expense	-	-
Profit / (loss) for the year	(1486.64)	(1735.48)
Total Comprehensive Income	(1486.64)	(1735.48)

NTPC-BHEL Power Projects Pvt. Ltd.

(₹ in Crore)

Balance Sheet	As at March 31, 2025	As at March 31, 2024
Non-current assets	184.89	192.23
Current assets	370.44	385.24
Cash and Cash Equivalent [incl. bank balances] included in Current assets	0.87	7.67
Non-current liabilities	459.65	448.40
Current liabilities	335.99	352.37
Current financial liabilities (excluding Trade Payables)	23.13	24.25

(₹ in Crore)

Statement of Profit and Loss	For the year ended	
	March 31, 2025	March 31, 2024
Revenue from operations	3.48	18.19
Depreciation and Amortization	5.65	5.79
Interest Expense	0.63	1.64
Income tax Expense	2.20	0.47
Profit / (loss) for the year	(17.01)	(0.80)
Total Comprehensive Income	(17.01)	(1.07)

Bharat Coal Gasification & Chemicals Ltd.

(₹ in Crore)

Balance Sheet	As at March 31, 2025	As at March 31, 2024
Non-current assets	-	-
Current assets	0.41	-
Cash and Cash Equivalent [incl. bank balances] included in Current assets	0.00	-
Non-current liabilities	-	-
Current liabilities	2.66	-
Current financial liabilities (excluding Trade Payables)	0.01	-

(₹ in Crore)

Statement of Profit and Loss	For the year ended	
	March 31, 2025	March 31, 2024
Revenue from operations	-	-
Depreciation and Amortization	-	-
Interest Expense	-	-
Income tax Expense	-	-
Profit / (loss) for the year	(2.26)	-
Total Comprehensive Income	(2.26)	-

Note [37]

Disclosure on Leases - Ind AS 116

Lease Commitments - Company as Lessee

The company's significant leasing agreements are in respect of land, building and EDP equipments. The company has entered into a rate contract for lease arrangement for computer items, printers, video conferencing equipments and peripherals. Assets taken on lease are capitalised and disclosed separately as Right-of-use assets in the property, plant and equipment. The lease rentals are allocated between interest, maintenance and principal value. The interest and maintenance charges are charged to Statement of Profit and Loss and principal amount is adjusted to lease obligations.

The company has applied the following available practical expedients:

- (i) The short-term leases exemptions to leases with lease term less than 12 months
- (ii) The low value lease exemption to leases where underlying asset is of low value (assets of less than ₹50000 in value).

a) Age-wise analysis of Lease Liabilities are as follows

(₹ in Crore)

Particulars	Future minimum lease payments		Interest		Present value [PV] of minimum lease payments	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Not later than 1 year #	66.81	26.33	14.95	2.72	51.86	23.61
Later than 1 year and not later than 5 years	187.08	23.04	24.86	0.99	162.22	22.05
Later than 5 years	3.03	4.46	2.85	2.96	0.18	1.50

The amount of future minimum lease payments in respect of leases where remaining lease term as at the end of March 31, 2025 is less than 12 months is ₹8.03 cr (Previous year ₹9.18 cr).

b) Movement in lease liabilities during the FY year 2024-25

(₹ in Crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Lease Liabilities as at April 1*	48.45	68.50
Add: Additions	215.22	14.62
Add: Accretion of interest	11.28	4.38
Less : Payments/Adjustment	55.35	39.05
Lease Liabilities as at March 31*	219.60	48.45

* includes interest accrued of ₹5.34 crore (PY ₹1.29 crore) & ₹1.29 crore (PY ₹1.66 crore) as at March 31, 2025 & March 31, 2024 respectively.

c) Amounts recognised in Profit or Loss:

(₹ in Crore)

Particulars	For the Year Ended	
	March 31, 2025	March 31, 2024
Expense relating to Short-term leases	0.63	2.10
Expense relating to low value assets leases	0.92	1.11
Depreciation charge of right-of-use assets	51.89	27.51
Interest expense (included in finance cost)	11.28	4.38

- d) The company has various lease contracts that have not yet commenced. The future lease payments for these non-cancellable lease contracts are as follows:

(₹ in Crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Not later than 1 year	2.25	1.20
Later than 1 year and not later than 5 years	12.03	4.81
Later than 5 years	0.75	-

Note [38]

Disclosure on 'Employee benefits' - Ind AS 19

A. The Company has following Schemes in the nature of Defined Benefits plans:

- Gratuity Scheme
- Post Retirement Medical Scheme
- Provident Fund Scheme
- Travel claim on Retirement

(i) Gratuity (Funded Plan)

The Company has a defined benefit gratuity plan. Every employee who has rendered continuous service of five years or more is entitled to gratuity at 15 days salary (15/26 X last drawn basic salary plus dearness allowance) for each completed year of service subject to a maximum limit of ₹20 Lakhs. The gratuity liability arises on account of future payments, which are required to be made in the event of retirement, death in service or withdrawal. The liability has been assessed using projected unit credit actuarial method.

Movement in net defined benefit (asset)/liability on Gratuity plan

(₹ in Crore)

Particulars	Defined benefit obligation		Fair value of plan assets		Net defined benefit (asset) / liability	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	1921.07	1850.22	1534.45	1453.48	386.62	396.74
Included in Profit for the Year :						
Current Service Cost	95.16	91.16	-	-	95.16	91.16
Past Service Cost	-	-	-	-	-	-
Interest cost /(income)	139.28	136.92	(130.95)	(107.56)	8.33	29.36
Total amount recognised in Profit for the Year	234.44	228.08	(130.95)	(107.56)	103.49	120.52
Included in Other Comprehensive income (OCI) :						
Remeasurement loss / (gain):						
Actuarial loss / (gain) arising from:						
Change in Demographic Assumption	-	-	-	-	-	-
Change in Financial Assumption	95.31	29.74	-	-	95.31	29.74
Experience Adjustment	(62.11)	(25.66)	11.70	(9.72)	(50.41)	(35.38)
Total amount recognised in other comprehensive income	33.20	4.08	11.70	(9.72)	44.90	(5.64)
Others						
Contributions paid by the Employer	-	-	402.63	125.00	(402.63)	(125.00)
Benefits paid	163.35	161.31	163.35	161.31	-	-
Closing balance	2025.35	1921.07	1892.98	1534.45	132.38	386.62

Details of Plan assets

Particulars	As at March 31, 2025	As at March 31, 2024
Funds managed by Insurer *	82.44%	81.69%
High quality Corporate bonds (quoted)	1.93%	15.38%
State Government securities (quoted)	2.30%	2.84%
Bank Balance	13.33%	0.09%
Total	100.00%	100.00%

* Insurer is Life Insurance Corporation of India

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rate % (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	Gratuity			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(103.29)	112.09	(96.30)	104.67
Change in Salary escalation rate (0.50% movement)	32.42	(39.42)	31.29	(37.52)

Sensitivities due to mortality and withdrawals are not material and hence impact of change due to these are not calculated.

Sensitivities as rate of increase of pensions in payment, rate of increase of pensions before retirement & life expectancy are not applicable.

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Expected maturity analysis of the gratuity plan in future years

(₹ in Crore)

Particulars	Gratuity	
	As at March 31, 2025	As at March 31, 2024
Less than 1 year	150.30	158.20
Between 1-2 years	124.94	125.81
Between 2-3 years	109.47	111.49
Between 3-4 years	100.29	98.46
Between 4-5 years	88.88	89.43
Between 5-6 years	69.68	78.90
Over 6 years	1381.79	1258.78
Total	2025.35	1921.07

Expected contributions to gratuity plans for the year ending March 31, 2026 are ₹125.54 crore

The weighted average duration of the gratuity defined benefit plan obligation at the end of the reporting period is 14.39 years (March 31, 2024: 14.83 years).

Risk Exposures

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such, company is exposed to various risks such as increase in salary, investment risk, discount rate, mortality, disability and withdrawals.

(ii) Post Retirement Medical Benefits (Funded Plan)

The Company has Post-Retirement Medical benefit (PRMB), under which the retired employees and their spouses are provided medical facilities in the Company hospitals/empanelled hospitals subject to company medical rules. They can also avail treatment as out-patient subject to a ceiling fixed by the Company. The liability for the same is recognised annually on the basis of actuarial valuation.

Movement in net defined benefit (asset)/liability on Post retirement Medical Benefit Plan

(₹ in Crore)

Particulars	Defined benefit obligation		Fair value of plan assets		Net defined benefit (asset) / liability	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	2376.14	2249.60	1903.77	1831.92	472.37	417.68
Included in Profit for the Year :						
Current service cost	45.84	44.73	-	-	45.84	44.73
Past service Cost	-	-	-	-	-	-
Interest cost / (income)	172.27	166.47	(159.24)	(135.56)	13.03	30.91
Total amount recognised in Profit for the Year	218.11	211.20	(159.24)	(135.56)	58.87	75.64
Included in Other Comprehensive Income (OCI):						
Remeasurement loss / (gain):						

Movement in net defined benefit (asset)/liability on Post retirement Medical Benefit Plan (contd.)

(₹ in Crore)

Particulars	Defined benefit obligation		Fair value of plan assets		Net defined benefit (asset) / liability	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Actuarial loss / (gain) arising from:						
Demographic assumptions	-	-	-	-	-	-
Financial assumptions	106.52	34.69	-	-	106.52	34.69
Experience adjustment	38.24	81.94	10.86	(12.58)	49.10	69.36
Total amount recognised in other comprehensive income	144.76	116.63	10.86	(12.58)	155.62	104.05
Others						
Contributions paid by the employer	-	-	250.00	125.00	(250.00)	(125.00)
Benefits paid	241.34	201.29	241.34	201.29	-	-
Closing balance	2497.67	2376.14	2060.81	1903.77	436.86	472.37

The plan assets of the Company are managed by Life Insurance Corporation of India through a trust managed by the Company in terms of an insurance policy taken to fund obligations of the Company.

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates % (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	Post Retirement Medical Benefit			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(148.04)	150.42	(124.67)	129.20
Change in cost (0.50% movement)	156.28	(146.42)	131.61	(125.77)

Sensitivity due to mortality and withdrawals are not material and hence impact of change not calculated.

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Expected maturity analysis of the Post retirement medical Benefit plan in future years

(₹ in Crore)

Particulars	Post Retirement Medical Benefit	
	As at March 31, 2025	As at March 31, 2024
Less than 1 year	263.08	201.18
Between 1-2 years	286.01	218.72
Between 2-3 years	293.75	224.64
Between 3-4 years	304.64	232.96
Between 4-5 years	318.98	243.93
Between 5-6 years	330.81	252.98
Over 6 years	700.40	1001.73
Total	2497.67	2376.14

Expected contributions to Post retirement medical benefit plan for the year ending March 31, 2026 are ₹64.59 crore.

The weighted average duration of the post retirement medical benefit plan obligation at the end of the reporting period is 12.67 years (March 31, 2024: 12.53 years).

Risk Exposure

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in medical cost, investment risk, discount rate, mortality, disability and withdrawals.

(iii) Provident Fund

The Company pays fixed contribution to provident fund at predetermined rates to a separate trust, which invests the funds in permitted securities. The Company has an obligation to ensure minimum rate of return to the members as specified by GOI. Accordingly, the Company has obtained report of the actuary. Wherever as per the actuarial valuation certificate liability for likely interest shortfall arises, the same has been provided in the accounts.

Details of interest shortfall in PF Trust

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Excess / (Shortfall) in PF interest liability based on actuarial valuation for the year	(25.88)	9.97
Accumulated provision for shortfall in PF interest liability based on actuarial valuation	44.01	18.13
Remeasurement gain/(loss) recognised through other comprehensive income statement	(16.97)	(9.17)
Interest shortfall / (surplus) accounted through Statement of Profit & Loss	8.91	(19.14)

The Company has PF trusts located at various places covering the employees of the Company and managed separately, the details of plan assets and obligations are as follows :

(₹ in Crore)

Location	Defined benefit obligation		Fair value of plan assets		Surplus / (Shortfall)	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
BHEL EPF Trust,Ranipur,Hardwar	1986.34	1824.36	2000.26	1841.54	13.92	17.18
BHEL Employee Provident Fund-Trichy	1084.17	988.93	1075.96	986.19	(8.21)	(2.74)
BHEL Employee Provident Fund Bhopal	1719.01	1629.83	1705.24	1625.11	(13.77)	(4.72)
BHEL New Delhi Employees Provident Fund Trust	1520.79	1493.90	1514.16	1491.75	(6.63)	(2.15)
BHEL Employee Provident Fund-Hyderabad	887.48	901.38	918.33	917.02	30.85	15.64
BHEL PPD EPF Trust,Chennai	1021.78	955.03	1006.38	946.51	(15.40)	(8.52)
BHEL Employee Provident Fund-Bengaluru	679.89	637.68	694.38	653.29	14.49	15.61
BHEL (BAP Unit) EPF Trust,Ranipet	321.18	322.00	329.80	323.44	8.62	1.44
BHEL Employee Provident Fund Trust Jhansi	512.75	494.82	526.07	508.78	13.32	13.96
Bharat Heavy Plates & Vesseles Limited Employee Contributory Provident Fund-Vizag	160.10	152.27	201.56	192.31	41.46	40.04
Total	9893.49	9400.20	9972.14	9485.94	78.65	85.74

Movement in net defined benefit (asset)/liability on Provident Fund

(₹ in Crore)

Particulars	BHEL Employees Provident Fund Trust (Consolidated)			
	Defined benefit obligation		Fair value of plan assets	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Opening balance	9400.20	8933.68	9485.94	9009.99
Included in Profit for the Year:				
Current service cost	389.44	369.63	-	-
Interest cost / (income)	765.59	724.70	(784.63)	(760.00)
Total amount recognised in Profit for the Year	1,155.03	1,094.33	(784.63)	(760.00)
Included in Other Comprehensive Income (OCI):				
Remeasurement loss /(gain):				
Actuarial loss / (gain) arising from:				
Demographic assumptions	-	-	-	-
Financial assumptions	1.96	0.86	-	0.28
Experience adjustment	(4.75)	29.61	28.91	(4.88)
Total amount recognised in other comprehensive income	(2.79)	30.47	28.91	(4.60)
Others				
Contributions paid by the employer	-	-	389.44	369.63
Employee Contribution	680.29	710.44	680.29	710.44
Benefits paid	1,719.39	1658.60	1,719.39	1658.60
Settlements/Transfer-in	380.15	289.88	380.15	289.88
Closing balance	9893.49	9400.20	9972.15	9485.94

Note: Intrest shortfall in respect of PF trusts having deficit have been accounted during the year through statement of profit and loss account and other comprehensive income statement.

In addition to the above, diminution in PF Trust Investment is also cumulatively provided totalling to ₹53.11 Cr. based on the best possible assessment of recovery.

Details of Plan assets

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Govt. of India securities [Quoted]	879.15	796.78
State Government securities [Quoted]	4983.06	4678.27
Corporate bonds [Quoted]	3224.07	3259.15
Special Deposit [Unquoted]	299.98	344.65
Liquid Fund [Quoted]	6.65	3.76
Short term deposit [Unquoted]	111.82	85.76
Mutual Fund & Equity shares [Quoted]	467.42	317.58
Total	9972.14	9485.94

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date:

Particulars	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Expected statutory interest rate on the ledger balance	8.25%	8.25%
Expected short fall in interest earnings on the fund	0.05%	0.05%
Demographic assumptions:		
Mortality table	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rate % (All ages)		
Upto 30 Years	3.00%	3.00%
From 31 to 44 years	1.00%	1.00%
Above 44 years	1.00%	1.00%

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

(₹ in Crore)

Particulars	BHEL Employees Provident Fund Trust			
	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Change in Discount rate (0.50% movement)	(2.14)	2.25	(1.80)	1.89

Sensitivity due to mortality and withdrawals are not material and hence impact of change not calculated.

Expected maturity analysis in future years

(₹ in Crore)

Particulars	Provident Fund	
	As at March 31, 2025	As at March 31, 2024
Within the next 12 months	705.69	787.86
Between 2-5 years	1796.95	1755.71
Between 5-10 years	1547.56	1554.56
Beyond 10 years	5843.29	5302.07
Total	9893.49	9400.20

Risk Exposure

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in investment risk, discount rate, mortality, disability and withdrawals.

(iv) Travel claim on retirement - (Settlement Allowance - Unfunded Plan)

The settlement allowance is the expenditure reimbursed to an employee towards travel and shifting of baggage for proceeding to home town or any place in India where he or she intends to settle after retirement or death in service for self (including members of his/her family).

Movement in Settlement Allowance Liability

(₹ in Crore)

Particulars	Settlement Allowance liability	
	As at March 31, 2025	As at March 31, 2024
Opening balance	15.06	13.43
Current service cost	1.08	0.89
Interest cost / (income)	1.09	0.99
Included in Profit for the Year	2.17	1.88
Actuarial loss / (gain)	0.99	2.55
Total amount recognised in TCI for the Year	3.16	4.43
Others		
Contributions paid by the employer	-	-
Benefits paid	1.23	2.80
Closing balance	16.99	15.06

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Settlement Allowance	
	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table %	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

B. Long term Leave Liability (Encashable Leave -EL /Half Pay Leave-HPL) - (Unfunded Plan)

The company provides for earned leave benefit and half pay leave to the employees of the company which accrue half yearly at 15 days (maximum) and 10 days respectively. The earned leave is encashable while in service subject to fulfilment of certain conditions. On retirement/superannuation, earned leave & half pay leave put together upto a maximum of 300 days is encashable subject to company policies & leave encashment rules. The leave liability has been treated as other long term benefits and has been assessed using projected unit credit actuarial method.

Movement in long term leave liability

(₹ in Crore)

Particulars	Long Term Leave Liability	
	As at March 31, 2025	As at March 31, 2024
Opening balance	1065.02	1037.18
Included in Profit for the Year:		
Current service cost	162.56	138.96
Interest cost / (income)	77.21	76.75
Actuarial loss / (gain)	(33.01)	(23.73)
Total amount recognised in Profit for the Year	206.76	191.98
Benefits paid	130.62	164.14
Closing balance	1141.16	1065.02

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Long Term Leave Liability	
	As at March 31, 2025	As at March 31, 2024
Economic assumptions:		
Discount rate	6.79%	7.25%
Salary escalation rate	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter	6.50% P.A. for 1st 4 yrs. & then 6% P.A. thereafter
Demographic assumptions:		
Retirement age	60	60
Mortality table %	100% of IALM (2012-14)	100% of IALM (2012-14)
Withdrawal rates (All ages)		
Upto 30 Years	3%	3%
From 31 to 44 years	1%	1%
Above 44 years	1%	1%

C. Pension Fund

The Company has recognised Rs 266 cr [PY ₹278 cr] as contribution in respect of pension scheme [defined contribution plan] for the FY 2024-25

Note [39]

Disclosure as per Ind AS 24 - Related Parties

A) List of related parties

i)	Joint venture companies	BHEL-GE Gas Turbine Services Pvt. Ltd. (BGGTS) NTPC-BHEL Power Projects Pvt. Ltd. (NBPPL) Raichur Power Corporation Ltd. (RPCL) Bharat Coal Gasification & Chemicals Ltd. (BCGCL) Powerplant Performance Improvement Ltd. (PPIL)
	Post employment benefit plans	Provident fund trusts Gratuity trust PRMB Trust Pension Trust
	Others	Central Government controlled entities

The company is a Central Public Sector Undertaking under the administrative control of Ministry of Heavy Industries and majority of its stake is held by Government of India. The significant transactions are with other PSUs, State owned utilities, Railways etc. which are also controlled by Govt. of India directly or indirectly. The transactions with such entities are normal, based on market driven rates at arms length price.

ii) Other related parties:

a. Key Management Personnel [KMP]

Particulars	Designation	Position Held [w.e.f /upto]
Functional Directors		
Shri. K Sadashiv Murthy	Chairman & Managing Director	(w.e.f. 01.11.2023)
Shri. Jai Prakash Srivastava	Director (E, R&D)	(upto 31.12.2024)
Shri. Krishna Kumar Thakur	Director (HR)	(w.e.f. 04.07.2023)
Shri. Tajinder Gupta	Director (Power)	(w.e.f. 20.09.2023)
Ms. Bani Varma	Director (IS & P)	(w.e.f. 09.10.2023)
Shri. Rajesh Kumar Dwivedi	Director (Finance)	(w.e.f. 19.06.2024)
Company Secretary		
Shri Rajeev Kalra	Company Secretary	(upto 10.07.2024)
Dr. Yogesh R Chhabra	Company Secretary	(w.e.f. 11.07.2024)

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Compensation to Key management personnel		
- Short term employee benefits	3.64	4.31
- Post employment benefits	0.78	0.64
- Other long term benefits	-	-
- Termination benefits	-	-
- Share based payment	-	-
Total	4.42	4.95

b. Government Director/Independent Director

Name		Held [w.e.f /upto]
Shri Vijay Mittal	Government Director	(w.e.f. 25.03.2022)
Smt. Arti Bhatnagar	Government Director	(w.e.f. 14.02.2023)
Dr. K. Sivaprasad	Independent Director	(upto 01.11.2024)
Dr. Lekhasri Samantsinghar	Independent Director	(upto 12.04.2024)
Shri Ramesh Patlya Mavaskar	Independent Director	(w.e.f. 08.06.2023)
Shri Ashok Aseri	Independent Director	(w.e.f. 29.03.2025)
Shri Aashish Chaturvedi	Independent Director	(w.e.f. 29.03.2025)

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Sitting Fees -- Independent Directors	0.12	0.20

B) Transactions with Post Employment Benefit Plans managed through separate trust

(₹ in Crore)

Name of the Trust	Post Employment benefit plan	Contribution by employer	
		For the year ended	
		March 31, 2025	March 31, 2024
PRMB Trust	Post Retirement medical scheme	250.00	125.00
Gratuity Trust	Gratuity	402.63	125.00
Employees Superannuation Fund	Pension Fund	327.59	457.47
BHEL EPF Trust, Ranipur, Hardwar	Provident Fund	70.22	60.18
BHEL Employee Provident Fund-Trichy	Provident Fund	63.50	59.60
BHEL Employee Provident Fund Bhopal	Provident Fund	62.65	59.71
BHEL New Delhi Employees Provident Fund Trust	Provident Fund	46.51	45.64
BHEL Employee Provident Fund-Hyderabad	Provident Fund	43.73	44.24
BHEL PPD EPF Trust, Chennai	Provident Fund	33.55	32.24
BHEL Employee Provident Fund-Bengaluru	Provident Fund	29.80	29.47
BHEL (BAP Unit) EPF Trust, Ranipet	Provident Fund	17.51	17.68
BHEL Employee Provident Fund Trust Jhansi	Provident Fund	14.44	14.14
Bharat Heavy Plates and Vessels Limited Employees Contributory Provident Fund-Vizag	Provident Fund	7.53	6.73

C) Details of Transactions with Joint Ventures and Balances

(₹ in Crore)

Particulars	For the year ended	
	March 31, 2025	March 31, 2024
Sales of Goods and services		
BGGTS	324.31	305.92
RPCL	5.47	9.30
NBPPL	0.11	0.61
Dividend income		
BGGTS	38.08	41.65
Royalty income		
BGGTS	1.90	2.03
Purchase of Goods and Services		
BGGTS	1.49	1.18
RPCL	-	0.07
Subscription to Equity Shares		
BCGCL (Equity Shares 4900 Nos. of ₹10 each)	0.00	-
Amounts due to BHEL at the end of the year		
BGGTS	195.29	138.05
RPCL	632.82	643.84
NBPPL	276.29	277.02
BCGCL	0.16	-
Amounts due from BHEL (incl. advances) at the end of the year		
BGGTS	0.21	0.38
RPCL	8.17	8.55
NBPPL	38.40	41.69
Provision for Doubtful debts & advances		
BGGTS	10.71	10.52
RPCL	20.73	20.73
NBPPL	239.35	222.12

Note: Refer Note [5](a) for provision for diminution in value of investments

Note [40]

Disclosure [Movement in provisions] - Ind AS - 37

(₹ in Crore)

a	Liquidated Damages	As at March 31, 2025	As at March 31, 2024
	Opening Balance	9166.53	8234.67
	Add: Additions	836.65	1165.80
	Less: Usage/ Write off/payment	2499.68	21.72
	Less: Withdrawal/adjustments	433.97	212.21
	Closing Balance	7069.53	9166.53

Liquidated damages are provided in line with the Material Accounting Policy of the Company and the same is dealt suitably in the accounts on settlement or otherwise. Contingent liability relating to liquidated damages is shown in Para A (h) of Note [33].

(₹ in Crore)

b	Contractual Obligation	As at March 31, 2025	As at March 31, 2024
	Opening Balance		
	As disclosed in Note (19)	1822.17	3774.42
	As disclosed in Note (6)	105.45	552.05
	As disclosed in Note (9)	397.29	462.40
		2324.91	4788.87
	Add: Borrowing Cost	33.70	121.38
	Add: Additions	447.70	118.15
	Less: PV Adjustment	36.33	3.81
	Less: Usage/ Write off/payment	79.87	106.97
	Less: Withdrawal/adjustments	523.60	2587.80
	Add/(Less): Change in estimate and rates	(1.33)	(4.91)
	Closing Balance		
	As disclosed in Note (19)	1771.78	1822.17
	As disclosed in Note (6)	223.85	105.45
	As disclosed in Note (9)	169.54	397.29
		2165.17	2324.91

The provision for contractual obligation is made considering the effect of time value of money in line with Material Accounting Policy No. 10 to meet the warranty obligations as per the terms and conditions of the contract. The same is retained till the completion of the warranty obligations of the contract. The actual expenses on warranty obligation may vary from contract to contract and on year to year depending upon the terms and conditions of the respective contract. Contractual obligation, pertaining to dues from projects fully provided for, disclosed in Non Current Allowances for B&D Debts in Note 6 and 9.

The company has changed its practice to vacate provision against contractual obligations wherever Performance Guarantee (PG) test is not a pre-requisite condition as per contract. Accordingly, provisions to the tune of ₹118.47 cr has been vacated during the year which has resulted in increase of profit.

Note [41]

Disclosure - Revenue from Contracts with Customers - Ind AS-115

a. Movement in impairment provisions

(₹ in Crore)

Particulars	2024-25		2023-24	
	Trade receivables	Contract assets	Trade receivables	Contract assets
Opening balance	5192.66	3979.22	4322.46	4652.34
Add: Additions	650.00	224.88	1519.23	254.95
Less: Write off	484.18	92.50	26.55	1.26
Less: Reversal/adjustments	559.92	509.60	622.48	926.80
Closing balance	4798.55	3602.00	5192.66	3979.22

b. Disaggregation of revenue from contracts with customers

(₹ in Crore)

Particulars	Power		Industry		Total
	Within India	Outside India	Within India	Outside India	

2024-25

Revenue from customers

Timing of revenue recognition

(a) At a point in time (product/services)	3782.90	64.31	4895.91	133.94	8877.06
(b) Over time (projects)	16138.30	266.87	2068.00	4.94	18478.11

2023-24

Revenue from customers

Timing of revenue recognition

(a) At a point in time (product/services)	3324.43	61.58	3603.94	42.14	7032.10
(b) Over time (projects)	13737.26	586.36	1562.54	2.25	15888.42

(₹ in Crore)

Particulars	2024-25		2023-24	
	Power	Industry	Power	Industry
Revenue from customers				
CPSUs	9227.07	2776.16	6888.04	2096.72
Adani Group	2553.12	-	103.78	-
TANGEDCO	1587.36	-	1631.90	-
TSGENCO	1578.55	-	2834.77	-

c. Contract Balances (net of provisions)

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Trade Receivables	8930.93	8010.07
Contract assets (incl. unbilled revenue)	29444.13	26747.54
Contract liabilities	15293.67	7133.45

d. Contract revenue recognised

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Revenue recognised against contract liabilities (adjustment of customer advances and valuation adjustment during the year)	2842.80	3011.15
Revenue recognised against performance obligation satisfied in previous year (impact due to change in contract revenue)	594.72	163.16

Construction of power projects is a long cycle business, where the contracts received by the company are either EPC contracts (Engineering, Procurement & Construction) or BTG Packages (i.e. Boiler, Turbine and Generator packages). Power projects are long gestation period projects with normal execution period of contract ranging between 3 to 5 years. BHEL scope of services includes supply of equipment, erection, commissioning, synchronizing the plant to the grid, completing the trial operation and providing the guaranteed parameters.

Although there are several components to the overall scope, such projects are generally considered one performance obligation. The control transfers simultaneously over the execution period as the entity performs rather than at discrete points in time and hence revenue is recognized over the period of time based on measure of progress (input cost method).

Note [42]**Disclosure pursuant to Ind AS-107 [Financial Instruments - Accounting Classifications and Fair value measurements]**

- a. The Fair value of cash and cash equivalents, bank balances, loans, trade receivables, trade payables, security deposit, financial guarantee and others reasonably approximates their carrying amount. Trade receivables are evaluated after taking into consideration for Expected Credit Losses. Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique..

Fair value hierarchy

The fair value of financial instruments have been classified in following categories depending on the inputs used in the valuation technique.

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

(₹ in Crore)

Financial assets and liabilities measured at fair value- recurring fair value measurements	Level 3 Hierarchy	
	As at March 31, 2025	As at March 31, 2024
Financial assets:		
Investment in unquoted equity instruments	0.00	1.19

b. Valuation Techniques used to determine fair value

Fair value of unquoted equity instruments is determined using Level 3 inputs which include inputs from the financial statements of the investee Company based on Net asset value per share.

Reconciliation of fair value measurement of unquoted equity shares classified as FVTPL assets

(₹ in Crore)

As at March 31, 2024	1.19
Changes in fair value / Impairment	(1.19)
As at March 31, 2025	0.00

Financial Risk Management

Objectives and Policies

The company's activities are exposed to different financial risks arising out of natural business exposures to any company operating in the sector. The management of financial risk has always been an integral part of the company's business strategies and policies. The company reviews and aligns its policies and guidelines from time to time to address the financial risks in line with the needs and expectations of its various stakeholders. Exposure risk from the use of financial instruments can be categorized as under:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risk, and management of Company's capital. Further quantitative disclosures are included throughout these financial statements.

Risk management framework

BHEL has in place a Board approved Risk Management Charter & Policy which provides overall framework for Risk Management in the company. The objective of the charter is to ensure that the risks are being properly identified, assessed and effectively managed by adopting suitable risk mitigation measures. The company has 3-layer risk management framework. At the first level, the Board Level Risk Management Committee (BLRMC) of the company is assigned with responsibility of reviewing the company's Risk Governance structure, Risk Assessment & Risk Management framework, Guidelines, Policies and Processes thereof. Risk Management Steering Committee (RMSC) at the second level is responsible for adopting & implementing the risk management framework and leading the risk management initiative across the company. Chief Risk Officer (CRO) being the convener of BLRMC & RMSC is responsible for periodic reporting on risk management to Board/ BLRMC. Key risks being faced by the company are analysed starting from Unit level for their respective areas to prepare risk mitigation plans and to ensure implementation.

a) Management of Credit Risk

Credit risk is considered as an integral part of risk reward balance of doing business. BHEL is involved in setting up of power projects pertaining to Government sector (State utilities, PSUs, Railways and other govt. departments etc.) and private sectors in India and abroad. The projects are generally funded by Financial Institutions/ banks or payments are covered by Letter of Credit (LC). The project duration ranges from 3 to 5 years and payments are generally realised in stages as per the terms of the contract including advance, progress payments, milestone (including intermediate) payments and also retentions which are released on completion of such projects. Since majority customers' profile pertains to Government sector, constituting 80% of total receivables coupled with the fact that the company itself is a CPSE, credit risk is relatively low. In respect of private sector customers, the payment terms are mainly through LC. The company has well established review mechanism for receivables at various levels within organisation to ensure proper attention and focus for realisation in line with the company policies, procedures and guidelines. The company uses expected credit loss model to assess the impairment loss or gain and the disclosure of the same is made elsewhere. Further, adequate provisions are maintained to address any eventuality.

(i) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Financial assets for which loss allowance is measured using 12 months Expected Credit Losses (ECL)		
Cash and cash equivalents	439.21	1835.04
Other bank balances	7173.20	4322.43
Other financial assets	1016.71	445.92
Financial assets for which loss allowance is measured using Life time Expected Credit Losses (ECL) including impairment loss		
Trade receivables	8930.93	8010.07

Concentration of credit risk- Geographical	Percentage of total receivable	
	As at March 31, 2025	As at March 31, 2024
Within India	97%	95%
Outside India	3%	5%
Total	100%	100%

The company's exposure to credit risk for trade receivables, contract assets and other receivables by type of counterparty are as follows –

Note	Percentage of total trade receivables	
	As at March 31, 2025	As at March 31, 2024
Central Public Sector Undertakings incl. Railways and Govt. Deptt.	46%	43%
State Electricity Boards	35%	40%
Private Customers and others	16%	13%
Exports	3%	5%
Total	100%	100%

(ii) Impairment losses**1. Financial assets for which loss allowance is measured using 12 month expected credit losses**

The company has assets where the counter- parties have sufficient capacity to meet the obligations and where the risk of default is very low.

The movement in the allowance for impairment in respect of loans during the year was as follows:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance as at April 1	16.32	14.91
Impairment loss recognised/ write off/ withdrawal	4.50	1.41
Balance as at March 31	20.82	16.32

2. Reconciliation of impairment loss provisions

The movement in the allowance for impairment in respect of trade receivables and contract assets during the year was as follows:

(₹ in Crore)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance as at April 1	9171.88	8974.80
Impairment loss recognised	874.88	1774.18
Amounts written off/ withdrawal	(1646.20)	(1577.09)
Balance as at March 31	8400.55	9171.88

The company makes investments out of surplus funds as per policy of the company duly approved by the Board and in line with the DPE guidelines. Credit risk on cash and cash equivalents and term deposits is very limited as the company generally invests in deposits with financially strong banks and financial institutions.

b) Management of Liquidity risk

The Company manages liquidity risk by maintaining sufficient cash and cash equivalents including term deposits and the availability of Funding through an adequate amount of credit facilities to meet obligations as and when due. Robust cash management system and regular monitoring of cash flows enables management to plan and maintain adequate sources to finance its funds requirement throughout the year. Besides adequate cash and bank balances, company enjoys credit facilities. The company is able to meet all its fund requirements from internal resources i.e. the funds generated from operations and also through short-term borrowings for better treasury management operations.

The following are the contractual maturities of non-derivative financial liabilities, based on contractual cash flows:

(₹ in Crore)

Financial Liabilities Non-derivative financial liabilities	As at March 31, 2025		As at March 31, 2024	
	Within 1 year	Exceeding 1 year	Within 1 year	Exceeding 1 year
Trade payables	9540.92	2170.79	8539.38	2292.76
Deposits from contractors and others	716.19	413.11	623.50	397.01
Lease liabilities	57.21	162.39	24.91	23.55
Other Payables/liabilities				
Employee dues	152.41	-	353.32	-
Other dues	240.90	-	401.60	-
Capex dues	131.02	9.68	114.90	10.86
Short term borrowings	8795.00	-	8808.00	-
Total	19633.65	2755.97	18865.61	2724.18

c) Management of Market risk

The Company is exposed to certain currency, commodity, interest rate risks arising from its operations. The company has foreign exchange risk management policy to cover the foreign exchange risks. To insulate the company against major commodity price fluctuation, framework agreements including price pass through claims are being entered regularly with supply chain partners including suppliers and customers. Surplus funds generated from operation are kept invested in short term deposits with PSU Banks or large sized private banks only and in debt based schemes of public sector mutual funds, thereby minimizing any chance of risk.

Foreign currency risk exposure:- The company's exposure to foreign currency risk at the end of reporting period, are as follows:

- (i) The derivative instruments that are hedged and outstanding as on 31.03.2025 is NIL (previous year Nil)

(ii) The foreign currency exposures that are not hedged by a derivative instrument or otherwise are as under:

FC in Million
(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024		As at March 31, 2025	As at March 31, 2024
	Euro	Equivalent INR	Euro	Equivalent INR	Others INR	Others INR
Assets						
Trade receivable	59.23	543.50	53.64	484.16	41.12	1.86
Contract assets	221.26	2026.77	235.03	2112.15	263.20	39.52
Other assets	11.74	108.16	0.61	5.50	93.77	154.98
Sub Total (A)	292.23	2678.42	289.29	2601.82	398.09	196.36
Liabilities						
Advances from customer	28.22	190.35	35.46	238.77	1.29	22.65
Trade payables and others	27.69	256.30	29.79	272.79	343.61	308.96
Sub Total (B)	55.91	446.65	65.25	511.56	344.89	331.61
Assets (Net of Liabilities)	236.32	2231.77	224.04	2,090.26	53.19	(135.25)

Particulars	USD	Equivalent INR	USD	Equivalent INR
Assets				
Trade receivable	79.27	669.84	77.52	644.22
Contract assets	187.27	1597.17	234.62	1948.28
Other assets	0.87	6.74	0.36	2.41
Sub Total (A)	267.41	2273.76	312.50	2594.91
Liabilities				
Advances from customer	35.69	226.53	50.09	253.59
Trade payables and others	76.85	655.22	132.79	1114.42
Sub Total (B)	112.55	881.75	182.88	1368.01
Assets (Net of Liabilities)	154.87	1392.01	129.62	1226.90

The above figures are net of provisions, if any

Sensitivity analysis

The impact of strengthening/weakening of the Indian Rupee vis a vis USD, EURO and others as at year end on profit or loss is as shown below. This analysis is based on foreign currency exchange rate variances that the company considered to be reasonably possible at the end of the reporting period. The analysis is performed on the same basis for previous year, albeit that the reasonably possible foreign exchange rate variances were different, as indicated below.

(₹ in Crore)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Strengthening	Weakening	Strengthening	Weakening
Effect on Profit/(loss) on 1% movement				
Euro	22.32	(22.32)	20.90	(20.90)
USD	13.92	(13.92)	12.27	(12.27)
Others	0.53	(0.53)	(1.35)	1.35

Capital Management

The company's objective, while managing capital is to continue business as a going concern, safeguard, preserve and enhance its capital to provide maximum return to shareholders, benefits to other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. The Board of Directors also monitors the level of dividends to equity shareholders. The Company monitors capital, using a medium term view and long term view, on the basis of a number of financial ratios generally used by industry as well as by the rating agencies. The Company is not subject to externally imposed capital requirements. The Company's capital structure is managed against the various financial ratios as required to maintain highest credit ratings.

Note [43]

Consolidated Operating Segments

The Segments have been identified as 'Power' and 'Industry', based on the orders booked by the respective business sectors. These segments are driven by the three business sectors i.e. Power Sector, Industry sector, International Operations.

The Power segment comprises mainly thermal, gas, hydro and nuclear power plant businesses, related spares & services business apart from new businesses of coal to chemicals, emission control equipment and spares for Non-BHEL sets.

The Industry segment caters to major equipment supplies and EPC works for a variety of sectors including transportation, transmission, defence & aerospace, captive power, renewables, downstream oil & gas, energy storage, and electric mobility, among others.

The order booked by International operation group is taken to Power or Industry as the case may be.

The Company's Committee of Functional Directors has been identified as Chief Operating Decision maker (CODM).

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Power	Industry	Total	Power	Industry	Total
I. SEGMENT REVENUE FROM OPERATIONS						
Revenue from operations-External	20937.25	7402.23	28339.48	18435.79	5456.99	23892.78
II. SEGMENT RESULTS						
a. Segment Results	1216.02	1262.45	2478.47	1657.03	137.08	1794.11
b. Unallocated expenses (Net of income)			984.54			820.16
c. Profit before finance cost & Income tax (a) - (b)			1493.93			973.95
d. Finance cost (Includes unwinding of Interest)			748.33			731.29
e. Net Profit before Income Tax (c) - (d)			745.60			242.66
f. Income Tax			211.70			(39.56)
g. Net Profit/(loss) after Income Tax (e)-(f)			533.90			282.22
III ASSETS & LIABILITIES						
a. Segment Assets	45455.29	9240.71	54696.00	39561.83	8418.14	47979.97
b. Common Assets			13387.18			11021.95
c. Total Assets			68083.18			59001.92
d. Segment Liabilities	29075.97	7034.26	36110.23	20670.89	6081.21	26752.10
e. Common Liabilities			7250.79			7811.16
f. Total Liabilities			43361.02			34563.26
IV OTHER INFORMATION						
a. Capital Expenditure	335.93	146.46		158.93	91.86	
b. Depreciation & Amortization	158.06	69.18		138.73	76.90	
c. Non Cash Expenses (other than depreciation & amortization)	(73.14)	214.64		(815.40)	147.31	

Geographical Segments

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Within India	Outside India	Total	Within India	Outside India	Total
1 Net Sales / Revenue from Operations	27863.22	476.26	28339.48	23156.49	736.29	23892.78
2 Non- Current Assets (PPE & Intangible Assets)	3141.70	0.46	3142.16	2880.44	1.96	2882.40
3 Capital Expenditure	535.30	0.34	535.64	286.57	0.85	287.41

Major Customer- Details of Revenue from Single Customer exceeding 10% of total revenue of BHEL

(₹ in Crore)

Particulars	For the year ended March 31, 2025			For the year ended March 31, 2024		
	Power	Industry	Total	Power	Industry	Total
CPSUs	9227.07	2776.16	12003.23	6888.04	2096.72	8984.76
Adani Group	2553.12	-	2553.12	103.78	-	103.78

Note [44]**Additional Information**

(₹ in Crore)

Name of the entity in the Group	Financial Year	Net Assets, i.e., Total Assets minus Total Liabilities		Share in Profit or Loss		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
		As % of Consolidated Net results	Amount	As % of Consolidated Profit or loss	Amount	As % of Total Other Comprehensive Income	Amount	As % of Total Comprehensive Income	Amount
BHEL	2024-25	98.89	24446.59	88.95	474.89	100.10	(163.50)	84.03	311.39
	2023-24	98.96	24184.17	77.33	218.24	99.83	(82.41)	68.03	135.83
Joint Ventures (investment as per the equity method) -									
BHEL-GE Gas Turbine Services Private Limited	2024-25	1.11	275.57	11.05	59.01	(0.10)	0.16	15.97	59.17
	2023-24	1.04	254.48	22.67	63.98	0.17	(0.14)	31.97	63.84
NTPC-BHEL Power Projects Private Limited	2024-25	-	-	-	-	-	-	-	-
	2023-24	-	-	-	-	-	-	-	-
Raichur Power Corporation limited	2024-25	-	-	-	-	-	-	-	-
	2023-24	-	-	-	-	-	-	-	-
Bharat Coal Gasification and Chemicals Ltd.	2024-25	-	-	0.00	0.00	-	-	0.00	0.00
	2023-24	-	-	-	-	-	-	-	-
Total	2024-25	100.00	24,722.16	100.00	533.90	100.00	(163.34)	100.00	370.56
	2023-24	100.00	24438.65	100.00	282.22	100.00	(82.55)	100.00	199.67

Note [45] - Disclosure - Investment Property - Ind AS 40 [Material Accounting Policy disclosed at item 19 of Note 2]

During the year Company has adopted the material accounting policy and applied the same for accounting of Investment property. Relevant details are as under:

(₹ in Crore)

Particulars	2024-25	2023-24
(i) Detail of Incomes and expenses:		
Rental Income	1.82	-
Direct Operating expenses (incl Repair & Maintenance)	0.39	-

(ii) Fair Value of Investment Property

The market value of the investment property has been assessed at ₹111.58 crs by registered valuer as defined under rule 2 of Companies (Registered Valuers and Valuation) Rules 2017 as at 31.03.2025 for various properties located at Bhopal and Mumbai.

(iii) The Company has entered into operating lease on its investment property portfolio consisting of certain Land and Building. Future undiscounted lease payments to be received under operating lease as at 31.03.2025 are as follows:

Particulars	2024-25	2023-24
Less than 1 year	7.11	-
Between 1 and 2 year	7.13	-
Between 2 and 3 year	7.25	-
Between 3 and 4 year	7.56	-
Between 4 and 5 year	5.14	-
Beyond 5 years	1.85	-
Total	36.04	-

Note [46]

Assets and Liabilities are classified between Current and Non-current considering 12 months period as operating Cycle.

Note [47]

The company has no transactions with companies struck off under section 248 of the Companies Act, 2013 or Section 560 of the Companies Act, 1956.

Note [48]

There were no charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period.

Note [49]

The Company is complying with the number of layers prescribed under clause(87) of section 2 of the Act read with Companies (restriction on number of layers) Rules, 2017

Note [50]

No Scheme of Arrangements has been approved by the Competent Authority in terms of sections 230 to 237 of the Companies Act, 2013.

Note [51]

The Company has no transactions that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 which is unrecorded in the books of accounts.

Note [52]

The Company has not traded or invested in Crypto currency or Virtual currency during the financial year.

Note [53]

Figures have been rounded off nearest to ₹ in crore with two decimal.

Note [54]

Previous year's figures have been regrouped/ rearranged wherever considered necessary.

Note [55]

The Board of Directors has authorised to issue the Financial Statements 2024-25 in its meeting held on May 16, 2025.

For and on behalf of Board of Directors



(Yogesh R Chhabra)
Company Secretary
M. No. F 7463



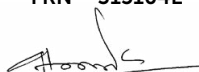
(Rajesh Kumar Dwivedi)
Director Finance & CFO
DIN: 10048893



(K Sadashiv Murthy)
Chairman and Managing Director
DIN: 09184201

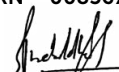
As per our report of even date

For ABP & Associates
Chartered Accountants
FRN – 315104E



(Prabhat Kumar Panda)
Partner
M No. 057140

For PSMG & Associates
Chartered Accountants
FRN – 008567C



(Prabuddha Gupta)
Partner
M. No. 400189

Place : New Delhi
Date : 16th May, 2025



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Financial Performance Trend

Sl. No.	Particulars		2024-25	2023-24	2022-23	2021-22	2020-21
	Order Book (Excluding Taxes)						
	Order Received	₹ in crore	92535	77907	23548	20379	11470
	Orders Outstanding	₹ in crore	196328	131598	91336	90084	89813
A.	Operating Results						
I	Total Income						
	Revenue	₹ in crore	27355	22921	22136	20153	16296
	Other operational income	₹ in crore	984	972	1229	1058	1013
	Revenue from operations (a)	₹ in crore	28339	23893	23365	21211	17308
	Other income (b)	₹ in crore	503	588	515	368	370
	Total (I= a+b)	₹ in crore	28843	24481	23880	21579	17678
II	Operating expenses						
	Material consumption, Bought Out items, Civil, Erection and engineering expenses	₹ in crore	19955	16894	15954	13997	11071
	Consumption of stores & spares	₹ in crore	433	350	404	271	289
	Changes in inventories of FG , WIP & scrap	₹ in crore	(1542)	(437)	(57)	526	511
	Employee benefits expenses	₹ in crore	5923	5629	5701	5517	5372
	Power & Fuel	₹ in crore	491	452	488	415	319
	Other expenses of Mfg, Admn. & S&D	₹ in crore	1816	1534	1466	1355	1480
	Exchange variation (gain) / loss (net)	₹ in crore	(135)	(105)	(460)	(82)	(66)
	Provisions	₹ in crore	158	(1037)	(1083)	(1526)	1467
	Depreciation & amortisation expenses	₹ in crore	272	249	260	314	473
	Finance costs	₹ in crore	748	731	521	355	373
	Total (II)	₹ in crore	28118	24260	23194	21142	21290
III	Operating Profit/(loss) (a-II)	₹ in crore	221	(368)	171	69	(3982)
IV	Profit / (Loss) before tax (I-II)	₹ in crore	725	220	686	437	(3612)
	Tax expense (Net)	₹ in crore	212	(40)	61	27	(894)
V	Profit /(Loss) after tax	₹ in crore	513	260	624	410	(2717)
	Other Comprehensive Income	₹ in crore	(164)	(82)	(17)	77	20
VI	Total comprehensive income	₹ in crore	349	177	607	487	(2697)
	Dividend payout	₹ in crore	174	87	139	139	-
	Dividend distribution tax	₹ in crore	-	-	-	-	-
	EBIT	₹ in crore	1473	952	1207	792	(3239)
	EBITDA	₹ in crore	1745	1201	1468	1106	(2765)
	Cash Flow:						
	From Operating Activities	₹ in crore	(2192)	(3713)	(741)	660	560
	From Investing Activities	₹ in crore	(2731)	1331	1480	(1125)	(43)
	From Financing Activities	₹ in crore	(857)	2656	89	(330)	(393)

Sl. No.	Particulars		2024-25	2023-24	2022-23	2021-22	2020-21
B.	Financial Position (Assets, Equity & Liabilities)						
VII	Assets						
	Property, plant & equipment and intangible assets	₹ in crore	2947	2574	2476	2398	2488
	Investment Property	₹ in crore	0.45	-	-	-	-
	Capital WIP and intangible assets under development	₹ in crore	195	308	354	431	420
	Non-current investments	₹ in crore	672	668	670	670	670
	Other non current assets	₹ in crore	1125	600	492	365	365
	Trade Receivables (Net)	₹ in crore	8931	8010	6544	6229	7213
	Contract Assets (Net)	₹ in crore	29444	26748	26466	26940	24079
	Cash & Bank Balances	₹ in crore	7612	6157	6698	7154	6701
	Inventory	₹ in crore	9869	7221	6756	6560	7191
	Deferred tax assets(Net)	₹ in crore	4068	4201	4247	3530	3660
	Other Current assets	₹ in crore	3615	2927	2652	2432	2913
	Total Assets	₹ in crore	68479	59414	57354	56708	55701
VIII	Equity						
	Equity share capital	₹ in crore	696	696	696	696	696
	Other equity	₹ in crore	24417	24154	24116	26275	25788
	Total Equity	₹ in crore	25113	24851	24812	26971	26484
IX	Liabilities						
	Borrowings	₹ in crore	8795	8808	5385	4745	4834
	Trade Payables	₹ in crore	11712	10832	11962	9882	8559
	Contract Liabilities	₹ in crore	15294	7133	5635	6048	6864
	Other Non current liabilities	₹ in crore	636	471	310	269	295
	Non current provisions	₹ in crore	2586	2489	4101	3771	3913
	Other Current liabilities	₹ in crore	2529	2511	2353	1956	1589
	Current provisions	₹ in crore	1815	2318	2797	3067	3164
	Total liabilities	₹ in crore	43366	34563	32542	29737	29217
X	Total Equity & Liabilities (VIII+IX)	₹ in crore	68479	59414	57354	56708	55701
	Equity shares (Face Value of ₹ 2 each)	Nos.	348	348	348	348	348
	Market Capitalisation as at year end	₹ in crore	75230	86077	24420	17184	16975
	Net worth	₹ in crore	25113	24851	24812	26971	26484
	Net worth (excl. OCI & Capital Reserve)	₹ in crore	25659	25233	25113	27254	26844
XI	Human Resources	Nos	27800	28673	29536	30758	32131
	Executives	Nos	10375	10256	10187	10280	9742
	Non Executives	Nos	17425	18417	19349	20478	22389
XII	Financial Performance Ratios						
1	Return on Net worth	%	2.02	1.03	2.38	1.52	(9.63)
2	EBITDA margin	%	6.05	4.90	6.15	5.12	(15.64)
3	Operating Profit margin	%	0.78	(1.54)	0.73	0.33	(23.01)

Sl. No.	Particulars		2024-25	2023-24	2022-23	2021-22	2020-21
4	Revenue per employee	₹ in lakhs	98	80	75	66	51
5	Revenue per rupee of employee benefit expenses	₹	4.62	4.07	3.88	3.65	3.03
XIII	Balance Sheet Ratios						
1	Current ratio	Ratio	1.51	1.37	1.24	1.30	1.39
2	% liquidation of current year net billing	%	81	78	86	86	82
3	Trade receivable (no. of days)	Days	115	122	102	107	152
4	Inventory (no. of days)	Days	132	115	111	119	161
5	Assets Turnover	Times	0.42	0.41	0.42	0.38	0.32
XIV	Per Share data						
1	Earning per share	(₹)	1.47	0.75	1.79	1.18	(7.80)
2	Net worth per share	(₹)	72.12	71.37	71.26	77.46	76.06
3	Market Price per share (BSE) as at year end	(₹)	216.05	247.20	70.13	49.35	48.75
4	Market Price to Book Value	Ratio	3.00	3.46	0.98	0.64	0.64
XV	Segment Revenue From Operations						
	Power Segment	₹ in crore	20937	18436	18496	16206	12259
	Industry Segment	₹ in crore	7402	5457	4869	5005	5049
	Total	₹ in crore	28339	23893	23365	21211	17308
	Segment Share						
	Power Segment	%	74	77	79	76	71
	Industry Segment	%	26	23	21	24	29

I Previous year's figures have been regrouped / rearranged, wherever considered necessary.

II Figures in () represent negative values.

III Dividend payout is interim dividend and proposed final dividend for the year.

Notes:

1 EBIT = PBT+Finance cost

2 EBITDA = EBIT+Depreciation & Amortisation

3 Return on Net worth = (PAT/Average Net Worth excl. OCI & Capital reserve)*100

4 EBITDA Margin % = EBITDA/Total Income *100

5 Operating Profit Margin = Operating profit/Revenue from operations *100

6 Current ratio = Current Assets/Current liabilities

7 Trade receivable (no. of days) = Trade receivable *365/Revenue from operations

8 Inventory (no. of days) = Inventory *365/Revenue

9 Assets Turnover = Total Revenue/Total Assets

Offerings across major businesses

Coal Based Power Plants

- Complete EPC solutions, including state-of-the-art Emission Control Equipment
- Steam Generators, Steam Turbines, Turbo Generators (TGs), along with regenerative feed cycle, up to 1000 MW unit rating including 350 / 660 / 700 / 800 MW unit ratings sets based on supercritical technology, and up to 600 MW unit rating sets based on subcritical technology
- Water and Air Cooled Condensers, Condensate Extraction Pumps, Boiler Feed Pumps, Duplex Heaters, Valves and Heat Exchangers – meeting requirement of TG Sets up to 1000 MW
- Residual Life Assessment (RLA) of old Thermal Power Plants
- Plant performance improvement and life extension through Renovation and Modernization
- Flexibilisation (Flexi-operations) solution for power plants

Gas-Based Power Plants

- Complete EPC solutions, including Gas turbines and matching generators ranging from 26 MW to 571 MW (ISO) rating with following features:
 - » Gas turbine based co-generation and combined cycle systems for industry and utility applications
 - » Capability to burn a variety of fuels (both gaseous and liquid including Blast Furnace Gas (BFG) & Coke Oven Gas (COG) for applications in the Steel Industry) along with mixed firing in different combinations of fuels
 - » Low exhaust emission levels up to 15 ppm of NOx with Dry Low NOx (DLN) combustors & noise reduction.
- Combined cycle plants up to 838 MW with higher plant efficiencies
- Gas/Oil fired Boilers based Power Plants

Nuclear Power Plants

- Complete EPC solution for TG island of PHWRs (Pressurized Heavy Water Reactors), FBRs (Fast Breeder Reactors) and AHWRs (Advanced Heavy Water Reactors) including Steam Turbine, Turbo Generators, Exciters (Brushless and Static), MSRs (Moisture Separator Reheaters), other heat exchangers and pumps
- Reactor side components like Steam Generators, Reactor Headers, End Shields, special purpose Heat Exchangers, Pressure Vessels, Motors, etc. Along with Installation of Reactor Side Equipment

Hydro Power Plants

- Custom made conventional Hydro Turbines of Kaplan type up to 100 MW, Francis and Pelton types up to 400 MW.
- Custom-made Salient Pole Vertical Synchronous Hydro Generator up to 400 MW with matching excitation system
- Reversible Pump-Turbines for Pumped Storage Plants up to 350 MW, and Fixed Speed Generator-Motor for Pump Storage Plants up to 350 MW
- High capacity pumps up to 200 MW and motor up to 200 MW for Lift Irrigation Schemes (LIS)
- Butterfly, Spherical Valves and Auxiliaries for Hydro Stations
- Mini, Micro and Small Hydro Power Plants up to 25 MW rating
- Bulb turbines up to 10 MW and Horizontal Generator up to 20 MW along with matching generators Excitation System (Static / Brushless)
- Microprocessor based Digital Governing System for all types of Hydro Power Plants
- Balance of Plant (BOP) & System Integration
- Renovation, modernization and uprating of Hydro Power Plants

Solar Power System

- Complete EPC solutions for Solar Photo Voltaic (SPV) Power Plants including:
 - » Grid Interactive systems with & without BESS (Battery Energy Storage System)
 - » Floating Solar Power Plants
 - » Standalone Systems
 - » Roof Top Systems
 - » Hybrid Systems
 - » Canal Top Systems
 - » Erection, commissioning, O&M and consultancy services for all the above systems

Transportation Systems

- Rolling Stock including Electric locomotives, Diesel-Electric locomotives, Semi-High Speed ("Vande Bharat") Trainsets, Track Machines and Diesel Electric Tower Car (DETC)
- Traction Motors and Traction Alternators
- Traction Drive System & Controls
- Traction Transformers
- Maintenance services including Depot management & Rolling stock upkeep

Transmission Systems

- Complete EPC solution for transmission systems
- Extra High Voltage Substations (both Air Insulated Substation (AIS) & Gas Insulated Substation (GIS) types) up to 765kV.
- Ultra High Voltage Direct Current (HVDC) converter stations up to +/- 800kV
- Digital Substation up to 400kV
- Control & protection system
 - » Flexible AC Transmission System (FACTS) Solution
 - » Fixed Series Compensation (FSC)
 - » Controlled Shunt Reactor (CSR)
 - » Phase Shifting Transformer (PST)
 - » Synchronous Condenser

Defence and Aerospace

- Super Rapid Gun Mount (SRGM) / Upgraded SRGM, including life time product support
- IPMS (Integrated Platform Management System) for ships
- Compact Heat Exchangers, Liquid Cooling System & Pump Module for aerospace application
- Space Grade Li-ion cells, Li-ion Batteries and Solar Panels
- Motor Generator sets and Permanent Magnet based motors and generators
- Turbines, Turbo Alternators, Turbo Alternator Turbines, Diesel Alternators, Condensers, Steam Generators, Heat Exchangers & Valves for Naval applications
- Thermopressed Components & Turret Casting for tanks.
- Titanium Domes & Propellant Tanks for Space application.
- System Engineering & Analysis for Naval applications

Industrial Systems

- Complete EPC solutions for Process Packages and Downstream Oil & Gas (DSOG) segment
- Coal Handling Plant and Ash Handling Plant including Civil & Structural, Mechanical, Electrical works and Automation systems
- Mine Winder Systems
- Electrics, Drives, Controls & Automation Systems for Processing & Compacting of Raw Materials, Iron Making, Primary & Secondary Steel Making, Casters & Steel Finishing like Mills & Process lines for both long and flat products
- Raw Material Handling Systems including Civil & Structural, Mechanical, Electrical and Automation systems for steel and other industries
- Electrics & Automation Systems for High Current Rectifiers of Smelters and Processing Mills for Aluminum Plants
- Automated Storage & Retrieval Systems (ASRS)

Energy Storage System & E-Mobility

- Solar based Charging Stations for Electric Vehicles charging
- Complete EPC Solutions for Battery Energy Storage System (BESS)

Hydrogen Power Systems

- PEM Fuel Cell Systems with single stack size of 5KW

Detailed Product Profile is as follows:

Product Profile

Steam Generators

- Steam Generators for utilities, ranging from 30 to 800 MW capacity, using coal, lignite, oil, natural gas or a combination of these fuels; capability to manufacture boilers with supercritical parameters up to 1000 MW unit size
- Circulating Fluidized Bed Combustion (CFBC) Steam Generators, with subcritical parameters up to 350 MW and with supercritical parameters from 151 MW to 660 MW unit size for utilities
- Fuel Flexible boilers capable of all combination of blending / co-firing diverse qualities of imported/ Indian coals, blending of lignite, petcoke, etc.
- Capability for manufacturing and supply of Steam Generators and Reactor Headers for Nuclear Power Plant as per ASME Sec.-III NB Class-1 requirements
- Steam Generators for industrial applications of the following types starting from 40 T/hr. capacity, using coal, natural gas, industrial gases, biomass, lignite, oil, petcoke, bagasse or a combination thereof
 - » Pulverized coal / lignite fired boilers
 - » Stoker fired boilers
 - » Bubbling Fluidized Bed Combustion (BFBC) boilers
 - » Circulating Fluidized Bed Combustion (CFBC) boilers
 - » Heat Recovery Steam Generators (HRSG)
 - » Chemical recovery boilers for paper industry, ranging from capacity of 100 to 1000 T/Day of dry solids
- Expertise and capability in implementing the Biomass co-firing with coal in boilers
- Complete solutions for flexible operation of boilers

Steam Generator Auxiliaries

- Air Preheaters
 - » Tubular Air Preheaters
 - » Rotary regenerative Air Preheaters (different types like Bisector, Tri Sector and Quad Sector)

- Air Quality Control System (AQCS)
 - Particulate Emission Control
 - » Electrostatic Precipitators with outlet emission as low as 15 mg/Nm³ (efficiency up to 99.97%)
 - » Bag Filters for utility and industrial applications
 - » Ammonia Flue Gas Conditioning System
- Steel Chimneys
 - » Steel Chimneys for flue gas exhaust applications with maximum height of 80 m and inner diameter up to 6.5 m
- Fans
 - » Axial reaction fans of single stage and double stage for clean air application and dust laden hot gases applications up to 200°C, with capacity ranging from 40 to 1300 m³/s and pressure ranging from 400 to 1,500 mmwc
 - » Single and double-suction radial fans (plate aerofoil bladed) for clean air and dust-laden hot gases applications up to 400°C, with capacity ranging from 4 to 660 m³/s and pressure ranging from 200 to 3,000 mmwc
- Pulverizers
 - » Bowl Mills of slow and medium speed (for both pressurised & suction environment) with capacity from 10 T/hr to 120 T/hr
 - » Ball Tube Mills from 30 T/hr to 110 T/hr
- Guillotine Gates & Dampers
 - » Guillotine gates with electric/ pneumatic actuator. 100% leak proof with seal air (Maximum Width/ Height): Type 1: 7m/14.5m, Type 2: 14.6m/4.5m, Type 3: 11.5m/6.5m
 - » Bi-plane dampers with electric/ pneumatic actuator. 100% leak proof with seal air (Maximum Width/ Height): Type-1: 7m/14.5m, Type-2: 12m/10.5m
 - » Louver dampers (open close/ regulating) with electric/ pneumatic actuator (Maximum Width/ Height): Type-1: 6.5m/14.5m, Type-2: 12m/10.5m
 - » Control dampers (regulating) with electric/ pneumatic actuator (Maximum Width/ Height): Type-1: 6.5m/14.5m, Type-2: 12m/10.5m
- Flue Gas Desulphurization (FGD) systems
 - » Wet Limestone & Seawater based FGD systems
 - » Absorber – DCFS (Double Contact Flow Scrubber) Technology
 - » Wet Limestone FGD – Single & Twin Tower Absorber
 - » Seawater FGD – Grid Tower Absorber
 - » Absorber with & without Gas to Gas Heater
 - » FGD with SO₂ efficiency of 99.9%
- De NOx solutions

» In-furnace combustion control solutions to reduce NOx emission.

- Selective Catalytic Reduction (SCR) systems (Honeycomb & Plate type) for NOx emission control.
- SCR Plate Type Catalyst for NOx emission control.
- Flexible operation of boilers for achieving 70-100% Turbine Maximum Continuous Rating (TMCR) at 3%/minute ramp rate, 55-70 % TMCR at 2%/minute ramp rate and 40-55% TMCR at 1%/minute ramp rate as per CEA guidelines.

Soot Blowers

- Long Retractable Soot Blowers (LRSB) for travel up to 12.2 m
- Wall blowers (Water wall deslaggers) for water wall furnace area.
- Furnace Temperature Probe (FTP) for travel length up to 10m
- Long Retractable Non-Rotating (LRNR) soot blowers with forward blowing for Air Pre Heaters
- Rotary Soot Blowers
- Rack type Long Retractable Soot Blowers
- Ash discharge valve for CFBC boiler application
- Soot Blowers with sequential PLC, control panel and integral starter

Valves

- High and low-pressure Turbines Bypass Valves & hydraulic system for utilities and industrial application
- High and medium-pressure Valves, Cast and Forged Steel Valves of Gate, Globe, Non- Return (Swing- Check and Piston Lift-Check) types for steam, oil and gas duties up to 950 mm diameter, maximum pressure class 4500 (791 kg/cm²) and 650°C temperature
- Hot reheat and cold reheat Isolating Devices up to 900 mm pipe size class 1500 and steam temperature up to -650°C
- High capacity Spring Loaded Safety Valves for set pressure up to 372 kg/cm² and temperature up to -630°C
- Automatic electrically operated Pressure Relief Valves for set pressure up to 320 kg/cm² and temperature up to -610°C
- Safety relief valves for set pressure up to 421 kg/cm² and temperature up to 537°C
- Reactive cum absorptive type vent Silencers maximum diameter of 2700 mm
- Direct Water Level Gauges
- Angle Drain Valves - Single & Multi Stage for Turbine Drain Application
- Severe Service Control Valves for Re-Heater & Super Heater Spray Lines
- Quick Closing Non-Return Valves for Extraction lines

and Power Assisted Non-Return Valves, up to 900 mm diameter, 158 kg/cm² pressure and 540°C temperature

- Knife Edge Gate Valve of size 1300 mm & 1400 mm diameter for FGD applications

Piping Systems

- Power cycle piping, Constant Load Hangers, Variable Spring Hangers, Hanger components, Low Pressure piping including circulating water piping for power stations up to 1000 MW capacity including Super Critical sets
- Piping systems for Nuclear Power Stations, Combined Cycle Power Plants & Industrial boilers and process industries
- Prefabricated piping/ duct spools to cater to refinery segment complying with National Association of Corrosion Engineers (NACE) requirements

Seamless Steel Tubes

- Hot-finished and cold-drawn seamless steel tubes with a range varying from outer diameter of 21 to 133 mm and wall thickness of 2 to 12.5 mm, in carbon steel and low-alloy steels to suit ASTM/ASME and other international specifications
- Rifled tubes (ribbed) with a range varying from tube outer diameter of 38.1 to 63.5 mm and wall thickness of 5.6 mm to 7.1 mm, in carbon steel and low-alloy steels to suit ASME and other international specifications
- Spiral finned tubes with a range varying from tube outer diameter of 31.8 to 114.3 mm and wall thickness of 2.4 mm to 9.5 mm and with fin height of 12.5 mm to 21 mm and fin density ranges from 40 to 240 fins per meter, in carbon steel and alloy steels to suit ASME standards

Pressurized Fluidized Bed Gasifier (PFBG) (Coal to Chemicals)

- PFBG technology for the gasification of coals including lignite to generate Syngas and other products
- High-Pressure Oxy-blown coal gasifier of single unit capacity up to 2500 Tonnes per day, capable of producing syngas, to meet the following applications:
 - » Hydrogen/Ammonia/Ammonium Nitrate
 - » Methanol/Dimethyl Ether
 - » Direct reduction of Iron ore
 - » Power through IGCC
 - » Synthetic Natural Gas

Steam Turbines

- Steam Turbines up to 1000 MW unit rating, including 350/660/700/800 MW unit rating sets based on supercritical technology and up to 600 MW unit rating

sets based on subcritical technology

- Steam Turbines up to 700 MWe ratings for Nuclear Power Plants
- 15000 HP Turbines for Marine Propulsion

Gas Turbines

- Gas Turbines from 26 MW (Fr-5) to 571 MW (Fr-9HA.02) with versatile fuel burning capability (gaseous and liquid, including BFG and COG for Steel Industry applications), mixed fuel firing options, low exhaust emission levels (up to 15ppm of NOx) through Dry Low NOx (DLN) combustors, along with noise reduction

Turbo Generators

- Air, Hydrogen and Hydrogen/ Water cooled Turbo Generators up to 1000 MW unit rating along with related Auxiliary systems for Thermal/Gas Power Plants
- Air cooled up to 200 MW rating
- Hydrogen cooled up to 300 MW rating
- Hydrogen/Water cooled up to 1000 MW rating
- Generators for CCPP applications
- Generators up to 700 MWe for Nuclear Power Plants
- Generator Cooling System: Air, Hydrogen, Hydrogen/ Water
- Excitation System: Brushless /Static
- Auxiliary Systems: Primary Water System, Seal Oil System, Gas System, etc.

Hydro Power Plants

- Francis and Pelton type Hydro Turbines up to 400 MW unit size
- Kaplan type Hydro Turbines up to 100 MW unit size
- Bulb type Hydro Turbines up to 10 MW unit size
- Salient Pole Vertical Synchronous Hydro Generator up to 400 MW unit size
- Horizontal Generator up to 20 MW unit size
- Reversible Pump-Turbines and Fixed Speed Generator-Motor up to 350 MW for Pump Storage Plants (PSP)
- High capacity Pump & Motor up to 200 MW for Lift Irrigation Schemes (LIS)

Industrial Sets

- Steam Turbine based Captive Power Plants (Non Reheat & Reheat Units)
 - » Steam Turbine-Generator(STG)/ Boiler/ Boiler Turbine -Generator (BTG)/Engineering Procurement Construction (EPC): Unit rating up to 200 MW
 - » Non Reheat up to 120 MW unit rating

- » Reheat from 70 MW to 200 MW unit rating
- Steam Turbine to Mechanical drives like Compressors, Pump, Blowers, Marine Propulsion etc.
- Top Recovery Turbines (TRT) to meet the needs of Integrated Steel Plants
- Gas Turbine based Captive Power Plants GTG/ HRSG/ EPC: 26 MW (Fr-5) to 571 MW (Fr-9HA.02)
- Process Packages/Equipment/Solutions for the Downstream Oil & Gas (DSOG) segment

Castings and Forgings

- Steel Castings right from 0.5 MT up to 61 MT single piece and cast-fabricated Castings up to 120 MT weight and Forgings up to 36 MT in different material grades viz. Plain Carbon, Creep Resistant, Stainless Steel, Super Critical steels and Advanced Ultra Super Critical Alloy 625

Condenser and Heat Exchangers

- Surface Condenser
 - » For Thermal Power Plants up to 1000 MW
 - » For Nuclear Power Plants up to 700 MWe
 - » 12.5 MW Marine applications
 - » Industrial Condensers
- Air Cooled Condenser for 660 and 800 MW Thermal Power Plants
- Feed Water Heaters (High Pressure Heaters, Low Pressure Heaters, Duplex Heater, De-Super Heaters, etc.) including retrofitting of Non-BHEL heaters
 - » Thermal from 7 to 600 MW (sub-critical) & 350 to 1000 MW (super critical with single stream)
 - » Nuclear: 220 MWe, 500 MWe & 700 MWe
 - » Industrial applications from 7 MW to 150 MW
- Moisture Separator & Reheater (MSR)
 - » Nuclear: 220 MWe, 500 MWe & 700 MWe
- Live Steam Reheater (LSR)
 - » 500 MW Fast Breeder Reactor (FBR) Nuclear sets
- D₂O and Moderator Heat Exchangers for Nuclear primary cycle
- Auxiliary Heat Exchangers for Turbo and Hydro Generators
 - » Air Coolers (Frame & Tube Type)
 - » Oil Coolers (Shell & Tube Type and Plug in Type)
 - » Hydrogen Coolers (Frame & Tube Type)
- Transformer Oil Coolers
 - » Shell & Tube Type: Single Tube or Concentric Double Tube Type

- » Frame & Tube Type: OFAF (Oil Forced/Air Forced) with L-fin Tubes
- Air cooler for defence applications
 - » Shell & Tube Type
 - » CACW (Closed Air Circuit, Water Cooled) Type
- Butterfly Valves & Rubber Expansion joints for water application from 400NB to 2800NB
- Flash Tanks & Misc. Tanks for oil & water storage
- Auxiliary Heat Exchangers for Transformers
 - » Oil Coolers (Shell (Frame) & Tube Type Single Tube or Concentric Double Tube Type)
- Drain Coolers
 - » Thermal from 7 to 600 MW (sub-critical) & 350 to 1000 MW (super critical with single stream)
 - » Nuclear: 220 MWe, 500 MWe & 700 MWe
 - » Industrial applications up to 150 MW
- Auxiliary Heat Exchangers for general application and for Downstream Oil & Gas (DSOG) application
 - » Water - Water Coolers (Shell & Tube Type)
- Gland steam condensers
 - » Industrial applications from 7 MW to 150 MW
 - » Thermal Plants up to 1000 MW
 - » Nuclear Plants up to 700 MWe
- Air-cooled heat exchangers for GTG up to 126 MW (Fr-9E), and Compressor applications of all ratings for Downstream Oil & Gas (DSOG) application
 - » Steam jet air ejectors for condensers up to 150 MW
 - » Deaerators from 7 MW to 1000 MW
 - » Gas coolers for compressor applications
 - » Oil coolers- STG up to 150 MW, GTG up to 126 MW (Fr-9E)
 - » Generator air coolers up to 150 MW STG and GTG up to 250 MW (9 FA)

Pumps

- Pumps for various utility power plant applications up to a capacity of 1000 MW:
 - » Boiler Feed Pumps (motor or steam turbine driven) and Boiler Feed Booster Pumps
 - » Condensate Extraction Pumps including Drip Pumps
 - » Circulating Water Pumps (Cooling Water Pumps)
 - » Concrete Volute Cooling Water Pumps
 - » Pumps (including BFP) for Secondary Side of Nuclear Power Plants up to 700 MWe ratings
 - » Slurry Recirculation Pumps for FGD Applications

Compressors

- Complete range of Centrifugal compressors as per API 617 (driven by Steam Turbine, Electric Motor (VFD/ VSD) and Gas Turbine) along with auxiliary systems for all major compression applications in various industries like Refineries, Fertilizers, Petrochemicals, Oil & Gas, Steel, Power and Natural Gas Transportation sectors
- Compressor packages for capacity up to 3,00,000 m³/hr for various gases like Air, CO, Syngas, N₂, H₂, NH₃, Natural Gas, Wet Gas, Propylene and other services
- Horizontally split type up to 40 bar design pressure
- Vertically split type up to 350 bar design pressure
- Oxidation Blowers for FGD Applications

Solar Photovoltaics

- Multi Crystalline Solar cells
- Multi Crystalline/ Mono-PERC PV Modules (up to 400 Wp)
- Solar Inverter for utility and railway traction application
- Power Transformers (15 MVA and above)
- Passive Solar Tracking System
- Space Grade Solar Panels

Automation and Control Systems

- Steam Generator/Boiler Controls including Boiler Protection
- Control & Protection Systems for Turbine & Generator for power plants
- Boiler Feed Pump (BFP) Drive Turbine Control
- Station Control and Instrumentation/DCS
- Automatic Generator Controls
- Vibration Monitoring System
- Offsite/ Off base controls/ Balance of Plant Controls
 - ◇ Ash Handling Plant (AHP)
 - ◇ Coal Handling Plant(CHP)
 - ◇ Water System for power plant
 - ◇ Mill Reject System (MRS)
 - ◇ Condensate On-Load Tube Cleaning system (COLTCS)
 - ◇ Gas Booster Compressor (GBC)
 - ◇ Condensate Polishing Unit (CPU)
 - ◇ Heating, Ventilation & Air Conditioning (HVAC)
 - ◇ Fuel Oil Unloading System (FOUS)
- Hydro Power Plant Control System
- Gas Turbine Control System
- Nuclear Power Plant Primary Cycle Control Centre Instrumentation Package (CCIP)

- Nuclear Power Plant Turbine & Secondary Cycle Control System
- Power Block of Solar Thermal Power Plant
- Industrial Automation
- Sub-Station Automation (SAS)
- Non-FST HVDC control panels
- Electrical Control System (ECS) for Refineries
- Energy Management System (EMS) for Power Plant
- Electrical Interface System for MV/LV Switchgear
- Electrical Interface System for Generator Synchronization

Transmission Systems

- Sub-stations/switchyards both AIS & GIS type ranging from 33 kV to 765 kV
- HVDC transmission systems up to ± 800 kV
- Digital Substation
- Flexible AC Transmission System (FACTS) solutions
 - » Fixed Series Compensation (FSC)
 - » Controlled Shunt Reactor (CSR)
 - » Phase Shifting Transformer (PST)
 - » Synchronous Condenser
- Power System Studies

Software System Solution

- Performance Analysis, Diagnostics & Optimization (PADO) for Thermal Utilities
- Performance Calculation & Optimization system and Real Time Performance Data Monitoring system
- Open Platform Communications (OPC) connectivity from DCS to third party systems
- Enterprise Asset Management System (EAMS)
- Operator Training Simulator
- Remote Monitoring & Diagnostic System (RMDS)
- Software for electrical system analysis (load flow /short circuit/motor starting studies/grounding studies/relay co-ordination)

Switchgear

- Medium Voltage Vacuum Switchgear for indoor and outdoor applications for voltage ratings up to 36 kV and Gas Insulated Switchgears up to 420 kV
 - » Indoor Switchgears
 - ◇ Up to 12 kV, 50 kA, 4000 A for thermal, nuclear, hydro and combined cycle power plant projects
 - ◇ Up to 36 kV, 31.5 kA, 2500 A for industries, solar power plants and refineries

- ◊ Compact switchgear 12 kV, 26.3 kA, 1250 A for distribution system
- » Outdoor Vacuum Circuit Breakers
 - ◊ 12 kV, 26.3 kA, 1250 A for distribution segment
 - ◊ 36 kV, 26.3 kA, 2000 A for distribution segment
 - ◊ 25 kV & 52 kV (2x25 kV) Vacuum Interrupters and Vacuum Circuit Breakers for track side railway applications
- » Gas Insulated Switchgears
 - ◊ 36 kV, 40 kA, 2500 A for Refineries, Urban Distribution & Industries (Single Busbar & Double Busbar designs)
 - ◊ 420 kV, 40 kA, 3150 A for transmission sector (hydro station/ thermal power plant/ other substations)
 - ◊ 420 kV Gas Insulated Bus ducts

- Instrument transformers
 - » Dead Tank Current Transformers up to 800 kV
 - » Live Tank Current Transformer up to 400 kV
 - » Electro-magnetic Voltage Transformers up to 220 kV
 - » Capacitor Voltage Transformers (33 kV to 1200 kV)
 - » Polymer Insulator Capacitor Voltage Transformers up to 400kV
 - » 24 kV PR Class Current Transformer for HVDC Projects
- Special transformers
 - » Rectifier transformer (up to 120 kA, 132 kV)
 - » Furnace transformer (up to 33 kV, 100 MVA)
- ESP transformers up to 95 kVp, 1600 mA
- Dry type transformers up to 15 MVA, 36 kV
- Composite Monitoring System for Power Transformers

On Load Tap Changers (OLTC)

- On Load Tap Changer up to 765 kV class Transformer & Off Circuit Tap Switch up to 765 kV, 500 MVA class Transformer for various application like Power Transformer, Furnace Transformer, Station Transformer, Rectifier Transformer, etc.

L T Switchgear & Bus Ducts

- Generator Bus-ducts (IPBD) with associated equipment to suit generator power output of utilities of up to 800 MW capacity
- 415 V LT Switchgear for Thermal, Hydro, Nuclear, Captive Power Plants & steel industry

Transformers & Reactors

- Power transformers for voltage up to 1200 kV
 - » Generator transformers (up to 600 MVA, 420 kV, 3 Ph/ 400 MVA, 765 kV, 1 Ph/ 500 MVA, 420 kV, 1 Ph)
 - » Autotransformers (up to 1000 MVA, 400 kV, 3Ph/ 600 MVA, 400 kV, 1 Ph/ 500 MVA, 765 kV, 1 Ph / 1000 MVA, 1200 kV, 1 Ph)
- Converter Transformers / Smoothing Reactors (up to 600 MVA, ± 800 kV) / (up to 254 MVar, ± 500 kV) for HVDC transmission
- Shunt Reactors (up to 150 MVar, 420 kV, 3 Ph / 110 MVar, 765 kV, 1 Ph)
- Controlled Shunt Reactors (up to 200 MVar, 420 kV, 3 Ph/ 200 MVar, 420 kV, 1 Ph/ 200 MVar, 765 kV, 1 Ph) for Flexible AC Transmission system applications
- Phase Shifting Transformers (up to 500 MVA, 400 kV, 3 Ph/ up to 500 MVA 400 kV, 1 Ph) for transmission lines

Capacitors

- H. T. Capacitors
 - » Shunt, Series & Static VAR Compensation (SVC), Harmonic filter & HVDC applications (3.3 kV to 500 kV, 1 Ph/ 3 Ph capacitor banks)
- Capacitor Divider for CVT (33 kV to 1200 kV)
- Coupling Capacitor (33 kV to 800 kV, 4400 pF to 13200 pF) for transmission lines
- Surge Capacitor for protection of Generators & Transformers (11 kV to 40 kV)

Bushings

- Oil Impregnated Paper (OIP) condenser bushings 52 kV to 800 kV for transformer applications
- 25 kV Locomotive bushings
- Wall bushings up to 245 kV

Control Gear

- Electronic controllers for ESPs in industries/ power plants
- Digital Static Excitation control system (2000 A, 400 V DC with redundant thyristor stacks & DC field breaker)
- Large current rectifiers with PLC Based digital controls
- Control & Protection Panels (up to 400 kV) For EHV Transmission projects
- Integrated excitation and protection panels for Synchronous Generator
- Digital Electro Hydraulic Governor (EHG) for Hydro Power Projects

Insulators and Ceramics

- Porcelain Insulators
 - » Hollow insulators up to 765 kV for Transformers and SF6 circuit breakers
 - » Solid core insulators up to 400 kV Bus Post & Isolators for Transmission and Substation applications
- Composite Long Rod Insulators
 - » Up to ± 800 kV, 420 kN for HVDC application
 - » Up to 765 kV, 210 kN for HVAC application
 - » Traction Insulators Stay Arm, Bracket and 9 Ton Insulators for Indian Railways
- Composite Hollow Insulators
 - » Up to 400 kV for CT Housing Application
- Ceramic Lining (CERALIN) wear resistant material for Thermal Power Plant & Ash Slurry Application
- Industrial and Special Ceramics
 - » Electronic Water Level Indicators (EWLI) used in Boiler Drum Water Level Monitoring (BHELVISION system)
 - » Ceramic and Tungsten Carbide Flow Beans for Christmas Tree Valves
 - » Grinding Media for Pulverizing in Thermal Power Plant
 - » GBT Insulators for Traction Convertor
 - » Ceramic Pouring Tube for Rail Wheel Casting

Electrical Machines

- AC Machines for Safe Area Application
 - » Squirrel cage induction motors 150 kW to 22000 kW
 - » Slip ring induction motors 150 kW to 10000 kW
 - » Synchronous generators 1000 kW to 25000 kW
 - » Synchronous motors 1000 kW to 15000 kW
 - » Variable speed motors 150 kW to 19000 kW (Squirrel cage motors)
 - » Variable speed synchronous motors 1000 kW to 12000 kW
- AC Machines for Hazardous Area Application (Fixed speed or with VFD)
 - » Flame-proof squirrel cage induction motors (Ex 'd') (150 kW to 2000 kW)
 - » Non-sparking squirrel cage induction motors (Ex 'ec') (150 kW to 22000 kW)
 - » Increased safety squirrel cage induction motors (Ex 'eb') (150 kW to 4000 kW)
 - » Pressurized squirrel cage induction motors (Ex 'p') (150 kW to 22000 kW)
 - » Pressurized synchronous machines (Ex 'p') (1000 kW to 12000kW)

- Industrial Alternators (Steam turbine, Gas turbine and Diesel engine driven) (3000 kVA to 31250 kVA)
- Vertical Motors for Primary Coolant Pumps for Nuclear Power Plants
- 2 Pole Air cooled Steam/Gas Turbine driven Generators (3 MW to 160 MW)
- 4 Pole Air cooled Steam/Gas Turbine driven Generators (3 MW to 40 MW)
- 2 Pole Hydrogen cooled Steam/Gas Turbine driven Generators (36 MW to 270 MW)
- 200 kW HTSC Motor for Marine applications
- Permanent Magnet Based Generators and Motors up to 5 MW
- Permanent Magnet based Axial Flux Motors
- Gas Turbine Generators up to 270 MW

Rail Transportation

Transportation Systems

- Semi High Speed Trainset (Vande Bharat)
- AC Electric Locomotives (up to 9000 HP, 25 kV AC)
- AC-DC Dual Voltage Electric Locomotives
- Hybrid and Alternate Fuel Locomotives
- AC EMU (Electric Multiple Units) Coaches
- Traction Propulsion Systems for:
 - » 6000 HP and 9000 HP IGBT based AC Locomotive
 - » 3-phase IGBT based AC Electric Multiple Unit (EMU) and Mainline Electric Multiple Unit (MEMU)
 - » Air-conditioned Electric Multiple Units (ACEMU)
 - » Conventional EMU/MEMUs
 - » Semi High Speed Trainset (Vande Bharat)
 - » 1600 HP IGBT based DEMU (Diesel Electric Multiple Unit)
 - » Kolkata Metro train (DC-DC, DC-AC)
 - » 1600 HP Multi-genset Locomotive
- WAG7 Locomotive with Regenerative Braking System
- Diesel Electric Tower Car
- Diesel Electric Shunting Locomotives (up to 1400 HP)
- OHE recording-cum-test car
- Dynamic track stabilizers
- Rail cum Road vehicle
- IIoT solution for Rail Application
- TCMS (Train Control & Monitoring System) Panels

Transportation Equipment

- Traction Converter & Auxiliary Converter
- Vehicle Control Electronics
- Hotel Load Converter
- Composite Converter comprising Traction Converter and Hotel Load Converter
- Motorized bogies for mainline locos & Vande Bharat
- Traction Transformer
 - » Up to 5400 kVA for conventional locomotives
 - » Up to 9000 kVA for 3 phase drive locomotives
 - » Up to 1200 kVA conventional AC EMU/MEMU
 - » Up to 1578 kVA for 3 phase EMU
- 3-phase AC Traction Motors (axle hung /fully suspended type) up to 1200 kW for locomotives, train set & EMU application
- DC Traction Motors up to 630 kW for locomotives & EMUs
- Traction Alternators up to 3860 kW for Diesel Electric Locomotives
- Electrics for Cape Gauge application of 3300 HP
- DC Blower motors up to 50 kW for dynamic braking system
- Motor Generator sets up to 25 kW for auxiliary requirements
- Eddy Current Clutch
- Traction gears and pinions for Locomotives & EMUs
- Specialized Wagons (up to 28 axles, 296 Ton)
- Railway Track Electrification
- Wheel and Axle machining

Defence and Aerospace

- Super Rapid Gun Mount (SRGM) / Upgraded SRGM, including life time product support
- IPMS (Integrated Platform Management System) for ships
- Compact Heat Exchangers, Liquid Cooling System & Pump Module for aerospace application
- Space Grade Li-ion cells, Li-ion Batteries and Solar Panels
- Motor Generator sets and Permanent Magnet based motors and generators
- Turbines, Turbo Alternators, Turbo Alternator Turbines, Diesel Alternators, Condensers, Steam Generators, Heat Exchangers & Valves for Naval applications
- Thermopressed Components & Turret Casting for tanks.
- Titanium Domes & Propellant Tanks for Space application.
- System Engineering & Analysis for Naval applications.

Energy Storage System & E- Mobility

- DC Fast Chargers for Electric Vehicles
- Complete EPC solutions for Battery Energy Storage systems

Oil Field Equipment

- Oil Rigs – On-shore drilling rigs with AC-VFD and AC-SCR technology for drilling up to depths of 9000 meters, work-over rigs for servicing up to depths of 6100 meters, mobile rigs for drilling up to depths of 3000 meters, complete with matching draw-works and hoisting equipment including:
 - » Mast and Substructure
 - » Rotating Equipment: Drawworks; Rotary; Swivels; Travelling Blocks
 - » Independent Rotary Drive (IRD) Unit
 - » Dead Line Anchor
 - » Mud System including pumps
 - » Triplex Mud Pumps 5000 PSI Working Pressure
 - » Mud processing equipment: Degasser, Desander
 - » Sucker Rod Pump (Beam Pump Structure & Pumping Unit Gear Reducer)
 - » Refurbishment and upgradation of Oil Rigs
 - » Fail safe braking system for AC SCR-DC Drawworks
 - » 3-phase Oil Rig motor up to 1150 HP (for Drawworks, Mud Pump, Drilling)
 - » Oil Rig motors up to 1000 HP (for Drawworks, Mud Pump, Drilling)
 - » Oil Rig alternators up to 1750 kVA (for AC Power Pack)
 - » AC/ DC Power Control Room for E760, E1400, E2000 & E3000 Rig
 - » AC Power Pack up to 1430 kVA for DG sets
 - › AC Control Module
 - › DC Control Module
 - » Driller's Console up to 3 Mud Pumps, IRD & Drawwork control & monitoring, load rating (0-1800 A, 0-1000 V)
 - » Mobile Lighting Tower, Rig Lighting Tower
 - » AC-VFD Controls for AC Rigs
 - » STATCOM for power factor improvement in AC SCR Rigs
- Well heads and X-mas Trees up to 15000 psi, Mud Line Suspension, Choke and Kill Manifold, CBM Wellheads, Mud valves

Fabricated Equipment and Mechanical Packages

- Cryogenic storage tanks, Mounded storage systems and storage spheres
- Pressure Vessels, Columns, Reactors/Separators, Heat Exchangers
- Fired Heaters
- Purge Gas Recovery Unit
- Pressure Vacuum Swing Adsorption (PVSA) Oxygen System (MO₂) for medical applications
- Gear Box
 - » Accessory & Load Gear Box for Gas Turbine Application
 - » Gear box for Steam Turbine Application
 - » Gear box for Boiler Feed Pump Drive Turbine (BFP DT) Application
 - » Gear box for Air Cooled Condenser (ACC) fan Application
 - » Gear box for Sucker Rod Pump (SRP) Application
 - » Gear box for Independent Rotary Drive (IRD)
 - » Gear box for AC Drawworks
 - » Gear box for compressor drive application

Industry 4.0

- Remote Monitoring and Diagnostics System (RMDS) to provide plant wide operational and advisory support.
- KAMPAN 1.0 & Specialized Remote Vibration Diagnostic & Condition Monitoring System (RVDS) for continuous health monitoring for the critical main TG set, operating on a 24x7 basis, achieved through online remote monitoring of vibration and essential parameters of rotating equipment.
- Plant Automation Live Monitoring(PALM) an Android app for real-time remote monitoring of process parameters, featuring user-friendly schematics and graphical representations.
- Automatic Generation Control (AGC) is a system for adjusting the power output of multiple generators at different power plants, in response to changes in the load.
- Smart Project Management System (SPMS) for Tracking Man, Material and Machine using IIOT

Glossary & Abbreviations

ACC	Advanced Chemistry Cell
ADA	Aeronautical Development Agency
AIS	Air Insulated Switchgear
AMNS	Arcelor Mittal and Nippon Steel
APGENCO	Andhra Pradesh Power Generation Corporation Limited
APPDCL	Andhra Pradesh Power Development Company Limited
ARAI	Automotive Research Association of India
ASSCP	Amorphous Silicon Solar Cell Plant
AUSC	Advanced Ultra Super Critical
BAP	Boiler Auxiliaries Plant
BARC	Bhabha Atomic Research Centre
BESS	Battery Energy Storage System
BCGCL	Bharat Coal Gasification and Chemicals Ltd
BGGTS	BHEL-GE Gas Turbine Services Private Limited
BLAC	Board Level Audit Committee
BLW	Banaras Locomotives Works
BOOM	Build-Own-Operate-Maintain
BoP	Balance of Plant
BQMM	BHEL Quality Maturity Model
BTG	Boiler Turbine Generator
CASDIC	Combat Aircraft Systems Development & Integration Centre
CBI	Central Bureau of Investigation
CDSL	Central Depository Services (India) Limited
CEFC	Common Engineering Facility Centre
CERT	Computer Emergency Response Team
CET	Centre for Electric Transportation
CFBC	Circulating Fluidised Bed Combustion
CFFP	Central Foundry Forge Plant
CFP	Component Fabrication Plant
CFS	Consolidated Financial Statement
CIL	Coal India Ltd
CIRO	Chief Investor Relationship Officer
CLW	Chittaranjan Locomotive Works
CPGRAMS	Centralised Public Grievance Redress and Monitoring System
CPIO	Central Public Information Officer
CSPGCL	Chhattisgarh State Power Generation Company
CSR	Corporate Social Responsibility
CTI	Ceramic Technological Institute
CVC	Central Vigilance Commission

CVO	Chief Vigilance Officer
DC	Designated consumers
DESL	Diesel Electric Shunting Locomotive
DME	Di-Methyl Ether
DPE	Department of Public Enterprises
DSOG	Downstream Oil & Gas Sector
DVC	Damodar Valley Corporation
EAF	Electric Arc Furnace
ECL	Expected Credit Losses
ECS	Environment Control System
ED	Executive Director
EDN	Electronics Division
EDR	Endpoint Detection and Response
EE	Energy Efficiency
EFQM	European Foundation for Quality Management
EHS	Electro Hydraulic System
EHV	Extra High Voltage
EMRP	Electrical Machine Repair Plant
EMS	Environment Management System
EMU	Electric Multiple Unit
ENCON	Energy Conservation
EPC	Engineering, Procurement & Construction
EPR	Extended Producer Responsibility
ESD	Electronics Systems Division
ESES	Employee Satisfaction and Engagement Survey
ESG	Environmental, Social & Governance
ETP	Effluent Treatment Plants
FAME	Faster Adoption and Manufacturing of Electric and Hybrid Vehicles
FSI	Frequency Severity Index
FSIP	Fabrication, Stamping & Insulator Plant
GIS	Gas Insulated Switchgear
GSECL	Gujarat State Electricity Corporation Limited
HAL	Hindustan Aeronautics Ltd
HEEP	Heavy Electrical Equipment Plant
HEP	Heavy Electrical Plant
HERP	Heavy Equipment Repair Plant
HIL	Hardware in the Loop
HIRA	Hazard Identification and Risk Assessment
HPBP	High Pressure Boiler Plant

Glossary & Abbreviations

HPEP	Heavy Power Equipment Plant
HPVP	Heavy Plates & Vessels Plant
HRSG	Heat Recovery Steam Generators
HSE	Health, Safety and Environment
HVAC	High Voltage Alternating Current
HVDC	High Voltage Direct Current
HVF	Heavy Vehicles Factory
HVOF	High Velocity Oxygen Fuel
IBC	Insolvency and Bankruptcy Code
ICAI	The Institute of Chartered Accountants of India
ICC	Internal Complaints Committee
ICQCC	International Convention on Quality Control Circles
IDP	Individual Development Plans
IEM	Independent External Monitors
IER	International Energy Resources
IFC	Internal Financial Control
IGBT	Insulated-Gate Bipolar Transistor
IICA	Indian Institute of Corporate Affairs
IOCL	Indian Oil Corporation Ltd
IPMS	Integrated Platform Management System
IPR	Intellectual Property Right
IPS	Intrusion Prevention Systems
IR	Indian Railway
ISIN	International Securities Identification Number
ISMS	Information Security Management System
ISRO	Indian Space Research Organisation
IVP	Industrial Valves Plant
JSA	Job Safety Analysis
JSL	Jindal Stainless Ltd.
KAMPAN	Key to vibration Analysis and Monitoring for Plant
KMP	Key Management Personnel
KPCL	Karnataka Power Corporation Limited
LCA	Light Combat Aircraft
LCC	Line-Commutated Converters
LCS	Liquid Cooling System
LIS	Lift Irrigation Scheme
LODR	Listing Obligations and Disclosure Requirements
LTIFR	Lost Time Injury Frequency Rate
MAHAGENCO	Maharashtra State Power Generation Company Limited

MEMU	Mainline Electric Multiple Unit
MFC	Main Fractionator Column
MHI	Ministry of Heavy Industries
MoD	Ministry of Defence
MoP	Ministry of Power
MSE	Micro and Small Enterprises
MSETCL	Maharashtra State Electricity Transmission Company
MSME	Micro, Small and Medium Enterprises
NABL	National Accreditation Board for Testing and Calibration Laboratories
NAL	National Aerospace Laboratories
NALCO	National Aluminium Company Ltd.
NBPPL	NTPC BHEL Power Projects Private Limited
NCIIPC	National Critical Information Infrastructure Protection Centre
NDC	Nationally Determined Contribution
NEMMP	National Electric Mobility Mission Plan
NEP	National Electricity Plan
NGOPV	Next-Generation Offshore Patrol Vessels
NPA	Network Private Access
NRC	Nomination & Remuneration Committee
NRP	National Rail Plan
NSDL	National Securities Depository Limited
NSP	National Steel Policy
OA	Operational availability
OCT	Optical Current Transformer
OEM	Original Equipment Manufacturer
OHSMS	Occupation Health and Safety Management System
PALM	Plant Automation and Live Monitoring
PAT	Performance, Achieve and Trade
PCRI	Pollution Control & Research Institute
PEMFC	PEM Fuel Cell
PFBG	Pressurized Fluidized Bed Gasification
PLF	Plant Load Factor
PLI	Production Linked Incentive
PM e-drive	PM Electric Drive Revolution in Innovative Vehicle Enhancement
PPE	Property, plant and equipment
PPIL	Powerplant Performance Improvement Private Limited
PPPU	Power Plant Piping Unit

PRADAN	Professional Assistance for Development Action
PSPCL	Punjab State Power Corporation Ltd.
PwD	Persons with Disabilities
QHI	Quality Health Index
QMS	Quality Management System
R&D	Research & Development
R&M	Renovation & Modernisation
RCA	Root Cause Analysis
RECPDCL	REC Power Development Corporation Limited
RES	Renewable Energy Sources
RESCO	Renewable Energy Service Company
RLNG	Regasified Liquefied Natural Gas
RMDS	Remote Monitoring and Diagnostic Services
RPCL	Raichur Power Company Limited
RPT	Related party transactions
RTC	Round the Clock
RVDS	Remote Vibration and Diagnostic System
RVUNL	Rajasthan Rajya Vidyut Utpadan Nigam Limited
RWH	Rain Water Harvesting
SAIL	Steel Authority of India Limited
SBD	Solar Business Division
SCCL	The Singareni Collieries Company Limited
SCOPE	Standing Conference of Public Enterprises
SDG	UN Sustainable Development Goal
SG	Steam Generator
SIGHT	Strategic Interventions for Green Hydrogen Transition
SIL	Software in the Loop
SLDP	Succession and Leadership Development Plan
SME	Small and Medium-sized Enterprises
SMR	Small Modular Reactor
SOAR	Security Orchestration Automation and Response
SOC	Security Operations Centre
SPP	Single Power Pack
SPV	Special Purpose Vehicle
SRGM	Super Rapid Gun Mount
SRU	Sulphur Recovery Unit
SSTP	Seamless Steel Tube Plant
STG	Steam Turbine Generator
STP	Sewage Treatment Plants
SUPF	Single Use Plastic Free
TALA	Technical Assistance and License Agreement

TANTRANSCO	Tamil Nadu Transmission Corporation
TBCB	Tariff Based Competitive Bidding
TCA	Technical Collaboration Agreement
TCAS	Train Collision Avoidance System
TG	Turbine Generator
TII	Transparency International India
TMR	Triple Module Redundancy
TOLIC	Town Official Language Implementation Committees
TP	Transformer Plant
TReDs	Trade Receivables Electronic Discounting System
TRSL	Titagarh Rail Systems Limited
TSDf	Treatment Storage and Disposal Facility
TSGENCO	Telangana State Power Generation Corp.
TVNL	Tenughat Vidyut Nigam Limited
UB	Utility Boiler
UEBA	User and Entity Behaviour Analysis
UHV	Ultra High Voltage
VAW	Vigilance Awareness Week
VGF	Viability Gap Funding
VPI	Vogt Power International Inc.
VPN	Virtual Private Networks
WAF	Web Application Firewall
WEF	World Economic Forum
WRI	Welding Research Institute
ZTNA	Zero Trust Network Access

Glossary (Financial Terms)

Accounting policies: Accounting policies are the specific accounting principles and the method of applying those principles adopted by the company in preparation and presentation of the financial statements.

Accrual: Financial statement is prepared on mercantile system. The effects of transaction and other events are recognised when they occur and they are recorded in the accounting records and reported in the financial statement of that period to which they relate.

Amortization: Amortisation is the systematic allocation of the depreciable amount of an intangible asset over its useful life.

Balance sheet: A balance sheet is a statement of the financial position of an entity which states the assets, liabilities, and owners' equity at a particular point of time.

Bonus shares: Bonus shares are additional shares given to the shareholders without any additional cost out of free reserves, based upon the number of shares that a shareholder owns.

Book value: The amount at which an item appears in the books of account or in financial statements.

Buy back of shares: A buyback, also known as a share repurchase, is when a company buys its own outstanding shares to reduce the number of shares available in the open market.

Capital employed: is calculated by subtracting Capital WIP Intangible assets under development and Deferred tax assets from the entity's net worth.

Capital reserve: A reserve of an entity which is not available for distribution as dividend.

Capital redemption reserve: The Company has recognised Capital Redemption Reserve on buy back of equity shares from its general reserve. The amount in capital redemption reserve is equal to nominal amount of equity shares bought back.

Cash & cash equivalent: Cash comprises cash in hand and demand deposits. Cash equivalents are short term, highly liquid investments that are readily convertible to known amount of cash and which are subject to an insignificant risk of change in value.

Contract assets: Contract assets (deferred debts and unbilled revenue) represent the amount not yet due for payment as per contract terms / agreed schedule with customers. The same will be contractually due on completion of related activities / milestones.

Contract liability: An entity's obligation to transfer goods or services to a customer for which the entity has received

consideration (or the amount is due) from the customer.

Contingent liability is:

- (a) possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non occurrence of one or more uncertain future events not wholly within the control of the entity; or
- (b) a present obligation that arises from past events but is not recognised because:
 - (i) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) the amount of the obligation cannot be measured with sufficient reliability..

Consolidated financial statements (CFS): Consolidated financial statements - are the "Financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent company and its subsidiaries are presented as those of a single economic entity.

Credit risk: The risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

Current ratio: The current ratio is a liquidity ratio that measure ability to pay short term obligation or dues within one year. It is calculated by dividing current assets to current liabilities.

Current asset: An asset shall be classified as current when:

- a) it is expected to realise the asset, or intended to sell or consume it, in its normal operating cycle;
- b) it is held primarily for the purpose of trading;
- c) it is expected to realise the asset within twelve months after the reporting period; or
- d) the asset is cash or a cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Current liability: A liability shall be classified as current when:

- a) it is expected to settle the liability in its normal operating cycle;
- b) it is held primarily for the purpose of trading;
- c) the liability is due to be settled within twelve months after the reporting period; or

- d) it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

Current tax expense: Current tax is the amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period.

Deferred debts: Deferred debts are those debts which will become payable on completion of identified milestone like trial operation, PG test, etc. in terms of the contract.

Deferred tax: Deferred tax is calculated using the rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax asset: Deferred tax assets are the amounts of income taxes recoverable in future periods in respect of deductible temporary differences, the carry forward of unused tax losses and the carry forward of unused tax credits.

Deferred tax liability: Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences.

Defined benefits plans: Defined benefit plans are post employment benefit plans other than defined contribution plans. Defined contribution plans are post-employment benefit plans under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Dividend per share: It is calculated by dividing the total dividend (excl. dividend distribution tax) for the year to total number of outstanding equity shares.

Depreciation: Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life.

Dividend distribution tax: This is an additional income tax paid by the company on any amount declared, distributed or paid by the company by way of dividends.

EBIDTA: means Earnings before interest, taxes, depreciation and amortization. Operational EBIDTA is determined after excluding other income from EBIDTA.

Earnings per share (EPS): It represent profit earned during the year to each share, calculated by dividing profit after tax to total number of outstanding equity shares.

Equity method: The equity method of accounting is used to determine the net income generated from the joint venture in proportion to the size of a company's investment in the venture.

The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's

share of the investee's net assets.

Expected credit loss: The difference between all contractual cash flows that are due to an entity in accordance with the contract and all the cash flows that the entity expects to receive, discounted at the original effective interest rate.

Fair value: Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Financial asset: Any asset that is (a) cash, (b) equity instrument of another entity, (c) a contractual right to receive cash or another financial asset from another entity or to exchange financial assets or financial liability with another entity (d) a contract that will or may be settled in the entity's own equity instruments.

Financial liability: Any liability that is (a) contractual obligation to deliver cash or another financial asset to another entity or exchange financial assets or financial liabilities with another entity or (b) a contract that will or may be settled in the entity's own equity instruments.

Financial instrument: Any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financing activities: Activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

General reserves: General reserves are the retained earnings of a company which are kept aside out of company's profits to meet future (known or unknown) obligations.

Going concern: It means that entity has no intention for discontinuing the operation in foreseeable future.

Holding company: "holding company", in relation to one or more other companies, means a company of which such companies are subsidiary companies.

Impairment loss: An impairment loss is the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount. The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs of disposal and its value in use.

Indian Accounting Standard (abbreviated as Ind AS): Ind AS is the applicable accounting standard for preparation of financial statements as notified by Ministry of Corporate Affairs.

Intangible assets: An intangible asset is an identifiable non-monetary asset without physical substance.

Inventory in number of days: It is calculated by dividing inventory to revenue multiplying by number of days in a year.

Investing activities: Investing activities are the acquisition and disposal of long-term assets & Investments.

Investment Property: Investment properties are properties (land or building or part of building or both) held to earn rental income and/or for capital appreciation.

Joint venture: A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

Liquidity risk: The risks that an entity may encounter in meeting obligation associated with financial liabilities.

Market risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk and other price risk.

Net profit/(loss) margin (%): It represents profit generated as a percentage to revenue from operations, calculated by dividing profit after tax (PAT) to revenue operations.

Net realisable value: Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Net worth: The excess of the book value of total assets of an entity over its liabilities. This is also referred to as shareholders' funds.

Net worth per share: Net worth per share is calculated by dividing net worth with total number of outstanding equity shares.

Non-controlling interest (NCI): is the portion of equity ownership in a subsidiary not attributable to the parent company, who has a controlling interest (greater than 50% but less than 100%) and consolidates the subsidiary's financial results with its own.

Non-current asset: A non-current asset is an asset that is not likely to turn to unrestricted cash within one year of the balance sheet date.

Non-current liability: Non-current liabilities are those obligations not due for settlement within one year.

Other comprehensive income (OCI): Other comprehensive income comprises items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by other Ind ASs.

Operating activities: Operating activities are the principal revenue producing activities of the entity and other activities that are not investing or financing activities.

Operating profit margin (%): Profitability performance ratio used to calculate the percentage of profit generated by Company from its operations. It is calculated by dividing earnings before tax (PBT) excluding other income to revenue from operations.

Property, plant and equipment (PPE): Property, plant and equipment are tangible items that:

(a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and

(b) are expected to be used during more than one period.

Revenue from operations: Gross inflow of economic benefits during the period arising in the course of ordinary activities of an entity when those inflows result in increases in equity, other than increases relating to contributions from equity participants.

Return on net worth (%): Return on net worth is a measure of profitability of a Company, calculated by dividing net profit to average net worth (excl. OCI & Capital reserves).

Right of Use Assets: An asset that represents a lessee's right to use an underlying asset for the lease term.

Trade receivables: A receivable is an entity's right to consideration that is unconditional. A right to consideration is unconditional if only the passage of time is required before payment of that consideration is due.

Cautionary Statement

Statement in the Annual Report, describing the Company objective, expectation or estimates are forward looking within the meaning of applicable laws and regulations. Actual result may differ materially from those expressed or implied, depending upon economic development, government policies and other incidental factors



Bharat Heavy Electricals Limited

(CIN: L74899DL1964GOI004281)

Regd. Office: BHEL House, Siri Fort, New Delhi-110049

Phone: 011-66337598

Website: www.bhel.com, E-mail: shareholderquery@bhel.in

NOTICE

Notice is hereby given that the 61st Annual General Meeting of the Members of BHARAT HEAVY ELECTRICALS LIMITED will be held on Tuesday, August 19, 2025 at 10 A.M. IST through Video Conferencing/ Other Audio-Visual Means (VC), to transact the following businesses:-

ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Standalone and Consolidated Financial Statements of the Company for the Financial Year ended 31st March, 2025 together with the Board's Report and Auditors' Report thereon.
2. To approve and declare dividend for the financial year 2024-25.
3. To appoint a Director in place of Shri Tajinder Gupta (DIN: 10327530), who retires by rotation and being eligible, offers himself for re-appointment.
4. To appoint a Director in place of Ms. Bani Varma (DIN: 10337787), who retires by rotation and being eligible, offers herself for re-appointment.
5. To authorize the Board of Directors to fix the remuneration of the Auditors for the year 2025-26.

SPECIAL BUSINESS

6. To consider and, if thought fit, to pass with or without modification, the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the provisions of Section 148 and other applicable provisions of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof, for the time being in force), the remuneration of the Cost Auditors (₹15.76 Lakhs) appointed by the Board of Directors of the Company to conduct the audit of the cost records of the Company for the Financial Year ending on 31st March, 2026 as set out in the statement annexed to the Notice convening this Meeting, be and is hereby ratified by the shareholders of the Company."

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds and things as may be considered necessary, proper or expedient to give effect to this resolution."

7. To consider and, if thought fit, to pass with or without modification, the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the provisions of Section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment & Remuneration of Managerial Personnel) Rules, 2014 and Regulation 24A of the SEBI (Listing Obligations & Disclosure Requirement) Regulations, 2015 alongwith other applicable statutory provisions, appointment of M/s Akhil Rohatgi & Co., Practicing Company Secretaries (ICSI Registration Code P1995DE072900), as Secretarial Auditors of the Company be and is hereby approved for the period of 5 years i.e. from FY 2025-26 to FY 2029-30, on the terms & conditions (already contracted balance tenure upto FY 2026-27, extended upto FY 2029-30) as approved by the Board of Directors."

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds and things as may be considered necessary, proper or expedient to give effect to this resolution."

8. To consider and, if thought fit, to pass with or without modification, the following resolution as a **Special Resolution**:

"RESOLVED THAT Shri Ashok Kumar Aseri (DIN: 09405164), who was appointed as an Additional Director pursuant to Article 67(iv) of the Articles of Association of the Company read with Sections 149 and 161 (1) of the Companies Act, 2013 w.e.f. 29.03.2025 to hold Office upto the date of this Annual General Meeting and in respect of whom, the Company has received a notice in writing, from the Director himself pursuant to the provisions of Section 160 (1) of the Companies Act, 2013, be and is hereby appointed as an Independent Director of the Company in line with applicable statutory provisions."

9. To consider and, if thought fit, to pass with or without modification, the following resolution as a **Special Resolution**:

"RESOLVED THAT Shri Aashish Chaturvedi (DIN: 00534621), who was appointed as an Additional Director pursuant to Article 67(iv) of the Articles of Association of the Company read with Sections 149 and 161 (1) of the Companies Act, 2013 w.e.f. 29.03.2025 to hold Office upto the date of this Annual General Meeting and in respect of whom, the Company has received a notice in writing, from the Director himself pursuant to the provisions of Section 160 (1) of the Companies Act, 2013, be and is hereby appointed as an Independent Director of the Company in line with applicable statutory provisions.

10. To consider and, if thought fit, to pass with or without modification, the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT Shri Serugulathur Mahadevan Ramanathan (DIN: 11084884), who was appointed as an Additional Director pursuant to Article 67(iv) of the Articles of Association of the Company read with Section 161 (1) of the Companies Act, 2013 w.e.f. 30.04.2025 to hold Office upto the date of this Annual General Meeting and in respect of whom, the Company has received a notice in writing, from the Director himself pursuant to the provisions of Section 160 (1) of the Companies Act, 2013, be and is hereby appointed as a Director of the Company in line with applicable statutory provisions, liable to retire by rotation."

By Order of the Board of Directors



(Dr. Yogesh R Chhabra)
Company Secretary

Place: New Delhi
Dated: July 25, 2025

NOTES: -

1. The Ministry of Corporate Affairs (MCA) has vide its Circular dated September 19, 2024 read together with Circulars dated April 8, 2020, April 13, 2020 and May 5, 2020 (collectively referred to as "MCA Circulars") allowed convening the Annual General Meeting (AGM) through Video Conferencing or Other Audio-Visual Means (VC), without the physical presence of the Members at a common venue. In accordance with the MCA Circulars, provisions of the Companies Act, 2013 and the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), the AGM of the Company is being held through VC. The deemed venue for the AGM shall be the registered office of the Company.
2. In compliance with the aforementioned MCA Circulars and SEBI Listing Regulations, Notice of the AGM along with the Annual Report 2024-25 is being sent only through electronic mode to those Members whose email addresses are registered with the Company/ Depositories. Members may note that the Notice and Annual Report 2024-25 will be available on the websites of the Company (www.bhel.com), BSE Limited (www.bseindia.com), National Stock Exchange of India Limited (www.nseindia.com) and on the website of the e-voting agency, National Securities Depository Limited (NSDL) at www.evoting.nsdl.com. Physical copy of the AGM Notice along with the Annual Report shall be sent to those Members who request/ have requested for the same.
3. For receiving all communication (Notice, Annual Report and the e-voting instructions along with the User ID & Password) from the Company electronically, please refer to the instructions annexed to the Notice.
4. Pursuant to the provisions of the Companies Act, 2013, a Member entitled to attend and vote at the AGM is entitled to appoint a proxy to attend and vote on his/ her behalf and the proxy need not be a Member of the Company. Since this AGM is being held through VC pursuant to the MCA Circulars, physical attendance of Members has been dispensed with. Accordingly, the facility for appointment of proxies by the Members will not be available for the AGM and hence, the Proxy Form and Attendance Slip are not annexed to this Notice.
5. Since the AGM will be held through VC, the route map of the venue of the Meeting is not annexed hereto.
6. Participation of Members through VC will be reckoned for the purpose of quorum for the AGM as per Section 103 of the Companies Act, 2013.
7. Corporate/ Institutional Members (i.e. other than Individuals, HUF, NRI, etc.) are required to send scanned certified true copy (PDF Format) of the Board Resolution/ Authority Letter, etc., together with attested specimen signature(s) of the duly authorized representative(s), to the Scrutinizer at sachin2022@gmail.com with a copy marked to evoting@nsdl.com.

8. Members of the Company under the category of Institutional Investors are also encouraged to attend and vote at the AGM.
9. Relevant Explanatory Statement pursuant to Section 102(1) of the Companies Act, 2013, in respect of Special Business, as set out above is annexed hereto.
10. Shri Tajinder Gupta and Ms. Bani Varma, Directors, retire by rotation and being eligible, offer themselves for re-appointment. However, as per the terms of their appointment, the tenures of Shri Gupta and Ms. Varma will expire on their superannuation i.e. on 28.02.2027 and 31.12.2027 respectively. Brief resume of Shri Tajinder Gupta and Ms. Bani Varma is given at Annexure to the Notice.
11. Pursuant to Section 124 read with Section 125 of the Companies Act, 2013, the dividend amounts which remain unpaid/ unclaimed for a period of 7 years, are required to be transferred to the Investor Education and Protection Fund constituted by the Central Government. Accordingly, the final dividend for the financial year 2017-18 and interim dividend for the financial year 2018-19 which remains unclaimed, are proposed to be transferred to the said account on October 18, 2025 and March 10, 2026 respectively.

Members who have not claimed/ encashed their dividend so far for the financial year ended on March 31, 2018 or any subsequent financial year(s) may approach the Company/ Registrar & Transfer Agent, for obtaining payments thereof before expiry of the stipulated 7 years period.
12. The Board of Directors of the Company has recommended a final dividend of 25% (₹0.50 per share of ₹2/- each) on the Paid-up Equity Share Capital of the Company for FY 2024-25. This final dividend, if approved by the shareholders at the AGM, will be payable within 30 days from the date of declaration of dividend i.e. on or before September 17, 2025 to the Members whose names appear in the Register of Members/ list of Beneficial Owners of the Company as on the Record Date i.e. Friday, August 1, 2025.

Dividend income is taxable in the hands of the shareholders and the Company is required to deduct tax at source (TDS) from dividend paid to the Members at prescribed rates in the Income Tax Act, 1961 (IT Act). In order to enable compliance with TDS requirements in respect of dividends declared by the Company in future, members are requested to submit Form 15G/ 15H on annual basis and update details about their residential status, PAN & Category as per the IT Act with their Depository Participants or in case of shares held in physical form, with the Company/ Registrar & Transfer Agent, so that tax at source, if any, as per applicable rates may be deducted in respect of dividend payments made by the Company in future.
13. Pursuant to SEBI Listing Regulations, all listed companies shall use any of the electronic modes of payment facility approved by RBI such as NECS/ ECS/ Direct Credit etc., for payment of dividend. Members are advised to submit

their National Electronic Clearing Service/ Electronic Clearing Service (NECS/ ECS) mandate in the form (given in the Annual Report) duly filled in and signed, to enable the Company to make remittance by means of NECS/ ECS.

14. Members are requested to notify immediately any change of address and other relevant correspondence including NECS/ ECS details and submission of Permanent Account Number (PAN):

- i. to their Depository Participants in respect of their demat share accounts; and
- ii. to the Company at its registered office or the Registrar & Transfer Agent, M/s Alankit Assignments Limited (4E/2, Alankit House, Jhandewalan Extension, New Delhi-110055) in respect of their physical shares, in the prescribed forms available at <https://www.bhel.com/shareholders-information>.

15. Members may avail facility of nomination in terms of Section 72 of the Companies Act, 2013, by nominating any person to whom their shares in the Company shall vest in the event of their death.

16. Pursuant to Section 139 (5) read with Section 142 (1) of the Companies Act, 2013, the Auditors of a Government Company are appointed by the Comptroller and Auditor General of India and their remuneration is fixed by the Company in the Annual General Meeting. The shareholders may authorize the Board to fix up an appropriate remuneration for Auditors for the year 2025-26 as may be deemed fit by the Board.

17. The Register of Directors and Key Managerial Personnel and their shareholding maintained under Section 170 of the Companies Act, 2013, the Register of Contracts or Arrangements in which the directors are interested maintained under Section 189 of the Companies Act, 2013 and the relevant documents referred to in the Notice will be available electronically for inspection by the Members during the AGM.

18. All documents referred to in the Notice will also be available electronically for inspection without any fee by the Members from the date of circulation of this Notice up to the date of AGM. Members seeking to inspect such documents can send an email to shareholderquery@bhel.in.

19. In compliance with Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management & Administration) Rules, 2014 and Regulation 44 of the SEBI Listing Regulations, the Company is providing its Members the facility to exercise their right to vote on resolutions proposed to be passed at the AGM by electronic means (remote e-voting) through NSDL. Members whose names appear in the Register of Members/ list of Beneficial Owners as on Tuesday, August 12, 2025 (Cut-off Date) will be eligible to vote for the purpose of e-voting/ AGM and a person who is not a Member as on the

cut-off date should treat this notice for information purposes only. The e-voting period will commence from Saturday, August 16, 2025 at 9.00 A.M. and will end on Monday, August 18, 2025 at 5.00 P.M. The e-voting module will be blocked on August 18, 2025 at 5.00 P.M. Once the vote on a resolution is cast by the shareholder, the shareholder shall not be allowed to change it subsequently. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the Cut-off Date i.e. August 12, 2025.

20. Members who have cast their vote by remote e-voting prior to the AGM may also attend the meeting by VC but shall not be entitled to cast their vote again.

21. The facility for voting through electronic voting system will also be made available at the AGM and Members attending the AGM who have not cast their vote by remote e-voting will be able to vote at the Meeting through this electronic voting system.

22. The Company has appointed Shri Sachin Agarwal, Company Secretary (FCS no. 5774, Certificate of Practice no. 5910) of M/s Agarwal S. & Associates, Practising Company Secretaries, to act as a Scrutinizer, to scrutinize the process of remote e-voting and electronic voting at the AGM, in a fair and transparent manner. The Scrutinizer shall, immediately after the conclusion of voting at the AGM, scrutinize the votes cast at the Meeting and votes cast through remote e-voting, make a consolidated Scrutinizer's Report of the total votes cast in favour or against, if any, and submit the same to the Chairman. The results along with the Scrutinizer's Report will be declared within two working days of the conclusion of the Meeting and the same shall be available on the Company's website (www.bhel.com) and on the website of the e-voting agency (www.evoting.nsdl.com) immediately after the declaration of result by the Chairman/ person authorized by him in writing. The results shall also be immediately forwarded to the Stock Exchanges.

23. The procedures for joining the AGM through VC, remote e-voting and voting at the AGM along with the contact details for addressing the grievances in this regard are provided in the instructions annexed to the Notice.

By Order of the Board of Directors



(Dr. Yogesh R Chhabra)
Company Secretary

Place: New Delhi

Dated: July 25, 2025

ANNEXURE TO THE NOTICE

EXPLANATORY STATEMENT PURSUANT TO SECTION 102(1) OF THE COMPANIES ACT, 2013

The following explanatory statement sets out the material facts relating to the business mentioned in Item Nos. 6 to 10 of the accompanying Notice.

ITEM NO. 6

Section 148 of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014 requires remuneration of the cost auditors as approved by the Board to be ratified by the shareholders subsequently.

Based on the recommendation of the Board Level Audit Committee, the Board of Directors in its meeting held on May 16, 2025 has approved the names of seven Cost Accountants/ Firms for appointment for a total remuneration of ₹15.76 Lakhs as detailed under:

₹/Lakhs

Sl. No.	Name of the Cost Auditors	Unit	Remuneration for FY 2025-26
1	M/s Vijender Sharma & Co., Delhi	Consolidation	1.01
		HEEP Haridwar	2.00
		CFFP Haridwar	0.40
2	M/s R.M. Bansal & Co., Kanpur	HEP Bhopal	2.00
		TP Jhansi	0.81
		HERP Varanasi	0.40
3	M/s Narasimha Murthy & Co., Hyderabad	HPEP Hyderabad	2.00
4	M/s Subramanian Rajagopal & Associates, Tiruchirappalli	HPBP Trichy	2.67
		BAP Ranipet	1.33
5	M/s Murthy & Co. LLP., Bengaluru	SBD Bengaluru	0.53
		EDN Bengaluru	0.67
6	M/s Paliwal & Associates, Lucknow	CFP Rudrapur	0.40
		FSIP Jagdishpur	0.61
		IVP Goindwal	0.40
7	M/s SSPGR & Associates LLP, Visakhapatnam	HPVP Visakhapatnam	0.53
	Total		15.76

The above fees are exclusive of applicable taxes & out of pocket expenses which are payable extra.

Accordingly, Members are requested to ratify the remuneration payable to the Cost Auditors for the Financial Year ending on 31st March, 2026.

None of the Directors or Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 6.

The Board of Directors commends the resolution for approval of the Shareholders.

ITEM NO. 7

Pursuant to Section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment & Remuneration of Managerial Personnel) Rules, 2014 and the amended Regulation 24A of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 alongwith other applicable statutory provisions as well as circulars issued by SEBI in this regard, w.e.f. 01.04.2025, the Secretarial Auditor of the Company is required to be appointed by the Company in its Annual General Meeting on the basis of recommendation of the Board of Directors.

M/s Akhil Rohatgi & Co., Practicing Company Secretaries, are the existing Secretarial Auditors of BHEL with their already contracted term valid till FY 2026-27. Since SEBI FAQ mandates appointment of Secretarial Auditor for a term not less than 5 years (beginning from 01.04.25 i.e. FY 2025-26), Board of Directors has recommended their continued appointment up to FY 2029-30 on the existing terms & conditions including fee @ ₹1,22,000 plus taxes for the tenure. M/s Akhil Rohatgi & Co. (a) have confirmed that they are not disqualified to be appointed as Secretarial Auditor and have the requisite experience for the purpose, (b) submitted their consent for conducting the Secretarial Audit for the said period and (c) are peer reviewed in terms of the guidelines issued by the ICSI.

Accordingly, Members are requested to approve the appointment of M/s Akhil Rohatgi & Co., Practicing Company Secretaries for a period of 5 years i.e. FYs 2025-26 to FY 2029-30.

None of the Directors or Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 7.

The Board of Directors commends the resolution for approval of the Shareholders.

ITEM NO. 8

Shri Ashok Kumar Aseri (DIN: 09405164), aged 54 years, was inducted as an Independent Director on the Board of BHEL w.e.f. March 29, 2025.

He is an engineering graduate from Jai Narayan Vyas University Jodhpur and holds an MBA in Human Resources from Punjab Technical University.

Shri Aseri specializes in Management and Administration. He began his career at a young age in consultancy, taking on various responsibilities at different levels, and has gained valuable experience across multiple sectors. Over the course of his career, he has built a reputation for his exceptional leadership skills, strategic thinking, and strong decision-making abilities. With more than 27 years of extensive experience in public service, he has played an instrumental role in implementing numerous Central and State Government welfare schemes aimed at supporting and uplifting eligible individuals, particularly in underserved communities.

Shri Aseri's diverse experience in public administration has provided him with a deep understanding of governance, policy-making, and socio-economic development. His commitment to effective management practices and public welfare is reflected in his track record of successful initiatives focused on fostering inclusive growth. He is highly skilled in navigating complex regulatory frameworks and ensuring the optimal delivery of services to beneficiaries.

In addition to his professional expertise, Shri Aseri is a passionate advocate for social service and has been actively involved in various community-based activities. He dedicates considerable time and effort to the upliftment of marginalized and disadvantaged sections of society. His keen interest in social welfare has driven him to work on projects related to education, healthcare, skill development, and economic empowerment, contributing significantly to the socio-economic development of people, especially in rural and remote areas.

Appointment of Shri Aseri is upto 27.03.2026 or until further orders, whichever is earlier. As an Independent Director, he is entitled to sitting fee for Board Meetings and Board Level Committee Meetings attended by him.

Shri Aseri does not hold any shares in BHEL and he does not have any relationship with other Directors/ Manager/ Key Managerial Personnel of the Company.

No Board Meeting was held during the tenure of Shri Aseri in FY 2024-25.

In line with applicable statutory provisions read with Article 67(iv) of the Articles of Association of the Company, Shri Aseri holds office till the date of ensuing Annual General Meeting and is eligible for appointment. As per requirement of Section 160 of the Companies Act, 2013, the Company has received a Notice in writing, proposing candidature of Shri Aseri for the Office of Independent Director of the Company.

The Company has received a declaration from Shri Ashok Kumar Aseri that he meets the criteria of independence as prescribed both under Section 149(6) of the Companies Act, 2013 and Regulation 16 of the SEBI Listing Regulations. Keeping in view his vast expertise and knowledge, it will be in the interest of the Company that Shri Aseri is appointed as an Independent Director and he has the skills & capabilities required for the role. Shri Aseri fulfills the conditions specified in the Companies Act, 2013 and Rules made thereunder for his appointment as an Independent Director of the Company and is independent of the Management.

Except Shri Ashok Kumar Aseri, being an appointee, none of the Directors or Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 8.

The Board of Directors commends the resolution for approval of the Shareholders.

ITEM NO. 9

Shri Aashish Chaturvedi (DIN: 00534621), aged 47 years, was inducted as an Independent Director on the Board of BHEL w.e.f. March 29, 2025.

He is a B.Tech. in Textile Technology from Indian Institute of Technology, Delhi (2000 Batch).

Shri Chaturvedi's area of specialization includes Management and Administration. He started his career at a very young age as a software programmer. He worked in corporate for a period of one and half years in Mumbai & UK. He also worked in the education sector in Ajmer for 16 years, thousands of his students graduated from IITs, NITs, AIIMS and other prestigious colleges of India. He, at present, is involved in diversified professions in Textiles, Industrial real estate and agriculture.

At present he is also a Columnist in reputed newspaper. Shri Aashish Chaturvedi is a Director on the Boards of Jayshree Buildmart Private Limited, Triumph Tutorials Private Limited and Dynamic Switchgears Private Limited.

Appointment of Shri Aashish Chaturvedi is upto 27.03.2026 or until further orders, whichever is earlier. As an Independent Director, he is entitled to sitting fee for Board Meetings and Board Level Committee Meetings attended by him.

Shri Aashish Chaturvedi does not hold any shares in BHEL and he does not have any relationship with other Directors/ Manager/ Key Managerial Personnel of the Company.

No Board Meeting was held during the tenure of Shri Aashish Chaturvedi in FY 2024-25.

In line with applicable statutory provisions read with Article 67(iv) of the Articles of Association of the Company, Shri Aashish Chaturvedi holds office till the date of ensuing Annual General Meeting and is eligible for appointment. As per requirement of Section 160 of the Companies Act, 2013, the Company has received a Notice in writing, proposing candidature of Shri Aashish Chaturvedi for the Office of Independent Director of the Company.

The Company has received a declaration from Shri Aashish Chaturvedi that he meets the criteria of independence as prescribed both under Section 149(6) of the Companies Act, 2013 and Regulation 16 of the SEBI Listing Regulations. Keeping in view his vast expertise and knowledge, it will be in the interest of the Company that Shri Aashish Chaturvedi is appointed as an Independent Director and he has the skills & capabilities required for the role. Shri Aashish Chaturvedi fulfills the conditions specified in the Companies Act, 2013 and Rules made thereunder for his appointment as an Independent Director of the Company and is independent of the Management.

Except Shri Aashish Chaturvedi, being an appointee, none of the Directors or Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 9.

The Board of Directors commends the resolution for approval of the Shareholders.

ITEM NO. 10

Shri Serugulathur Mahadevan Ramanathan (DIN: 11084884), aged 58 years, was inducted as Director (Engineering, Research & Development) on the Board of BHEL w.e.f. April 30, 2025.

He is a Mechanical Engineering graduate from IIT Madras, with an M. Tech in Stress and Vibration Analysis and ICWA (Cost Accounts). He is also a Fellow member of the Institute of Cost Accountants of India.

Shri Ramanathan started his career with BHEL as an Engineer Trainee in the Company's High Pressure Boiler Plant, Tiruchirappalli, in 1988 through campus placement and was awarded the Best Engineer Trainee award in 1989.

He was instrumental in refining and designing of Hydro Turbines using IT tools and mathematical techniques leading to savings in cost and cycle time. Shri Ramanathan presented many technical papers in Indian and International forums. He had a Turbine patent to his name. He has also been awarded EXCEL award under UTKRISHTA (innovation) category, the highest recognition in BHEL.

Shri Ramanathan has 37 years of diverse and extensive experience across many major functions of the Company, which include Engineering, Design, R&D, Strategic Management and diverse areas of Operations including Commercial, Materials Management, Maintenance, Production, Field Engineering Services, etc. as well as different core areas of Finance in various capacities across the entire value chain in BHEL's manufacturing units at Ranipet, Tiruchirappalli and Bhopal.

Prior to this elevation, Shri Ramanathan was offering his services as Executive Director (OSD - E, R&D) at BHEL's Corporate Office, New Delhi along with heading Heavy Electrical Plant (HEP) at Bhopal as additional charge. Earlier in Nov' 23, he was promoted as Executive Director and in-charge of High Pressure Boiler Plant (HPBP) at Tiruchirappalli and Boiler Auxiliaries Plant (BAP) at Ranipet and subsequently as ED (HEP) Bhopal in Jan'24 giving him the unique distinction of heading the top three revenue grossers of the corporation leading to successful turnaround in performance and consistently setting many milestones in the process of growth.

Shri Ramanathan is known for his dynamic and result-driven leadership, inspiring his team with energy and driving efficiency at all levels. His extensive experience in the initial phase across various functions of BHEL units, including Hydro Turbines, Steam Turbines, Switchgears, FGD & Water Systems, Spares, Outsourcing, Central Planning, Digital Technologies and Finance has equipped him with sharp market insights. This enables him to effectively analyze trends, develop market-ready products and capabilities and contribute to strategic planning. His forward-thinking research-oriented approach will position BHEL to stay competitive and future-ready in a rapidly evolving business landscape.

Appointment of Shri Ramanathan is upto 31.01.2027 or until further orders, whichever is earlier, in the pay scale of ₹1,80,000 – ₹3,40,000 p.m. on terms and conditions approved by the Government of India.

Shri Ramanathan does not hold any shares in BHEL and he does not have any relationship with other Directors/ Manager/ Key Managerial Personnel of the Company.

Since Shri Ramanathan was appointed as Director on 30.04.2025, he did not attend any Board Meeting during FY 2024-25.

In line with applicable statutory provisions read with Article 67(iv) of the Articles of Association of the Company, Shri Ramanathan holds office till the date of ensuing Annual General Meeting and is eligible for appointment. As per requirement of Section 160 of the Companies Act, 2013, the Company has received a Notice in writing, proposing candidature of Shri Ramanathan for the Office of Director of the Company.

Except Shri Ramanathan, being an appointee, none of the Directors or Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 10.

The Board of Directors commends the resolution for approval of the Shareholders.

By Order of the Board of Directors



(Dr. Yogesh R Chhabra)
Company Secretary

Place: New Delhi

Dated: July 25, 2025

DETAILS OF DIRECTORS PROPOSED FOR RE-APPOINTMENT

SHRI TAJINDER GUPTA

Shri Tajinder Gupta (DIN: 10327530), aged 58 years, was inducted as Director (Power) on the Board of BHEL w.e.f. September 20, 2023.

As Director (Power), Shri Gupta is responsible for the utility power business segment of BHEL which contributes around 75% of BHEL's business. The Power Sector operations encompass entire gamut of value chain including marketing and business development in power sector (Thermal, Hydro, Nuclear), engineering of utility power project, execution of utility, captive/ industrial and overseas utility power project and after Sales service and spares support.

He is leading the execution of more than 50,000 MW of power projects throughout the country. With his business insights, BHEL could secure orders for more than ₹81,000 crores in power sector during 2024-25. He guided the team for time bound construction and commissioning thus achieving 8.1 GW commissioning / synchronization during 2024-25.

Shri Gupta has 36 years of diverse and versatile experience in Project Management, concept to commissioning of Power projects across various states in India. Prior to his appointment as Director (Power) BHEL, Shri Gupta was Chief General Manager (CGM) in NTPC Limited. Shri Gupta joined NTPC Limited as Graduate Engineer Trainee officer in 1989.

While with NTPC Ltd. he was instrumental in development of large size greenfield and brownfield power projects, besides operating and maintaining NTPC's vast fleet of operating power stations. He headed the construction team at Khargone (2x660 MW), which is having Ultra Supercritical parameters. Shri Gupta as Business Unit Head steered the construction activities at 3x660 MW North Karanpura STPP in Jharkhand.

A true professional with a sharp acumen for in-depth analysis, he carries with him the people, knowledge and experience of power sector ecosystem for speedy implementation of projects.

Shri Tajinder Gupta is a 1989 batch Instrumentation and Control Engineering graduate from Birla Institute of Technology and Sciences (BITS), Pilani.

Shri Tajinder Gupta holds the position of Non-Executive Chairperson on the Board of Raichur Power Corporation Limited.

Appointment of Shri Tajinder Gupta is upto 28.02.2027 or until further orders, whichever is earlier, in the pay scale of ₹1,80,000 – ₹3,40,000 p.m. on terms and conditions approved by the Government of India.

Shri Gupta does not hold any shares in BHEL and he does not have any relationship with other Directors/ Manager/ Key Managerial Personnel of the Company.

Shri Tajinder Gupta has attended all the Board Meetings (ten) held during FY 2024-25.

MS. BANI VARMA

Ms. Bani Varma (DIN: 10337787), aged 57 years, was inducted as Director (Industrial Systems and Products) on the Board of BHEL w.e.f. October 9, 2023.

Ms. Varma is an electrical engineering graduate from the Delhi College of Engineering and started her career with BHEL as an Engineer Trainee in the company's Industry Sector vertical in 1990. During her 35 years of tenure of diversified and hands on experience in the Energy, Industry and Transportation segments, she has developed a comprehensive set of competencies in the areas of Strategic management, Business development, Operations and Change management. She has also played a pivotal role in formulation and implementation of plan for BHEL's New Growth Areas and in driving BHEL's transformation initiatives across functions and verticals.

Prior to this, Ms. Varma held dual charge of BHEL's Transportation Business segment at New Delhi and Electronics Division Manufacturing Unit at Bangalore. As Head of company's Transportation Business & Systems Group, she was responsible for BHEL's diversification initiatives for the Rail Transportation business and strategized to secure the prestigious Vande Bharat Trains Manufacturing cum Maintenance order. As head of Electronics Division, she was responsible for complete operations of the unit, which produces power electronics & control equipment and was able to turnaround the unit profitably with a top line growth of 25%. She also has the distinction of being the first woman to head a manufacturing unit of the company.

Ms Varma is serving as the Vice President of Governing Council of CIGRE India w-e-f January 2025.

A passionate and professional leader, Ms Varma brings with her a track-record of over three decades of notable performance.

Appointment of Ms. Bani Varma is upto 31.12.2027 or until further orders, whichever is earlier, in the pay scale of ₹1,80,000 – ₹3,40,000 p.m. on terms and conditions approved by the Government of India.

Ms. Varma does not hold any shares in BHEL and she does not have any relationship with other Directors/ Manager/ Key Managerial Personnel of the Company.

Ms. Bani Varma has attended all the Board Meetings (ten) held during FY 2024-25.

By Order of the Board of Directors



(Dr. Yogesh R Chhabra)

Company Secretary

Place: New Delhi

Dated: July 25, 2025

PROCEDURES FOR JOINING THE AGM THROUGH VC, REMOTE E-VOTING AND VOTING AT THE AGM

In compliance with the provisions of Section 108 of the Act, read with Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended from time to time, Regulation 44 of the SEBI Listing Regulations and in terms of SEBI Circular no. SEBI/HO/ CFD/CMD/CIR/P/2020/242 dated December 9, 2020 in relation to e-voting facility provided by listed entities, the Members are provided with the facility to cast their vote electronically, through the e-voting facility provided by NSDL, on all the resolutions set forth in this Notice. The instructions for e-voting are given herein below.

The remote e-voting period will be as under: -

Commencement of remote e-voting:	9:00 A.M. on Saturday, August 16, 2025
End of remote e-voting:	5:00 P.M. on Monday, August 18, 2025

Members holding shares either in physical form or in dematerialized form, as on Tuesday, August 12, 2025 i.e., Cut-off date, may cast their vote electronically during the above period. The e-voting module shall be disabled by NSDL for voting thereafter. Members have the option to cast their vote on any of the resolutions using the remote e-voting facility either during the period commencing from August 16, 2025 and ending on August 18, 2025 or e-voting during the AGM. Members who have cast their vote by remote e-voting prior to the AGM may attend/participate in the AGM through VC but shall not be entitled to cast their vote on such resolution again.

The Board of Directors of the Company have appointed Shri Sachin Agarwal of M/s Agarwal S. & Associates, Practicing Company Secretary as Scrutinizer to scrutinize the process of remote e-voting and electronic voting at the AGM in a fair and transparent manner.

The voting rights of Members shall be in proportion to their shares in the paid-up equity share capital of the Company as on the Cut-off date.

The Scrutinizer will, after the conclusion of e-voting at the Meeting, scrutinize the votes cast at the Meeting and votes cast through remote e-voting, make a consolidated Scrutinizer's Report and submit the same to the Chairman. The result of e-voting will be declared within two working days of the conclusion of the Meeting and the same, along with the consolidated Scrutinizer's Report, will be placed on the website of the Company (www.bhel.com) and on the website of the e-voting agency (www.evoting.nsdl.com). The result will simultaneously be communicated to the stock exchanges.

Subject to receipt of requisite number of votes, the Resolutions proposed in the Notice shall be deemed to be passed on the date of the Meeting, i.e., on August 19, 2025.

INSTRUCTIONS FOR VOTING THROUGH ELECTRONIC MEANS AND JOINING VIRTUAL MEETING

A. Process and manner for remote e-voting, and voting during the AGM are explained below:

Step-1: Access to the NSDL e-voting system

A.1) Login method for Individual shareholders holding securities in demat mode

In terms of the SEBI Circular dated December 9, 2020 on the e-voting facility provided by listed companies and as part of increasing the efficiency of the voting process, e-voting process has been enabled for all individual shareholders holding securities in demat mode to vote through their demat account maintained with depositories/websites of depositories/depository participants. Shareholders are advised to update their mobile number and email-id in their demat accounts in order to access e-voting facility.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	- For OTP based login you can click on https://eservices.nsdl.com/SecureWeb/evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID, 8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. - Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com/ either on a Personal Computer or on a mobile. On the e-Services home page click on the "Beneficial Owner" icon under "Login" which is available under "IDeAS" section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

	3. If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS Portal" or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 4. Visit the e-Voting website of NSDL. Open web browser and type the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen-digit demat account number held with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 5. Shareholders/Members can also download NSDL Mobile App "NSDL Speede" facility by scanning the QR code mentioned below for seamless voting experience. NSDL Mobile App is available on  App Store  Google Play  
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then use your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the e-voting is in progress as per the information provided by company. On clicking the e-voting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly.

	3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the e-voting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	1. You can also log in using the login credentials of your demat account through your depository participant registered with NSDL / CDSL for the e-voting facility. 2. Once logged in, you will be able to see the e-voting option. Once you click on the e-voting option, you will be redirected to the NSDL / CDSL depository site after successful authentication, wherein you can see e-voting feature. 3. Click on Company name or e-voting service provider-NSDL and you will be redirected to the e-voting website of NSDL for casting your vote during the remote e-voting period or voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forgot User ID and Forgot Password option available at above mentioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022-4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800-21-09911

A.2) Login Method for shareholders, other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode

1. Visit the e-voting website of NSDL. Open web browser and type the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
2. Once the home page of e-voting system is launched, click on the icon '**Login**' which is available under '**Shareholder/Member**' section.
3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.
4. Alternatively, if you are registered for NSDL e-Services i.e. IDeAS, you can login at <https://eservices.nsdl.com/> with your existing IDeAS login. Once you login to NSDL e-Services after using your login credentials, click on e-voting and you can proceed to Step 2 i.e. Cast your vote electronically on NSDL e-voting system.
5. Examples of User ID details are given below:

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical		Your User ID is:
a)	For Members who hold shares in demat account with NSDL.	8-Character DP ID followed by 8- Digit Client ID For example if your DPID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b)	For Members who hold shares in demat account with CDSL	16- Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c)	For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the Company For example if folio number is 001*** and EVEN is 134421 then user ID is 134421001***.

6. Password details for shareholders other than Individual shareholders are given below:
 - a) If you are already registered for e-voting, then you can use your existing password to login and cast your vote.
 - b) If you are using NSDL e-voting system for the first time, you will need to retrieve the '**initial password**' which was communicated to you. Once you retrieve your '**initial password**', you need to enter the '**initial password**' and the system will prompt you to change your password.
 - c) How to retrieve your 'initial password'?
 - (i) If your email ID is registered in your demat

account or with the Company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your '**User ID**' and your '**initial password**'.

- (ii) If your email ID is not registered, please follow steps mentioned below in '**General Guidelines for shareholders**'.
7. If you are unable to retrieve or have not received the '**initial password**' or have forgotten your password:
 - a) Click on '**Forgot User Details/Password?**' (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
 - b) Click on '**Physical User Reset Password?**' (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
 - c) If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.com mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
 - d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-voting system of NSDL.
 8. After entering your password, tick on '**Agree to Terms and Conditions**' by selecting on the check box.
 9. Now, you will have to click on '**Login**' button.
 10. After you click on the '**Login**' button, Home page of e-voting will open.

Step 2: Cast your vote electronically and join General Meeting on NSDL e-voting system

1. After successful login at Step 1, you will be able to see all the companies '**EVEN**' in which you are holding shares and whose voting cycle is in active status.
2. Select '**EVEN 134421**' of Company to cast your vote during the remote e-voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on '**VC/OAVM**' link placed under '**Join Meeting**'.
3. Now you are ready for e-voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on '**Submit**' and also '**Confirm**' when prompted.
5. Upon confirmation, the message '**Vote cast successfully**' will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.

7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

B. Instructions for Members for attending the AGM through VC & Voting on the day of AGM:

1. Members will be provided with the facility to attend the AGM through VC through the NSDL e-voting system. Members may access the same by following the steps mentioned above for '**Access to NSDL e-voting system**'. After successful login, Members should click '**VC/OAVM link**' placed under 'Join meeting' menu against Company name. The link for VC/OAVM will be available in Shareholder/Member login where the EVEN of Company will be displayed.
2. The members who do not have the User ID and Password for e-voting or have forgotten the User ID and Password may retrieve the same by following the remote e-voting instructions mentioned elsewhere in the Notice.
3. Members are encouraged to join the Meeting through Laptops for better experience. Further, Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
4. Please note that participants connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
5. Members who need assistance before or during the AGM, can contact NSDL on 022 - 4886 7000 or contact Ms. Pallavi Mhatre - NSDL at evoting@nsdl.com.
6. Members who would like to express their views or ask questions during the AGM may register themselves as a speaker by sending their request from their registered e-mail address mentioning their name, DP ID and Client ID / folio number, PAN, mobile number & prospective questions (if any) at shareholderquery@bhel.in from August 9, 2025 (9:00 a.m. IST) to August 12, 2025 (5:00 p.m. IST). Those Members who have registered themselves as a speaker will only be allowed to express their views / ask questions during the AGM. The Company reserves the right to restrict the number of questions and number of speakers, subject to availability of sufficient time for smooth conduct of the AGM.
7. Members may also ask questions in writing by sending mail in advance at shareholderquery@bhel.in, mentioning their name, demat account number/folio number, email id, mobile number and the requisite views/ questions. The same will be replied by the Company suitably.
8. Facility to join the meeting shall be opened 15 minutes before the scheduled time of the AGM and shall be kept open throughout the proceedings of the AGM.
9. The procedure for e-voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.

10. Only those Members/ shareholders, who will be present in the AGM through VC facility and have not cast their vote on the Resolutions through remote e-voting and are otherwise not barred from doing so, shall be eligible to vote through e-voting system in the AGM.

11. Members who have voted through remote e-voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.

C. General Guidelines for shareholders

1. Institutional Members (i.e. other than Individuals, HUF, NRI, etc.) are required to send scanned certified true copy (PDF Format) of the Board Resolution/ Authority Letter, etc. together with attested specimen signature(s) of the duly authorized representative(s), to the Scrutinizer at sachincs2022@gmail.com with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "Upload Board Resolution / Authority Letter" displayed under "e-Voting" tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the '**Forgot User Details/Password?**' or '**Physical User Reset Password?**' option available on www.evoting.nsdl.com to reset the password.
3. Any person holding shares in physical form and non-individual shareholders, who acquires shares of the Company and becomes a Member of the Company after sending of the Notice and holding shares as on the Cut-off date, may obtain the login ID and password by sending a request at evoting@nsdl.com. However, if he / she is already registered with NSDL for remote e-voting then he /she can use his / her existing User ID and password for casting the vote. In case of Individual Shareholders holding securities in demat mode and who acquires shares of the Company and becomes a Member of the Company after sending of the Notice and holding shares as on the Cut-off date may follow steps mentioned above under '**Login method for Individual shareholders holding securities in demat mode**'.
4. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on toll free no.: 022 - 4886 7000 or send a request to Ms. Pallavi Mhatre-NSDL at evoting@nsdl.com.
5. Members whose email IDs are not registered with the depositories / Company may send a request to evoting@nsdl.com for procuring user id and password for e-voting:
 - i) In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned

copy of the share certificate (front and back), PAN (Self-attested Scanned copy of PAN card) and AADHAR (Self-attested Scanned copy of Aadhar Card).

- ii) In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self-attested scanned copy of PAN card) and AADHAR (self-attested scanned copy of Aadhar Card).
- iii) If you are an Individual shareholder holding securities in demat mode, you are requested to refer to the login method explained at (point no. A.1) i.e., Login method for Individual shareholders holding securities in demat mode.
- iv) In terms of SEBI circular dated December 9, 2020 on e-voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

6. To register/ update your email address with the Company permanently and to keep receiving all communication (Notice, Annual Report and the e-voting instructions along with the User ID & Password) electronically in future, please follow the below process:

- a) Members holding shares in physical mode may send an e-mail request addressed to shareholderquery@bhel.in or to M/s Alankit Assignments Limited, Registrar & Share Transfer Agent of the company at rta@alankit.com alongwith scanned copy of the request letter duly signed by the first shareholder, providing the email address, Mobile No., self-attested copy of PAN and a copy of the share certificate to enable RTA to register their e-mail address.
- b) Members holding shares in dematerialized mode are requested to register/ update their email addresses with their respective Depository Participant.
- c) In case of queries in the matter, members are requested to write to rta@alankit.com or call at 011-42541234.

**BHARAT HEAVY ELECTRICALS LIMITED**

(CIN: L74899DL1964GOI004281)

Regd. Office: BHEL House, Siri Fort, New Delhi-110049

Phone: 011-66337598

Website: www.bhel.com, Email: shareholderquery@bhel.in

Dear Shareholder(s),

Re: Payment of dividend through National Electronic Clearing Services (NECS)/ Electronic Clearing Services (ECS)

Pursuant to SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, all listed companies shall use any of the electronic modes of payment facility approved by RBI such as ECS/ NECS/Direct Credit etc. for payment of dividend. In case you have not already sent the NECS/ ECS/ Bank Account particulars to our Registrars, viz. M/s Alankit Assignments Limited or to your Depository Participant (DP) (in case of demat holding), we would request you to provide the said particulars in the format given below to facilitate prompt, safe & correct payment of dividend as and when declared by the Company. Please ensure that the details submitted by you to the Registrars/ Depository Participant are correct as any error therein could result in the dividend amount being credited to wrong account.

Kindly help us in this endeavour to serve you better.

Yours faithfully

(Dr. Yogesh R Chhabra)

Company Secretary

P.S. In case you are holding shares in demat form, kindly advise your Depository Participant to take note of your Bank account particulars/ NECS/ ECS/ Direct Credit mandate.

FORM FOR NECS/ ECS MANDATE/ BANK ACCOUNT PARTICULARS

I / We do hereby authorise BHEL/ my Depository Participant to

- ☐ Print the following details on my/ our dividend warrant
- ☐ Credit my dividend amount to my Bank account by NECS/ ECS/ Direct Credit
- (Strike out whichever is not applicable)

My/ our Folio No or DP ID No Client A/c No

Particulars of Bank Account:

- A. Bank Name :
- B. Branch Name :
(Address for Mandate only)
- C. 9 digit code number of the bank & branch as : appearing on the MICR cheque :
- D. IFSC Code :
- E. Account Type (Saving/ Current) :
- F. Account No. as appearing on the cheque book :
- G. Mobile No. of Shareholder :

I / we shall not hold the Company responsible if the NECS/ ECS could not be implemented or the Bank discontinues the NECS/ ECS, for any reason.

**M/s Alankit Assignments Limited**

UNIT: BHEL

4E/2, Alankit House, Jhandewalan Extension,
New Delhi-110055-----
Signature of the Shareholder

Please attach (i) photocopy of a cheque or a blank cancelled cheque issued by your bank relating to your above account for verifying the accuracy of the 9 digit code number AND (ii) a copy of your **PAN** card with this form.

Bankers, Auditors and Registrar & Share Transfer Agent

Bankers	Auditors
State Bank of India	M/s ABP & Associates, New Delhi
Canara Bank	M/s PSMG & Associates, New Delhi
IDBI Bank Limited	M/s Sanjay Srivastava & Co, Bhopal
ICICI Bank Limited	M/s Ganesan and Company, Chennai
HDFC Bank Limited	M/s Y C R J & Associates, Bengaluru
Axis Bank	M/s Sarath & Associates, Hyderabad
IndusInd Bank Limited	M/s K Gopal Rao & Co, Chennai
Bank of Baroda	
Exim Bank	Cost Auditors
Indian Bank	M/s Vijender Sharma & Co., Delhi
Punjab National Bank	M/s R.M. Bansal & Co., Kanpur
Union Bank of India	M/s Narasimha Murthy & Co., Hyderabad
Yes Bank Limited	M/s Subramanian Rajagopal & Associates, Tiruchirapalli
RBL Bank Ltd.	M/s Murthy & Co. LLP., Bengaluru
Indian Overseas Bank	M/s Paliwal & Associates, Lucknow
Kotak Mahindra Bank Limited	M/s SSPGR & Associates LLP, Visakhapatnam
Federal Bank Limited	
HSBC	
South Indian Bank	
	Registrar & Share Transfer Agent
	Alankit Assignments Limited
	Alankit House, 4E/2, Jhandewalan Extension, New Delhi-110055
	Tel : 011-4254 1234
	E-mail : rta@alankit.com
	Website : www.alankit.com

Registered Office

BHEL House, Siri Fort, New Delhi-110049 (India)

CIN: L74899DL1964GOI004281

Phone: 011-66337598

Website : www.bhel.com E-mail: shareholderquery@bhel.in

Investing in ESG

(Environment, Social & Governance)

Harit BHEL initiative
launched in
FY2023-24 -
Net Zero target
by the year
2047

WEF Pledge
to conserve
3 million
existing
trees at BHEL
campuses

85,800+
saplings
planted in
FY2024-25

3,86,000+
saplings
planted in last
6 years

Miyawaki
forests added
in BHEL units
in FY 2024-25 -
22,900+ sqm

GreenCo
Gold rating:
1 manufacturing
unit

GreenCo
Silver rating:
4 manufacturing
units

GreenCo
Bronze rating:
2 manufacturing
units

Captive Solar
PV plants

~ 42 MW_p

Electricity
generation
from captive
SPV in
FY 2024-25

~ 39 MUs

Carbon
footprint
avoidance in
FY 2024-25 of
~28,700 MT
- 8.8% increase
over last year

21 Effluent
Treatment Plants
and **19** Sewage
Treatment Plants
across BHEL
units

140+
rain water
harvesting
systems and
water bodies
across BHEL
units

BHEL Townships
certified as
**"Single Use
Plastic Free"**
townships

ESG
Bharat Heavy Electricals Limited



Bharat Heavy Electricals Limited

Registered office : BHEL House, Siri Fort, New Delhi - 110049, India
Corporate Identity Number : L74899DL1964GOI004281
www.bhel.com



BHELOfficial



BHEL_India



BHEL_India



bhel.india



company/bhel